

Styrenix Performance (STYRENIX)

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Call: Jun 2023

June 09, 2023

To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra- Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on June 05, 2023
Ref: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated May 31, 2023 informing about the earnings call organized by the Company on June 05, 2023, please find attached Investor Call Transcript for your record purposes.

The transcript is also uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Abhijaat Sinha
Head – Legal & Company Secretary
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“Styrenix Performance Materials Limited
Earnings Conference Call”
June 05, 2023

MANAGEMENT : M R. RAKESH AGRAWAL – CHAIRMAN AND WHOLE -
TIME DIRECTOR – STYRENIX PERFORMANCE
MATERIALS LIMITED
M R. RAHUL AGRAWAL – MANAGING DIRECTOR –
STYRENIX PERFORMANCE MATERIALS LIMITED

M R. SANJEEV MADAN – CHIEF FINANCIAL OFFICER –
STYRENIX PERFORMANCE MATERIALS LIMITED
M R. ABHIJAAT SINHA – HEAD , LEGAL AND COMPANY
SECRETARY – STYRENIX PERFORMANCE MATERIALS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Styrenix Performance Materials Limited Conference Call. We have with us today from the management of Styrenix Performance Materials Limited, Mr. Rakesh Agrawal, Chairman and Whole-Time Director; Mr. Rahul Agrawal, Managing Director; Mr. Sanjeev Madan, Chief Financial Officer; and Mr. Abhijaat Sinha, Head, Legal and Company Secretary.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjeev Madan. Thank you, and over to you, Mr. Madan.

Sanjeev Madan: Thank you. Dear shareholders, investors and analyst fraternity, we welcome you to this Earning Call. Your company, Styrenix Performance Materials Limited has declared its results for the year ended 31st March '23 on 26 May '23. We will brief you about the major highlights of our performance.

First, regarding the quarterly performance, revenue net of GST from operations in current quarter is INR615.3 crores as compared to INR557.2 crores in October to December 2022, and INR623.9 crores in January to March 2022. Profit before tax in current quarter stands at INR58.22 crores as compared to INR40.43 crores in October to December 2022, and INR130.09 crores in January to March 2022.

Regarding the year-to-date performance, revenue net of GST from operations stands at INR2,372.3 crores in financial year ended March 2023 as compared to INR2,179 crores in financial year ended March 2022. Profit before tax for the year ended March 2023 stands at INR247 crores as compared to INR442 crores for the year ended March 2022. Segment performance specialties, profit before tax and other unallocable expenditure stands at INR40 crores in current quarter as compared to INR30 crores in October to December 2022 and INR91.9 crores in January to March 2022. Profit for the year ended March 2023 stands at INR174.4 crores as compared to INR324.3 crores for the year ended March 2022.

For Styrenix profit before interest, tax and unallocable expenditures stands at INR17.97 crores in current quarter as compared to INR11.48 crores in October to December 2022 and INR40.4 crores in January to March 2022. Profit for the year ended March 2023 stands at INR81.88 crores as compared to INR121.97 crores for the year ended March 2022. This is all about clarification and details about our financials. Now we can go forward for the queries or any clarifications which are needed. Thank you.

Moderator: Thank you very much. The first question is from the line of Bhavesh Chauhan from IDBI Capital. Please go ahead.

Bhavesh Chauhan: Sir, question on your margins. We have seen some 300 basis points improvement in gross margins in this quarter. So what has driven that? And secondly, in our previous conference call, we had mentioned that we are working on some cost efficiencies, which should lead to margin

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improvement. So my question is, sir, whether we will be able to reach that 15%, 20% EBITDA margin?

Rahul Agrawal: Bhavesh, thank you for your question. This is Rahul Agrawal, Managing Director. With regards to the margin improvement that we have seen from October to December quarter, Jan to March, it is in line with what our expectations was in terms of cost efficiencies improvements. We believe going forward, there will be further opportunities for those improvements as well. It will be difficult right now to predict or give you an exact time line or exact EBITDA margin on what could be realized at what point of time.

All

I would say is that in terms of margins, one has to look at global cues, understand how the global deltas work in polymers and specific products that we are dealing with. And we would be in line with that. Whatever efficiencies we believe we can bring in, we are already working

towards that.

Bhavesh Chauhan: Yes. Got it. But my point was, sir, if we are working on internal risk cost efficiencies, is it significant, if you may, or are we looking at only maybe 100 -- already, we have seen 200 basis points improvement in EBITDA margin, so only 100, 150 basis points more because of efficiencies. If you could know, directionally, or how significant it can be -- if you can tell us?

Rahul Agrawal: So it could be more or less than the number which we are assuming over here or whatever that 15% on EBITDA margin, which you have mentioned. It is not a number which I am prescribing to. Like I said, again, one has to follow our global cues. And one has to see how best we can perform under the set of conditions we have.

Now if 200 basis points have been already achieved, as we have mentioned, it is possible that we will have further improvements as well. One of the things which I can give you directionally is that we have been able to increase our volumes in terms of sales. And that has obviously helped in reducing -- having some dilution on our fixed costs and also on our operating efficiencies that has improved in margins. Now this is a continuous effort. We believe there is still headroom to do that, and we are working continuously in that direction. So it could be more also, that would be our target.

Bhavesh Chauhan: Yes. Sir, that's quite helpful. And secondly, in terms of expansion, are we looking at capacity expansion or still we've not finalized any plans?

Rahul Agrawal: So currently, with the infrastructure we already have in place, we believe there is a significant improvement as we are studying and understanding the assets which are already in place. With some minor investments, we should be able to augment the output significantly. So that is the first order of business, as I've explained earlier as well. And I think once we are able to achieve that fully, in the interim, we are already working on further expansions. It's just difficult at this point today to give you an exact time line of that.

Rakesh Agrawal: I'll step in here as the Chairman. This is Rakesh Agrawal. See, as the Managing Director has explained, since we have debottlenecking opportunities, as you mentioned, we are increasing capacity. You have seen it probably the capacity utilization from the previous quarters to this quarter. And we believe that there is a significant scope of increasing further. But we are also

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planning to increase the capacity substantially. Currently, we cannot make any plan. And at some point of time, we will be disclosing it to SEBI and also to the investor community when the plans are finalized along with the other details. But we are already working on it, and I think we should be in a position to give in a few months' time.

Moderator: The next question is from the line of Ajay Sharma from Maybank India.

Ajay Sharma: I want to check...

Moderator: Sir, sorry to interrupt, but the line for you is very low in volume. If you could please speak closer to the mic or use the handset.

Ajay Sharma: So I just want to check, basically, considering the end user sectors, auto and even the appliances and everything is kind of doing well. Basically, is there a chance that the spreads in India are better than what we're seeing globally? And even the global spreads seem to have improved in the last few weeks or so. So I guess, my question is whether in terms of your long-term history, are we closer to the average spreads or are we at the low end? Or how would you -- how should we look at it -- for both

ABS and polystyrene, please?

Rahul Agrawal: Yes, I can. Ajay, thank you for the question. Again, I will answer it in 2 parts. You mentioned on ABS and polystyrene. With regards to ABS, auto and the other consumer durables sector, as you already mentioned, are the important sectors that we cater to. The sectors are doing well. There is a fairly good demand in India. However, we have to look at global demand-supply kind of cues as well. And these are -- varies all over the place. And eventually, those to affect the global spreads as well.

So I would recommend you look at kind of global cues on data or spreads internationally. And you're right in that we would be broadly following that. Having said that, obviously, we have a huge amount of grades and specific customized products, which we have for the customers within these segments where we get higher value addition. So the idea, obviously, is to have a continuously better spreads than what you would see globally as well.

And going forward, we do see things in a very positive and optimistic light. As far as polystyrene is concerned, again, it goes into sectors which are having a fairly good robust demand in India. And there again, I think it follows the same kind of argument, which I mentioned about ABS, that there will be -- there is an improvement in spreads. And going forward also, we do see kind of a robust demand situation there.

Ajay Sharma: Okay. And then you guys don't disclose the actual volume number. So is it possible to get some sense on what sort of capacity utilization you guys are running at for both ABS and PS, please?

Rahul Agrawal: So in terms of what volume utilization, I'll tell you why it's been challenging. Essentially, the assets which have been installed, have got certain nameplate capacities. And as you know, we have acquired this business in November, we have taken over management. And the nameplate capacities and the actual true potential capacities, there may be a certain gap.

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We are closer to understanding what those gaps are and also understanding how best we can produce or how much we can produce. And that's really the reason, no other reason for not giving exact numbers. So far, I think we'll be in a position to give those numbers soon. All -- as the Chairman already as well said and I've said earlier, there is significant room to further get more output out of the same assets, and that's the direction we are working in.

Ajay Sharma: So let me ask the other way, like you have capacity of 100,000 in ABS and 78,000 in PS, if got those numbers right. So I'm just wondering whether we are fully utilizing that sort of capacity number, which was -- I think I picked up maybe from annual report or some presentation, I don't remember. But are we operating in that sort of -- fully utilizing that capacity or even not even fully utilizing that capacity?

Rahul Agrawal: So 78,000 is the nameplate capacity, which was on polystyrene. However, prior to us taking over management, the capacity utilization there has not been really more than, you can say, 60% or 55%. We believe that reaching close to that 100% capacity over there is feasible based on whatever we have done work on that so far. And we are also seeing that kind of output in the last few months after engaging in what we can possibly do.

On ABS, the 100,000 ton capacity number is mostly on compounding. As you know, ABS, we produce HRG rubber graft and SAN and then we compound that into the final compounding facility. So while we had a compounding capacity of 100,000 tons, the actual capacity is on HRG and SAN, which are critical and driving it. There, again, historically, the capacity utilization has been around 60%, 65%. And there again, getting to 85% and closer to the 100% number, we believe, is technically feasible.

Moderator: We have the next question

on from the line of Pranav Tendulkar from Rare Enterprises.

Pranav Tendulkar: Congratulations on the improvement in numbers. Sir, I have 3 questions. First is that, when it comes of technical expertise, I know that we're best in India. But does anything prevents in our understanding with the previous owner? Does anything prevents the owners to also participate and compete with our products in India?

Rahul Agrawal: Pranav, this is Rahul Agrawal. And let me understand your question. Are you talking about previous owners being INEOS Global participating in Indian market. Is that you're mentioning?

Pranav Tendulkar: Yes, yes.

Rahul Agrawal: Yes. So there are several companies already participating as far as the customer base in India is concerned. And INEOS is also participating already from their other locations. So there is no such thing where no one can compete. But I believe that with our brand positioning and our product placements, we are very well positioned to handle any such competition.

Pranav Tendulkar: Right, right. So second thing is on a similar product, what is the kind of premium that we charge and it is for what type of scalability? Is it that fast customization that we do or the typical expertising in getting the required properties? What is it that we can charge a premium on a similar product, vis-a-vis other competition or vis-a-vis global competition or domestic market?

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Rahul Agrawal: So we -- there are, of course, 2 segments, again, ABS and polystyrene. And I'll answer -- I'll give you some illustrations or examples in ABS. We supply, of course, into automotive, into consumer durable, household electronics, different applications. Each of these applications is -- can be said to be somewhat unique to Indian conditions, whether it is automotive, if you look at, for example, Indian road conditions, weather conditions. And there are certain set of challenges, how the product needs to be customized for those applications for those set of conditions.

So we have had the rich experience of even from prior actually managing this business as a family or my father having -- who as the Chairman having managed the business as Managing Director and founded this company. There is, of course, the technical expertise, which has been created in the company to do that customization and develop those grades for those customers. It's a very well-trusted process that we have run over years.

Now going forward also, the skill sets and technical capability do exist in the company to develop even further grades which need to be developed with the newer models or newer application requirements. Today, even in the EV segment, for instance, we are a front-end center

in terms of development and also the preferred choice of raw materials. Again, would have a different set of requirements and different applications, which would require that kind of customization.

In terms of premiums that we can charge for any specific part or any specific customization. Again, it is difficult to say because there are many, many grades that we do across different components, across different industries, across different customers. So that is difficult to say, but we definitely have a defensible position there.

Pranav Tendulkar: So in that case, there is the risk of imports or dumping is very less or more? Or is it always existing? Suppose somebody like, say, Kingfa can actually import from their parent. Is that a risk?

Rahul Agrawal: So in terms of import, of course, when there is a global demand-supply mismatch, that would put some amount of pressure on spreads internationally. Like I said, there has to be a significant incentive for any customer to switch from us to any other supply choice. So if that incentive exists, obviously, one would make that effort. But it's not very easy. So as long as we can

demonstrate significant value, that is less likely to happen. You see historically, I think we have been able to defend that position. And I think going forward also, we would be able to do the same.

Pranav Tendulkar: Last question from my side. Sir, in terms of -- if I analyze your business, there are like multiple margin levers possible. So one is, obviously, for an existing volume, we can actually do efficiency increase. Then there is operating leverage and then there is a global spread leverage. Now I will not bank on global spread leverage because that is always a market phenomenon and have price takers mostly.

So in that case, second and third -- so first and second, that is actual -- on a given volume efficiency increase and second is that operating leverage. So how much is the first component of this? Operating leverage, we all understand that the fixed cost will actually get spread, but I believe that if you like -- if I know anything about like Indian innovativeness, it is that -- even Styrenix Performance Materials Limited

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on a given volume, we can actually increase efficiencies and productivity. So am I right in this guess? Or am I too optimistic about this?

Rahul Agrawal: So there is an opportunity on both fronts as you have rightly pointed out. To quantify exactly what would be that percentage to a great level of accuracy is always a bit challenging. As you know, a large international firm having multiple operating units had been running this business. So it's not like they would not be understanding the business.

So like I pointed out on the 2 areas where improvements are possible or further efficiencies are possible, you're right, both the areas, there is a potential, and there's a possibility. It is difficult to specify very accurately, exactly in terms of net addition what that would be in relation to each other. But having said that, we are already seeing some improvements, both on the operating side in terms of the existing volumes as well as on augmenting and getting some value out of that as well. So both places, there is significant amount of value being created.

Pranav Tendulkar: Super, sir. And thanks a lot for the great dividend amount that you are distributing. And I have a few questions, but I'll come back in the queue after others' questions are answered.

Moderator: The next question is from the line of Abhishek Getam from Alpha Invesco Research.

Abhishek Getam: Sir, so first question was on overall India. So roughly, India consumes around 2.5 lakh tons ABS. And then we've seen the insurgence of imports very high in the last 1 decade. So how do you see that? I mean imports move from, I guess, 30,000 to roughly around 1 lakh tons, if I'm not wrong in last 7, 8 years. So how do you think about this?

Because globally, where companies are adding capacities also and 20%, 25% global addition in ABS. So how do you think the delta -- about the delta industry panning out?

Rahul Agrawal: Abhishek, thank you for your question. So I see in the last 10 years, as you have rightly pointed out, imports have grown from whatever level to say 100,000 tons, 140,000 tons, you can say of last year. See, the market is anywhere between 2.5 lakh to 3 lakh tons because there is some amount of change which happened in the COVID years as well. So there was some reduction in some segments. But I would say -- I would put the numbers maybe between 2.5 lakh to 3 lakh tons.

Now historically, if you look at the 2 incumbent manufacturers in India and right now I'm talking about ABS, and I'm assuming that is also your question is more on ABS rather than polystyrene. There has not been any significant capacity addition, which has happened by the 2 companies in India, whether it was INEOS earlier and now Styrenix, and the other entity. Now since not a significant capacity increase happened, whatever market grew, that was largely captured by the

imports. So if you think about it now going 20 years behind or even 30 years behind where our

-- the Chairman, the current Chairman, who was also the earlier Managing Director, who was managing the business, the same situation did exist even then. Actually, there was ample excess capacity sitting in Far East or wherever the current competition is from, where material could have come into India, but largely that position was defended in India by the Indian manufacturers because there was sufficient capacity. We believe that by
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adding capacity or increasing volumes in India, we can safely capture a larger part of the market, which is existing in India today.

In terms of defending against imports going forward, post adding capacities or post increasing our own output, we believe, again, we have a defendable position because we are a preferred choice. Local manufacturers would be a preferred choice. We would be a preferred choice on most of the segments that we cater to, whether it is automotive, household, consumer durables, wherever. So I think with, again, the customization, the great differentiation and the value that we deliver to our customers, we would still be able to defend against the additional capacities which are being created globally.

Abhishek Getam: Understood, sir. Understood. So just an extension on that one. In this Indian market of 2.5 lakhs to 3 lakhs, so what would be the split of mass ABS consumption or sort of emulsion. I'm just -- I'm trying to understand it. Is imported grade mostly mass ABS and then Supreme will just replace that or in that angle, I'm just trying to understand.

Rahul Agrawal: Now you asked a question about emulsion, I guess, versus the mass ABS market in India. So currently, if I kind of spoke the number of different players which are present in the market, whether it is domestic manufacturers as well as product, which is coming via imports, there is almost no mass ABS actually being sold in India today.

I would say, it is closer to almost you can say 99 or 100% is the current immersion ABS. Mass ABS I believe, has more of a market in other areas. How that plays out into the Indian market we still have to see.

Abhishek Getam: Understood, sir. So what you're trying to say is, the application -- end applications of emulsion and mass can be different, is that right, sir? Because we were thinking it's mostly similar lines of application.

Rahul Agrawal: So obviously, almost all of ABS is used in similar applications. However, the customizability of ABS is different between emulsion ABS and mass ABS from what we understand. So I believe that customizability is key in the Indian market, which would still give emulsion ABS kind of a differentiator over mass ABS in the future as well. So there would be some, obviously, areas where there would be overlap.

Abhishek Getam: Yes, just one last question. So I think from the earlier calls, I think earlier management in-house management mentioned that plants are pretty old. Do we expect sort of renovation capex or anything to bring them up the capacity, or do you think, that this, whatever phase they're, they are sufficient enough to reach 100% utilization?

And just an extent that is, from the presentation also, we've gathered that roughly in India, two wheelers consume 2.5 kgs ABS. And what I understand is for EV two-wheeler, this number can significantly go up, is that right? Yes, that's what.

Rahul Agrawal: I'm sorry, are you talking about EVs consumption of ABS per vehicle going up?

Abhishek Getam: Yes.

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Rahul Agrawal: Okay. Yes. I'll answer both your questions because I think it's in two parts. With regards to consumption of ABS in two-wheelers, I believe the EV market is still kind of developing. It's growing

very fast, and we believe that it will be a significant percentage of the overall two-wheeler market in India. However, exactly what will be the consumption of ABS in two-wheelers, we have to see. Currently, you are right.

In terms of per vehicle, the amount of ABS consumed is a little bit higher, but we do believe that there might be some tapering off over there as well. And we'll have to just wait and watch on how that develops and exactly what kind of material is required or how much material is required in two-wheeler. In any case, it's a good sign for us because I think the overall market will definitely grow as a result of this.

Abhishek Getam: Okay. Understood. Just on the plant side, sir, any comments?

Rahul Agrawal: Yes. So with regards to the old management's comments, I can't comment on their comments. But we have done our own fresh audit when we again, in our due diligence when we did the

acquisition of the company. And we know from our perspective, we have a high level of confidence with the quality of assets, which are in place, and a great deal of confidence in the same assets being able to give the kind of output which we are looking for or targeting. So we believe that some minor improvements may be required, but these are not significant. And these are already being done, if not already done in the last few months.

Moderator: Thank you. The next question is from the line of Jojo Shaju from Alpha Invesco Research. Please go ahead.

Jojo Shaju: My question is regarding the polystyrene business. So sir, apart from the packaging sector, is there any other sector that will drive the growth in the polystyrene market, or what is the overall growth rate that you are expecting in this polystyrene?

Rahul Agrawal: Hi, Jojo. Again, Rahul here. Thank for your question. So polystyrene, again, we produced two types of polystyrene. One is the GPPS or General Purpose Polystyrene and the other is high-impact polystyrene. Other than packaging, it also goes into, again, consumer durables. It goes into stationery. It goes into other areas, which are also significant volumes and growing in India. It goes into -- for instance, it goes into air conditioners. And air conditioners in terms of overall market has doubled or tripled in the last five years. And we believe that it is going to be on that growth path going forward.

There is significant additional volumes or capacities for air conditioners, for instance, coming into India because of, again, the schemes by the government. We also believe that potentially India will become, in fact, an export hub for a lot of these kind of markets. So other than air conditioner, there's also refrigeration market. So again, polystyrene is used in all these areas as well. And these are, again, high growth areas going forward.

Jojo Shaju: So can you give some number like what is the growth rate you are expecting in this market?

Rahul Agrawal: I can give you an idea. So if you look at just split air conditioners, for instance, in the last three years, it has grown from 3.5 million units to almost close to 7.5 million, 8 million units. And we

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believe or at least there is some research, which suggests that, that number may go up to, well, very well to 25 million units in the next five years. So we are looking at -- you can calculate from that what is going to be the growth rate for say, certain applications. The refrigeration also, again, there is a lot of push for Make in India. And there is significant capacities coming up all over India for the same.

So again, growth rates can be anywhere from as low as 5%, 6% to as high as 10%, 12%. So again, difficult to put an exact number on it, but the capacities which are coming online for the applications where we are catering to are definitely a good and promising sign for the potential growth that we are

going to have.

Jojo Shaju: Okay, sir, sure. Understood. And sir, can you share how much is the capacity utilization in the polystyrene segment right now? And I just need to understand, like do we have enough capacity to grow this business, or do we need another capex for the growth?

Rahul Agrawal: So Jojo, as we discussed earlier in the call, historically, say, if the nameplate capacity was 78,000 tons of the polystyrene business, the capacity utilization has been between 60% and 65%. Like I said, that we are already working towards achieving 100% of that. So that itself, you can calculate the growth in volume, if we are talking, is close to 40% to 50% previously achieved. So that in itself requires obviously some time and effort, which we are already working towards. I think we will do this in phases. I think first, we will achieve that, and then we will move on to the next phase of expansion. But we are definitely looking at significant growth in both the businesses, ABS as well as polystyrene and there is ample room, ample opportunities to expand there.

Rakesh Agrawal: And to further augment, this is Rakesh, we have already reached 80% right now with -- already small debottlenecking and all that. And reaching 100%, we may require a very small capex and all that. I can't give you exactly a time frame, but it will not be a very long period. In a very short period, we'll achieve that capacity, and we have plan to even further augment it, which in time, we will be probably able to address it.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: So first off, I just wanted to understand in terms of products. I mean the nature of the product that we have. I mean, how would you categorize it as a commodity product or value-added product among all the four categories you have ABS, SAN, GPPS or HIPS? And are we also looking into any new product that is on the value-added side? So some understanding on that would be quite helpful, sir.

Rahul Agrawal: Deepak, thank you for the question. So if you look at the four products that we have in the company right now, we believe that there is always going to be a certain component or a certain

part of the product or the market that the product goes into, which is a little bit more commoditized, and there is going to be a part of the market which is more customized or specialized. The idea would be that we work towards more of the specialized side, while we have to continue to service a part of the commoditized market as well. That's a balance which

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has to be struck between the two, keeping our capacity utilizations in mind as well as getting a higher margin for our product.

So that's a kind of a balance, which has to be drawn, and we will continue to draw it. We believe, like I said initially, there is ample room for us to grow and increase our volumes, so that volume growth will come in both areas. It will come partly in the commoditized space and partly in the specialized space. So in all the four segments, there are specific advantages that we have in our product vis-a-vis the competition, where we believe we can do even more specialized work, and we can get higher margins. So that is an area we are looking in.

As far as new products are concerned, yes, there is another key area of focus as far as the R&D and the team is concerned over here. We have already started working on several new products, several new blends. So there are alloys of polymer, which we were not earlier producing or were very active in, as part of the earlier management is something that we have taken on, which will also add additional vertical to what we are offering to our existing customers and new customers. So that is also an area which we are working on. In the next couple of quarters,

we are looking

to kind of commercialize and add that to our existing portfolio of products.

Deepak Poddar: Okay. And what would be the mix in terms of commodity and value-added currently in terms of revenue?

Rahul Agrawal: So again, hard to explain. But I think as far as the ABS is concerned, I think about 70% would be -- yes. So 67%, 33%, you can see roughly. 70-30, 70% you can see specialized, 30% is commoditized roughly. Again, I don't like to give it in terms of commodity because I believe that even in that 30%, there is potential for differentiation and further improvements.

Deepak Poddar: Okay. And what about the polystyrene?

Rahul Agrawal: So polystyrene, again, I think in the case of polystyrene, maybe you can say 60% is kind of commoditized, 40% is specialized. There again, there is a room for further improving the specialized business. We have a continuous program now to increase our OEM business, for instance, in polystyrene, which is going to be a little bit more specialized and has higher value-addition.

In the past, in terms of our own production, we were not being able to produce enough what is needed, and that I think has changed. So we -- our production volumes have gone up. As well as in polystyrene, we are more able to cater to the needs of those kind of customers. So that is also something we are working towards.

Deepak Poddar: Understood. And sir, how do we see the growth as we go into FY '24? So you did mention that we are seeing a quite robust growth or the volume growth is quite good. But is there any range we are looking at?

Rahul Agrawal: So it's difficult to give a specific number. All I can say is there is volume growth at our company level, right? So there will be a growth that we will have based on the total volumes that we are going to give. In terms of pricing, in terms of revenue, that, of course, will follow global cues to some degree on how the pricing works because again, as you know that a lot of the pricing is

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based off of raw materials, which are also quite volatile in nature. So it's very difficult to give in terms of revenue growth, but volume growth will surely be there.

Like, we mentioned already in the call a few times that we are being able to produce more output, whether it is going from 65% to 80% or 90% of capacity utilization, that definitely we will see in this year.

Deepak Poddar: Understood. And my final question is on your margins. I mean, you did indicate in your opening remarks that you do expect some more operating leverage advantage to get through. And even the increase in spread as well as a robust demand situation in both ABS and polystyrene, so any kind of aspirational margins that we would want to look at over the medium term?

Rahul Agrawal: I can't give you a specific margin number. Like I said, these are products we do follow global cues and global deltas are relevant as far as these businesses are concerned. So if one follows that, one gets a good idea. And I think relative to global cues, I think Styrenix will do well, I believe. And that is going to be our effort that we outperform over there. And to that extent, we

do see a lot of optimism.

Moderator: Thank you. We have the next question from the line of Sanyam Veera from Yes Securities. Please go ahead.

Sanyam Veera: Sir, I wanted to understand on the front of raw material costs. Sir, we have been having at around 75%. So can you guide for the coming year? How is it going to be? Is it going to go down given the specialized products are going to be increasing?

Rahul Agrawal: I think are you alluding to, again, margin or are you alluding to raw material cost?

Sanyam Veera: So yes, on that front only, the raw material side.

Rahul Agrawal: Yes. So again, it's essentially the same question in a different way. But of course, the overall, if you look at global

demand-supply situation of all the products or all polymers, the prices have come off as opposed to the values which existed a few years ago. The global spreads have also changed from historical highs, which existed a few years ago, a year ago. So we are going to be in line with that, with what is now kind of a normalized situation, if you will. And the raw material prices have also come down and so has the pricing to some degree. I think we will be working within that framework going forward.

Sanyam Veera: Sure, sir. Sir, and on the front of capex, can you give us guidance how much is going to be the capex expenditure for the year?

Rahul Agrawal: Again, capex is not very significant because at least for this year, we are not looking at any significant capex. We are looking at capex more from the perspective of improving efficiencies and debottlenecking or whatever is needed to ultimately improve the efficiency of the company.

So there is no major capex which we are announcing as of today. There is work going on. And there is a valuation which is happening by the management team. And as and when we are ready to announce a major capex, definitely, we will make that announcement at that time.

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Sanyam Veera: Okay. Sir. And lastly, do you have any dividend policy in mind as of now?

Rahul Agrawal: So ultimately, the dividend is in line with what we believe is the right thing to do for -- in the interest of the company and its shareholders and all decisions are taken based on that philosophy.

So there is no alternate policy, if you will. The policy is very much to do whatever is in the interest of the company.

Sanyam Veera: Okay. So there won't be any payout ratio as well that you will be maintaining, right?

Rahul Agrawal: No.

Moderator: Thank you. The next question is from the line of Pranav Tendulkar from Rare Enterprises. Please go ahead.

Pranav Tendulkar: In the product acceptance from various auto OEMs and consumer durable companies, how is or how difficult it is to replace something which is domestically produced by something which is imported? That is first question.

Second is that what is the price difference between import ABS or competitive products vis-a-vis domestically produced products right now? Thanks a lot, sir.

Rahul Agrawal: Thanks, Pranav. So in terms of change, like I mentioned earlier, there is a fairly long qualification process, like whether you look at automotive or you look at household or consumer durables or most of these areas that we are catering to in ABS, there is a long validation process, which companies will get into only they feel the need to do it either from a strategic or a commercial standpoint. So there has to be significant merit in the long term for any company to undertake such activities.

If you look at the history of Styrenix and its customers, over the last four decades, rarely has the company lost any of its marquee clients, only, in fact, the business has grown. So that just demonstrates that it is not very easy for importers to come in and replace. In fact, the company has maintained its volumes, while the company had not increased its output or capacities. The added market is what had to be met by imports rather than replacement of existing business of the company with imported product.

So I believe that, again, it will always make sense for domestic customers to buy domestically if the product is available. And that is what we intend to make happen, that we have to be in a position to be able to supply to the needs of our customers, the growing needs of our customers, and this is the area where we will focus. Again, to give you an exact idea on what would be the margin difference.

There is some margin difference. There is a better margin. But it's impossible to give you an exact number because, like I said, there are hundreds

of grades that we are producing. And each

grade, the margin might be different because the complexity, the [inaudible 0:46:46] producing specific products or grades or the costs associated with those grades can be a little bit different.

So there is no set margin per se, which we can define as being the delta between an imported product and the domestically produced product, if that answers your question.
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Pranav Tendulkar: Right, sir. Right. So if I assume that more-and-more you install capacity, you will be able to successfully replace imports, that will be a correct assumption because domestic players will rely on a more reliable supplier than import?

Rahul Agrawal: Absolutely.

Pranav Tendulkar: Okay. Perfect, sir. Also, I just wanted to request if you can arrange some Analyst Day or if you can actually improve the access to your investor relationship team to various investors and market participants, that would be great.

Rahul Agrawal: Pranav, it's a great suggestion, and we'll definitely take you up on this, and we will work with our team to coordinate with all interested investors and our greater shareholder community to engage more and kind of communicate better. That's a welcome suggestion.

Pranav Tendulkar: Right. The last question from myself. So you have actually given a very generous dividend to shareholders. So on promoter side, will the dividend be deployed to reduce the pledged amount going forward?

Rahul Agrawal: So Pranav, again, that is not necessarily directly in line with what the company's business is, but at the promoter level, whatever we feel is the right use of those funds. The promoter level, of course, is a different entity. And as would be managing its own cash flows, fund flows and use of cash flows accordingly.

Pranav Tendulkar: Right. So because what I've noticed is that pledged share, I understand that it's a very great balance sheet, that is acting for some institutional players to actually become a shareholder because that is perceived as a risk. So anyhow, I know that you will do the best for the shareholders.

Moderator: Thank you. The next question is from the line of Ajay Sharma from Maybank India. Please go ahead.

Ajay Sharma: Yes. Actually, I was wondering for the spreads, right, the deltas. If I look at your company's profile, margin profile for last several years, looks like, I just want to confirm with you, basically, it looks like in terms of the deltas right now is kind of at the mid-cycle number at this point of time. So is that accurate?

Rahul Agrawal: So Ajay, thanks for your question. I would not hazard, whether we are in the mid or the bottom of the cycle. All I can say is that based on current market conditions and potential sentiments of the market going forward, I don't see any reasons for significant downward pressure. I do believe, we are in a kind of a normalized situation now. I do believe there is kind of a robust market situation in the medium-to long-term future. And we have to see when and if that happens. However, as far as the current condition is concerned, I think it is in line with what I would consider as a normalized situation.

Ajay Sharma: Right. Okay. And then comparing yourself with Bhansali, which is other ABS player, I guess I'm just wondering, they are pretty much operating at full utilization. And I think the margins, Styrenix Performance Materials Limited

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EBITDA margins are also slightly better than yours, so -- at least for the last financial year. So would you care to compare yourself with them and see where -- what are the differences?

Rahul Agrawal: So I unfortunately, cannot comment on competitors or other players' margins on this call. I can only comment to what we are doing. And I can say that we have assumed management as of 17th November 2022. And it has

been a constant effort on our part to see how we can further improve the margins of the business that we are currently managing. And I think from the last quarter to this quarter, we have seen some improvement. And going forward, I do believe there are a lot of opportunities for us to further improve the margins.

Ajay Sharma: Okay. And then on the working capital, there was a fair bit of improvement in last financial year, I think, especially on the other current liability sides seem to have increased a lot. So could you comment on that? What led to that?

Rahul Agrawal: So we have obviously negotiated for better supplier terms than what was existing within the company earlier. Again, there were certain transactions earlier which were from entities that either we are not dealing with or there are entities where we believe we have overall better terms, not just the kind of supplier payment terms in terms of number of days, but in terms of pricing as well. So all-in-all, I think that's improved.

Second is the inventories that we carried have also been reduced. We do not believe we need to

carry the kind of inventories that the company had in the past. We believe we can manage it with a much leaner position that we currently have, and we are trying to see how we can further optimize that.

Ajay Sharma: Right. And your raw materials, you're importing from -- does it come from China? Or does it come from everywhere basically for all...

Rahul Agrawal: So there are three key raw materials agents. There is styrene, butadiene and acrylonitrile. Styrene, of course, is the largest raw material for us in terms of volume. As of now, styrene is all imported. It comes from the Middle East. It comes from the Far East. It does not really come from China as of now. Going forward, it is possible with the additional styrene capacity is coming up in China. But from a logistics cost point of view as well as existing prior relationships point of view, the current supplies come from either the Middle East, Middle East would be the largest share, and then a little bit from, say, the Far East.

As far as acrylonitrile is concerned, again, it comes either from Far East. Some of it comes from China as well. But we don't have kind of -- and butadiene is, of course, procured domestically. There are three large producers of that in India. So yes, that's the situation as far as raw materials are concerned.

Ajay Sharma: All right. And lastly, what are the kind of import duties on both the finished product and the raw materials. Is there any -- I mean, is there an inverse duty structure? Is it a kind of favorable duty structure from your point?

Rahul Agrawal: It's a favorable duty structure as of now. So on the raw materials, the duties are a little bit lower than what they are on the finished product, so there is some delta there.

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Ajay Sharma: Okay. And just the last one on the LG plant, which has been shut down, right, and which led to kind of a big improvement in the domestic, especially on PS side. I'm not sure about the ABS - how much were they manufacturing. I was just wondering, do you think that plant can never come back online, or is that kind of a history now?

Rahul Agrawal: Speculative, so I don't know what I can say, Ajay. But it seems unlikely from what we can tell. So from what we know of the facts of the matter are that what we know what we have read again is the LG plant, of course, there is -- the government is involved. The local state government has been more in kind of understanding what the situation is. It has been sealed, so to speak. And we don't know if and when that plant can ever restart.

Ajay Sharma: Right. So don't you see when the domestic demand for your finished products is kind of quite good, that the spreads actually can be better than what they're globally? Why can't you have

that

kind of pricing of bargaining power with your customer? I'm just wondering. Are you still at the mercy of the global spreads?

Rahul Agrawal: So I think if you look at double spreads, if you -- there are publications by ICIS or by Platts, whatever, and you can access those publications. And if you track the spreads of global products in the last few quarters versus domestic players, you will see that the domestic players are performing better.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to Mr. Abhijaat Sinha for closing comments. Over to you, sir.

Abhijaat Sinha: So we would like to thank you, thank all the investors and the investor community for joining the call and showing interest in the company, and we look forward to answering you in our next investor call, which will be scheduled sometime in August, which will be announced. Thank you so much, and have a nice day.

Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Rahul Agrawal: Thank you.

Call: Aug 2023

August 16 , 2023
To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on August 14 , 2023
Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated August 08 , 2023 informing about the earnings call organized by the Company on August 14 , 2023, please find attached Investor Call Transcript for your record purposes.

The transcript is also uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Abhijaat Sinha
Head – Legal & Company Secretary
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“Styrenix Performance Materials Limited
Conference Call ”
August 14 , 2023

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR –
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. SANJEEV MADAN – CHIEF FINANCIAL OFFICER –
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. ABHIJAAT SINHA – HEAD, LEGAL AND COMPANY
SECRETARY – STYRENIX PERFORMANCE MATERIALS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Styrenix Performance Materials Limited Conference Call. We have with us today from the management of Styrenix Performance Materials Limited Mr. Rahul Ag rawal, Managing Director; Mr. Sanjeev Madan, Chief Financial Officer; and Mr. Abhijaat Sinha, Head, Legal and Company Secretary.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference has been recorded.

I now hand the conference over to Mr. Sanjeev Madan. Thank you, and over to you, Mr. Madan.

Sanjeev Madan : Thank you. Dear shareholders, investors and analysts fraternity , we welcome you to this earning call. Your company Styrenix Performance Materials Limited has declared its results for the quarter ended June 30, 2023 on August 10, 2023. We will brief you about the major highlights of the performance for this quarter.

The operational revenue for the quarter is INR543 crores, EBITDA is INR53 crores, and margin stands at 9.7%. The net profit before tax is INR43 crores, while the profit before tax margin is 7.9%. Our operational revenue and profit margins were impacted in this quarter due to fall in the prices of all the major raw materials b y approximately 10% as compared to previous quarter, resulted in pricing margin impact.

That's all about the clarification and details about this year's quarterly performance and financials. We can go now forward for the queries or any clarification which are needed. Thank you.

Moderator: The first question is from the line of Nirav Jimudia from Annual Research.

Nirav Jimudia: Sir, in the quarterly presentation, you have given the volumes sold or the produce during the quarter. So is it possible to share ho w much was the volume in the ABS as well as the PS segment for this quarter , as well as the capacity utilization for each of the segments ?

Management: Hi, Nirav, is that all?

Nirav Jimudia: I have a few more questions.

Management: Please ask all your qu estions and then I can answer.

Nirav Jimudia: Along with -- if you can also share your outlook on the volumes because I think Q1, we have seen sales down for the entire industry, which could have impacted our volumes for ABS as well as PS, predominantly th e PS side. But still, we managed to grow our volumes on a Q -on-Q basis. So , does exports play a part here or was there any reason for the same? So this is another added question to this.

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And if you can also clarify the inventory losses for this quarter, because we have seen a sharp fall in the styrene prices ? Along with it, if you can also let us know because I was just going through our earlier conference call transcripts where you mentioned in 1 of the remarks that we have 70% of our ABS volume s were specialized as well as in PS it is 40%.

So when we say specialty, what categorizes or differentiates them as a specialty for the customers , as well as for us? Like how much extra margins we can make over -- above the normal grades of ABS and PS ?

Rahul Agrawal : Thanks for your question. You're right, in terms of quarter -on-quarter, we have seen an increase in volumes. So we are gaining more market share. In terms of capacity utilization, in terms of what has been the kind of maximum production rate or capacity utilized in the past, we are finding opportunities to debottleneck the same and we're able to produce more than has historically been the case with the company.

The historical capacities, which have been in place ha

ve been close to 70,000 tons of

polystyrene and 100,000 tons of ABS is what has been kind of stated in the past. However, what we have produced in the past as a maximum in these plants has been not more than 45,000 to 50,000 tons of polystyrene and roughly about 75,000 tons of ABS.

And when I say ABS, I mean ABS and SAN put together. So about 120,000 tons. As you can see in the last few quarters, we have produced and sold more than 40,000 tons. In fact, last quarter is the highest sales that we've achieved of more than 43,000 tons.

So we believe that while the stated capacities would have allowed us to reach roughly you can say 170,000 tons, which would have been the nameplate capacities, we believe we can definitely get to that level very soon. The reason why the earlier management might not have been able to do it is because of certain debottlenecking projects, which were not done earlier,

which we are doing currently. So this is going on. We believe that we are operating pretty much at the maximum capacity. However, additional output is still possible with minor improvements in the process as well as the plants, and that's what we're currently doing. With regards to -- you mentioned about AC sales being down for the styrene. You're right, I mean it's basically kind of a seasonal play, especially on the HIPS side, where you see larger demand from these appliance producers in the first quarter, which is January to March, and then you see some dip in the second quarter.

And then you see some revival later on. But what happens is we are focusing on multiple areas other than just the CAAC market. And we have not seen a huge impact because overall, the market is still much larger than what we have been producing in the past. So we are finding applications in other areas effectively for both our ABS as well as polystyrene, and that's why the volumes are okay.

Currently, we have not yet started exports. We are selling in India because from a total market opportunity perspective, we still believe that there is enough volume to grow in India. And we do believe that if you look at the case of ABS being the preferred product supplier, we would definitely have better margins here. So it will make sense for us to increase our sales.

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On polystyrene also, we are a small player or smaller player compared to our competitors. So we do believe there is enough room for us to grow because there are still imports happening to the every quarter. So we definitely have a market which we can capture from that perspective. Inventory losses have been there. As you rightly pointed out, styrene is one of the key raw materials for all our products. And even other than styrene, butadiene and acrylonitrile, we have seen kind of a reduction in prices, which have been quite significant in the quarter and that has led to inventory losses.

So there is material, of course, which we would have in terms of our inventory. There would also be material, which would be at a certain price, after which we would have material at lower price. But we would have to take the hit on account of that entire inventory. And there will also be some impact on the inventory kind of a loss that we would have finished goods. So overall, yes, there is a significant impact, which we would have had across the board overall our inventories.

With regards to breakup of specialty versus commodity, as I had mentioned earlier, out of our entire business, in ABS 70% would be specialty and in the case of PS to be 40%. Yes. So that continues to be the case. When we talk about margin in the specialty versus you can say, commoditized part of the business or natural business, it's hard to give you an exact number on what that margin would be because it does vary, but the margins could be anywhere from -- prices could be anywhere from a 10% high

er to even 30% higher on the specialty grades vis-a-vis commodity products that we sell in the market.

Again, it will be a function of volumes. There will be products where we would be supplying in lower volumes, but the margins could be even higher than 30%. Similarly, in PS, we are moving more into the OEM segment, which is typically better in terms of realization. And as this -- as the plant for polystyrene has been producing lower volumes, we have had fewer OEM contracts in the past. But that is changing. And slowly, we are looking to increase that share as well.

There again, the contribution, which should be coming from the OEM business or the specialty business of PS would again be similarly higher as would be the case of ABS. So yes, that's -- I hope that answers your questions.

Nirav Jimudia: Yes. Sir, just 2, 3 clarifies it possible to quantify the inventory losses for this quarter?

Rahul Agrawal: So we estimate the inventory losses to be around INR15 crores to INR18 crores between the raw materials and the finished goods.

Nirav Jimudia: Okay. And sir, you mentioned about the debottlenecking. So I think we have enough compounding facilities. But so far as grafting is concerned and SAN is concerned, I think there were some capacity that needs to be added to support our compounding. So has that exercise completed and with this can the volumes be higher? What's your take on that?

Just wanted to understand that. Because we do and also the extra SAN which we manufacture in the market. So probably we might have SAN, but we don't have that grafting rubber. And Styrenix Performance Materials Limited

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because of this we may be selling those extra SAN in the market and the compounding

facilities are not utilized fully. So if you can just share your views?

Rahul Agrawal : So with regards to the rubber, you are well informed. So with regards to grafting rubber, historically, that has been the bottleneck. But in fact, every month, we are able to get higher volumes. And it's an ongoing exercise. It's not a project, but a series of projects which are underway to not only look at higher capacities, but improve efficiencies, improve even the quality to some extent, which can give better efficiency of the rubber used to make more ABS. So that's going on. With regards to SAN, we don't have any bottleneck. In fact, we have sufficient capacity to meet our targets as far as the compounding is already existent as you know. So for rubber, again, we do believe that within the course of this financial year, we would be able to achieve what is needed to at least meet that capacity, which is already indicated in terms of compounding.

Nirav Jimudia: Correct. So then probably, we will see some uptick in our ABS volumes also accordingly?

Rahul Agrawal : We are already seeing that. Like I mentioned, we did about 43,000 tons last quarter. And if you look year-on-year basis, I think that increase is quite significant, almost 20% higher. We have had 20% to 25% higher. In fact, last year, we might have even imported some rubber. And to that extent, here, of course, that policy also we have changed. And we are able to produce far more volume using our own products.

Nirav Jimudia: Sir just a last question before I join back. So what was our total sales volume in FY '23, if you can share?

Rahul Agrawal : So it was -- one second, I have the number. I'll give you an exact one. Yes, 150,000 tons is what we sold last year.

Moderator: The next question is from the line of Ashwin Agarwal from Akash Ganga Investment.

Ashwin Agarwal: I have a few questions. First one is in financial '23, the Specialty segment, our revenue share in specialty segment is 67%, and polystyrene segment was 33%. So what could be the expected revenue mix going forward and overall guidance on EBIT margins?

And second question is, what is the trend in raw material prices? And

what are the effects on the

spreads? And my last question is we understand that the entire promoter holding of 62% is pledged. So the pledge was created for acquiring the company from erstwhile promoters. So what is the plan to reduce the pledge?

Rahul Agrawal : So Ashwin, with regards to the spread between ABS and polystyrene, which is we mentioned 67 and 33, so typically, we estimate it at 70-30 and of course, 2, 3 percentage could be plus or minus. We anticipate that to be kind of similar going forward into this whole year. And we do believe that the volumes will remain split to that extent and within a margin of, again, 4% to 5% here and there.

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As we already pointed out, we did see some reduction in EBITDA margins in last quarter, primarily on account of inventory stocks that we sustained. We believe that those shops have kind of been dealt with, to some extent or to a large extent. There might be some residual effect but not significant in this quarter.

We believe that if we eliminate that, then the EBITDA margin, we'll go back to a more normalized EBITDA margin, which I have mentioned in my previous calls as well, which should take care of that.

As far as raw material pricing is concerned, raw material pricing did bottom out and again, did go up a little bit. But of course, it's still lower than kind of the highs that it had reached in the past. So we do see some upward movement in raw materials. But again, very difficult to predict how raw materials will behave in the events of kind of a volatile global scenario, given the war and given China's own demand-supply scenario. But having said that, we do believe that we will see more stability slightly more stability compared to, say, this specifically this past quarter.

As far as the pledge is concerned, as I have mentioned in the past, of course, as far as the pledge is concerned to the balance sheet to the two Styrenix Performance Materials, it is at a promoter level and doesn't that impact the company in any way. The promoters have sufficient resources to take care of that. And as per the strategy that we have in place, we will be taking care of it.

Moderator: Next question is from the line of Bhavesh Chauhan from IDBI Capital.

Bhavesh Chauhan: Sir, in terms of bottlenecking volumes, how much of volumes can go on the -- one that we have mentioned in the presentation. Second, sir, on dividends. So what in last two years, you have seen a high dividend being paid from your company. What is it that is likely going forward? Just these two questions.

Rahul Agrawal : Okay. With regards to volume, Bhavesh, like we mentioned that the nameplate capacity on compounding is about 1,00,000 tons on ABS and about 700-odd tons on Polyester. We do

believe that with whatever debottlenecking is going on, we should come very close to those numbers has even exceeded. So that, again, there is some -- there is a little lack of clarity on exactly what that number will be where it will be close to those numbers. So I think that is achievable in the near future.

With regards to dividend policy, I think the dividend policy is a function of what the organizational resources needs are and how those resources are best utilized. So if we believe that we do not need those resources for the organizational expansion, debottlenecking or whichever plan, then we do believe that in that event, the money may well be given back to shareholders and rewarded back to them.

So as and when we believe that those resources are required for the next step of expansion and growth of the company. We shall utilize those resources, and we shall have that policy in place. So there is no fixed plan in place to have dividends. It will be whatever is the most beneficial for the company as a whole, its plan. And of course, the shareholders.

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Bhavesh Chauhan: Okay. Sir, lastly, if I may ask one more question. So this inventory loss are done or there will be some more impact in Q2?

Rahul Agrawal : So majority of the inventory losses have been taken care of. We believe if there are, it will not be significant.

Bhavesh Chauhan: Okay. And sir, this inventory happen only because of sharp fluctuation or it can happen on whenever the price fall from beginning to end of the quarter.

Rahul Agrawal : I think -- so there are multiple aspects in play. Of course, if there is an overall supply/demand scenario in which there is, of course, continued pressure on your finished good pricing. The losses get exacerbated. Otherwise, we are able to better handle it. So I think, of course, each time your raw materials fall significantly and you are holding inventory of higher stock if you're not able to push through your existing stock and the prices are very elastic, which is the case for a lot of products that can happen.

But we also believe that as we move more into specialty segments, we move more into products where the impact is not so sudden , we would be able to better handle the shocks of inventory is going forward. So that will take a little bit of time, but over a period of time, that will help us. It cannot be always 100% in our control, however, I must add, because there will be global supply chain kind of dynamics at play, which would impact our ability to handle that.

Bhavesh Chauhan: Okay, sir. Got it. Thanks a lot, and all the best.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: I just want to know, sir, if I heard correctly, sir, you are planning to reach to 1,70,000 capacity. And but last year, we did around 150. So do we -- are we having any capex plan going forward so that we can -- because as we see our capacities have been getting utilized to the max, that's number one?

And sir, what kind of EBITDA margin going forward can we assume because if -- the move our inventory losses that could be around 12%. So as we move a bit more into specialty, what kind of a broad range EBITDA margin can we think of? And what kind of realization loss that we would have had in this quarter like our achievable -- I just wanted to ask about our capacities.

So we are maybe planning to expand debottleneck and that might add around 20,000 more capacity. But do we have any other major capex plans that our capacity increasing further because you are at the max as well as our broad EBITDA guidance because they're moving more into specialty, how would that impact our EBITDA?

Management: Is that all Darshil ?

Darshil Jhaveri: Yeah, that's all.

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Rahul Agrawal : Okay. So, Darshil , with regards to your questions on volumes, as I already mentioned that we are looking to first try and target and meet the capacities which have been laid out for the plant. That is the first step. But the idea definitely is to go above and beyond that. We believe that with debottlenecking, the number can be higher . How much higher is a question which currently, we are not 100% sure, but we do believe that the volumes will be higher to support a healthy growth rate for next year as well.

So I do believe that with very minor capex or very minor or with additional debottlenecking, the volumes can be higher than 1,70,000 tons. And this whole process, I think, in the next couple of quarters will be clearer to us as and when we require to do kind of more significant or larger capex in place. The idea is that we continue to grow at a healthy pace, which we did last year as opposed to the year prior to that. And so will we do so in this year and even for next year. So whatever debottlenecking we are doing will add not only 20,000, but I do believe more.

With regards to EBITDA margins, as you rightly said, if we had corrected for the inventory, it was around 12% mark. Now the margins, of course, may be a little volatile and again, hard to predict. But the target would be, say, to reach closer to 15%, which I think is possible with the right product mix.

So when we would be able to achieve that on a sustainable basis will depend on our ability to do all many things such as ensuring that we are efficiently getting the maximum output from our plants to add all the new products, which we are currently developing and are on the verge of commercializing or have already commercialized, and adding more of those products to the mix. So I do believe in the short to medium term, that kind of EBITDA margin is what we would target.

Darshil Jhaveri: And sir, if I may, sir, with regards to our growth, sir can we expect a double-digit revenue growth could be around 10% to 15%? Would that be fair to assume?

Rahul Agrawal : So if you look at the volumes that we did year-on-year last year also, even though, we were effectively the management for only a month or 4.5 months, we did see a growth of close to 15% to 20% year-on-year. And we don't believe that it would be the target of this company to do more than 10% growth for sure. So industry standard or the total market overall for ABS is growing between, say, 7% to 9%. And for polystyrene, it's growing at 6% to 8%. I do believe that we can definitely grow higher than that. And that would be the target for us as well.

Darshil Jhaveri: And Sir, my last question. Sir, what would be the realization like, per ton realization loss that we might have had in this quarter due to the prices reducing. And are they finish good stable now?

Rahul Agrawal : So the prices are quite volatile. The prices are in sync with raw material generally. So it's difficult to give you per ton cost. But I think, you would be able understand, where the EBITDA margins have gone, say, from previous quarter to this quarter. So I think, 2% to 3% is what that would be and that can we -- then calculated to what impact that would have had.

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Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Sir, I wanted to understand what kind of capex one would have incurred if a similar capacity of let say, 1,70,000 ton was put up today?

Rahul Agrawal : Okay. Go ahead, Pritesh, you want to ask other questions as well, so I can answer all of them in order.

Pritesh Chheda: Yeah. And usually, what kind of ROIC is possible on such a capacity or if business man puts up this capex, what kind of ROIC one would look at?

Rahul Agrawal : Yes, so Pritesh. We have not done any exercise to understand what would be the capex for say, 100,000 tons ABS or 70,000 tons polyester in plant . I do believe that there's a similar exercise had been carried out by the company earlier, but the cost were prohibited. So we are not sure if such a scale plant is any more viable, frankly. So it might that one needs to put up a much larger plant to get a minimum economic size plan up and running.

This was the though process of when the exercise was done prior to us taking over management control. We still need to do our fresh exercise to understand the numbers because we may have a very different way of looking at what the capex should be. We do believe that given the Indian market opportunity, and given our own kind of plant setup that we have, that we can still incrementally grow within the same basic pre-existing infrastructure to add capacities without having to build a brand-new 1 lakh tons or 2 lakh tons or 4 lakh tons plant. So as a business case, maybe we may be able to do it more cost effectively given the infrastructure that we have.

On ROIC, I am not sure, what it would be, b

ecause if we don't know the exact capex amount, which will go, it would be difficult to calculate the ROIC on such a plant. We know that the earlier management, as you are aware of, the 600,000 tons plant in China. And I'm assuming that would have been a more economically viable plant giving the ROIC hurdles, which they were looking for. It's just that our way of calculating what the capex would be and what the

ROIC in turn eventually would be -- might be very different. So that exercise is ongoing right now at our end. But I don't have exact numbers to share with you, unfortunately.

Pritesh Chheda: Okay. And this plant via debottlenecking to whatever understanding that you have can help you grow at this 8%, 10% volume growth for the next three years, four years. That kind of debottlenecking is possible or that's a too optimistic and all?

Rahul Agrawal : No, I think it is possible, at least for the next two years to three years. Beyond that, I think we have to see what can be done. But if you look at all our core locations that we have, we definitely can grow in one or the other locations to make up a shortfall that we may have in an infrastructure in a specific location. So I think overall, the company can still target to grow at that level.

Pritesh Chheda: And on my first question, since you mentioned that these plants are too small. So whatever is the economic size of the plant these days, 50 lakh tons of 5 lakh tons or 6 lakh tons, whatever
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will be that number. Then what is the per ton capex cost at whatever that economically viable plant?

Rahul Agrawal : So I think the 600,000 tons plant was set up at what cost in China, do we have that number?

Okay, I think Google it, you will probably find it. But, again it will be heisting I guess, which I would not like to do on such a call, if you may appreciate that. But you may be able to find that data online.

Pritesh Chheda: So now the economically viable plant are these large front, 5 lakh, 6 lakh, straight?

Rahul Agrawal : This was the understanding of the previous management from what I can tell. Again, we are speculating a little bit. But I do believe that we can potentially even set up a 1 lakh ton economically viably, but that study is ongoing at our end.

Pritesh Chheda: Okay. And lastly, sir, this four sites that we have, we make ABS and PS at which of these site there? Because one, we have rubber intermediate moxie compounding. So all the compounding is done at one place, that's how it is?

Rahul Agrawal : So sir, we have basically four sites, out of which three sites are towards the ABS and you can say, compounding facilities. Nandesari, where we make the rubber HRG, Katol is where we make the SAN and Moxi is where we do the compounding, where we not only do ABS, but now we are doing several blends as well. So certain more value -added products other than ABS. And Dahej is where was the polystyrene, which is HIPS and GPPS.

Pritesh Chheda: So basically, you make ABS at Katol and Moxi?

Rahul Agrawal : Yeah, between Nandesari, Katol and Moxi.

Moderator: Thank you. The next question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: Sir, just wanted to understand your perspective on the specialty side of our business. So when we say that the import happening in India for the ABS as well as polystyrene are like -- because we have our capacity, but we require more than our capacity. So if we look at these imports coming to India and see our volume breakup, where does the competition lie?

So do those volumes come in the specialty side of the business or our specialty volumes are so much custom made for the customer that those competitions are not able to touch those side of the volumes? So if you can just explain us in terms of RH vis -a-vis those imported volumes coming to India. Because at

some point of time, we see China having a lot of overcapacities, they start dumping to India and probably some is getting compromised. So what portion of our business gets immune even if there are imports coming from China, if you can help us explain that part?

Rahul Agrawal : Sure, Nirav. So if you look at, again, ABS and polystyrene being different businesses. If you look at ABS side, you mentioned that 70% of our business goes into kind of specialty or customized products and 30% is more of the natural product on the, you can say, standard
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products. When it comes to imports, those ratios are largely flipped. So you would see, 70% to 80% of product coming into the natural or commoditized product and about 20% to 30% going into the specialized grades.

So I think generally in the specialized or the customized product segment, there is a hesitation for customers in India to switch to an import. However, we can't do 100% specialty, to answer that question. Because there will be always customers who require a mix of both. And hence, there is some portfolio of the standard grade, also that we supply into the market.

But going forward, obviously, the specialized or the customized products, if we have enough capacity to offer good products to buy from us. And those volumes, which would be largely defendable in the face of imports coming from different countries.

Nirav Jimudia: Correct. So this 10% to 30% range what you gave us in terms of the specialty commanding higher realizations than the normal grade that we can command at any point of time, depending upon the prices of the normal grade ABS coming to India?

Rahul Agrawal : Correct, that is correct.

Nirav Jimudia : Sir, second question is on the power cost. Last year, our power cost was close to INR93 crores. So is there a further scope of reduction here? Because you mentioned that, some of the initiatives in terms of cost also we are looking at. So is it possible to reduce cost of production, even with the increased volumes, which can help us to improve our per kg margins?

Rahul Agrawal : Yes, it's a good question here. So the INR93 crores, of course, is a combination of power and fuel. The fuel cost was high because again, natural gas prices were much higher last year, and they have tapered down a little bit. As far as our cost is concerned, as we are producing more, while power is a variable component, there is obviously a fixed quality about it, where if we produce more on, the same extruder, our per ton costs have come down. In fact, you would see that also on quarter-on-quarter, there would be improvement in that front. Going forward, we would see further improvements as well, and there are projects ongoing in fact, to reduce that significantly in the future.

Nirav Jimudia : So sir, like in between the quarters, how our natural gas prices have fallen. So the cost for us have fallen because we believe that, that is on a lag effect to us. So how much that have fallen for us in between the quarters?

Rahul Agrawal : So around 10% to 15%, they have come down on fuel again. Power costs would be stable on a per unit cost, frankly. In fact, there might be some small increases, but again, not significant. And there, the reduction would be maybe 2%, 3% in terms of having higher throughput. But again, that would -- that -- as we go along, we believe that will also come down further.

Nirav Jimudia : Got it. And sir, just a follow-up in terms of our polystyrene, when we see the announcements of the global player of setting up the plants here in India, be it let's say Hitachi or other global players putting up their plants here in India. So we added 70,000 tons of capacity. Once we exhaust that like ABS, does that capacity also has a scope for debottlenecking, where we can without some more volumes because the imports are coming to India and this

companies, who

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are setting up plants here in India being an OE, we can tap them and increase our volumes. So if you can share your views?

Rahul Agrawal : No, absolutely. It's very relevant, and we are cognizant of the fact that India with panel work realized teams would see a lot of capacity expansion, not just by Hitachi, but by several OEMs who are either already present or are setting up a brand-new kind of facilities in India. And since we are dealing with most of these companies at some level, we do believe that there is an opportunity for us to grow. In terms of debottlenecking possibilities again, we do believe that going from earlier 45,000 tons to 70,000 tons, what we are looking to grow the business to itself is about a 30% to 40% increase. And we do believe that even beyond 70,000, at least the location that we have in the edge, there is ample infrastructure and scope to increase those volumes even further.

Now whether that would come by way of a fresh Greenfield, Brownfield or debottlenecking project is something that we are working on currently because we do believe that we can still, so to speak, when the asset more and even produce more volumes than what is an inbuilt capacity. But that is something that we cannot really commit to today. But yes, that would be the first priority because that can be done at lower cost to the company.

Nirav Jimudia : Thank you so much, sir, and wishing you all the best.

Moderator: Thank you. The next question is from the line of Chirag Shah from Dalal & Broacha. Please go ahead.

Chirag Shah: Hi, thank you for taking my question. Sir, India as a market for both our products, are we still a net importer market. So let's assume, we reach to like 2,25,000 or 2,50,000 production for both the products combined in the next couple of years, will India still be a net importing market.

And the second question is on the spreads, sir. Are you kind of sharing, what will be the per ton EBITDA or maybe per ton gross profit for both the products? Yes, that's it from side.

Rahul Agrawal : So Chirag, with regards to ABS and polystyrene, the ABS market has a published sources as of last year. It was about 2,70,000 tons. We do believe that market is growing at 7% to 9% depending on which estimate you believe. So ABS say goes 1,00,000 tons or a little bit more, will be sufficient room in the market to grow further. Even if you consider the installed capacity of the competitors or the other existing players in the market as we understand them.

On polystyrene, again, kind of 3,00,000 tons of a market, where 10,000 to 12,000 tons, again, is still being imported every 12,000 to 15,000 tons still is being improved every quarter. So even if we grow 70,000 and beyond, again, that is still currently growing 6% to 8%. So there'll still be room for us to grow even beyond the numbers that we have shared with you. And the idea for us very much is to grow beyond the numbers that we have told you because we do see a very strong and robust future for all the product segments that we cater to within the Indian market.

As far as spreads are concerned, we have done away with the earlier reporting of different segments. We do believe that categorizing the segments that the earlier management was not appropriate. And we are not reporting on segment wise. We are giving broad ideas about Styrenix Performance Materials Limited

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volumes that we are doing. But we do believe that within polystyrene when you call something a specialty and something and not a specialty, it obviously implies something which we do not wish to imply because we believe that even in polystyrene, there is a lot of value addition, which is possible. and that's what we are working towards.

Chirag Shah: Sir, just wanted to ask, are you open to meet like analysts or in

vestors like individually if

somebody comes on to Baroda or Ahmedabad? Baroda rather.

Rahul Agrawal : Absolutely, Chirag, we are open to that. You can reach out to our company Secretary, Mr Sinha and insure your interest, and we are more than happy to meet with you and have a further discussion.

Chirag Shah: Thank you. That's it from side.

Moderator: Thank you. The next question is from the line of Rajesh Jain from MB Investments . Please go ahead.

Rajesh Jain: Good evening, sir. I have this following question. One is out of the total demand of both ABS and polystyrene, we have -- what is the demand of this specialized grade that you're mentioning? So what is the percentage of that demand in the country? So that is my first question. Second is, is it -- are we willing to supply this ABS to EV manufacturers also or not? Third, for any Greenfield expansion to be done, what could be the asset turnover that can be expected in this type of business? And lastly, are we looking for any export opportunities? Thank you.

Rahul Agrawal : I got three of your questions, Mr. Rajesh. So maybe if I forget, you can remind me. So with regards to demand of the specialized ABS in the country, we do believe about roughly about 60% of the market in India is for specialized or between 60% to 70% is going to be for specialized or customized products. And we believe that if you consider the market about 2,70 lakh to 3 lakh tons, we can do the math, what that would be. And we also believe the market is growing at 7% to 9%. So we will see at least in the medium to short or medium -term future, that kind of a product mix. However, we are also pursuing blends.

So we are doing other products or more value -added products, just not just the specifically customer ABS, but ABS along with other polymers creating alloy, which would also be required already by Pre -existing or new customers which can also add more value because we have a good understanding and very good R&D infrastructure, which allows us to do testing of such alloys and their success that we would be able to find by doing characterization and studies in their final application, which can be done at our lab.

With regards to asset turnover of new plants, of course, it will depend on what will be the economic size plant and what will be the per ton cost . But broadly speaking, from what we understand globally, the asset turnover for ABS or polystyrene for ABS plant specifically would be 1:2 or 1:2.5. It could be anywhere from -- actually 1.5 or 1.75 to 2.5, depending on which technology, which product you do. But we have to do our own analysis of the same.

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As I already mentioned in one of the earlier questions that we are understanding, if we do set up a newer kind of a Greenfield or Brownfield project, what would be the capex associated with adding that capacity. That would give us a good idea of what the asset term would be. In terms of export opportunities, again, we do believe having taken over management in the last eight months or so, that there is a very strong brand positioning that our company has in India. We are not currently being able to service the entire Indian demand. So our first priority would be to do that. We also see the growth in India is higher than most of the other opportunities, we see internationally.

And I do believe that, we would have higher realizations in India as well. So our focus would be here. But with time, as the capacities grow and the volumes grow, export is something definitely that we would consider as well.

Chirag Shah: What you missed out was supply to EV manufacturers?

Rahul Agrawal : Oh, yes. That's a good question. As far as EV manufacturers are concerned, we are, in fact, the number 1 supplier in that segment. All the EV producers out of, you can say, the top 10 or 15 EV manufacturers in the country,

I would say, for at least 90% of the EVs, we have 70% market share or higher. So that's the segment which actually on account of our historically proven products in the IC segment or the internal combustion engine segments. We have been able to establish a very strong market dominant position in the EV segment as well, which is also growing well.

Chirag Shah: Sir, if I'm allowed 2 more follow-up questions. One is regarding the specialized grade, whatever the nameplate capacity that we have. The question is, can we make 100% of that as well specialized grade only. So that is my first question. Second was, now in the case of ABS, we currently will be 2 players that we have. They have a capacity of around 1,50,000 or 1,75,000. Now the other competitor is also coming up with a capacity of 70,000 and expected to put up additional 70,000 in the Phase 2 expansion. So once that is done, more or less, it looks like the 3 major players would be taking care of the domestic requirement. In such a scenario, would you be looking for any other new segment or products to diversify. That's all from my side. Yes.

Rahul Agrawal : So if we want to, of course, we can produce any products that we want in our plant. It's customized solutions that we offer to our products at our customers. But the reason why we still have split of producing customized or specialized products, vis-a-vis the standard product, is because the customers do require a certain percentage of standard products as well.

So we do participate in both the markets to some degree. -- possible that we may increase our share of specialized market, vis-a-vis the standard product. And -- but it will all depend on market dynamics, how they move. But yes, if you look at kind of the overall capacity is coming into the market and even with our own expansion plan, while it would seem that there is not enough room for ABS, but I do believe that with -- by the time we grow to the levels that we want to by debottlenecking, by the time the third competitor, as we mentioned, would come into the market.

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The market is going to continuously grow at 7% to 10% -- so that additional volume requirement is going to keep happening. So I believe the market is still going to allow for further expansion at our end. Any case, we are, like I already mentioned in another question, looking at adding blend or adding new products to our portfolio to reduce -- or rather to increase our exposure in other segments to the same set of customers where we can have a broader product offering. So that effort is already ongoing. And in a sense, that would reduce our dependence on specific products for sure.

Chirag Shah: Okay. Sir, just a follow-up. ABS, the specialized grades are mainly using the household plus the automotive industry, you mentioned that you're also trying out ABS with some polymers and all. Where these products are being used with?

Rahul Agrawal : So automotive, household, consumer durables, medical devices, engineering applications. There are many areas where the products should be going -- of course, EVs things like that as well and even the charging systems and all of that for that as well would be using it. The blend, again, would be primarily in the same areas where we are already supplying. So currently, we are being satisfied by way of imports or other players. And we believe that if we have a good product to offer, then we would be the natural preferred choice, given that we are already supplying to our existing customers.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Abhijaat Sinha for closing comments.

Abhijaat Sinha: So good evening, everybody. On behalf of Styrenix Performance Materials Limited, I would like to thank you for showing your interest in the company and

for joining this call today. We

look forward to seeing you at our next call, which will be scheduled some time in November.

Thank you, and have a nice day.

Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

October 26 , 2023

To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on October 23 , 2023
Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated October 17 , 2023 informing about the earnings call organized by the Company on October 23 , 2023, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Abhijaat Sinha
Head – Legal & Company Secretary
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“Styrenix Performance Materials Limited
Q2 FY 2023 -24 Conference Call ”
October 23, 2023

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR –
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. MUNJAL PAREKH – HEAD , ACCOUNTING AND
REPORTING
MR. ABHIJAAT SINHA – HEAD, LEGAL AND COMPANY
SECRETARY – STYRENIX PERFORMANCE MATERIALS
LIMITED

Styrenix Performance Materials Limited
October 23, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Styrenix Performance Materials Limited Conference Call. We have with us today from the management of Styrenix Performance Materials Limited Mr. Rahul Agrawal, Managing Director; Mr. Munjal Parekh, Head of Accounting and Reporting; and Mr. Abhijaat Sinha, Head Legal and Company Secretary.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Munjal Parekh. Thank you, and over to you, Mr. Parekh.

Munjal Parekh : Thank you. Dear all, good afternoon. We welcome you to this Earnings Call. The company Styrenix Performance Materials Limited has declared its results for the quarter and half year ended September 30, 2023 on October 20, 2023. Our quarterly performance July to September '23 versus April to June '23, the operational revenue for the quarter is INR595 crores versus INR543 crores. EBITDA is INR86 crores versus INR53 crores and margin stands at 14.4% versus 9.7%. The net profit before tax is INR76 crores versus INR43 crores and the margin is 12.8% versus 7.9%. Profit has improved over the previous quarter due to higher sales and effective cost management.

About half-yearly performance April to September '23 versus '22. The operational revenue for the half year April to September is INR1,138 crores versus INR1,199 crores. EBITDA is INR139 crores versus INR170 crores and margin stands at 12.2% versus 14%. The profit before tax is INR119 crores versus INR148 crores and margin is 10.5% versus 12.3%. These are brief details about the financials. And now we can take your queries. Thanks.

Moderator: Thank you very much. The first question is from the line of Nirali Gopani from Unique PMS. Please go ahead.

Nirali Gopani : Yes. Hi, thank you for the opportunity and congratulations on a very good results and announcing the new growth capex also. Sir, my first question is that in your presentation, you have given capacity numbers till FY '28, which roughly indicates a growth in capacity of about 25%. Sir, my question is can we do a similar level of growth on the revenue side also?

Rahul Agrawal: Thanks, Nirali. This is Rahul Agrawal. Thanks for your question. So essentially, the pricing of the products will determine the revenue, what we have given our volume numbers. The pricing of the products typically tracks in along with the raw material pricing and the market pricing of the products at that time. But if one was to consider current pricing as normalized basis, you -- taking that assumption, yes, the revenue would also increase in the similar manner, the capacity would increase.

Nirali Gopani: Okay. Perfect. And Rahul you had also guided for a target EBITDA margin of 15%, and we are very pleased with that number when you see this quarter's result. So were we conservative when we said 15%?

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Rahul Agrawal : I have never given any indication of target EBITDA margins of 15%. However, I have mentioned earlier as well in all my calls that we need to come to a normalized basis for EBITDA margins, which is achievable in the company using measures such as better capacity utilization, and having a better product mix, improving cost efficiencies wherever possible. And we are doing all that we possibly can and there is still work continuously going on to improve on that front.

Nirali Gopani : Okay. And lastly, Rahul also currently we have a gross loss of about INR530 crores and we do a revenue of about INR2,300 crores on an annual

basis. So when we say a capex of INR650 crores, what kind of asset turn should be assumed ?

Rahul Agrawal : So if you're assuming -- the assumptions being that you will be able to kind of -- with a similar pricing as an assumption and keeping revenue 3x, I think we can calculate the asset turn based on the additional revenue that would be generated from that capex.

Moderator: Thank you. The next question is from the line of Jayesh Gandhi from Harshad Gandhi Securities. Please go ahead.

Jayesh Gandhi : Congratulations on good set of numbers, sir. Sir, my question is regarding -- can you throw some light on the industry growth? I mean, I'm seeing at all your competitors' announcing capexes, most of them are running at 100% capacities. Any competitive landscape? And all the more, when you are saying that you are increasing your -- I mean, enhancing your capex, it is more towards specialty? And if yes, then can we think that in future -- currently material cost is closer to like 80%, 85% of our sales. Can we gravitate it downwards towards 60% or 70%? I mean, can we increase our EBITDA margin in that case?

Rahul Agrawal : Is that all Mr. Gandhi?

Jayesh Gandhi : Yes. That's all.

Rahul Agrawal : Okay. With regards to competitive landscape, there is the sectors that we currently sell our products into, include automotive, household, consumer durables, electronics, medical devices, toys, stationary and many sectors, many other sectors as well. All the sectors have a fairly robust growth and the outlook for the next three years to five years is also fairly robust growth. Currently, if we break up the polystyrene as well as ABS market, the ABS market is between 2.5 lakh tons and about 1.5 lakh tons thus far has been serviced by the local incumbents. Assuming a 7% to 9% kind of a growth rate is what we are assuming based on the growth rate of the target industries, which information has been provided to us, we believe that there will be ample opportunity for us to participate with the added capacities as those additional capacities come online and enough opportunity for us to still remain at fairly fully utilized kind of capacity levels once those capacities are adding on.

Polystyrene also, similarly, we have announced capacity augmentation from where we are at. And there also there is current imports which are happening. And we believe, again, with the downstream growth in the segments where we participate, we assume that we shall be able to have kind of fully utilized capacities in that case as well.

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As far as your question on material cost is concerned, I think material cost is around -- yes, around 73%, 74%. It's not at 85% but it's around those numbers. We assume that currently this is the normalized situation. There will be, of course, an effort to improve the product mix, thereby reducing your material cost as a percentage of sale value. However, that will be a gradual process, and I cannot comment whether that would come down to a level of 65% as of now.

Jayesh Gandhi : Okay. And sir, while I was looking at two of your competitors who are increasing the capacity, looks like by next three year, four years to five years probably we will reach at around 6 lakh tons per annum production in India itself. And you are just saying that from 2,70,000 to 7% annually, we will grow at what, in next four years only 4 lakh tons of demand? So in that case, will there not be glut?

Rahul Agrawal : Can you please explain the breakup of the 6 lakh tons?

Jayesh Gandhi : Sir, Styrenix is looking at from 85,000 to 2,10,000.

Rahul Agrawal : Right.

Jayesh Gandhi : Supreme is looking at 1,40,000.

Rahul Agrawal : Okay.

Jayesh Gandhi : Bhansali yesterday announced from 75,000 to 1,45,000.

Rahul Agrawal : Okay.

Jayesh Gandhi : So it looks to me like -- okay, I'm missing out. It should be closer to

like 5 lakh tons.

Rahul Agrawal : Right. I think I cannot actually comment on the competitor's capex plan. However with Supreme, I think you need to relook at them as Phase 1 and Phase 2 is coming online and also, you have to consider the timeline in which the entire capacities will be added on. If you look at total market being between 2.5 lakh tons to 3 lakh tons and an average growth rate of 7% to 9% year-on-year, actually the math does work out, where there is not too much of excess capacity in the market. Because we are looking at a next three years to four year horizon where additional about 1 lakh tons, 1.5 lakh tons additional demand will also be generated in the market.

Jayesh Gandhi : Okay. And one last question, sir. Any discussion in the management to bring down the debt of promoters? I mean not the debt, sorry, pledge.

Rahul Agrawal : So that is a separate conversation. We are working on that. And the promoter has its own strategy to take care of it. However, any of the promoter pledges have no recourse to the company of Styrenix or its balance sheet. So that is not a concern for any of the shareholders.

Moderator: Thank you. The next question is from the line of Pratik Banthia from Girik Capital. Please go ahead.

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Pratik Banthia : Yes, so I just had a couple of questions, first one being, what is the incremental demand size that you see from the IT hardware manufacturing opportunity that would come up in India?

And the second question is what are the threat of imports in both products that you manufacture namely ABS and PS? That's it.

Rahul Agrawal : I'm sorry, can you repeat your second question again?

Pratik Banthia : Threat of imports in the products that we manufacture ?

Rahul Agrawal : Okay.

Pratik Banthia : Yes.

Rahul Agrawal : So as far as IT hardware is concerned, government did announce -- has announced its clear intention that it would like to have more and more manufacturing within India. We do believe that with the government's intention and, of course, the demand of the aligned sector in India, there will be more manufacturing in India so long as the right ecosystem does develop over a period of time.

And we do believe that will eventually also be a good growth driver for the use of our products. So -- but we shall wait and watch as that unfolds. Because currently, the products that we supply into IT hardware is a smaller component, and we'll have to see how that pans out over a period of time.

We do believe that the existing segments that we cater into are also growing at a robust pace, which will allow us at least to have a good demand for our products in the future. As far as threat of imports is concerned, I -- we do believe that -- again, breaking this into two products, ABS business as well as polystyrene business. On the ABS business side, we have a good kind of position with the market and with the customers, where our brand is the preferred brand. Most of the producers, our customers in India, would prefer a locally produced product so long as the local product is available and the capacities are there. So that has been obviously also our first intention, is to first debottleneck and try to maximize the capacity that we can produce. And also to -- now, of course, we have announced what we intend to do going forward as well in terms of capacity augmentation.

So I think we are well positioned to cater to the demand which is already present in India as far as all of our products in ABS is concerned. Even in polystyrene, we do believe there is going to be a kind of a significant demand which is going to come from some specific sectors such as air conditioning market, refrigerator market, also in toys and other areas.

We do believe that there will be ample demand growth where local production will be preferred, and we will be in a good position

again to cater to that demand. In terms of threat of imports, that will always remain because we live in a fairly globally transparent world where how demand-supply scenarios pan out in other parts of the world would affect us. But I think we are placed in a strong position to undertake any challenges that come our way.

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Moderator: Thank you. The next question is from the line of Nihar Shah, an investor. Please go ahead.

Nihar Shah: Yes. So in the last few quarters, we have seen good growth rate. So is this growth sustainable...

Nihar Shah: Yes, I was saying that in the last few quarters, we have seen a good growth rate. So going down the line, do we see the sustainability in the growth? Or do we expect to cross that growth rate?

Rahul Agrawal : So Nihar, thank you for your question. And like we have mentioned earlier, so the demand in India where we primarily cater to does exist. Currently, the total production in India is not catering to the entire demand, which is existing in the country. So long as we are able to augment our capacities and produce quality products, which is meeting the demands of these customers, we do not see any problem in us being able to capture more of the market. In addition, the overall market will also increase because that is increasing in relation to our GDP, it's increasing in relation to our consumptions and also increasing in relation to all the specific sectors that we are catering to, whether it is automotive, whether it is household, consumer durables, electronics, medical devices.

All these other sectors are also witnessing robust growth. So our own sense and judgment is that for the foreseeable future, there will be good growth in India, for the Indian consumption potentially even as an export hub. And that in turn will mean a good growth for the overall industry and also for us.

Moderator: The next question is from the line of Yogesh Bhatia from Sequent Investments. Please go ahead.

Yogesh Bhatia: Sir, I have two questions. One, I want to know what is our annual envisaged capex for the next two years, three years? And secondly, do you -- how sustainable are these margins, do you think? And why? Maybe if you can throw some light on that.

Rahul Agrawal : Thanks, Yogesh, for your question. We have, in our recent declaration as well as the announcement that we have made, we have estimated a certain cost associated with the capex that we are planning for the growth sales, next growth sales of the country. However -- for the company. Now in terms of -- this is an overall capex number we are carrying out engineering studies to fine-tune those numbers.

Once those engineering studies are completed, we'll have a better idea. And we'll also have a better idea of the exact timelines on how the capex will be carried out and how -- in which year, exactly that will be done. So that still remains to be fully mapped out. However, we have given a number of around INR650 crores odd, which will be required for the entire capex wherein we will move ABS capacities currently from 80,000 tons per annum to 2,10,000 tons and polystyrene from 66,000 tons to 1,50,000 tons. So we do believe that, that capex would be spent in the duration of the projects that is anticipated, which is the next 36 months to 48 months.

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In terms of margins sustainability, we do believe that, again, going back to both the businesses, that we are a preferred supplier in the country. So long as the capacity is in place, we would be able to meet good sales numbers. Having higher sales or better asset utilization is going to be key.

Secondly, as we are doing most of the projects are brownfield or are augmenting existing infrastructure, existing capacities with a lot of it being existing infrastructure, hence

, our fixed

costs would get diluted. To some extent our efficiencies would improve. And any kind of margin pressures would also get then offset by some of the benefits we would see on those fronts. I think net-net, we do see that the margins should be sustainable in the business.

Moderator: Thank you. We have the next question from the line of from Naitik Mohta from Sequent Investments. Please go ahead.

Naitik Mohta: Congratulations for a good set of numbers. So just to reiterate on the questions of the previous participant, so like I wanted to understand how susceptible are our margins to the polystyrene - national polystyrene prices in the very short term? And are we like more secure compared to our peers because of a better product mix or something like that?

Rahul Agrawal : Thanks for your question, Naitik. I won't comment as to our competitors. But as far as our own polystyrene is concerned, we do believe that we have certain inherent advantages in the product mix that we have. We are also targeting more OEMs as we go along. We have been able to produce more polystyrene in this last year than probably the last decade.

And we have proved to be a far more reliable supplier once we have taken over management in the last one year for the entire market, and we see a lot more acceptability from key, reliable, large OEM customers.

So this is going to help us going forward as well, where, again, the preference is to buy local.

As you know, government has come out with a lot of PLI schemes where there is a lot of manufacturing of consumer durables and other products, other sectors where our product is going in. And there is a clear push on part of all of these customers to buy more locally rather than import raw materials.

So with -- in spite of global pressures, we'll be well placed because there will be some preference given to us. Of course, we cannot escape what happens globally and there will be some pressure on account of that. But we definitely are placed better than companies globally.

Naitik Mohta: Sir, just to add on to that. So you have seen additionally this business, it involved a very wide swing in margins in the short term. So do you think that from here on, with the step that you have taken and the foresight that you have regarding the market, the delta of these margins going forward will not be as wide as they used to for the company?

Rahul Agrawal : So I can't completely comment on what was done earlier when we didn't have -- we were not in management control. But we do believe and what we understand is the last few years, you can say '21 and '22, those years, there was of course kind of an up cycle for a lot of products,

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including the products of this company, where the margins were unusually high because of demand/supply gaps and supply chain issues internationally during COVID.

However, that has lapsed and that period has passed. And we -- what we see today is more of a normalized kind of a situation. We do believe that the measures we are taking, that we should be able to effectively control our margins and keep on trying to improve it.

Moderator: Thank you. We have the next question from the line of Utsav Adani from an individual investor. Please go ahead.

Utsav Adani: I have a fairly basic question on the technology aspect. So what are the major differences between mass ABS and immersion process? And what are the primary reasons why you prefer immersion processes?

Rahul Agrawal : So immersion process consists of producing HRG rubber and SAN and then compounding the final product to make ABS. Mass ABS, we don't produce. But from what we understand, it's a continuous process where a specific grade of product is produced in C2, where the rubber is purchased from outside and then dissolved into the other monomers. And finally, in a continuous process

, the ABS is produced. What we believe is that the immersion process or immersion ABS process allows for more flexibility, specifically for making the specialty grades, which the Indian market does demand, and hence, our preference is clearly towards that technology.

Moderator: Thank you. The next question is from the line of Kunal Shah from Enam Investments. Please go ahead.

Kunal Shah : So sir, we've done around 88,000 tons of volumes in H1. So what is the expectation for the full year FY '24 volumes?

Rahul Agrawal : So Kunal, we believe that based on our capacity utilization, which is close to fully utilizing it, we are looking at this year on an annualized basis around 1,70,000 tons of product. So essentially, it would be similar levels of what we have seen in the first half. And going forward, I think in the investor presentation, we've even outlined what the next three years to four years our targets would be in terms of capacity augmentation and subsequent sales.

Kunal Shah : Right. Got it. So coming back to that capacity margin. So your presentation mentions that capacity is 85,000 tons for ABS and 66,000 tons for polystyrene currently ?

Rahul Agrawal : Right.

Kunal Shah : But our production is much higher than that. So where is the gap in the understanding, sir?

Rahul Agrawal : Yes. So there is, of course -- what we have not mentioned in that is there is also immersion SAN that we are selling. So if you calculate all those 3 things, then it will come close to the number that we have already projected. There's also some tolling product that we get work done outside and there are some additional blends and products which we are also making in Styrenix Performance Materials Limited
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addition to ABS and polystyrene and SAN. So all of that putting together would be the number that we have published.

Kunal Shah : So this is something which we are making outside? And even the SAN would be made outside or that will be at our plant?

Rahul Agrawal : SAN is made at our plant .

Kunal Shah : Okay. And that we are selling ? Okay.

Rahul Agrawal : Correct.

Kunal Shah : Got it. And so again, on the capex , so a lot of the capex is coming in FY '28. So I think that's the green -- is it mostly Greenfield or there's a Brownfield element to it?

Rahul Agrawal : This is -- mostly all of it is Brownfield. So it is going to be at the existing sites where we already have the infrastructure or large part of the infrastructure, where some infrastructure would be augmented. And of course, new plant in machinery would come in for the additional capex .

And the investment or the capex is going to be done over a period of time. So it's not going to be back-ended or front-ended. But again, like I mentioned in our previous call, it will depend on -- once the engineering studies are completed on exactly how the capex is going to be carried out.

Kunal Shah : Right. So there is scope or there is chance of front ending it in maybe in even FY '27, if needed?

Rahul Agrawal : Yes. So generally, these projects, the way we have planned it, it will be over a period of time. So it will be spread out and wouldn't be necessarily in a single year.

Kunal Shah : So it will be in phases ? Okay.

Rahul Agrawal : Yes.

Moderator: Thank you. We have the next question from the line of Ajay Sharma from Maybank. Please go ahead.

Ajay Sharma : I just want to check you gave the production numbers. So is sales number equivalent to the production numbers?

Rahul Agrawal : Yes, almost the same. There would not be major difference. Because we are, like I said, running at 100% utilization. And of course, we are able to sell pretty much everything that we produce.

Ajay Sharma : Okay. Right. And then if I look at your EBITDA per ton, it kind of comes to around INR18,000 per ton for this quarter. Whereas I think last quarter was around INR15,000. So I'm Styrenix

just wondering, is that INR18,000 number kind of a normalized number? Or how should one look at it?

Rahul Agrawal : Yes. I mean, again, depends on market conditions, a little bit on product mix. And also finally, as -- like I said, if you're able to improve efficiencies, all these numbers can improve. So we'll -- there will be a range to it. I can't commit to a specific number.

Ajay Sharma : But based on the global market situation currently, how would you characterize the market? Is it kind of mid-cycle spread situation? Or how should one look at it?

Rahul Agrawal : So globally, there is, of course, more pressure on margins than it is in India as of now or at least with us. We are in a better position in at least some economies which -- where we are linked to. We believe that situation is likely to persist in a similar fashion going forward.

Ajay Sharma : So despite the trend in the global market, you think you can protect this kind of EBITDA margin basically, what we saw in Q2?

Rahul Agrawal : That will be our effort, yes.

Ajay Sharma : Right and right, clarified. So all the expansion for ABS and PS is Brownfield basically?

Rahul Agrawal : That's right.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital.

Please go ahead.

Alisha Mahawla : Most of my questions have been answered, just one or two clarifications. For this year, we're expecting to do volume of about 1,70,000 tons, right? What is the volume for FY '23?

Rahul Agrawal : I think we have mentioned that in our plans, I think we haven't done a full entire sales budgeting process yet, but the total volume available for business is, I think, going to be close to 2,10,000 tons, 2,05,000 tons to 2,10,000 tons.

Alisha Mahawla : No, sorry, I was asking for the -- if this year, we're expecting to do 1,70,000 tons, what was the volume last year?

Rahul Agrawal : Last year, it was around 1,30,000 tons.

Alisha Mahawla : Okay. And this 2,00,000 tons, 210,000 tons, you are saying is post debottlenecking which will come on-stream later this year, early next year?

Rahul Agrawal : It's for next year. Because there is continuously some debottlenecking activity which is going on, which is helping us augment our volumes. And of course, there is a capex plan as well which we have outlined.

Alisha Mahawla : Sure. Sir, my second question is, we did mention earlier at the start of the call that we're targeting or based on the aspiration that we said in the presentation of almost a 25% volume growth. And industry growth is about 8%, 10%. So we're talking of going at more than 2x, Styrenix Performance Materials Limited

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2.5x the industry. What is changing significantly for us? Because it is a competitive industry and there is significant amount of imports also. So maybe if you'd like to highlight or throw some color on, what we are doing differently.

Rahul Agrawal : So like I mentioned earlier that, again, between both the businesses, there are significant imports. And in both businesses, so long as there is local production, customers always prefer local production. So we are able to substitute some of the imported products with our own product. And there is ample room to have that continued growth for the foreseeable future.

Alisha Mahawla : While the targeted -- or the later import substitution, it normally comes by pricing the product slightly more attractively. So do we see that to put some pressure on our margins?

Rahul Agrawal : So we have done it so far and we have not seen that.

Moderator: Thank you. The next question is from the line of Rushabh Shah from Dalal & Broacha. Please go ahead.

Rushabh Shah : My question is, how much is the order book for both the Absolan and Absolac? And what can we expect the order book to grow to after

the capacity expansion?

Rahul Agrawal : So Rushabh, typically, we have arrangements with most of our existing customers wherein almost all the volume is already committed for the entire year. We also believe that whatever capacities we are planning going forward would also be fully tapped out by existing and some new customers. So whatever volumes we are expecting to produce is also the volume we are expecting to sell.

Rishabh Shah : Okay. And what is the average period which the order takes to fulfil the -- to the customers?

Rahul Agrawal : It depends on the product. A lot of the products are fast-moving products wherein we already have stock. And normally forecast for these products are also provided to us by our customers well in advance. So the fulfilment can be one day and fulfilment can be a few weeks

depending on the specific product, the specific volume and the specific customer and the specific region.

Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go ahead.

Ketan Athavale : Sorry, this may be repetitive but I had dropped out of the call for some reason. I wanted to know revenue and margin guidance for second half and for FY '25 and FY '26. And secondly, how do you see the prices going ahead? And I mean, are we currently in a ny upward or downside with regard to pricing? Or is this a sustainable pricing?

Rahul Agrawal : So we typically have not given any guidances, Ketan. But like I said, we are anticipating to make similar volumes that we have done in the first half, and we are assuming that the pricing would remain similar to where it is right now and so would the margins be. So yes, it's going to be similar for this year.

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Next year, we have given an indication of certain growth based on additional capacities coming online. We also believe that we are in a good position to sell those capacities. And hence, the revenue would grow in accordance with that, if you were to assume pricing to be kind of assumption going forward.

Pricing, of course, moves by number of factors such as raw material costs, which are relatively volatile in this market, and also with the overall demand/supply situation in the market. So -- but if we were to take certain assumptions on those, then you can assume this as a baseline and the growth in accordance with additional capacity is being added on.

Moderator: Thank you. The next question is from the line of Dattatray Chitnis, an Investor. Please go ahead.

Dattatray Chitnis : Please excuse me for my voice, I'm a senior citizen , who is 76 years old.

Rahul Agrawal : Thank you for joining sir.

Dattatray Chitnis: I'm an investor, and I congratulate you for the very good results. My only question is just that when you are associated with INEOS Styrolution, you were probably selling this Novodur and Luran. How much component it was of your total sales? And have you substituted those products? Because this Luran was high quality surface excellent chemical -resistance, good impact strength and including enhanced color fasteners and superior long -term performance. Have you substituted that product, please?

Rahul Agrawal : Thank you for your question, Mr. Chitnis. Overall, Novodur and Luran never constitute more than 3% -- 2% or 3% of the overall volume. We have substitute products already available for those grades of products which were being marketed earlier under those brand names. And we are confident that we'll be able to do that. And in fact, we have done it already in part. And going forward, we'll be able to do whatever we haven't so far.

Dattatray Chitnis: And sir, what about Novodur, please?

Rahul Agrawal : Sir, Nov odur would be less than 0.5% or 1% of the earlier business. And that has already been substituted by our existing grades.

Dattatray Chitnis: Sir, are you trying

g to introduce specialty products matching to these products which your earlier promoter was -- they were -- had developed, please?

Rahul Agrawal : So we are present, sir, in several specialty products already. And we believe that there is a continued effort to do more development. We have a strong engagement with all our customers and their value engineering programs and value addition programs to continuously develop new products as well. So that's an ongoing effort, and we intend to intensify those efforts to add more products to the grade.

Dattatray Chitnis: I have full confidence and such because you are technocrat promoters. And I would like you to supersede the performance of INEOS Styrolution and better it and show them that Indians can do much better than what they have done. I wish you all the best, sir.

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Rahul Agrawal : Thank you, sir. Thank you for your call.

Moderator: Thank you. The next question is from the line of Shiv ran Giri from Centrum. Please go ahead.

Shivran Giri: So just as you were mentioning, you're going to increase your mix towards specialty products. How much capex would you require to augment your facilities and to change them to produce it? Or are these facilities fungible for the most part? So that's one question.

Rahul Agrawal : Yes, Mr. Giri , thank you for your question. So most of our facilities are well equipped to produce all these specialty grades we are currently present in and also envisaging going

forward. We do not anticipate significant capex as far as modification is concerned of existing facilities. The capex that we are undertaking is primarily for augmentation of overall capacity and some kind of cost savings and rationalization and improvement in efficiencies. However, the capabilities to produce specialty and produce different grades already exist within the company.

Shivran Giri: All right. And another question is related to the, why would an OEM prefer the local supplier for these products compared to importing them? Like is there a specific advantage logistically or on the other cost front? Just that one clarification. Or more the custom duty or whatever that may be.

Rahul Agrawal : So multiple reasons are there. I think the way the products have been used by these customers in India, there is a familiarity at the OEM level by their moulders , by all their tollers. So there is a better ease of use. The products are highly kind of engineered, and it takes a certain level of skill and understanding to use these products. Once that familiarity and ease is there, so there is a hesitation obviously to change too much to a different source.

In terms of local supplies, we can obviously always be much quicker. Our main interest is in India. So this is our preferred choice, to sell products for some of our competitors. If they find better lucrative margins, they'll just move their product business elsewhere. And this has happened in the past. Hence, customers prefer to stick with the suppliers which are going to be more reliable long term. So there are many reasons, all of which are difficult to enumerate over the call, but there is a preference. Even in terms of quality, we are able to provide a lot of customizations, which is not always possible in an imported product.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Abhijaat Sinha for closing comments. Over to you, sir.

Abhijaat Sinha : So we would like to thank everybody for showing interest in the company and joining the call. We know that we've tried to answer most of the questions and some of the questions may have been unanswered as of now if people were not able to join the queue within the time. But we apologize for that. And we look forward to seeing you at the next call and

probably you can

join us next time when the next quarterly results are announced and we can take your questions then. Thank you so much. Have a nice day and wishing you a happy Dussehra in advance.

Thank you so much.

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Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

February 8, 2024
To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on February 3 , 202 4
Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated January 30, 2024 informing about the earnings call organized by the Company on February 3 , 2024 , please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary
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“Styrenix Performance Materials Limited
Conference Call”
February 03, 202 4

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR --
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. BHUPESH P. PORWAL – CHIEF FINANCIAL
OFFICER – STYRENIX PERFORMANCE MATERIALS
LIMITED
MR. CHINTAN DOSHI – MANAGER , LEGAL AND

COMPANY SECRETARY – STYRENIX PERFORMANCE
MATERIALS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Styrenix Performance Materials Limited Conference Call. We have with us today from the management of Styrenix Performance Materials Limited, Mr. Rahul Agrawal, Managing Director; Mr. Bhupesh P. Porwal, Chief Financial Officer and Mr. Chintan Doshi, Manager, Legal and Company Secretary. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Further, on behalf of the management of the company, we would also like to remind the participants that this call is being conducted subject to and in line with the disclaimer mentioned in the investor presentation as is available on the stock exchanges.

I now hand the conference over to Mr. Bhupesh P. Porwal. Thank you, and over to you, sir.

Bhupesh P. Porwal: Yes. Welcome, everybody. Dear all, Namaste and good afternoon. We welcome you to this earnings call thanks to all of you for joining today, that is on Saturday. The company, Styrenix Performance Materials Limited has declared its results for the quarter and period ended December 31, 2023, on February 3, 2024. About quarterly performance, October to December '23 versus July to September '23, the operational revenue for the quarter is INR485 crores versus INR595 crores. EBITDA is INR 59.6 crores versus 85.8 crores and EBITDA margin stands at 12.3 per centage versus 14.4 percentage.

The net profit margin tax -- before tax is INR49.7 crores versus INR 75.9 crores and the profit before tax margin is 10.2% versus 12.7%. Profit is in line with market dynamics for the quarter October to December 2023. About quarterly performance, October to December 2023 versus October to December 2022, the operational revenue for the quarter is INR 485 crores versus INR 557 crores. EBITDA is INR 59.6 crores versus INR 51.1 crores and EBITDA margin stands at 12.3% versus 9.1%.

The net profit before tax is INR 49.7 crores versus INR 40.4 crores and the profit before tax margin is 10.2% versus 7.2%. Profit has improved over last year same quarter due to better cost management. About 9 months' performance, April to December '23 versus '22. The operational revenue for 9 months, April to December is INR 1,623 crores versus INR 1,757 crores. EBITDA is INR 198.5 versus INR 221 crores and EBITDA margin stands at 12.2% versus 12.5%. The net profit before tax is INR 169 crores versus INR 189 crores and the profit before tax margin is 10.4% versus 10.7%.

These are brief details about the financials, and now we can take the queries. Thanks a lot.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nirali Gopani from Unique PMC. Please go ahead.

Nirali Gopani: So my first question is, if not for scheduled maintenance, what would have been the production volume for the quarter?

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Rahul Agrawal: Nirali, is that all? Or do you want to have a few questions? Why don't you ask them together, so I can answer them.

Nirali Gopani: Yes. So the second question is obviously dependent on the first one that is, given the gross margins for Q2 and Q3 are stable, so was it just a negative operating leverage that played out? Or -- and in Q4, the margin should be back to what it were in Q2?

Rahul Agrawal: Okay. What else?

Nirali Gopani: And so the other part was like over the longer term, we want to play the import substitution gain. So if a company is reporting ABS at say, INR100. So at what size do we provide? Are we price competitive when it comes to import?

And the last question is what gives us the confidence that over a longer period of time, you'll be able to maintain the margins. I know that you don't give guidance, but we are confident that we'll maintain good margins. So what gives you that confidence?

Rahul Agrawal: Okay. Nirali, thank you for your question. This is Rahul Agrawal, Managing Director of the company. I'll try to answer the questions in the order in which you asked them. With regards to the production volume, which -- for Q3, if there wasn't any repairs and maintenance, the

production volume would have been in line with what would have been the kind of quarter volumes, which we had previous year.

Typically, in terms of seasonality and cyclical of the business, we do see slightly lower demand in the third quarter of the year. And hence, normally, we do have lower production volumes. This is in keeping with lower demand and also typically planned shutdowns or slowdowns by our OEM clients and other clients. But the repairs and maintenance would have reduced that volume to that extent, as you have asked.

With regards to margins, from last quarter to this quarter, we don't currently give a breakup of polystyrene and ABS. But what I can answer is that in terms of ABS, the margins are largely stable from last quarter to this quarter. The PS margins have been a little lower on account of lower volumes and also lower sales. So obviously, there was a scheduled maintenance, as we have mentioned. And also, we have had lower sales in this quarter. I think that is one of the reasons why the margins have dipped.

In terms of forward-looking statements, as you are right, we don't give any typical forward-looking statements and guidance. However, we do believe that the margins which -- on an annualized basis would continue to be where they are, and those are sustainable. In terms of imports, like I mentioned on previous calls, again, between ABS and PS, ABS, again, we do have a lot of customized and specialty business in India, which is sustainable. The volumes in ABS overall have increased year-on-year. In fact, in polystyrene also, they have increased. If I look at the 9-month period, the total volumes have gone from 106,000 to 120,000 tons of total volume of all products. So in spite of the higher volumes, we do not believe that the margins have changed significantly in spite of global demand supply scenarios, which have put pressure.

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If you look at the global publication pricing markers for most of the polymers, including for ABS and PS, there is a downward pressure, but our margins have been largely stable.

So I think that should give some confidence that in spite of imports coming in or pressure due to imports coming in, we are able to still keep the margins as to where they are. So that's also where we get the confidence because, again, we have well entrenched and have deep rooted long-standing relationships with a lot of marquee clients across India, across different sectors, whether it is automotive, household appliances, electronics, medical devices, toys and stationery. And across those segments, in terms of those relationships so long as we have generally the product to supply, we are preferred supplier to them. And hence, we don't believe that dynamic is likely to change going forward.

Nirali Gopani: Perfect. And just 1 last point. So next year, we are on track to reach a production volume of 210,000 capacity-wise, right? So the capex is on track.

Rahul Agrawal: Capex is on track to achieve the volumes, which we had specified earlier already. So I think in terms of overall total volumes, we are on track to achieve those numbers.

Moderator: The next question is from the line of Bhavesh Chauhan from IDBI Capital.

Bhavesh Chauhan: Sir, just wanted to understand your capital allo-

cation policy. On 1 hand, we are doing a very large capex. I mean we are going to do a large capex over the next 3 to 5 years. And still, we are paying out such high dividend. So I mean, do I -- is my understanding right that we'll have to dilute some stake in the future or the company has something like QIP or something like that in mind going forward.

Rahul Agrawal: Is that all, Bhavesh? Or do you have any further questions?

Bhavesh Chauhan: No, this is all.

Rahul Agrawal: Okay. So Bhavesh, with regards to the policy of the company or the management philosophy, it is very clear that whatever resources are available to the company, we wish to use them in the best possible manner in the interest of all shareholders.

Currently, for whatever capex we have outlined in the short to interim period for which there is a defined cash requirement or capex requirement. We have already factored that in when we have considered the dividend outflow because we do believe that keeping additional cash in the company, which is not currently going to be used is better so if given back to the shareholders. So this is a policy that we have followed since we have taken over management, and we will continue to do that. There is, of course, a capex plan in the medium to long term. The capex plan for that will be frozen once all the engineering is done. So initially, we have given a plan of what the estimate spending will be, but we'll have a more accurate information once the engineering studies are completed, which are expected to be completed in the next couple of quarters.

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So once that is in place, and we have exact numbers in terms of what would be the exact spend as well as the quarter-wise cash requirements, we will decide what to do with future profits at that time.

Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments.

Madhur Rathi: Congrats on the excellent results. Sir, I wanted to understand that...

Moderator: Mr. Rathi, I'm sorry to interpret. I would request you to kindly use your handset, please, to ask question.

Madhur Rathi: Is it better right now? Yes. Sir, I wanted to understand that the addition the EBITDA margin that we have guided of 15%. So with all this capacity coming in India as well as informed pressure, will we be able to maintain this EBITDA margin going forward?

Rahul Agrawal: Madhur, thanks for your question. So we have never really given any guidance of 15%. What we have said is what we are working towards. So we are -- we believe that with all the efficiencies that we are bringing into the company, additional capital -- capex that will be coming in more capacities will be in place.

And in terms of a product mix as well, we'll be venturing into differentiated products, which will give us certain better value. We believe keeping all those things in mind and also considering additional capacities coming in place, overall, we do believe the margins will be sustainable.

Madhur Rathi: Okay. And sir, has the LG Vizag plant started?

Rahul Agrawal: I believe it's not started.

Moderator: The next question is from the line of Bharat Gupta: from Fair Value Capital.

Bharat Gupta: I just wanted to understand, first, with respect to the current crisis, since India has around 50% of the imports which are coming in. So with respect to the Red Sea crisis, sir, has there any kind of an impact with respect to the realization that the industry is currently undergoing?

Rahul Agrawal: Yes, Bharat. So there is no real impact on our business with regards to the disruptions which are happening on freight -- global freight due to the Red Sea crisis. There would be some very minor impacts on materials, which should be coming in by -- from Europe to India or from U S to India, that is a route which they have been adopting.

But I think f

rom our perspective, there is no major impact because it doesn't hinder any of the supplies with regards to our raw materials and also in terms of the market in India, there is no real dynamic, which has played out due to the Red Sea as far as the Indian market is concerned.

Bharat Gupta: Right. Secondly, there will be a good amount of capacity additions, which I think will make India more self-reliant. But as per your assessment, so do you believe that the competitive intensity will likely to increase over the medium term and starting to create some sort of a pressure with respect to good realizations also on the margins?

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Rahul Agrawal: So as additional capacities come in, we do believe that there will be higher intensity, and competitive intensity will increase in the market with regards to volumes and pricing. But we do believe the market will also grow at a good level.

So if we calculate currently 50% being import plus additionally a robust growth for India, which we are predicting going forward, even if we are to consider all the capacities which have been planned over the next few years, including our own, we do believe that India will -- from a requirement -- demand supply perspective, there will be a healthy dynamic in India.

Bharat Gupta: All right. And sir, my third question pertains with respect to the -- like we have around 70% of our product basket, which we term as value-added. So -- but when we look at the margins, so it looks like it is more of a commoditized nature. So just wanted to get some light like what kind of a moat does our business brings. And like -- is it totally dependent upon how the international prices behave and that is why margins remain volatile a bit across both the segments?

Rahul Agrawal: Yes. So basically, if you look at international prices year-on-year, there is a significant compression in the global margins between both the businesses from an international pricing and market perspective. But as we have already declared, if you look at our own margins year-on-year, there is no significant difference. There is a very minor change between the margins last year versus this year, whereas the prices and of course, the margins last year versus this year on an international level, have constrained significantly or reduced significantly.

So we already have the moat, which I have mentioned in my previous calls. We do have certain customers where we do give customized products and as long as we have sufficient capacity, we will still be the supplier of choice and to be able to provide that value to our end customers. So I think going forward, that will provide us with enough of a competitive edge vis-a-vis any imports or anybody else.

Bharat Gupta: Right. And also, as you mentioned that whatever capex which you are undergoing is targeted towards the value-added side or differentiated product offerings. So any aspiration which the

company has with respect to the per ton basis margin, like EBITDA per ton currently, I think it is hovering around INR15,000 to INR18,000 of ferings . But going forward, do we aspire to break the current levels and remain it on an upward trajectory. Is that the guidance -- is that something which the company has in mind?

Rahul Agrawal: No, we don't have any such guidance in mind in terms of what would be the spread if you call. I think that is what you're referring to. We don't have any such guidance as of now. We are aspiring, obviously, to continuously improve the efficiency as far as our own operations are concerned and, of course, adding continuously value-added products. So wherever we can expand and improve our margins, that is the earnest effort of the management.

Moderator: The next question is from the line of Rishabh Shah from Dalal & Broacha. Please go ahead.

Rishabh Shah: My questions are pertaining

to polystyrene market where I just have a few doubts regarding that, that is it because the end user market where polystyrene is used mostly in appliances and in home products like washing machines, air condition. Is it -- is that a margin being affected because the market is not able to perform well.

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And also, I would like to know what is the inventory gain or loss that has happened in this quarter. And also, I would like to understand that what is the spread between the polystyrene and the specialty products?

Rahul Agrawal: Okay, Rishabh. Thanks for your question. So I'll answer your last question first. The volume is roughly 70 -30, which is what we have had even historically between ABS and polystyrene, that continues to be the case.

As far as the end markets of PS are concerned, there has -- the appliances sectors have not done as well in the last couple of quarters as had been anticipated. But we do believe that going forward in this quarter and in the following few quarters, there is going to be a robust growth in those segments.

So we do believe that, that in turn will drive the additional demand and volume for us. As far as margins are concerned, in polystyrene, there is a continuous effort to increase the efficiency in that plant for us. We are also adding new grades, which are going to be more value added in polystyrene. And we are also looking to participate more in the OEM business, which has historically not been the case with the company.

So we are confident that with recent developments and approvals that we have received or we have achieved, we should be able to get a greater share of that OEM business, which will give us more kind of sustainable and better margins. So I think that market is going to grow in India, like you mentioned on household durables and packaging and all these sectors. And we are aiming to be a -- kind of a strong participant in that area.

So as the volumes increase, as the scale increases, our efficiencies will improve and so will the margins. In terms of inventory gain or loss, I think I'll let Mr. Bhupesh Porwal answer that question. We can give at overall company level.

Bhupesh P. Porwal : Rishabh, we had inventory gain in this quarter, but this is part of, I think, the business margins and the product margin. So we don't disclose it separately. And unless there is some abnormal conditions on that, yes. So it is a normal inventory gain in this quarter and the raw material costs have been reached well.

Rahul Agrawal: Correct.

Rishabh Shah: Yes, sir. And also, I would like to know that is our realization intact? Or has it been affected this quarter? And also that the INEOS Styrolution India division, the clients which they hold before the Styrenix Performance took over. So are those clients still intact with the Styrenix Performance? I just have these 2 questions more. If you can answer these.

Rahul Agrawal: Sure. With regards to clients prior to November '22 and post that, not only have we retained, I would say, almost all of the clients, we have added many more clients also. In fact, our overall volumes have increased, both for ABS and PS, and that has come as a result of additional customers as well as certain existing customers in increasing volumes. So that is the case. And I forgot what was your other question, if you can please repeat that.

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Rishabh Shah: Yes. Yes, sir. So my second question was actually regarding the realization and the volume sold compared to previous quarter and previous year. How much change has it happened? And how much -- is it going to come? Can you give a brief idea about that, if that's possible.

Rahul Agrawal: So our volumes have been slightly lower for this past quarter, for October to December quarter.

And as we have mentioned

in our presentation as well, there has been a planned maintenance which took slightly longer than expected, but anyway, it was already scheduled and that resulted in a lower volume.

And those lower volumes would have an impact eventually on the fixed cost valuation aspect of that business. So -- but we don't see any significant impact in the margins of that business. And we do see that, in fact, over a period of time, as we scale up, the situation will improve.

Rishabh Shah: And sir, our realizations are intact as such?

Rahul Agrawal: Yes.

Rishabh Shah: Okay. Okay, sir. And also, sir, I would like to know that with the upcoming increase in our capacity, how are we sure about reaching the estimated capacity of 360,000 ton as mentioned before in the -- one of the announcements that the company made. And how much progress have we done and how much closer are we to reaching that number?

Rahul Agrawal: So we have given a time line to reach the different volume targets. As far as currently where we are at, we believe that for this year and as well as for next year, we are definitely on track.

Beyond that, there is some studies which are going on. We do not, as of now, anticipate there to be any delay. And we are confident to reach those numbers as per the schedule, which has already been specified.

Rishabh Shah: Yes, sir. Yes, sir. Also, I would like to know that are we planning for any backward integration for procuring of raw material, for example, styrene monomer or as such, are we planning on doing any such that?

Rahul Agrawal: No. We do not believe that to be a financially attractive proposition.

Moderator: The next question is from the line of D Jignesh, an Individual Investor. Please go ahead.

Dattatray Chitnis: Hello, Sir, could you hear me, sir?

Rahul Agrawal: Yes, please, please go ahead, Mr. Jignesh.

Dattatray Chitnis: I'm Chitnis, Dattatray Chitnis.

Rahul Agrawal: Yes, sir.

Dattatray Chitnis: I'm individual investor. I must thank you for giving me opportunity to participate, and I must express my gratitude for handsome dividend.

Rahul Agrawal: You're welcome, sir.

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Dattatray Chitnis: Thing which I wanted to know -- I hope that other industrialist follow your dividend policy being so generous with the stakeholders. I really appreciate that. I must express it, and you please record it.

Rahul Agrawal: Yes, sir. Thank you for your vote of confidence, sir.

Dattatray Chitnis: I just wanted to know, sir, any of our -- in our customer -- your customer is preparing any grade for defense sectors, sir?

Rahul Agrawal: Sir, that is an ongoing process of the company. So we have a very active engagement with all our customers from all different sectors. There is a continuous development team, which takes care of projects for specific customization and specific value-added products with almost all of our key customers.

And we have a large team across the nation which is handling that and taking care of it, both from a sales and marketing perspective and also from a technical and development perspective. So that is a continuous ongoing effort, and we have only further strengthened those efforts, sir.

Dattatray Chitnis: So currently, our products are being used by the defense sector. Is it, sir?

Rahul Agrawal: Sorry, I didn't get that part. What is that?

Dattatray Chitnis: Any of our grades -- specialized grade is being used by defense sector?

Rahul Agrawal: Sir, we do not have a very significant participation in the defense sector. In terms of our materials, we would work with certain molders who would be making certain parts, but it is not a significant part of our portfolio.

Dattatray Chitnis: Do you foresee any promising growth for this area, sir?

Rahul Agrawal: So we do see a lot of -- we see promising growth as far as our own existing markets are concerned

whether it is automobile, where we look at the 4-wheeler segment, the EV segment, even commercial vehicles for that matter.

When we look at household appliances, whether it's air conditioning or larger other appliances like refrigeration, as with the PLI schemes in India, you'll see more and more manufacturing coming up. Even for medical devices, electronics, we see larger participation by multiple players and putting up manufacturing plants in India.

So we see fairly robust growth in all the existing segments that we are already present in, and that should be helping us drive the company forward, sir.

Dattatray Chitnis : No. Sir, I am aware of that. I wanted to know because India is expanding -- going to spend a lot of money on defense sector and developing these aircraft, helicopters and also in the area of naval products and -- so do you foresee there would be an opportunity to take advantage of that.

Rahul Agrawal: There would be some opportunity in some blends. So we are developing certain blends, which would add more value-added products, which provides synergy to our existing products that we

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are already making. But currently, we are not fully sure of what those volumes will be, but we are working in that direction.

Moderator: The next question is from the line of Sania Jain from Care PMS. Please go ahead.

Sania Jain : Am I audible?

Moderator: Yes, ma'am.

Sania Jain : Okay. Actually, I had a question regarding the tax plan. Also, how many phases will this capacity come in? And what kind of revenue can we expect from the same?

Rahul Agrawal: Can you repeat again, please?

Sania Jain : Okay. So I wanted to know how many phases will the capacity come in and what all the...

Moderator: Sorry, ma'am. Your voice is a little bit muffled. We can hear you clearly, but little bit muffled. Can you please repeat your question once more by using your handset, please?

Sania Jain : I wanted to ask how many phases will the capacity come in? And what kind of revenue can we expect from the same?

Rahul Agrawal: Yes. So in terms of phases, ma'am, we have outlined in our last presentation that over the next 3 to 4 years, the capacities will be augmented on an annual basis in a manner in which we have already mentioned. So these capacities will go from, say, previously 120,000 tons, to this year, say, around 170,000 tons, next year, 210,000 tons and going forward in the next few years to 360,000 tons and we would assume a similar kind of ratio between ABS and PS.

And the prices, of course, of the products largely moved with the raw materials as well, if you look at a kind of a sustainable basis. So keeping that in mind, the revenue will also increase essentially in tandem with what is today on a pro rata basis.

Sania Jain : Okay. Got it. And another question I had was, in the past few calls, you have indicated that certain part of your revenue comes from contracts with your customers. Can you throw some light on what kind of contracts are these and some quantitative details on the same?

Rahul Agrawal: So typically, what we have is we have contracts with certain OEMs where we have a structure and kind of a supply arrangement where certain volumes or share of business of the OEMs are confirmed with us based on our pricing formula mechanism. We don't share the details of these pricing formula mechanisms. So I'm not at liberty to do that on this call.

However, this takes care of effectively any volatility, which may arise in raw materials during the year and protects us from that and protects our margins as far as that is concerned.

So -- and in terms of volumes as well, we have indicated in the past that, of course, in ABS, we do close to around 40%, 45% we do on a contractual basis. And on polystyrene, it is lower, but the effort is also to reach the similar levels like ABS.

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Sania Jain : Okay. Got it. And another follow-up question on this is, sir, that is this contract on a long-term basis or short-term basis or are these recurring customers? How are the contracts set?

Rahul Agrawal: Typically, the contracts are kind of renewed every year. And these are long-standing customers, several customers, the company has been working with for past several decades. So there are long-standing relationships already in place.

Moderator: We'll take the next question from the line of Chirag Shah from Dalal & Broacha. Please go ahead.

Chirag Shah: Hello, can you hear me?

Moderator: Yes, sir, we can hear you.

Rahul Agrawal: Yes, Chirag.

Chirag Shah: Yes. Okay. First of all, congratulations on a good set of numbers. I have only 1 question. Sir, when is this expansion -- first phase of expansion, getting operationalized from 180 to 210 any time line?

Rahul Agrawal: So that's already in motion, Chirag. The process is going on. During this year itself, there will be a certain part of the business or certain products for which the capacity will be enhanced after about 3 months or 4 months. And the next set of expansion for another set of products will happen in the 6-month period.

But we have considered based on obviously added capacities on an annualized basis or for this particular year, what that total production output would be, and that would be 210,000. So it's ongoing as we speak.

Chirag Shah: Okay. So 210 is basically what you target for the coming financial year. Is that right?

Rahul Agrawal: That's right.

Chirag Shah: Okay. And I think if I -- my numbers are correct then 210 goes to 225. So that is -- you actually calibrated it in a way that means?

Rahul Agrawal: Correct.

Moderator: The next question is from the line of Parth Mehta from Vallum Capital. Please go ahead.

Parth Mehta: Yes. So I had a question on opex. So if I have to look the operating cost per kg before -- during the old management, it was around INR26 per kg and now it has reduced to around INR18, INR19 per kg. So how much further can this be reduced and how much operating leverage can we benefit out of further?

Bhupesh P. Porwal: So Parth, this is an ongoing process. Yes, this has been reduced because of the -- some efficiencies in the various costs, which we have brought in, both the operational efficiencies and the fixed cost related matters. So we can't quantify at this moment what will be there until next
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year, yes, but we can say the process is on. And whenever any such project which we complete, which we want to highlight, then we'll definitely put it in the call.

Parth Mehta: Okay. And second is on the breakup of the capex cost of INR650 crores among in our ABS and PS, if you can help me with that.

Bhupesh P. Porwal: Yes, sure. So I would request if you can go through our presentation, which was there last time. Moreover, as MD had said, the engineering studies are going on. Once this study is completed, we will be coming with more clearer numbers and the tenure and all those aspects.

Parth Mehta: Okay, okay. And just last 1 on -- on the technology of ABS, so from my understanding, there is 2 type of ABS technology, one is mass ABS and emulsion ABS. So if you can help which technology do we have? And also whether Styrenix is the lowest cost producer like in terms of our moat.

Rahul Agrawal: Okay. Parth, so typically, globally, most of the product which is produced through emulsion ABS. There is not a lot of information or data surrounding mass. When previous management had done a kind of a round-robin study of its locations, India was already quite efficient. And even from that point, I think we have been able to become more efficient over a period of time. So

within the existing company's global network, of course, there were certain efficiencies which were already existing, which were superior in India.

There is, of course, an effort to be best in class, and we continue to do that. Between emulsion and mass ABS, it will be difficult to give you or quantify exactly which one is going to be kind of lower cost at this stage.

Parth Mehta: No. I mean to ask, are we emulsion producer or mass ABS producer?

Rahul Agrawal: Yes, we are emulsion ABS producer.

Parth Mehta: We are emulsion. And emulsion is a lower cost production technology, if I am not wrong.

Rahul Agrawal: So what I said right at the beginning is that most of the product globally produced and sold is emulsion ABS, I would say, more than 90%. So there is not a lot of data or information -- reliable data information available surrounding mass ABS. So within the emulsion ABS producers globally, we are definitely very competitive.

Moderator: The next question is from the line of Kunal Shah from ENAM Investments. Please go ahead.

Kunal Shah: So my question is regarding the promoter pledge. If there's any update on when we will be able to reduce it.

Bhupesh P. Porwal: So Kunal, I think the promoter pledge is related to -- it's not related to styrenix performance. So I think this is not the forum to discuss about that matter.

Kunal Shah: I have one more question. As mentioned in the presentation, we are very strong in the Tier 1 OEMs in the ABS market. But outside the OEMs also, there is a market for -- in the smaller
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industry that the MSMEs are present, is there any effort going on from our side to tap this market, which is a high-margin market?

Rahul Agrawal: Yes, Kunal. So basically, if you look at almost all the segments that we are present in, there are Tier 2 and Tier 3 kind of players out there. And we do deal with a lot of these companies. In fact, with many companies, we also undertake projects for -- specifically for customization. So

we do a lot of color development.

We do grade development, application and property development for all these companies. So that is already ongoing effort. We have restarted that effort as well under our management, which was probably not a big focus area earlier on.

Kunal Shah: Right. So is there a need to develop or deploy a team on ground to capture this market to reach these guys in a marketing team kind of.

Rahul Agrawal: Yes. So as you must have seen in our investor presentation, we have also restarted several offices across the country. And we have also strengthened our marketing team. So we have reopened office in Delhi. We already have an office in Baroda, as you're aware. We have an office in Bombay, which we have started. And also, we have a presence in Pune and in Chennai, Hyderabad, Bangalore, all these places.

Moderator: The next question is from the line of Madhur Rath from Counter Cyclical Investments. Please go ahead.

Madhur Rath: So these contracts that you say that we have renewed every year. So how difficult or how is the process for getting a new supplier for an OEM because -- or these are yearly contractual, I wanted to understand that?

Rahul Agrawal: Yes, Madhur. So typically, the contracts are very long -standing contracts, which are going on, like I said, for several decades. And there is a good understanding of what our value proposition is to our customers and what their share of business means to us. So that understanding doesn't deviate too much from year -to-year. We are able to kind of maintain our share of business accordingly also.

So as long as we are competitive, and we are supplying good quality products, which we have been over the years, we don't see this as a major challenge going back and forth.

Madhur Rath: Okay. And sir, what is the IRR or ROCE that we make sure that is t

he minimum threshold before making any kind of investment?

Rahul Agrawal: So currently, a lot of the projects that we have undertaken so far have been debottlenecking projects where obviously, the IRRs and ROCEs are extremely healthy. Once we -- like I mentioned, once we do our own detailed engineering studies for large r investments, at that point of time, we'll conduct those studies and ensure that again, those are attractive in terms of utilization of our resources to pursue them.

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But again, many of those projects are going to be complementary or in the same locations that we're already present at. So we do believe those IRRs and ROCEs to be also quite healthy and attractive.

Madhur Rath: And sir, so I think that these will be ROCE accretive and this will be on current realization?

Rahul Agrawal: Correct.

Madhur Rath: And sir, just last question. Where does India import most -- where does India import most of the ABS and PS from ?

Rahul Agrawal: So in terms of ABS, the larger participation is from companies in Korea, in Thailand, in Taiwan. And from PS, it is from Iran and Thailand and a couple of other countries. This does change. There is a dynamic which plays out from region to region, but these are the larger supplying regions, if you will, to India.

Moderator: The next question is from the line of Parth Mehta from V allum Capital.

Parth Mehta: Yes. Am I audible?

Moderator: Yes.

Parth Mehta: Just one follow -up question. if you can help me out, what would be our peak EBITDA that we would be able to make on our expanded capacity and by when assuming normalized spreads?

Rahul Agrawal: So again, difficult and like we don't give guidance on exactly what the EBITDA margins are going to look like. What I have mentioned previously is that the EBITDA margins on an annualized basis, considering and taking into account cyclical and other aspects of the business, whatever annualized EBITDA margins we have, I believe, are defensible.

We also believe that with greater efficiencies coming in higher production and good IRRs in ROCEs on projects that we are undertaking, we do believe that the EBITDA margins are only going to improve over a period of time.

Parth Mehta: Yes. Okay. And just one last question. How are we planning to fund our new capacity?

Rahul Agrawal: So it will all depend on exactly what the amount required is because that will again depend on once we carry out detailed engineering, we will determine what the amount is. And based on that, we will take a kind of disciplined approach on what the right way of funding these investments should be.

Moderator: The next question is from the line of Kunal Shah from ENAM Investments. Please go ahead.

Kunal Shah: Yes, are you able to hear me?

Moderator: Yes.
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Kunal Shah: Yes. Can you throw some light on the compounding business? What are the volumes we are doing over there? And what are the kind of products you are making there?

Rahul Agrawal: Yes. So Kunal, currently, on compounding, we are doing, obviously, ABS, which we compound in-house. We also make certain derivatives. We make glass -filled products. We also make PC ABS. We make nylon ABS. We make ASA, which is another product. So there are a few products that we are currently producing.

We also do compounding of ABS PMMA and ASA PMMA and other products. So in our universe of polymers that we work with or deal with, we do different compounds of all these different polymers, which are catering to sectors that we are already servicing.

Kunal Shah: Okay. And the volumes, what would be -- we will be doing there?

Rahul Agrawal: So overall, volumes are around -- will be around 90,000 tons, 95,000 tons this year.

Kunal Shah: 90,000, so that's including ABS, I suppose?

Rahul

Agrawal: Correct.

Kunal Shah: Okay. So if we take out ABS, just the pure ABS and -- then what would be the volumes like?

Rahul Agrawal: So when you talk about pure ABS, we have started ABS FR, for instance, ABS glass -filled, for instance. We don't know what you would call pure ABS, would those be categorized under pure ABS or not, I'm not sure. Because those are again blends. And we also have ultra -high ABS or very specialized ABS. So those kind of products are also part of it. So it will be difficult to give a breakup.

All we can say is that this development effort has started in the last 1 year itself. And right now, it is small as a percentage. But we do believe this volume will grow quite rapidly over the next few quarters.

Moderator: The next question is from the line of Rishabh Shah: from Dalal & Broacha. Please go ahead.

Rishabh Shah: My question is, please, can you specify post festival, how much impact is -- like how impactful it is post festival to our business. And before the festival, how good is the business? Can you please specify this?

Rahul Agrawal: So this is reflected in our quarter numbers. If you look at the volumes that we did July to September versus October to December, you will see a certain dip in the volumes. And that dip in the volume is on account of what you see in terms of an OEM demand slowdown or market demand slowdown, which is post festival season. So that quantification has already been provided actually in our presentation.

Rishabh Shah: Okay. Okay, sir. And can you please specify what percentage of cost is fixed and variable?

Bhupesh P. Porwal: So maybe on a yearly basis, we can do that, not on a quarterly basis.

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Rahul Agrawal: Yes, please. That would be also helpful.

Bhupesh P. Porwal: So that you can refer the annual report, if you don't mind, then you will be able to quantify that.

Rishabh Shah: Okay. Okay. And also, sir, I would like to understand what is the market share we stand at in India? And how much is the imports currently happening?

Rahul Agrawal: So the market for ABS and for polystyrene is roughly around 300,000 tons. And in the 300,000 tons, our market share in terms of ABS is roughly around 90,000 tons, which is roughly 30% market share that we have. And on polystyrene, again, we are doing close to around 60,000, 65,000 tons out of 300,000 tons. So our market share is around 23% -- 22%, 23%. So that's what we have currently.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Chintan Doshi for his closing comments. Over to you, sir.

Chintan Doshi: So thank you all the investors and investor community for joining the call and showing the interest in the company, and we look forward to answering you in the next investor call, which will be announced in suitable time in future. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Styrenix Performance Materials Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

May 14, 2024
To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001
BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on May 8, 2024
Ref: Regulation 30 and 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated April 30, 2024 informing about the earnings call organized by the Company on May 8, 2024, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,

For Styrenix Performance Materials Limited

Chintan Doshi
Manager Legal & Company Secretary
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"Styrenix Performance Materials Limited
Q4 and FY'24 Earnings Conference Call "
May 08, 2024

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR –
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. BHUPESH P. PORWAL – CHIEF FINANCIAL
OFFICER – STYRENIX PERFORMANCE MATERIALS
LIMITED
MR. CHINTAN DOSHI – MANAGER , LEGAL AND

COMPANY SECRETARY – STYRENIX PERFORMANCE
MATERIALS LIMITED

MODERATOR : MR. AMIT SHARMA - ADFACTORS PR

Styrenix Performance Materials Limited
May 08, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY'24 Conference Call of Styrenix Performance Materials Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Amit Sharma from Adfactors PR. Thank you, and over to you, Mr. Sharma.

Amit Sharma: Thank you, Zico. Good afternoon, everyone. I'd like to welcome you all to the Q4 and FY'24 Earnings Conference Call of Styrenix Performance Materials Limited. From the management team, we have with us Mr. Rahul R. Agrawal, the Managing Director; Mr. Bhupesh P. Porwal, the CFO; and Mr. Chintan Doshi, Manager - Legal and Company Secretary of the company. We shall start the call with the opening remarks by the management, followed by a Q&A session. I would now like to hand over the call to Mr. Bhupesh P. Porwal for the opening remarks. Thank you, and over to you, sir.

Bhupesh P. Porwal: Ladies and gentlemen, Namaste and good afternoon, everyone. I am pleased to welcome you all to our Q4 and FY 2024 Earnings Call. As we reflect our performance in fiscal year '24, I am delighted to announce that we have witnessed a good demand for our products, marking a healthy year-on-year growth on volumes.

Our sales volume grew by 10.7% Y-o-Y to 165 kt for the financial year 2024 and by 25% compared to the preceding quarter. This underscores the trust of our customers placed in our product quality and customer service, reaffirming our position as a market leader. In line with our commitment to meet the escalating demand of our products, we are embarking on a journey of expanding our manufacturing capacity through a strategic series of debottlenecking exercises combined with brownfield capex to substantially enhance our production capabilities.

For this, we have awarded a contract to M/s. Mott MacDonald Private Limited for engineering consultancy to increase the annual capacity of ABS production capacity to 210 kt by FY'28. We are also progressing as per schedule to increase our ABS capacity from 85 kt to 105 kt and PS capacity from 66 kt to 105 kt by various debottlenecking projects.

This expansion initiative will enable us to not only keep pace with the growing domestic demand but also position us as a leading player in the market, capable of delivery with efficiency and reliability. Furthermore, we are sure that our two new brands, STYROLOY and ASALAC which is for blends and ASA an import substitute, respectively, will add value to the stakeholders.

This strategic move is poised to elevate our market presence and bolster our revenue streams. I'm happy to share that despite the dynamic market conditions, we have successfully maintained our EBITDA margins. This achievement demonstrates our commitment to operational

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efficiencies also. Turning your attention to our financial performance. Our sales revenue stood at INR599 crores in Q4 FY'24 versus INR485 crores in Q3 FY'24 and INR615 crores in Q4 FY'23. Revenue for FY'24 stood at INR2,222 crores versus INR2,372 crores in FY'23.

Our PBITDA demonstrated resilience stood at INR74 crores in Q4 versus INR60 crores in Q3 FY'24 and INR69 crores in Q4 FY'23 and remaining steady at INR273 crores for financial year

ncial year

'24 in comparison to INR290 crores in FY'23. Notably, PBITD margins were stable at 12.4%, previous quarter 12.3% for the quarter and 12.2% for the year, which is same as previous year driven by our debottlenecking efforts and an increased share of value-added products and cost optimization products.

Overall, revenue and margins were impacted despite increase in sales volume because of higher product prices and margins, which were visible during COVID and continued till Q1 of FY'22-'23, got back to normal levels in Q2 FY'22-'23 onwards. Thank you for your attention. I would

like to open the floor for Q&A session for which I welcome our Managing Director, sir, Shri Rahul R. Agrawal, sir. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Priyank Chedda with Vallum Capital. Sorry to interrupt, Mr. Chedda, may I request that you use your handset, please. Your audio is not clear, sir.

Priyank Chedda : Hello. Is it clear now?

Bhupesh P. Porwal: Yes, please go ahead.

Priyank Chedda: Okay. Congratulations team for a fantastic performance. Sir, my question is, what explains Q-o-Q quarter-on-quarter drop in spread, I understand that we should not judge every quarter. But what I'm trying to understand is while the styrene monomer prices as well as our ABS and PS prices have remained flat. Any adverse product mix, in fact, that we had in this quarter? Is that what we should think of?

Rahul Agrawal: Priyank, the overall margins have not changed significantly. There could have been a product mix change, as you have clearly mentioned, -- but overall, there has been some disruptions in some parts of some of our operations, which have been compensated, which was short term in nature and due to which we had to kind of change some of the product mix of that we were able to supply. But that has been corrected since then. But it would not be a significant change from what I can tell.

Priyank Chedda: Perfect. And then in the long term, how should we look into the spreads and while we are comparing ABS as a product spread, which is higher, polystyrene as a product spread, which is lower, and we are mixture of both. We have all the products across all the ranges. So -- and our current product spreads are slightly near to the lower side of the polystyrene, right, nearing stand-alone polystyrene player.

So anything that we should -- I mean, help us how should we look forward as when we go ahead with the new product development combining ABS, blends as well as polystyrene. So what Styrenix Performance Materials Limited

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should be the EBITDA spreads or gross margin -- gross level spread there you can help and guide.

Rahul Agrawal: Yes. I can't clearly comment on any stand-alone polystyrene player because I don't believe there is any clear stand-alone polystyrene player. The other players in the industry, which are supplying are not pure polystyrene players either because they are a combination of many product segments. So that would not be a fair comparison. Coming back to our own spreads and the visibility and forecastability of spreads in the future, I think one would look at an annualized basis. As you know, there is some seasonality in the business at times as well.

For instance, in the October to December quarter, we do see some lower volumes due to demand drop post Diwali for some refrigeration, for some household appliances and even in the automotive sector, which tends to bounce back in the first quarter as we have seen this year as well.

So one, I would recommend that one looks at an annualized performance. To that extent, I believe we are in a normalized situation now, barring the Q1 performance, which was in FY '22 to '23, which Mr. Bhupesh has already clearly pointed out, which is the hangover of the earlier high spread regime,

which was existing due to COVID had supply chain disruptions globally.

So now that we're in a normalized situation, we would look at an annualized spread over the year and assuming that we are able to increase capacities, we believe there will be some advantages or some benefits on account of fixed cost dilution on account of lowering of some other costs as well.

And potentially, as we even foray into new product segments which are blends and ASA, which are the new products which we have launched in the market, we do believe that the product mix over a period of time will improve and will offset or mitigate any risks coming in from competition. All in all, I think it would be safe to assume that the current spreads are defendable on a blended basis and as the volumes and the kind of product mix changes, this can only improve.

Priyank Chedda: Great. Perfect. And then just on the import substitute new blends that we have developed, which is PS, ABS, ASA, PA, ABS, would you be able to help us on the market size on the addressable size over year? How much of this kind of blends are getting imported, which we would be substituting it?

Rahul Agrawal: Yes. So overall blends that we have identified on an addressable basis, are around 40,000 to 50,000 tons of market in India. I'm not able to be here clearly give you the market size for each of the blends as of now. But this is the addressable market for us for all the blends that we have developed and are in the process of developing. This is also a high-growth business because again, this is going into the same sectors that we have mentioned, which are growing rapidly in

the country.

Priyank Chedda: Perfect. And continuing on the same high-growth segments. We have a presence in the auto, electronics, healthcare, households, toys, and unique about uniqueness about these segments is that there is a big Make in India shift, which is happening, right? So which are the segments

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which you see that there is an accelerated demand growth coming up or maybe any new industries that you are witnessing an increased applications of ABS would be helpful.

Rahul Agrawal: So across the board, if you see whether it is regular passenger vehicles in the automotive sector, whether you look at EV, which is, of course, still a kind of 5% to 6% market share of the overall 2-wheeler segment but is growing rapidly. You look at commercial vehicles across the board in auto, there is a healthy demand. In household, whether it's air conditioning, refrigeration, washing machines or even these smaller appliances market we see a very robust growth. There is a significant amount of capacity, which is being built in India.

Not necessarily the entire demand will go towards meeting Indian demand. We believe that some of these capacities would be utilized towards exports from the country as well. So that's there. With regards to medical devices, again, there is significant interest and investments, which are -- which is taking place by companies globally into India, seeing the opportunity size here, specifically in different diagnostics areas. So across the board, there is very high growth. I wouldn't say any specific industry is really lagging compared to the other.

Priyank Chedda: Perfect. And just for clarification, when we see our full year volumes are at 1.65 lakh ton, would it include SAN volumes? Or these are pure PS and ABS volumes?

Rahul Agrawal: This is the total volume of the company.

Moderator: The next question is from the line of Bhavesh Chauhan from Aditya Birla Money.

Bhavesh Chauhan: Sir, now that we are expanding in a major way over the next 3-4 years, this -- all these products that are lined up, would be similar products? Or would it be a better margin products?

Rahul Agrawal: So most of the products that we are offering would be similar

or better. We believe that most of

the products are, in fact, better margin products. We have to see how the competitive landscape for these products develops because many of the products, as Bhupesh mentioned are currently import substitutes into the country. We still have to see how the competitive intensity kind of develops in these markets. But as of now, our own prediction is that this will help us in margin expansion.

Bhavesh Chauhan: Okay. And sir, what sort of volume growth should we expect for the next, like let's say 2-3 years?

Rahul Agrawal: So I think we have already given some guidance towards that. I think in terms of volume growth, it will be in line with kind of the capacity augmentation that we are looking at. We are confident that as we expand over the next 3 or 4 years, which is I believe we are targeting about 205,000 to 210,000 tons a year -- this year, which translates to around 15% to 20% growth. So we are confident of reaching that.

And I think it's a similar growth for a few years until I think 4% or 5% when we have a significant larger volume coming in on account of the expansion for ABS. So I think on an annualized basis, you're looking at 15% or higher growth.

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Bhavesh Chauhan: Okay, sir. And sir, lastly, out of the INR600-650 crores of capex that we are spending, we are giving out a significant amount of dividends, actually. So is this capex going to be mostly back ended? How should we see next 3-4 years capex?

Rahul Agrawal: I think we'll have good clarity on the exact investment which will be required. The INR650 crores number was kind of a benchmark or kind of a rule of thumb number, which we have taken to get preliminary board approval to pursue engineering studies for the expansion, which is -- which we are undertaking.

We'll have clarity once these engineering studies are complete, and we have a better estimation of exactly what that capex will look like. We estimate that in the next couple of quarters, we'll have that detailed information with us, which would also give us an idea of the timeline, the cost as well as the specific cash flows, which will be required to be invested towards these projects over the next few years. So this information as of now is still to be kind of estimated.

Bhavesh Chauhan: So even for FY '25, we don't have any guidance for capex?

Rahul Agrawal: So the capex that we have is again primarily due to -- primarily with the debottlenecking kind of a nature, wherein we are expanding from 165,000 to about 210,000 tons. So that -- for that -- no significant capex is required and whatever capex actually already has been done or is being

done.

Moderator: The next question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: Two questions. So one is, when can we see the effect of this improved volumes of the debottlenecking? Because you mentioned that like this year, we are targeting close to 205,000 tons - 210,000 tons of volume. So -- when -- if you can just share your timeline in terms of how these capacities would be coming up both for ABS and PS because I think PS is a larger one. So if you can just share that timeline. That is one, and along with it if you can just let us explain like what we have seen for ABS, we have many value-added grades in our portfolio. Is there a possibility of similar value addition possible in the PS side over the traditional GP and HI which we produce and if you can just correlate it with the user application, which may be using these value-added products of PS, that would be helpful, sir.

Rahul Agrawal: Sure, Nirav. So with regards to the expansion is taking place or debottlenecking that is taking place, which will help us, this is already an ongoing process. So every quarter, we will have some increases in volumes. We believe a majority of the work will

be carried out probably after

the first 2 quarters of this financial year and middle part of the year or middle part of the financial year is when we anticipate those newer volumes to come on stream due to the debottlenecking. In terms of value-added grades of polystyrene, so essentially, there are many grades of PS, which we are developing to meet the market requirements. Historically, wherever we have not been present, for example, in the refrigeration liner grades for certain high gloss base, certain tint grades, which, again, go into either refrigeration or air conditioning or into washing machines. So there are 2-3 applications, again on PS also where we believe these additional grades which Styrenix Performance Materials Limited
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have not existed with us in the past is something which we are developing, where we do believe we will have kind of a better margin structure as opposed to what we have currently.

Nirav Jimudia: All right. And sir, when we see our specialty volumes out of our total ABS volumes, I think they are close to 55%, 60%, correct me if I'm wrong. Let's say, for PS, when we will start selling those value-added grades what you just mentioned, it will help us in improving our per kg margins. What level of specialty volumes need to form out of our total sales volume of PS so that it could come near to the per kg margins of ABS, which we are currently generating on?

Rahul Agrawal: I'm not sure if I'm able to completely correlate ABS margins with PS margins even after such a shift. We do believe there will be an improvement in the PS margins. The improvement in PS margins is going to be a function of 2 things. One is, of course, the new products or new grades that we are developing within PS. How much time that will take is difficult to estimate at this stage.

The second part of improvement will come by way of higher OEM business, which we haven't had too much in the past, I think there has been some kind of concerns over the continued supply of PS from our plant, which, to a large extent, has been kind of handled and taken care of. So there is no more doubt about our PS manufacturing consistency. And since that has been taken care of, we see a greater engagement with OEMs, which will also help us get more contractual business, which will also eventually in turn, help us with better margins.

Nirav Jimudia: Sir, second question is on the cost part. So in one of our discussions in the con call, you mentioned that we've been working on the power side. So if you can share the progress of the same, where we are currently in terms of those cost optimization benefits, because one of the slides in the presentation also mentioned that cost optimization will continue and we focus to maximizing the business value.

So if you can just share your views in terms of the benefits coming out of power or any other such cost initiatives, which we are currently on the planning stage and if you can just along with it also help us understand like if we see our current conversion cost based on the volumes which we have clocked in FY '24, like 65,000 tons, assuming the same amount of volumes and the cost initiatives which we are currently undergoing, how much could be savings happening to us if we take all those cost initiative measures in total?

Rahul Agrawal: It's difficult to exactly quantify what that number will be, but I can give you some of the measures that we've undertaken and where we are seeing benefits. If you look at power and fuel, for instance, and specifically in fuel, we already have incorporated certain systems in our Nandesari plant wherein in terms of the steam costs in the last 5 months or so we have seen a saving of close to INR1.5 crores to INR2 crores, just in the steam cost, which, on an annualized basis, probably is going to be more than INR4 crores, just on fuel cost in one of our plants.

We believe

that we will have a similar saving, if not higher saving also in our Dahej plant as well as in our Katol plant, where again, the source of producing steam is something which we

are working on as a project to modify and improve.
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So I think that will lead to a significant rationalization of our fuel cost. In terms of power costs, while complete clarity is still not been given in the government power policy. We have kind of gone ahead and done some groundwork. I think in the next quarter, we'll have complete clarity on what we'll be doing with regards to power and how cost savings will be achieved, but we do believe there is a significant opportunity to reduce costs in terms of power as well. As you see many companies have signed up with kind of power supply companies are offering kind of wind solar hybrids, which by way of SPA, are able to reduce their power cost and we are pursuing a similar line. Of course, the power agreements of our policies is still a state subject. So in some states have been able to do it faster than others. While it's happened in Gujarat as well, but there are certain clauses which still have to be completely cleared by the government. So in any case, that should be done soon and we believe that will add to our kind of power saving as well. All in all, I think most of the projects that we are doing, debottlenecking or otherwise, are all brownfield projects. So we will see some fixed cost dilution because we do not anticipate pro rata a similar amount of fixed expenses to go up, whether in terms of manpower and otherwise.

There are other projects as well, which are in logistics and other areas, which will also lead to significant savings. But currently, it's hard to exactly estimate. I think, we will see the impact of at least some of these things in specifically in power and fuel in this year, in the full year that we see and more so in the next couple of quarters and for logistics, you will see in the following next year.

Nirav Jimudia: Got it. Sir, just a last clarification. So you mentioned that most of the debottlenecking would be happening in second half. So the volume growth predominantly would be more towards the second half of the year than the first half of the year?

Rahul Agrawal: Yes, that would be safe to assume. However, we have also added new product blends, which will also help us in some volume growth. Again, we are looking on an annualized basis. So we are confident that while the capacities will be augmented in the second half, whatever the overall target for the year is still something we'll be able to achieve.

Nirav Jimudia: Got it. This 20,000 tons for ABS debottlenecking would be more towards the standard grades or it would be more towards the specialty grades that you mentioned.

Rahul Agrawal: It will be a mix.

Moderator: The next question is from the line of Faisal Hawa from H. G. Hawa.

Faisal Hawa: So sir, if we take next 3 to 4 years, what is the kind of CAGR sales growth should we be expecting from our company?

Rahul Agrawal: So sales growth is a function of the pricing of the product, which is prevalent. Sometimes the pricing of the product is linked to raw material costs, which is difficult to ascertain over the long period. I can talk about volume growth, which is something which we can control better.

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I do believe that in terms of volumes, we should be able to grow at about 10% to 20%. So 15% or so is what we are targeting in terms of volume growth over the next several years.

Faisal Hawa: And how much of it would come from exports? Are we targeting it in an active manner?

Bhupesh Porwal: So currently, as you know, in ABS, where we have kind of a large debottlenecking and expansion plan, 50% or so of the market is still satisfied by imports

. So in terms of overall volume growth, we are still looking first to satisfy our existing customers and only then look at exports as a proposition.

We have a strong brand positioning also in the Indian market. So it behooves us first to look at that as an opportunity and only then pursue other opportunities once we have additional capacity already in place, so there is some time before that. Of course, we can always look at specific opportunities if they are attractive.

But I think we are still better served by addressing the volume demand, which exists in India.

With regards to PS also, we believe that there is an ample opportunity for us to grow in India in terms of overall customer demand and requirement specifically with regards to the different grades that I already mentioned in earlier part of the call.

So long as we are able to develop this successfully, which is also going to contribute to a better product mix and a better margin in we are again better served in satisfying or meeting the demands of our existing customers here. But we are open to looking at specific opportunities if

that from a strategic point of view, serves the company better in the long term.

Moderator: The next question is from the line of Sanchita from Robo Capital.

Sanchita: I just wanted to know what your outlook is on the EBITDA margins overall? I believe you have mentioned during previous calls that you were internally trying to work towards achieving a 15% kind of a number. So what would be a sustainable number that we can expect for FY '25 and FY '26?

Rahul Agrawal: So thanks for your question, Sanchita. Typically, we don't give any forward guidance on exactly what EBITDA margins we are looking to do. 15% is a number which I think was slightly misinterpreted. But however, I can still address that question. I think we are working towards, obviously, higher EBITDA margins by way of improving the product mix by way of increasing the capacities and thereby helping and diluting some of the fixed costs.

Also, there are some cost rationalization measures that are kind of going on underway. So in terms of all the efforts that are going on, we believe, at the very least, the existing annualized EBITDA margins are sustainable and we are obviously aspiring to do better than what we have in place as of now.

Sanchita: Okay. That was very helpful, sir and my second question was regarding our realizations. So in Q4, they were slightly on the lower side. So by when can we expect them to start improving? I just wanted to get your thoughts on that.

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Rahul Agrawal: The realizations in Q4 were lower compared to Q3 or compared to Q4 of the previous year.

Sanchita: Compared to Q3 of FY '24, sir?

Rahul Agrawal: So if you look at overall volumes were higher. So it could have been, as I mentioned earlier in the call, a function of the product mix. So this will change quarter-on-quarter. Overall, in terms of absolute performance, Q4 is better than Q3. As you can tell, overall volumes are much higher and sales are also higher to the tune of, I believe, close to 20%, if I'm not mistaken. So this will change quarter-on-quarter. But I think, like I again mentioned that we are in a kind of seasonal business at times.

In some seasons, there are certain products which sell more and some seasons where there are certain products which sell less. So you have to look at kind of a blended product mix on an annualized basis and see the performance of the company in that context. So on an annualized basis, whatever performance we have of the organization is what you can assume will be the case, if not better, going forward.

Moderator: The next question is from the line of Ranveer Singh from Yashwi Securities.

Ranveer Singh: Congratulations on your debottlenecking that you guys have used the capacity by 50% till now,

congratulations on that. I have a couple of questions. So I see the company sales volume has increased by 11%, like if I see FY'23 versus FY'24, but the realizations have reduced by 15%. They were at 1,59,000 per ton and it has become 1,34,000 per ton. How do we expect the realization to be in the future? And why has it reduced so much?

Rahul Agrawal: So Ranveer, actually, the realizations over the whole year, if you look at somewhat skewed by the first quarter earnings, which were in FY'22-'23. The first quarter if you look at the EBITDA, I think it was in excess of, I think, INR125 crores or INR127 crores, if I'm not mistaken. The margins were significantly higher. So this is kind of the hangover of that, wherein due to COVID and supply chain disruptions globally, the margins were disproportionate and that continued on until the first quarter, which has had an impact on the overall annualized realizations, if you will. But I think it would be fair to or better to compare previous quarter to the current quarter or quarter-on-quarter to get a better idea of what a normalized realization would be and what a defendable realization would be. So the interesting thing is that in spite of a very high kind of a marginal realization in the first quarter of '22-'23. Overall, for the whole year, our EBITDA margins are still fairly similar.

So that only tells us that in spite of the kind of skewed performance that we had in the first quarter, we were able to bring in efficiencies so that at least on an annualized basis, we are still at similar levels.

Ranveer Singh: Okay. Rahul Ji, I have another question, what I understand of the total ABS industry is it in India, the total demand is of approximately at 3 lakhs tons per annum, which will grow at 8% to 10% CAGR. I am aware that you have announced a capacity expansion and even your competitors are, but I see most of the capacity expansion coming in FY '27, '28. Why is it that most of the capacity expansions coming in '27-'28 rather than in the next couple of years because

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right now, there's a demand in India, which can be supplied through India because I believe that 50% of the commodity is being imported from outside. Is my understanding correct?

Rahul Agrawal: Ranveer, you're absolutely right. If I had the plant today, I'd be very happy, but I don't have it, and it takes time to build the plant. So I think the challenges in the time taken from engineering study to detailing to procurement and finally to kind of erection and then commissioning the plant. So we have only given the timeline associated with that entire process.

And that is where we will need a little bit of time to bring in the plant. As you know that our management took over the company only in November '22. So it's been about 16 -odd months that we have had management control over the company. And in this time is when we realized, and we announced plans to go ahead with expansion.

Has the expansion been done earlier, we would have been, of course, well placed to meet the demand in the country. But nevertheless, I think we have embarked on this journey, and we will try to do it as soon as possible.

Ranveer Singh: Congratulations on that. I'm very happy. So sir, how much time does it take after we get the consultancy report to expand the capacity? And why is it such time taking process. I actually don't understand the industry detail. That's why I'm asking you.

Rahul Agrawal: Yes. So of course, it's a function of chemical industry requiring a lot of detailing to be done. There are multiple things. So first of all, our post basic and detail engineering, there is multiple studies which have to be carried out from a technical aspect to understand the reliability of the whole process. Once that is done, there is also a lot of key proprietary or key specialized equipment

ent, which are part of the plant, which are very long lead items. So there are equipments which can take anywhere from 12 to 18 months just for delivery.

And even prior to ordering that, like I said, a lot of analysis has to be done. So these are things which kind of can happen only one after the other in series, not in parallel, unfortunately. And once that is done, the entire process becomes as long as we have already mentioned. Of course, our entire effort is to try and shorten it as much as possible.

Ranveer Singh: We've been shareholders of the company since the last 1.5 -2 years, and you guys have been doing a phenomenal job, thank you so much and best of luck.

Moderator: The next question is from the line of Deep Chikhalia from 9 Rays EquiResearch.

Deep Chikhalia: Sir, my question is the 50% of ABS, which is imported by India, is basically from which country? That is the first question. And the second question is, do India import any PS from any other countries and by how much percent?

Rahul Agrawal: Yes, Deep. So in terms of ABS imports from what we have analysed, there is ABS, which comes in from Korea. It comes in from Thailand, Taiwan, and sometimes, of course, from Europe as well in the Middle East. But Korea would be, I think, the largest kind of supplier for ABS into India.

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For PS, we see scattered information. So there is material coming at times from Thailand. At times, it comes from Iran. It comes from other countries as well. So there is no steady supply of PS into the country. PS, last year, from what I know, there was an import of close to 60,000 to 70,000 tons and ABS, of course, as you very well know, it was close to 50% of the total demand.

Moderator: The next question is from the line of Het Shah with Dalal & Broacha.

Het Shah: First of all, congratulations on a good side of numbers. So in fact, we've got dropped in between. So I think this question might be repeated. So apologies for that. Sir, you said that the capacities are being increased to 210,000 by FY '25. You said when the expansion is happening back ended, but you're comfortable meeting that production target for the full year. Am I right?

Rahul Agrawal: That is correct.

Het Shah: Okay. Okay. Sir, I was wondering, okay, I believe the gross spread per ton is something like 33,000 -34,000 per ton, where the EBITDA is like 16,500 to 17,000 per ton. So there is this huge gap of roughly 17,000-18,000 per ton. When I say gap is other expenses.

So now because of all the cost optimization measures, value-added product portfolio going up, expansion happening and therefore, operating leverage kicking in I'm sure you actually already pointed out saying that there will be expansion of margins. But how much can it be? Like is it safe to assume that it can be like 5% or any colour on that, sir?

Rahul Agrawal: Difficult to give you an exact number on that, as mentioned it repeatedly. I think it is safe to assume where we are at is a defendable number like I'm repeating myself. I believe on a blended basis; we are at about 12.2% or 12.3% EBITDA margin. And going forward, with all the measures in place, that should only increase.

Het Shah: Yes, but that increase will be is what the sense what we are trying to get is that will it be like 4%-5% increase in the EBITDA per ton number, absolute number or it can be higher? I'm not

trying to get a quantification and just a direction.

Rahul Agrawal: So it will be a few percentage points higher, of course, you have to look at the overall industry, right? Certain industries kind of are able to achieve certain margins. So in the context of the industry, I think we will still perform well is what I believe, given our technology, given all the strength in the company. And to that extent, it will be a little bit better than what we are at.

Het Shah : O

kay. Sir, my last question is so basically, I think the raw mat prices styrene monomer prices have been going up off late. I don't know how much was it reflected in Q4, but they have been going off late. So basically, in fact, being a raw material for us, it should have impacted our margins. But if I see, we have maintained our margins well. So is that the right understanding?

Rahul Agrawal: Yes, that's right. So like I mentioned in previous calls, now this one is that a lot of our business is driven by formulas as well. And in those formulas, we are able to pass on increases in raw material pricing to our customers fairly straightforward. There could be a lag of a month or two .

But again, on an annualized or even within the quarter, we see a fairly leveling off in terms of Styrenix Performance Materials Limited

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being able to pass on the increases of raw material onto the customers. The margins are generally well protected.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional.

Aditya Khetan: Sir, sorry, if the question is repeated again. Sir, my question was on to the ABS business. Sir, we are witnessing that in India, so Supreme Petrochem is also putting up a capacity, Bhansali Engineering, they are also expanding. So it seems like, sir, for the next 4 to 5 years, there would be a lot of capacity into the market, wherein the demand is roughly growing by only about 6% to 7%. I just wanted to know your thoughts how the competitive intensity will change? Or you think that despite the capacity addition also the industry demand can grow to a certain level, wherein the capacity can meet it?

Rahul Agrawal: Yes. So I believe fundamentally that the demand, at least if I look at the -- you have asked a question on ABS specifically, so I'll answer for that. ABS demand, I think, is growing at close to between 7% to 10%. And even if I consider 8% -8.5% as a kind of a conservative number. Even then we believe that in the next 4 years, the capacity from 300,000 tons which is actually slightly higher than 300,000 tons this year from what we have gathered data on, we'll exceed 400,000 tons in year '26 -'27 and probably go to 450,000 tons in '27 -'28. If you just add up all the capacities of everyone who has announced, including ours, you will find that the market is still going to be underserved. So I think if you just do those calculations, you'll find that there is no concern on the market supply situation versus the demand.

Aditya Khetan: Okay. And sir, this out of our total ABS production, how much would be the specialty grade ABS?

Rahul Agrawal: So it's around 60% -65%. It fluctuates again quarter -on-quarter. But on an annualized basis, you can consider that.

Aditya Khetan: Okay. And sir, we are manufacturing ABS in batch processes or in continuous process?

Rahul Agrawal: It's emulsion ABS is what we call it in terms of technology.

Aditya Khetan: Okay. So this run on batch also?

Rahul Agrawal: Yes, this is a batch process.

Aditya Khetan: Okay. And sir, sir, my next question was on to the polystyrene. Sir, polystyrene, we are not witnessing any sort of capacity addition. So recently, only one of your competitor has expanded. But no new capacity expansion is lined up. So how do you see this market evolving for the next 2 to 3 years?

Rahul Agrawal: If you read my last few investor presentations, we have clearly mentioned we are increasing capacity in polystyrene as well. So capacity in polystyrene will also be augmented this year, right at the beginning of the open remarks also, Mr. Porwal also mentioned that we are looking to increase capacity of polystyrene. So polystyrene capacity will be also augmented in fact this year as well as going forward in the next few years. We do believe that demand in polystyrene Styrenix Performance Materials Limited

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will

also grow at around 5% to 6%, if not higher, again, conservatively speaking. So keeping that in mind, there will be an ample opportunity for us to participate with the larger capacity in place.

Aditya Khetan: Got it. Sir, just one last question, sir. I don't know whether we share this data or not, sir, is it

possible to share the spreads data of ABS and polystyrene?

Rahul Agrawal: It's difficult to do that because, again, the prices vary across grades vary across application volumes, things like that. So there is no specific price or on e grade. We make several grades, both in the case of ABS as well as PS and the pricing has got a very wide range in terms of what we offer in the market.

Moderator: The next question is from the line of Nirali Gopani from Unique Asset Management LLP.

Nirali Gopani: So, Rahul, you have spoken about the industry, and my question is broadly on the industry. So there is this belief that China, which is currently an importer of ABS will become self -sufficient in the next few years. And hence, the other Asian countries, which currently supply to India will have excess of capacity available. So and, hence, negatively impacting the price. So your thoughts on that or any comments will be helpful.

Rahul Agrawal: Yes. So Nirali, if you look at post the first quarter of year '22 -'23, in fact, we started seeing that impact already. Post -COVID, China did not come back as strongly as was earlier anticipated.

There were also new capacities which have come on in China. So there has been a fair amount of pricing pressure from countries like I mentioned, in the case of ABS would have in Korea, Thailand, Taiwan, et c. And similarly in case of PS from other countries.

So that pricing pressure is already in place. So this is not something which is going to happen, but it has already happened and is happening as we speak. So that's why I said we are in a normalized business environment now, where we anticipate things to remain as they are. And to combat even further pressures, which may arise we are looking at mitigating strategies.

Nirali Gopani: Okay. And with this focus on the value -added products. So currently, the specialized part is roughly 65%, which you just mentioned. So this number can go up to what number, like the specialized part of the value -added part?

Rahul Agrawal: It's difficult to say that right now. There will always be a percentage, which will be specialized in the other part, which will be standardized grades, whether it's the specialized grades can go to 70%, 75%, 80% hard to give a number to as of today.

Moderator: The next question is from the line of Nishant Shah from Moneybee Investment Advisors Private Limited.

Nishant Shah : Just wanted to ask you one question. I wanted to understand, but the utilization levels have been almost at full capacity. So will this continue after also debottlenecking?

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Rahul Agrawal: Yes, Nishant, so there is an ample opportunity given the imports which are happening in the country. We anticipate that as we keep on debottlenecking or doing brownfield expansion to kind of augment our capacities, we should be able to run the plants kind of fairly good.

Nishant Shah : All right, sir. And one more question. In the previous quarter, you said the polystyrene margins and volumes were low. Is that understanding correct?

Bhupesh P. Porwal : Yes, you are talking about Q4 or Q3?

Nishant Shah : Q3.

Bhupesh P. Porwal: Yes, it was lower.

Nishant Shah : Yes. So has this continued in this particular quarter? And do we see like a trend reversal in polystyrene margins?

Bhupesh P. Porwal: So this quarter, the trend is not like that. The volumes have been quite better in comparison to the previous quarter, Q3.

Moderator: The next question is from the line of Rohit from Progressive Shares.

Rohit: A couple of

questions. The first one, in your opening remarks, you kind of mentioned there is some disruption in the operations. Is it possible to quantify what sort of impact was there or production loss or turnover loss?

Rahul Agrawal: It was kind of routine, frankly. There was no significant loss. If you look at overall volumes, we still met our targets. It's just that at specific moments in time, we have to change product mix based on certain disruptions. So that's all that was the case. And which is why we did what we did in terms of numbers.

Rohit: So this was more towards the standard grades of the specialty grades?

Rahul Agrawal: The combination of both. So it had to do across the board.

Rohit: Okay. While we are proxy to the EMS that is electronic manufacturing services, do you think the scope for getting some products or processes or some design to be patented? Or are you already working on these projects?

Rahul Agrawal: So generally, the patents for design of the product itself is, of course, handled by EMS companies themselves. What we try to do is work closely with these EMS companies to get spec in, right .

So they have these programs wherein the value addition programs or the quality programs wherein for launch of new products or models, they work with us closely to understand specific requirements for that application, and they spec us in. I think as long as we are able to do that

that is good enough. There is no real patent required or patent necessary to protect our interest over there.

Rohit: Any new labels or any new logos, which you have recently added in the last 3 or 6 months, if you would like to share that

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Rahul Agrawal: So there are 2 new product ranges that we have launched. There is STYROLOY, which is a blend, which is a common blend and prime name, which we are going to use for polycarbonate ABS blend as well as the nylon ABS blend, and there is ASALAC, which is, again, a brand which we have launched for our own ASA production in India.

Rohit: And is there any possibility that these new products that can help you mitigate the issues that we generally have related to seasonality?

Rahul Agrawal: So we are hoping that it may not completely change because there will be obviously some seasonality in the business. October to December, like I mentioned in previous years, could potentially be at a dull period. And that may continue to be the case regardless of which polymer you're doing. But overall, I think from a top-level business perspective, yes, the higher value and more specialized ways of products can help us overcome some of the volatility associated with the seasonality.

Rohit: On this 3.6 lakh metric ton do you think we are moving towards 5 or 6 lakh metric ton by FY '29 or '30 or so. As the demand in the market keeps increasing, do you think there is more scope for more expansion for us?

Rahul Agrawal: Absolutely. So I'm quite optimistic about India's growth, which is where our primary place of business is. So over the next decade, I do believe there will be an ample opportunity for us to grow significantly further even from what we've already announced, but like I said, in terms of the current opportunity which exists and whatever we have identified in terms of resources already allocated. This is what we are targeting in the next 3-4 years. And for sure, as the situation develops and the market develops, we are going to be continuously cognizant of that and move our plans accordingly.

Moderator: The next question is from the line of Jayesh Gandhi from Harshad Gandhi Securities.

Jayesh Gandhi: Sir, if I heard you correct, you talked about the volume guidance for next year as a 210,000 Kt. Is that correct, sir?

Rahul Agrawal: Yes, about 205,000 to 210,000, that's right.

Jayesh Gandhi: Okay. So that would mean that probably we will

I be doing 40% of the volume increase next year?

Rahul Agrawal: So in terms of production, I think we are around 165,000 or 170,000 tons. So we're talking about close to 20% essentially.

Jayesh Gandhi: Okay. And sir, by any chance, do we have any figure on our market share?

Rahul Agrawal: In terms of ABS...

Jayesh Gandhi: ABS and PS both?

Rahul Agrawal: Yes. I think in terms of ABS, the market share that we have is probably close to 30%. And in case of PS, our market share is closer to 20%.

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Jayesh Gandhi: And sir, any increase in this market share vis-a-vis last year?

Rahul Agrawal: Yes, there is some increase.

Jayesh Gandhi: If you can quantify?

Rahul Agrawal: So last year, I think in ABS, we had about 26% or 27% market share. And in PS, our market share was closer to around 17%.

Moderator: The next question is from the line of Ranveer Singh from Yashvi Securities.

Ranveer Singh: So are there any players in ABS who are private limited companies? Are there any private players which are competitors for ABS?

Rahul Agrawal: In India?

Ranveer Singh: Yes, sir.

Rahul Agrawal: No.

Moderator: The next question is from the line of Priyank Chheda with Vallum Capital.

Priyank Chheda: Yes. Sir, export strategy is something that is missing out. Any thoughts on that?

Rahul Agrawal: So Priyank, basically, we have a very, very strong brand in India, right? This company has had these brands, specifically in the case of ABS for the last 4 decades. And today, also, we are a preferred market supplier. To let go of that advantage with any additional capacity where we can easily capture that market in India and go and look for exports. I'm not sure if it is a very value -

accretive exercise at this stage in the company.

When we have additional volumes and we are looking to fill those volumes, we can do that.

Because when we enter new markets, essentially, we are only going to add to the competitive intensity in that market. And that would require us to obviously position ourselves in terms of the existing incumbents in the market at an attractive level.

That would, I believe, not be a very value exercise as far as our company is concerned at this stage. When we have additional capacities in place, definitely, that is something that we'll do.

Having said that, like I mentioned in earlier part of the call, if there is an opportunity which is attractive, which is where we are getting good value addition. We are definitely open to that.

Priyank Chheda: Perfect. And on a strategic call after Agrawal family took over this company again, and now it's 16 months into the company, what are the broader focus areas that you would like to highlight that these are the strategic level changes that you have introduced, of course, accelerating the capacity addition is a great thing, but then there would be other strategic changes that would be required for our organization to be future ready, which you have implemented and which would be the areas that you would like us to see a maximum action going ahead for us to track.

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Rahul Agrawal: So many areas, Priyank, like you mentioned, capacity augmentation, obviously, is the kind of critical need of the hour. There is a cost reduction or cost rationalization, which is needed in terms of better efficiencies in the system. There are many projects we have undertaken for that, some flavour of that I've already given in earlier part of the call. There is, of course, new products to meet the needs of our existing customers and certain new customers as well, where we have the infrastructure and capabilities already in place is something also that we have mentioned in the call. In addition to that, we want to be future ready.

So we are looking at closely understanding in terms of su

stainability where our organization is

and is going to be in the future. So I mean, I think from all angles, we are trying to ensure the organization is primed to grow fast, grow in a responsible way and grow in a manner which is obviously profitable for all stakeholders. So I think we are trying to cover all angles from that perspective, while keeping a strong culture in the organization.

Priyank Chheda: Great. And any targets on these new product developments, which we are undertaking, what would be that kind of a sales volume contribution, say, in the coming years that you would like to have at least from the new products that we are undertaking?

Rahul Agrawal: A little early to give that estimate as of now. We have just started the process. We have launched the products. Some places, we have got validations already through some places the validations are going on. We believe in the next few quarters; we'll have a much better handle on exactly what volumes we are going to build to achieve. But we do believe we'll have a good position in those products as well because we have deep rooted relationships with all the customers who are currently consuming these products.

Priyank Chheda: Last question, if I may.

Moderator: Sorry to interrupt, Mr. Priyank. May we request that you refer to the question queue for follow-up questions. The next question is from the line of Rusmik Oza from 9 Rays EquiResearch. May I request to use your handset, sir, your audio is very muffled.

Rusmik Oza: Sorry for that. My question was on the capex and expansion. Sir, can you clarify that this year's capacity going up to 210,000, there is no major expense capex with. And thereafter, then between '25 and '27 we have around 45,000 tons of PS coming in the brownfield expansion. And then there is straight 105 to 210 ABS capacity coming in '28. So I just want a bifurcation of this INR650 crores rough expansion that across next few years, how much will go for PS from 105,000 to 115,000 by now to FY '27? And how much will go in for the ABS expansion that is straight going from 105,000 to 210,000 in FY '28?

Rahul Agrawal: So Rusmik, like I mentioned earlier, that we have gone ahead and hired firms or mandated firms to do engineering studies to exactly estimate the technical aspects of the project as well as the cost estimations in terms of exactly what will be the capex required for each of the projects that we're looking to undertake. So it's a little premature to give exact breakups and exact amounts because the numbers could also be slightly different from the exact say INR650 crores number that we've taken, primarily for a Board approval to pursue engineering studies. So we'll request you to wait for some time until we are able to give that information more clearly.

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Rusmik Oza: Okay. Okay. But is it safe to assume that bulk of this INR650 crores will go towards ABS

capacity going up from 105,000 to 210,000?

Rahul Agrawal: Larger capex would go towards ABS, and PS would be a smaller capex. That would be safe to assume.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Chintan Doshi for closing comments.

Chintan Doshi: Thank you all investor and investor communities for joining the call and showing the interest in the company. And we look forward to answer you in the next investor call, which will be announced in suitable time in future. Thank you.

Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

July 23, 2024
To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001
BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on July 16 , 2024
Ref: Regulation 30 and 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated July 11 , 2024 informing about the earnings call organized by the Company on July 16 , 2024, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,

For Styrenix Performance Materials Limited

Chintan Doshi
Manager Legal & Company Secretary

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"Styrenix Performance Materials Limited Conference
Call"

July 16 , 2024

MANAGEMENT : MR. RAHUL AGRAWAL –MANAGING DIRECTOR ,
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. BHUPESH P. PORWAL – CFO, STYRENIX
PERFORMANCE MATERIALS LIMITED
MR. CHINTAN DOSHI – MANAGER , LEGAL &
COMPANY SECRETARY , STYRENIX PERFORMANCE
MATERIALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Styrenix Performance Materials Limited Conference Call.

From the management team, we have with us Mr. Rahul Agrawal – Managing Director ; Mr. Bhupesh P . Porwal – Chief Financial Officer and Mr. Chintan Doshi – Manager (Legal) and Company Secretary.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touch tone phone.

Please note that this conference is being recorded.

Further , on behalf of the Management of the Company , we would also like to remind the participants that this call has been conducted subject to and in line with the disclaimer mentioned in the Investors Presentation as is available on the stock exchanges .

I now hand the conference over to Mr. Bhupesh P . Porwal. Thank you and over to you , sir.

Bhupesh P . Porwal : Yes. Thank you very much. Ladies and gentlemen, namaste and good afternoon, everyone. I am pleased to welcome you to our Quarter 1 Financial Year 2025 Conference Call.

As we reflect on our performance in the Fiscal Year 2024, I am delighted to announce that we have witnessed the robust demand for our products marking a significant growth trend . We are on schedule of our debottlenecking and expansion projects announced in previous year.

Coming to the Financial Performance , the highlights are as under :

Sales volume has increased by 8.6% compared to Quarter 4 of FY24 and by 21% compared to Q1 FY24. Revenue increased by 16.7% compared to Q4 FY24 and 28.5% compared to Q1 FY24. PBDIT stood at 13.1%, which is better by 0.7% compared to Q4 FY24 and 3.7% better compared to Q1 FY23.

Profit after tax stood at 8.7% , which is better by 0.5% compared to Q4 FY24 and better by 2.8% compared to Q1 FY24 .

These are all about the highlights of this quarter and now we may proceed to answer the questions you may have. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

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Nirav Jimudia: Sir, I have 2-3 questions to ask. So, the first is on our ABS. So, if you can just help us understand how were the imports of ABS in India in 1st Quarter of FY25 vis -à-vis last year and 4Q of FY 24 if you can just share that trend ?

Rahul Agrawal : Nirav, so in terms of imports for this quarter, we don't have that complete data yet because as you know specifically for the month of June, the import data would be really available to us only by early August. However, as far as imports are concerned , year -on-year, there doesn't seem to be any major shift or any major change over there. We have got some share of that import. Obviously as our volumes have increased, but overall the imports are more or less stable, if I must say.

Nirav Jimudia: Correct. Sir, reason for asking the question was because there were a lot of challenges in terms of container shortages globally and even freight cost was elevated. So, I was trying to understand whether this has helped us to put some additional volumes and gain those volume share in the domestic market. Whether if you can also explain that whether these gross margins which we have reported this quarter includes some element of those higher freight costs, which would have elevated the domestic prices of ABS ?

Rahul Agrawal : We have seen the impact of ocean freight. So, ocean freight impacts us in two ways. There is bulk ocean freight which is impacted on our raw materials which comes in by way of styrene and acrylonitrile. And there is

of course ocean freight involving containerized movement of finished goods which comes into the country . If we look at bulk freight, actually there was a

mismatch towards the end of the last quarter and early part of this quarter where a lot of our material in fact got delayed and due to that, we in fact had to even buy some material in the spot market because we didn't have the availability of raw material coming in at that time. So, in fact, that was a bit of a negative, if you will, because we had to buy some material when that material did not come in on time. Overall, not a major impact but some impact was there. In terms of finished goods coming in, in terms of the shortages of freight vessels, that is happening more so in this quarter as opposed to the last quarter. So, there is not a major gap there. I mean, if you look at our overall EBITDA margin, that hasn't changed much, right? And even kind of quarter-on-quarter, so that's very similar. It's just that our volumes have increased and that is purely a function of us being able to produce more and sell more.

Nirav Jimudia: Correct. The second question is in terms of our sales volume for ABS. So, I just wanted to understand from you like do we sell more of those colored ABS and the compounds of ABS as against those white or the black master batches which are coming to India and when we generally say that 65% of our sales volume for the ABS are of specialty grade, does this include those colored ABS and the compounds which we sell to the customers here?

Rahul Agrawal: So, when we talk about specialty ABS, it does include some of the colored grades, but not all colored grades. There are some colored grades which should be more along the lines of the

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standard grades of products that we supply in the market. So, it's difficult to give that exact breakup over here during this call. But there would be, like I said, some component of the natural grades of products or the base grades, which should be in the 35% or actually that number is even lower and that would also consist of some colored products, but not all colored products. We determine the specialty of the product based on the complexity in manufacturing it as well as the value addition while selling the product.

Nirav Jimudia: Correct. And the imports which are coming to India is predominantly those white or the black ABS and not the colored ones, which we generally sell, right?

Rahul Agrawal: Not really. So, the product that comes into the country is a full spectrum. So, there are products which come in on the natural side as well as on the specialty side, so the percentage of natural ABS might be a little bit higher coming in from outside the country. But there is also a significant percentage of specialty ABS or colored ABS, if you will, which is sold in the country from outside.

Nirav Jimudia: Sir, last from my side is if you can just help us out in terms of both for ABS as well as PS, the split of volumes between let's say for ABS, predominantly auto and consumer durables and for PS, let's say for auto, consumer durables as well as the stationary products?

Rahul Agrawal: In PS, there is no sale to automotive.

Nirav Jimudia: So, it's more of consumer durables and the stationary ones?

Rahul Agrawal: And packaging. So, like I mentioned in my previous calls, in ABS, the automotive and household appliances are the larger markets that we cater to followed by electronics, then kind of medical devices and toys, stationery, things like that. And in case of polystyrene, it is household appliances again, which is an overlap with our ABS business and there is some packaging which is also a significant business and then followed by the other segments that we cater to.

Nirav Jimudia: Got it. Just to reconfirm, sir, the timeline for the commissioning of

four debottlenecking like last

time you mentioned it could be coming in H2 of FY 25. So, just to reconfirm that and the volume guidance, what you said earlier, just to reconfirm if you can just share both of them. Thank you.

Rahul Agrawal: So, you know, if you look at our overall volumes that we have done in the 1st Quarter, it's close to 48,000 tonnes. As opposed to last year, we did about 39 or 40,000 tonnes in the 1st Quarter of last year. So, that's about a 20% increase. This incorporates obviously the debottlenecking which has happened over the course of last year as well as beginning of this financial year. As we go along, that is on track and we will have additional volumes coming in, in the second and the third quarters as well. Overall, I think our volume guidance that we had given in the earlier presentation of about a 15% to 20% growth over the previous year, that continues to be the case.

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Moderator: Thank you. Next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal: Firstly, have you alluded to the sales volume outlook? Just wanted to add a bit here. So, obviously it implies that there is some bit of debottlenecking which would also happen going into second and third quarter, is that correct?

Rahul Agrawal: That is correct.

Rahul Agarwal: So, broadly 15%-20% is a consolidated guidance which includes ABS and PS both, right?

Rahul Agrawal : That is correct.

Rahul Agarwal: Any thoughts or any comments would like to share on the EBITDA spreads we are making on both businesses for Fiscal '25 and '26 please?

Rahul Agrawal : No, we are not given any guidance as such. We have iterated in the past as well that the Company has undertaken projects to increase capacities both by way of debottlenecking and brown field expansion. Also, there are cost rationalization measures that the Company is undertaking in terms of improving efficiencies. And last but not least, trying to increase the share of value-added products, be it by way of the existing product line or the new products that we have launched in the brand of STYROLOY and ASALAC, so combination of all these three would help us in achieving better numbers going forward. But we have as such no guidance towards that.

Rahul Agarwal: Got it. And could you specify a bit more on what kind of new products have been launched at least this year like whatever you've sold in 1Q. Could you highlight a bit more on that please?

Rahul Agrawal : So, the volumes currently sold are not very significant. They are still kind of small in the relative terms compared to the rest of the business we are in. The products that we have launched right now, we have launched STYROLOY like I mentioned and ASALAC which are the two brand names. Under STYROLOY, we are doing blends like polycarbonate ABS, nylon ABS, ABS PMMA, HIPS, PPO, and other products. In case of ASALAC, it is ASA which is a kind of weatherable product which works in applications where high weather resistance is required or weatherability is required or high UV resistance is required. So, we have done that as well as blends of ASA which would be a gain ASA, PMMA and so on and so forth.

Rahul Agarwal: Got it. Perfect. And one question was on the working capital this quarter, like how did June end, broadly similar to what March was 50-55 days. Could you highlight what was the operating cash flow for the quarter?

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Rahul Agrawal : This is not some information that we generally publish, but yes, so.

Rahul Agarwal: And lastly, just on the CAPEX, could you guide us for the amount of CAPEX to be done for Fiscal '25 and '26, please?

Rahul Agrawal : So, currently the overall CAPEX for the whole year that we estimated would be in the tune of

Rs. 60 crores to Rs. 70 crores. That number will be fine-tuned actually in the successive next few months because we will have complete clarity once our engineering studies are completed and to what extent we can accelerate that the expansion projects and perhaps would also reflect on the CAPEX accordingly. So, I think by the next investor call, we'll have more information to share.

Moderator: Thank you. Next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Sir, my question is on could you elaborate what would be the contribution of SAN in this total 48,000 tonnes volume for this quarter? I believe it's also part of when you disclose 48,000 tonnes it includes SAN plus PS plus ABS, correct?

Rahul Agrawal : That is correct.

Priyank Chheda: Would you be able to, how much of the SAN would be sold in this contribution in this total volumes?

Rahul Agrawal : Again, we don't share individual numbers or break up. We stopped disclosing those exact details in competitive interest, but it is more or less in line with the numbers that we have been doing over the years and there is not any significant change in that.

Priyank Chheda: So, the incremental volumes have come from the debottlenecking of ABS and PS put together in that ratio, right?

Rahul Agrawal : Yes, like I said, the product mix has not changed drastically across the board and debottlenecking would have benefited all products.

Priyank Chheda: Coming to just a delta spread. So, we have seen slight improvement in ABS prices, maybe because of the ocean freight of the finished goods that you alluded to. While the styrene monomer raw material has also moved in tandem. So, do you see some global dislodgement in the delta spreads ahead, any global development which you would like to highlight, maybe which we should think of which can impact the spreads ahead?

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Rahul Agrawal : So, the global spreads have not changed much in the last kind of 1.5 years since we have taken over management control. I think barring the 1st Quarter of 2022-23 when the spreads were a little bit higher, they kind of normalized post that and they have started a normalized level. Now I'm talking from a global perspective and that continues to be the case today. So, there is no

major change from that. I think in terms of our own performance, of course we are benefiting slightly from some operating leverage as our volumes are going up and with the total sales that we have been able to achieve of different categories of products.

Priyank Chheda: Just last question on the power and fuel cost savings, which you had alluded last quarter plus some reduction in the steam cost. In Q1 at least we could see that there is a rupee improvement on a per kilo basis. Of course it has to do with the operating leverage too. Can you elaborate for us what should be the total cost savings that we should think of when it comes to FY25 in terms of power and fuel and what can be the logistics cost savings that we should see in the forthcoming year?

Rahul Agrawal : So, in terms of power and fuel, when we discussed about fuel, there are some projects that are ongoing where we are looking at more cost effective and economic sources of generating steam across all our plants in one of the plants that has already been commissioned and in the second plant also, it's near commissioning stage. The third plant also we would have that commissioned probably in the next quarter or so. So, I think over the course of this year, there will be some savings in fuel of the total savings that we are anticipating at least 30 % to 40% of the total savings will come this year and the entire savings will be visible next year. As far as power cost is concerned, we are evaluating different options for which again, we haven't yet

come

out with a kind of declaration to the public market, which we will give very soon once we have that information on what we intend to do, that power saving will also come in full force next year and for this year I think probably towards the end of the year.

Moderator: Thank you. Next question is from the line of Akshada Dev from Vivog Commercial. Please go ahead.

Akshada Dev: I have two questions for the management. Could you release the previous four-year volume data from FY19 to 22? I understand you were not the management at the time, but do you still have that data?

Bhupesh P. Porwal : So, earlier we have not been publishing those data in last few years and previous years we have published the production volume data. So, what exactly you want if you can write to secshare@styrenix.com, we will revert back to you on that.

Akshada Dev : My next question was the promoters have recently released almost 20% pledge on their holdings. Are there any more plans for rest of the pledge to be released as well? Any clarity in there?

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Rahul Agrawal : Ma'am, if you check the updates on the Stock Exchange, we have already informed that the entire pledge has been released. So, there is no more pledge existing on any of the promoter shareholding.

Akshada Dev: That's great clarification. And I just wanted to confirm the debottlenecking project was the same project that you've given to Mott MacDonald. Is that right?

Rahul Agrawal : No, that is the brownfield expansion project.

Akshada Dev: So, has that started because this was given in February with the six months to start renewed, right?

Rahul Agrawal : So, typically what happens, ma'am, when we do any project, we have to do a basic and detailed engineering study. Mott MacDonald has been awarded the basic engineering work which is due to get completed very soon and that's when I said we will have a better idea of exactly what the CAPEX will be for that project, so that work is still ongoing and due to get completed very, very soon.

Moderator: Thank you. Next question is from the line of Ranbir Singh from Yashwi Securities. Please go ahead.

Ranbir Singh: While I was trying to calculate realization, so basically for the last quarter volume, this quarter, you reported that you did 44,094 metric tonnes last quarter, but in the last quarter the investor presentation, it was 44,538, so which would be the right number to take to calculate the realization?

Bhupesh P. Porwal : So, I think up till last quarter we have been publishing production numbers. So, that is the production number. And this time we have published the sales number. I think last quarter also was the sales number, up till December we were publishing the production number. So, that is the reason which is there.

Ranbir Singh: So, I had a question. Earlier what we have observed that realizations have increased 7% quarter-on-quarter. So, is this due to the base commodity price increase which happened in March '24 which led to better realization of existing inventory or was it due to a better product mix?

Rahul Agrawal: Yes. So, it would largely be a function of product mix. As you know, the product mix changes quarter-on-quarter, right? And that's why I've always guided that one should look at annual kind of data to get a blended idea of what those realizations would be, because it's possible that certain grades of products fell in higher volumes in certain quarters vis-à-vis in other quarters. So, this is more or less in line with what we would have expected for the kind of products to be sold in

this quarter.
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Ranbir Singh: So, I have another question like we have a listed competitor who's producing ABS. Their realization was a little higher than ours, so ours is lesser ma

inly because of the product mix

because we also produce polystyrene and that is sold at a lower cost. Is my understanding correct?

Rahul Agrawal: Yes. Broadly, you are correct. So, we also sell more SAN, and we also sell more polystyrene and the spreads between ABS , SAN and polystyrene all are different in the industry. And what we normally publish is a blended or a n overall result which is different from what the competitors would be publishing.

Moderator : Thank you very much. Next question is from the line of Tej from Nivesh aay Investment Advisory. Please go ahead.

Tej: Sir, I have a couple of questions. So, taking you f rom the previous participants, s ir, you said our realization has increased because of the change in the product mix. But is there a factor of freight cost leading to this increase in realization s?

Rahul Agrawal : So, this question has been asked earlier, so I think in the last quarter there is no real impact of the freight cost. So, ultimate ly that impact may come, but as of now, we don't see it.

Tej: And s ir, again, just a confirmation on a previous participant question, so you said there's a global spread and the spread for you too haven't changed let's say on an upward trajectory , it's at normal level only, right and you expect it to remain same going further if I'm not wrong?

Rahul Agrawal: So, this is the current understanding we have. Of course it can change from time to time, but as of what we as a management believe to be the case today and in the near-term future, that indeed seems to be the case.

Moderator: Thank you. Next question is fro m the line of Dattatray Chitnis, an individual investor. Please go ahead.

Dattatray Chitnis: Just compliments and compliments, Sir. My immen se gratitude to you and the board for the bountiful dividend . The Company is highly commendable. The management of the Company is immensely reliable. And the dividend policy is just incredible. They both deserve kudos and admiration for adopting the most e quitable and fair business practice to wards all stakeholders, which is very rare in the domain of listed Indian corporates. I am sure that you can see only such approach towards stakeholders among only multinational companies like Nestle, Colgate, Procter & Gamble to name a few . Thank you, sir, once again and convey my thanks to the board please.

Rahul Agrawal: We'll do, s ir. Th ank you for your appreciation, s ir. Appreciate your kind words.

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Moderator: Thank you very much. Next question is from the line of A shish from Inves Q Investment Advisors. Please go ahead.

Ashish: So, if I recollect the last call, you guided that the EBITDA margin of around 12% was a base and you will build up from there probably. So, that's what we could understand , but historically we've seen that given the nature of your business, the margins have both on gross and EBITDA, they've been pretty volatile o ver the years, So, what changes for the Company now that those bad days won't come back as in those 12% margins woul d be the base for the Company . I just wanted to understand that is there anything changes between you and your customers in terms of contractual arrangements or some inventory policy? Just your clarifications would help.

Rahul Agrawal: So, generally we don't give guidance on EBITDA percentage margins. What we have stated in the past is that post the 2 years of exceptional results and during global supply chain disruptions , after that things have normalized. And in a normalized scenario, what we are seeing in the industry today with all factors in play is something that is sustainable is what we have stated in the past and we continue to state the same . In terms of margins , generally the businesses work in terms of spreads, whether it is ABS, polystyrene or SAN, those spreads have remained sort of consist

ent . Some improvements we have seen , marginal improvements as we like I said augment our capacity and get some operating leverage. We reduce our cost in some areas that we have already mentioned and we improve our product mix. So, with these three factors and three levers that we have , we try to do whatever best we can in terms of the margin profile . In terms of EBITDA percentages, it can change because if your raw material prices go up, typically our finished product prices go up and there the EBITDA margins might look a little bit lower. And conversely, if your raw material prices come down, your finished product prices also come down

where your EBITDA margins look higher. So, I think in terms of absolute profitability based on the sales volumes that we do would be a good metric for you to understand how the business works, and we believe it's sustainable at where we are at with the continued effort to improve it going forward.

Ashish: So, maybe per KG or per tonne metric, is that not going to be as volatile on those matrices versus percentage margin, that's what you are insisting?

Rahul Agrawal: Correct.

Ashish: But Sir, there have been years when I can see history where the absolute profitability of the business has gone down substantially. So, I don't have the numbers to go on per tonne, this is how the profitability went. But you may not be the management that time, but maybe I think Rs. 10 crores – Rs. 15 crores was there in one of the years. So, that which was pretty deep in terms of negatives, so you don't see such scenarios happening in this business now. So, that's what I wanted to understand.

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Rahul Agrawal: I think you can answer your own question by looking at the overall industry what has happened.

So, if you look at specifically Styrenix or whatever name it was in its earlier avatar, you can understand how they were performing vis-à-vis competition. While overall competition seems to have performed better, this Company in its earlier avatar has performed a little bit poorer specifically for the years that you have mentioned. Now overall, of course, as the volumes have gone up, all the players in the industry have got some benefit on operating leverage and overall the spreads have improved somewhat, but this is still a very normalized scenario today that we are at. So, we don't anticipate any such dips currently because we have all factors such as competitive pressures in terms of global demand supply scenarios, all of these has sort of normalized and have been for the last several quarters and we don't anticipate that to change.

Ashish: Yes. So, the point to take is some bit of management issues were also responsible for those years where the profitability was low.

Rahul Agrawal: I won't comment directly on that. I hope you can appreciate it.

Ashish: Sir, one more clarification wanted to understand because you said in the opening questions that the global spreads have remained more or less there, but is there any change on the India side of it in the domestic business sees a better scenario for spread somewhere because of the freight issues that are there?

Rahul Agrawal: Could be, but again my comment will be speculative in nature, which I shall refrain from making at this stage.

Moderator: Thank you. Next question is from the line of Akash Khaitan from Kredent Infoedge. Please go ahead.

Akash Khaitan: Yes. My question is on the realizations. So, I wanted to understand basically realizations per KG has jumped from around Rs. 126 to Rs. 145. So, what triggered this and are these the kind of realizations we can expect going forward?

Rahul Agrawal: No, I mean, raw material prices have gone up and so have the finished product prices. So, overall prices have moved in tandem with raw material prices. If you look at again, the overall profitability per tonne whatever, there are some slight improvements over there. And that is, like

I said, on account of operating leverage and some cost savings that we have achieved, but of course they are not of the same order of magnitude that you have mentioned because just looking at a price is not going to be able to tell you the whole story.

Moderator: Thank you. Next question is from the line of Nilesh Shaha from Julius Bear. Please go ahead.

Nilesh Shaha: Just one question from my end, right. So, in your earlier calls you have made a comment that something like 65% to 70% of the ABS that is sold is sort of specialty grade which we understand

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is a customized grade that you are supplying to a particular OEM could be an auto or appliances OEM to meet certain features on strength due to credibility, right. Could you comment on the nature of those contracts, right from a realization and pricing point of view, right? The reason I'm asking this is because I'm trying to better appreciate why the spreads are a bit volatile and I'm sort of struggling to understand that at least for this piece, what would be the dependence of your realizations for this piece on global ABS prices? That's my question. Thank you.

Rahul Agrawal: Mr. Shaha, since we have taken over management control in November '22 and having more kind of control over the business, say in the quarter post that in terms of spreads that you see, there is an incremental improvement on an annualized basis. But the volatility that you're alluding to is probably more to do with pricing rather than spreads. There has not been a lot of volatility since situation has normalized as far as the global markets are concerned. So, we don't

see a lot of volatility here . When we talk about specialized ABS or specialized or customized products that we give to customers, it's very difficult for me here to tell you how those spreads work because there are thousands if not more SK Us which are made as per the need of that customer and depending on the complexity of the product grade that needs to be made, the spreads can vary quite significantly. In terms of ABS, we sell ABS based on obviously base properties which impact strength. It is chemical resistance, it is tensile , ductility , processability. But then of course we can make high heat ABS, we can make electroplating ABS, paintable ABS , super high impact ABS, high gloss ABS and anti static ABS, UV resistant ABS and many such properties can be imparted to the product based on how you customize it , how you produce it. And even within that, there are hundreds of colors which can be produced and hundreds of additional properties which can be imparted to the ABS . So, to go into detail and explain to you how each of these grades, how the realization would work, is virtually impossible.

Nilesh Shaha: No, I am just generally asking the nature of the contract, so is it based on the sort of pricing of AB&S plus a markup or is there a linkage of the global ABS spread or ABS price that has observed . I was more sort of I wanted qualitative color on the nature of the contracts, not anything specific to do with the various products you must be selling ?

Rahul Agrawal: Yes. So, it would be in line with a kind of a cost-plus basis, right? So, depending on what my input costs are on raw materials and those raw materials would be determined by publication pricing, which is an AB&S , as you correctly pointed out . Beyond that, whatever the difficulty or complexity is would be added on in terms of margin.

Nilesh Shaha: Right. And then these have some sort of a reset frequency, right?

Rahul Agrawal: Yes. So, these are decided on a monthly basis because the pricing on raw materials changes on a monthly basis. And so would our contracts reflect that.

Mod erator: Thank you. Next questi

on is from line of Aditya Khetan from SMIFS . Please go ahead.

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Aditya Khetan: Sir, my first question is on to the ABS part. Sir, is it possible to quantify what would be the utilization level of ABS we have operated in this quarter and in FY24 and similarly in polystyrene?

Rahul Agrawal: Yes, I'm asking is Mr. Khetan referring to capacity utilization when he talks about utilization?

Aditya Khetan: Yes, Sir. Capacity utilization.

Rahul Agrawal: So, capacity utilization is near full utilization every single quarter. Like I mentioned, when we do debottlenecking, we realized there is a scope for additional volumes, which can be produced.

Now debottlenecking is a very broad catch -all term that we are using. We also do process improvements. We also do technology improvements along with that and that helps us realize higher volumes and that's a continuous exercise , but we are at any point of time operating on full capacity at that particular point in time or have been for the last five quarters.

Aditya Khetan: Sir, onto the ABS, when we look at the data for the past 2 years and today, we have witnessed that the ABS spreads have gone up by almost 30 % to 40%. So, now you are saying that the global spreads are almost in line as compared to last year. But the data suggests that so currently we are trading at around 30 % to 40% premium in terms of spreads and that is also reflected in your numbers . So, just wanted to know this improvement in spread is only because of the shipping cost or the ocean freight or there are some structural changes like which is happening either it could be because of lower imports from Korea or any other factor like which you can allude to .

Rahul Agrawal: We can take this question offline because I think your data and our data is a little bit different.

See basically when you compare spreads, the only data which is normally available at a global level is your general injection molding ABS grade. If I track the spreads on general injection molding ABS grade and I have that entire data for the last two years, there is absolutely no change. When you say it's increased by 30 % to 40%, we can take this question offline and we'll be very happy to answer it for you.

Aditya Khetan: Sir, on to the ABS, sir, you had mentioned. So, we are also funding the capacity , any sort of an index figure we have outlined. So, from 85,000 tonnes taking this capacity to around 2,00,000 tonnes, what would be the CAPEX figure?

Rahul Agrawal: So, like I mentioned, in this year, we are targeting about 105,000 tonnes or 100 to 105,000 tonnes of ABS. We are in line to do that . To go from 105 to 210,000 and of course polystyrene also to go from 100 to 150,000 tonnes. We have outlined an overall CAPEX guidance of about Rs. 650 crores . We will have detail on that very shortly. So, hopefully in the next few months where we will know exactly what will be the cost and how much would be the spend over the next few years and in which quarters. So, that detailing has yet to be done, but that was broadly the number

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which we had given earlier and that remains to be the case until we get more detail from our engineering studies.

Aditya Khetan: Got it. And sir, just one last question. Sir, on to the other expenses, the benefit which we have got in this quarter, so this we can assume it for the full fiscal FY25?

Rahul Agrawal: Again, yes, there will be a function of product mix. There will also be a function of specific seasonality in certain quarters. There could be factors which can help us, but you see there is an overall base spread which doesn't change too much or is not very volatile. There could be certain temporary or momentary changes which may happen. Like I said, we have not given any guidance, but

but you can consider whatever is happening currently as the normalized sustainable scenario.

Moderator: Thank you. Next question is from the line of Dhara from ValueQuest Investment. Please go ahead.

Dhara: My first question is on getting more clarity on the debottlenecking exercise that we're doing. So, I just want to understand this will open up how much capacity for us is it like 60,000 tonnes?

The reason why I'm asking this question is because there will be space capacity constraint before our doubling of capacity comes in FY28. If you can help me clarify this?

Rahul Agrawal: So, prior to us taking over management, the capacity of ABS or the maximum production or sales of ABS based on own produced products was close to around 65,000 tonnes which last year we did about 90,000 tonnes of ABS. This year we are targeting between 100-105,000 tonnes of ABS. This is all by virtue of debottlenecking. So, going from 105 to 210 is the larger kind of brown field expansion which will help us double the capacity. How fast it can happen, whether it can happen in a modular fashion and what will be the exact dates of commissioning. We will give more information on that, but initially, we had given a broad guidance of 28, but we believe that it can be done sooner, and we'll have exact information in the next few months on that.

Dhara: So, sir when you mentioned sooner, does it mean that we can do it in a phase fashion, or the entire capacity needs to come online at one time? Can it be?

Rahul Agrawal: Again, I think we'll have to wait for a month or two for to share that information. Once we have it, we'll share that with you.

Dhara: And what would be the total capacity ABS, SAN, polystyrene and blends all the capacity put together? What is the total capacity that we have today?

Rahul Agrawal: So, right now, it's going to be about 200,000 tonnes for the full year and for I think we have given that guidance as well where we have mentioned 200,000 tonnes for this year and the increases also, we have demonstrated or kind of indicated in the last few investor presentations
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ago. So, you can refer to that and that number would still remain valid as far as our current planning is concerned.

Moderator: Thank you. Next question is from the line of Pratik Singhania from Sage One Investments. Please go ahead.

Pratik Singhania: Sir, with respect to adding to Dhara's question, with respect to the existing capacity in last quarter's presentation; for ABS, it was mentioned that the existing capacity is 85,000 tonnes.

And for PS, it is 66,000 tonnes, but because of your internal efficiency and like process measures you said in FY24, you did a total production of 90,000 tonnes, right? So, sir, similarly for end of Q1 FY25, because of your own process improvement, what is the monthly or quarterly production capacity? It not the stated one, but the capability of the Company to manufacture like tonnage of ABS and polystyrene per quarter, how it would be?

Rahul Agrawal: So, whatever we have produced in this quarter is the maximum that we can produce. In next few quarters, there is debottlenecking which is happening on ABS, which will help us produce more. I think on the overall annualized basis, we are still on track to reach the number that we have mentioned, which is about 100-105,000 tonnes.

Pratik Singhania: Right. So, basically in terms of number, if I can assign a number, because I'm asking the historical number. So, at the end of this Q1 FY25, what would be the capability in terms of it would be similar 22,500 tonnes per month per quarter for ABS?

Rahul Agrawal: Well, if we are talking about producing 105,000 tonnes, that number would be a little bit higher, right? It would be closer to 25,000 tonnes or 26,000 tonnes and that is what in fact is the current capacity

Pratik Singhania: So, we have already debottlenecked the ABS capacity to 105?

Rahul Agrawal: No, we have not. We have done it, but we are very close to it. Balanced part of it will be done in the next quarter and then we'll reach that exact number.

Pratik Singhania: And Sir, currently what is our HRG capacity? How much we can produce per month?

Rahul Agrawal: So, HRG capacity is 24,000 tonnes and that is currently the case. Again there will be some debottlenecking over there in the next quarter which will help us produce more HRG.

Pratik Singhania: 10% to 15% debottlenecking can be achieved over year?

Rahul Agrawal: Yes.

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Pratik Singhania: And sir, when you'll be saying that you'll be adding like the capacity for ABS, for debottlenecking. So, we will not be sacrificing on our SAN tonnage, right? It will be incremental volume that will be added, or we have to?

Rahul Agrawal: No, that is correct. SAN, we have in fact additional capacity already in place. So, we will not have to sacrifice any SAN tonnage.

Pratik Singhania: And so similarly, if you can tell me about polystyrene like 66,000 tonnes, is it still at 66,000 tonnes per annum or you have done some kind of a debottlenecking for it to some midpoint or say 80,000-85,000 as of now?

Rahul Agrawal: So, SAN is currently at that capacity, what you have mentioned. In the next quarter that debottlenecking exercise should be completed and on an annualized basis, of course, it would be 100,000 tonnes. But for this year, because of sometime lost during the debottlenecking exercise itself, the overall capacity of Polystyrene would be around 75,000 to 80,000 tonnes.

Pratik Singhania: Sir, best wishes because like increasing 8000 tonnes incrementally Y-o-Y at an incremental fixed cost of just Rs. 5 crores net is commendable. All the best sir. Thank you.

Moderator: Thank you. Next question is from the line of Krunal Shah from Enam Investments. Please go ahead.

Krunal Shah: Yes, I have one question on ASALAC. Can you just help me understand the raw material mix that is required to make ASALAC and also on ASALAC, have you already started selling it in the market or are we still in the customer approval phase?

Rahul Agrawal: So, Krunal, ASALAC is composed of a different kind of a rubber which will basically like you have ABS composed of HRG and SAN for that matter. Similarly for ASALAC also, you would have ASA rubber which would be its own kind of rubber specialized rubber along with SAN and AMSAN. So, it would be similar in terms of percentages that would be used. The rubber part again is something which we have developed, and we would be partly using our own, partly buying from outside as well. The SAN and AMSAN pieces of course are pieces that we already have in house available to use, so that's ongoing. In terms of customer qualifications and validations, we have received some validations and some commercial orders have started, but these are still quite small, and we believe that the real benefit potentially will come towards the last quarter of this year.

Moderator: Thank you. Next question is from the line of Hemant, an individual investor. Please go ahead.

Hemant: So, my question is pertaining to the stake sale as a promoter. If the prospects of the Company are good and the future is very, very bright, and promising. Then why is there a stake sale by the promoter?

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Rahul Agrawal: Hemant, in terms of the functioning of the Company or prospects of the Company, they remain very much in line with whatever we have been speaking about and what we believe. So, that does not change. The stake sale is frankly a decision taken at the promoter level, which is considering the promoters own options to retire certain debt, which

was taken for the acquisition

of the shares itself and there was of course a pledge also created as a result of that debt. We believe that in the interest of the Company, in the interest of the shareholders as well as the interest of the promoters, it made sense to dilute some equity so as to alleviate that part. And that is a decision that the promoter group has taken. Of course it does not really have any bearing per se on the operations of Styrenix for which we are talking about here. But to answer your question, I hope that addresses your concerns.

Hemant: So, Sir, you mean to say that some debt was taken in by the promoter in acquiring the Company and the stake sale was basically done to retire that debt?

Rahul Agrawal: That is correct.

Moderator: Thank you. Next question is from line of Tushar Vasuja from Yoga Capital. Please go ahead.

Tushar Vasuja: So, yes, I have a few questions and I'm a bit new to your Company, so I'm sorry if there are bit rudimentary in nature, but my first question is can you give a revenue distribution based on the end industry that you serve?

Rahul Agrawal: So, Tushar, we produce 2 lines of products broadly ABS and polystyrene. In ABS, we cater to the automotive industry, we cater to household appliances or large appliances, electronics, medical devices, small appliances, stationery, toys. Generally, the revenue mix is about 40% in

automotive. Similar percentages in household appliances and then the other appliance, the other industries are of course smaller in nature. Polystyrene on the other hand again is about 40 odd percent in household appliances, similar percentage in packaging and then the other industries is where we have the rest of the sales.

Tushar Vasuja: And another thing that you mentioned a lot about debottlenecking, and you also mentioned CAPEX of Rs. 60 to Rs. 70 crores or somewhere about that for this year. So, does that include the cost for the debottlenecking or is it completely different expansion?

Rahul Agrawal: That's included.

Tushar Vasuja: Well, that's included. And I'm asking a bit of a broad question because how have things changed for the Company since the management has changed?

Rahul Agrawal: So, we believe that the Company has a very bright future in terms of growth prospects. I think that is one kind of management philosophy which has got re-instilled in the Company and its management team and in line with that philosophy, a lot of changes have happened in terms of Styrenix Performance Materials Limited

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product efficiency, in terms of projects that we are doing in terms of customer relationships. So, the entire kind of organizational structure, part of the Company has changed and is more geared towards ensuring that we grow.

Moderator: Thank you. Next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: So, on the freight side and the price increase, so what I have been checked with the traders was that the end of June is where the prices of ABS have gone up on account of freight and you were in short to mention the RM related price increase or the bulk freight price increases and the (Inaudible) 56.39 price increase which has flowed in. But you didn't comment on the freight related finished good price increases which have flowed in the month of June or the latter of month of June. Should we see that flowing in now in these quarters which are going to come by, that's first question? And my second question is the power and fuel cost, whatever projects you're implementing. Can you quantify the absolute EBITDA range benefit on account of this power and fuel cost and should one assume over and above this Rs. 19 a KG EBITDA which flowed in the Quarter 1 of this fiscal?

Rahul Agrawal: So, the overall ocean freight changes which have happened in the Far East which has an impact

on finished goods and the market in India is not reflected in the June quarter. There could be some impact of it in the current quarter. Of course, it would be speculative of me to comment on that. But this data you can independently verify as well. With regards to your second question, which is on utility cost, which is power and fuel. I think there are a lot of projects like I mentioned on fuel where we are commissioning alternate fuel source utility operations which are going to happen in this month and then consequently in after 2-3 months as well. So, all of this is going to lead to EBITDA improvement. Again, we haven't given a guidance on exactly what that percentage will be, and it will be premature for me to do that right now because we have to understand exactly what that will entail at full capacity utilization. But you will see the benefit of that incrementally I think from next quarter and in the full year for next year for sure.

Pritesh Chheda: Are these benefits materials or are the recoupe of percent type margin improvements? Can you give that kind of indication?

Rahul Agrawal: So, you know, just to give you an idea, when we produce fuel using natural gas, our cost is around Rs. 6 - Rs. 6.5 a KG. When we use certain alternate fuels, the cost per KG can come down to as low as Rs. 2.5 to Rs. 3. So, if you calculate and correlate that to overall fuel cost, you can see that it is fairly material.

Pritesh Chheda: So, basically freight related benefits has not flowed in Quarter 1 is what you're concluding. They can come incrementally in quarter 2 onwards and then you have the power and fuel cost saving to be written over for the Quarter 1 number that is the takeaway.

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Rahul Agrawal: Right.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I'll now hand the conference over to Mr. Chintan Doshi for closing comments.

Chintan Doshi: Thank you investors, investors communities for joining the call and showing interest in the Company and we look forward to answer you in the next investor call which will be announced at a suitable time in future. Thank you.

Moderator: Thank you very much. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Dec 2024

November 14, 2024

To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor / Analyst held on November 8 , 202 4
Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated November 5 , 202 4 informing about the earnings call organized by the Company on November 8 , 202 4, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary

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“Styrenix Performance Materials Limited Q2 & H1
FY25 Conference Call”

November 08, 2024

MANAGEMENT : MR. RAHUL AGRAWAL - MANAGING DIRECTOR,

STYRENIX PERFORMANCE MATERIALS LIMITED
MR. BHUPESH P. PORWAL - CHIEF FINANCIAL
OFFICER, STYRENIX PERFORMANCE MATERIALS
LIMITED
MR. CHINTAN DOSHI - MANAGER, LEGAL AND
COMPANY SECRETARY , STYRENIX PERFORMANCE
MATERIALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Styrenix Performance Materials Limited Conference Call.

We have with us today from the Management of Styrenix Performance Materials Limited Mr. Rahul Agrawal – Managing Director; Mr. Bhupesh P. Porwal – Chief Financial Officer and Mr. Chintan Doshi – Manager, Legal and Company Secretary.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

Further, on behalf of the Management of the Company, we would also like to remind the participants that this call is being conducted subject to and in line with the disclaimer mentioned in the Investor Presentation as is available on the Stock Exchanges.

I now hand the conference over to Mr. Bhupesh P. Porwal. Thank you and over to you sir.

Bhupesh P. Porwal: Ladies and gentlemen, Namaste, everyone. I am pleased to welcome you to our Q2 and Half Year Ended September '24 Conference Call.

As we reflect on our performance in Fiscal Year 2025, I am delighted to announce that we have witnessed a robust demand of our products in H1 FY25, marking a significant growth trend.

We have also completed debottlenecking activity at Dahej in end of September '24, increasing the capacity of PS from 66 KT to 100 KT. We are pleased to inform that with the minor capital expenditure, we have significantly augmented our PS capacities. We plan to complete the debottlenecking of ABS in the second half of this Financial Year. Our focus on sustainability and cost optimization is continuously aimed to maximize business value.

In Dahej, we have successfully converted our fuel source from natural gas to renewable fuel source for achieving our sustainability targets and better cost optimization at the end of September'24. We are on track to carry out similar changes in our other plants as well. Our expansion plan is going as per schedule. We will update you on this more once further details are available.

Coming on to our Financial Performance:

Q2 FY25 highlights. Sales volume for Q2 was 42 KT vs 48 KT in Q1 FY25 that is it has dropped by 13.5% and by 7.3% compared to Q2 FY24. This is mainly because of shutdown taken at Dahej plant for the debottlenecking. Revenue stood at Rs. 653 crores in Q2 FY25 vs Rs. 699 crores in Q1 F25 i.e. decreased by 6% and increased by 10.3% compared to Q2 FY24 which was Styrenix Performance Materials Limited

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Rs. 595 crores. PBDIT stood at Rs. 105 crores i.e. 15.9% which is better by 2.8% compared to Q1 FY25 and better by 1.5% compared to Q2 FY24. PAT stood at Rs. 70 crores that is 10.6% which is better by 1.9% compared to Q1 FY25 and better by 1.2% compared to Q2 FY24.

Coming to Half Yearly FY25 Highlights:

Sales volume for H1 FY25 stood at 90.1 KT vs 84.7 KT in H1 FY24 i.e. it has increased by 6.5%. Revenue stood at Rs. 1,352 crores vs Rs. 1,139 crores i.e. increased by 19% compared to H1 FY25. PBDIT stood at Rs. 197.4 crores i.e. 14.5% which is better by 2.4% compared to H1 FY24. PAT stood at Rs. 131.3 crores that is 9.6% which is better by 1.9% compared to H1 FY24.

Q2 FY25 saw a better price realization.

We expect Q3 to be average based on historical industry trends. This is all about highlights for the quarter and half year and now we may proceed to answer the questions you may have. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. First question is from the line of Nirali Gopani from Unique PMS. Please go ahead.

Nirali Gopani: Rahul, since the last few quarters, you have been really emphasizing on improving the product mix to enhance overall profitabi

lity and this quarter results reflect that change. So, can you elaborate, like how has the product mix changed over the last few quarters?

Rahul Agrawal: Hi Nirali, is that all? Do you have anything else to ask as well? If you can ask all your questions together, I can answer accordingly.

Nirali Gopani: Then I will do that. Also wanted to know that how has the raw material price behaved? Does the quarter have any special one-offs when it comes to raw materials, any inventory gains? And lastly, you had mentioned in the last call that we will update on our CAPEX number after the engineering studies and so any update on that side?

Rahul Agrawal: Thanks, Nirali for your questions. With regards to product mix change, this is a continuous process. We are continually looking at product mix improvements that we can do, however as far as this particular quarter is concerned there is not anything significantly different. Yes, there is a product mix which is reflecting certain realizations that we see in this quarter, but it is not of a significant nature per se. I mean there is a specific trend and that trend and that trajectory is in the manner which we have projected and we are working towards. As far as raw material changes are concerned, raw material changes have not been again very significant. If you look at the three key raw materials which we use Styrene monomer, butadiene and acrylonitrile, if I look in quarter-on-quarter, raw material prices have not changed too much. Butadiene prices did increase if I look at year-on-year. Similarly, acrylonitrile prices have remained, acrylonitrile and styrene prices have largely remained stable. However, as far as raw material changes are concerned, Styrenix Performance Materials Limited
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concerned, that has not impacted us significantly because we have been able to pass on those increases to customers is reflected in our realization. There is no significant inventory gain or losses in this quarter as well that we see. With regards to you, the CAPEX numbers, there is engineering studies which are almost closing. We have some idea of how the CAPEX will be and what kind of expansion we will be able to achieve with that, however, we are in the process of ascertaining the same and ensuring that we have the right information and we are sure of it before we release that information into the public domain, which we plan to do in a short period. But as Mr. Bhupesh has already highlighted, we are on track to meet our expansion schedule as earlier indicated.

Nirali Gopani: So, just one follow up if you can allow. So, Rahul, then what would you attribute to this improved profitability to unflush that on a lower volume?

Rahul Agrawal: Nirali, there have been some movements in freight as well. You know, I think in the earlier quarter I had mentioned that in the next quarter there might be some changes in freight. We saw some price movements on account of international freight, particularly for the first month, which was in July. However, that normalized in August and September. So, there is some impact of that. There is some impact, of course, of product mix as well. And finally, there is also an impact of certain better price realizations on account of optimization at our end for those specific products. So, it's really a combination of all these different factors which have resulted in the numbers that you see for the specific quarter.

Nirali Gopani: And we can assume that this will be sustainable, given all the efforts that we are taking in the similar direction?

Rahul Agrawal: As you have seen, and I have emphasized in earlier calls as well, one has to look at our annual performance because quarter-on-quarter, there are changes because of these different markets that we cater to. There are certain markets for which demands are not necessarily entirely even across the year but on an annualized basis we get a truer picture. So, I

think if you look at it from

that perspective we are definitely on the right trajectory, and it would be sensible I think it would be who was to do that kind of analysis instead of quarter-on-quarter.

Moderator: Thank you. The next question is from the line of Pooja Doshi, who is an individual investor. Please go ahead.

Pooja Doshi: I wanted to know what is our current OEM, non-OEM mix, or target mix, and any new client addition that you want to talk about in the OEM space? That's the first question. The second is, can you just give a few examples of value-added grades that you're planning to develop? What would be the margin profile versus traditional products and how do you see the mix changing? The third would be, what is the purpose behind setting up a subsidiary in UAE? If you could just broadly talk about it. Yes, those are the three questions.

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Rahul Agrawal: We are engaged in two lines of business. One is what we call ABS in SAN and the other one is polystyrene. Our OEM percentage in the ABS-SAN mix has been always a little bit higher than 50% and you know, we are tracking the same. We have seen incremental increases only in the OEM percentage. As far as polystyrene is concerned, our OEM sales were much lower historically that has increased. So, if it was less than 25%, we are seeing increases going up to

30% or higher than 30% and there is an ongoing effort to increase that further. In terms of value added grades, we have launched two new brands as we have indicated in our investor presentation. One is STYROLOY and the other is ASALAC. STYROLOY is a blends of PC ABS, Nylon ABS and other products and in the case of ASALAC it's ASA which is a weatherable product which has applications again in automotive and other industries. So, these grades have come into the fold. Today the percentage of these grades sold in the overall product mix is still small, but we have seen a fantastic response from all our customers and a very fast rate of adoption and qualification across all key customer segments. So, we do see growth there to be quite good. But the order of magnitude today is probably a few hundred tons, which we expect to increase significantly quarter-on-quarter. And I think the next year is when we will see the full effect of all these additional products that we are adding into the mix. Even in the existing product lines, we have started with more FR products, in the case of ABS, HIPs, pre-colored in the case of HIPs. All these are also continuously adding to our overall product mix. It's hard to quantify exactly what that percentage is today, but definitely that's a trend in which we see a higher percentage of value-added products in the mix. As far as the UAE subsidiary is concerned, as you are aware, we are largely focused on the domestic market in India. And as we expand capacities, we do believe we would look for opportunities internationally. And we do understand and believe that UAE would be the right place for us to carry out our international activities as a base. Hence, that's the logic of setting up the subsidiary over there to carry out business in the near and medium term future for Styrenix at a global level.

Pooja Doshi: I just have two more questions. You said that, you will update us on the CAPEX plan of the Rs. 650 crore. Just wanted to know if you have any idea about the asset terms at this moment and how do you plan on funding the CAPEX and with this huge CAPEX is there any change in our payout policy? Yes, like those two are the other two questions.

Rahul Agrawal: So, like I said, engineering studies for at least part of the Rs. 650 crores is nearing completion and we have some sense of what will be the CAPEX required and when would the expansion timeline be frozen. However, we are ascertaining that and being sure of all our numbers before we release it into the public domain

. So, that will be forthcoming soon. I think the payout policy or whatever, as I mentioned in the past, is all a function of how best those resources of the Company can be utilized. If we do believe that the expansion can be brought forward and funds are required for the same, then the funds would be demarcated towards that purpose. However, if we believe that is going to be prolonged, then the funds may be distributed as per, as would be the management decision at that time. So, I think we will take that decision into advisement at the right time. However, there will be some kind of information which will be forthcoming
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from our end, vis-à-vis once we have complete clarity on all our numbers with regards to CAPEX and the expansion plan.

Pooja Doshi: And do we hold on to our 15%-20% volume growth guidance and Rs. 18 to Rs. 20 EBITDA per kg guidance for FY25 or is there a change?

Rahul Agrawal: We have never given any guidance on rupees per kg. These are all in numbers which have been inferred or implied based on our discussion and investor calls. And we do not also even now give any such guidance. However, as far as volume growth is concerned, we have given some indications of how our capacities would grow over year and our volumes would follow along with those capacities and we are maintaining the same guidance currently.

Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: My first question is onto the ABS and Polystyrene. So, this quarter, we are debottlenecking the capacity. So, any broad numbers you can give onto the topline, how much topline would be added from this PS and what is the timeline when we can achieve the peak utilization levels here. And similarly for the ABS, what would be the expected topline and how much time we will achieve the peak level?

Rahul Agrawal: So, typically, Aditya, we have had a revenue split of between 65%-70% to about 30% between ABS and PS historically. You can assume that as a basis. In terms of Polystyrene, we have completed our debottlenecking exercise as was mentioned in the opening remarks by the CFO. So, on an earlier realized volume, maximum volume of about 65,000 tons we believe that our enhanced capacity after the debottlenecking would be to the tune of 100,000 tons. This is of course on an annualized basis. We have completed the debottlenecking by end of September and we are gradually now ramping up to realize that entire capacity. We do believe that the next financial year we would have the benefit of the entire capacity which should be 100,000 tons. To that effect, in this year you would have to assume a number between 65 and 100, considering that the debottlenecking has happened after half part of the year. With regards to ABS, also I think we have given some idea of what would be our production numbers. So, I think you have

to assume that we are on track to reach those numbers and topline of both ABS and PS as for the earlier revenue splits can be extrapolated to get those numbers.

Aditya Khetan: Sir, any broad figures if you can help so this 40,000 tons of Polystyrene can add somewhere around Rs. 400 crores to Rs. 450 crores to the topline?

Rahul Agrawal: That would be a fair estimation. Of course, as you know that the pricing of Polystyrene or ABS for that matter tracks with raw material pricing, which can be volatile as we have seen historically. But assuming current pricing of RM, that would be a fair estimation to make.

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Aditya Khetan: My second question is on the raw material side. On sequential basis on most of the like we had seen that the raw material prices have been slightly up but sir in our case there has been a benefit in terms of the lower raw material prices or there is so

me inventory gain benefit that has been

clearly seen. Any idea sir, you can give this boost in EBITDA on sequential basis and on per kilo basis also when we calculate the gross EBITDA, so we are standing at the highest level.

How this is like, is this related to the better product mix or higher the OEM contribution or there is some inventory gain benefit which is there?

Rahul Agrawal: Like I have already mentioned, there is no significant inventory gain in this last quarter. It is all on account of the 2 or 3 factors which I have mentioned. One is of course OEM, non-OEM, there is also a product mix factor which may or may not be related to OEM or non-OEM. Certain additional value added grades being added into the product mix. There is of course certain better price realizations on account of certain freight-related movement which was in the earlier part of the quarter, which of course normalized in the last two months of the last quarter as well. So, all these factors have played a role in achieving the numbers that we have in the last quarter as mentioned and explained earlier.

Aditya Khetan: Just a follow up on to this. So, sir is there any idea, so from where are we taking the raw material, acrylonitrile, styrene and butadiene?

Rahul Agrawal: So, a lot of this information is easily available. Styrene and acrylonitrile are largely imported into the country. Acrylonitrile of course, there is now some domestic production as well.

Butadiene is largely or completely sourced locally. And the manufacturers for this is well known.

So, that information can be found easily online.

Aditya Khetan: Sir, just one point to clarify here. What we have heard from some of the other companies that the Butadiene prices in India are much higher as compared to the European market by around 15% to 20%. So, that should have led to some higher raw material prices only in our product basket also. Any idea how this has been in our case like how this has been versus the other company?

Rahul Agrawal: Are you mentioning that Butadiene prices are higher in India or lower in India? I am not clear. Can you repeat that?

Aditya Khetan: Butadiene prices are higher in India by around 20% as compared to the European market. So, players who are taking butadiene locally are at a disadvantage and their raw material price basket is a bit high. So, naturally, margin should have been declined. So, that's what I want to clarify.

So, that has not been in our case. So, I wanted to know what has been the reason for this?

Rahul Agrawal: There can be price volatility month-on-month, but as you know that all the three key raw materials are fairly large commodities, with a fair amount of elasticity in pricing globally. So,

there would never be such massive arbitrages on a prolonged basis between any two specific

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regions globally. I don't know if you are referring to a specific month, but on a medium to long term basis, this kind of price differential does not exist between butadiene or any other raw material or commodity material that we use. So, we don't see any real gap on a sustained basis between our pricing as well as pricing for companies across the world.

Moderator: Thank you. The next question is from the line of Pritesh from Lucky Securities. Please go ahead.

Pritesh Chheda: On your comments about the profitability change for the quarter, you mentioned that there was no RM price, there was no significant product mix change. So, it is fair to assume that the large part of the GP change is because of a better price realization that you realize in the quarter and which in turn was going to higher pricing because of the freight issues and where the finish goods usually comes from Southeast Asia? I would like to know then what is the sustainability of these prices as of now? What are the prices? My second question is, the natural gas benefit,

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onversion of natural gas to renewable is implemented in the September quarter in one of the Dahej plant. Is it fair to assume that the benefits of it will now flow incrementally and when will,

you know Dahej is basically a polystyrene plant. So, when will the benefits of your project get implemented in your ABS plant? And when will the benefits accrue on these two areas? And my third question is, in the next four quarter or 12 months, what is the ABS capacity that you will bring on production, the newer Brownfield capacity?

Rahul Agrawal: As far as the last quarter is concerned, I did mention that there are of course product mix changes which do happen naturally between quarter-and-quarter and this is not necessarily a trend per se, but we do see some product mix changes which did take place. There was of course also higher price realizations as you have correctly seen and some of it is also attributed not only to product exchange, but also to the freight movements. But of course, this was largely restricted to the first month of the quarter, which then quickly normalized in the subsequent two months of the quarter. The third part is, of course, we have also done, like I mentioned, some optimization in our own formulations of products and pricing. So, in terms of costing, that is also improved, which has also led to better price realizations. I think overall in terms of sustainability, I think again I mentioned looking at it quarter-on-quarter can be a little misleading. So, it's better to look at an annualized level. And annualized, we do see changes or movements which can happen in a quarter or two in any given year on account of freight or any other reason. But on an annualized basis we are you know again kind of in a trend which is in line with the direction that we are working with in terms of cost rationalization, in terms of better operating leverage, on account of capacity, being build better product mix. So, I think a lot of that is being seen in the quarter. And I think that is how I would look at it. As far as natural gas and renewable is concerned, you're right, it has been done very recently. So, some benefits would accrue incrementally. But the real full year benefit we will see in the next financial year. We are also doing things gradually. As you know these are all continuous product plans and highly sensitive to process conditions which can be affected on account of process parameters, on account of fuel or what kind of fuel we use in terms of temperatures and such things. So, this has to be done in a gradual manner which will not affect product quality output or safety in any way. So, this all
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has to be taken into account. And we will be doing this gradually and you will see the full benefit of the same in the next financial year, but you will see some benefits in the following quarters as well. In case of ABS, again, you know, we did some exercise where we outsource steam in one of our plants and this has been mentioned in one of the investor presentations much earlier on and that has led to a significant benefit on an annualized basis already for us. As far as our other plants are concerned, we are looking to change again to renewable and that would happen in the next few months. Again, realistically we will see the benefit of those kind of changes in cost rationalization in the next financial year, but you would see potentially some benefit in the next quarter. But it's a little bit early to be sure of that, depending on when that project is completed. As far as ABS capacities are concerned, whether it is bottlenecking or Brownfield, I think this has been elaborated in the earlier investor presentations. And all we can say we are either in line or well ahead of schedule to complete the same.

Pritesh Chheda: So, my question was on ABS, how much in the next 12 months you will get capacity ad

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from this current 100,000?

Rahul Agrawal: So, I think we have mentioned that this is an incremental process. So, again, hard to quantify at this stage, but on an annualized basis, we will be in line with what we have mentioned in our investor presentation.

Pritesh Chheda: On my natural renewable energy question, so Dahej was the first plant where you have implemented this, right? The other plants, the implementation will come now and the benefits will flow in thereafter, right?

Rahul Agrawal: There a few things which we have done with regards to fuel. In the case of Nandesari which is where we make rubber, we changed, and we outsource steam now over there, which we have explained in our earlier investor presentation, which has led to significant saving for us already, because that steam also uses renewable sources of energy already, but it's outsourced, given the land requirements in Nandesari and how to best optimize the same this is what we decided as a management to do. So, that benefit started accruing in fact, as of January of this year itself. In the case of Dahej is where we have obviously installed our own system. And we will see, we are starting to see some benefits now and again, full benefits we will see next year.

Pritesh Chheda: In Moxi, that's the main ABS?

Rahul Agrawal: So, Moxi is our compounding facility. They don't use really any fuel. Fuel would be used more in Katol where the SAN production takes place.

Pritesh Chheda: So, in Katol, even Katol has gone through, or it will go through the renewable change?

Rahul Agrawal: Next few months is when we are anticipating to complete that.

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Pritesh Chheda: Okay, that will be completed in the next few months. Okay, and just one question on my first question on the profitability part. I understand your answer. Is it fair to assume that the more sustainable profitability at the GP level based on whatever changes that happened between quarter one and quarter two, will be somewhere midway between quarter 1 and quarter 2 GPs?

Rahul Agrawal: Hard to quantify at this stage, Pritesh, I would not hazard a guess, but I think when you look at year-on-year and you look at specific quarters, we do know that specific quarters behave in a certain way due to certain product mix, which is driven by demand in those specific industries in those specific quarters. That is why it is better to compare it year-on-year. And on an annualized basis, as long as you're able to see the overall benefits in the organization based on the steps the management is taking, then we know what we are doing. We are on the right track.

Pritesh Chheda: But directionally we will see GP improvement on a year-on-year basis. And we will see OpEx reduction as well via the conversion to renewable, right? Both things have to play out eventually, right?

Rahul Agrawal: Right, so like I said, the three so called pillars of our strategy remain the same. One is we do cost rationalization measures through different means. We try to get better operating leverage with higher capacities, build up and utilization. And finally, obviously, better product mix. And that strategy is still exactly what we are following today. And we do see benefits of the same on an annualized basis for sure.

Pritesh Chheda: You had given a 2 lakh volume guidance earlier in your quarters for FY25. Is that guidance intact considering what volume number you have done for H1?

Rahul Agrawal: So, 2 lakh is what we have given on production. And I think, like I said, our sales volume would follow that and would probably, we will be in line with whatever we have said in terms of growth for this year.

Moderator: Thank you. The next question is from the line of Ranveer Singh from Yashwi Securities. Please go ahead.

Ranveer Singh: I had a couple of questions. I will ask all of them at once. So, question number one w

as, Rahulji,

do crude oil prices impact our raw material prices? That's question number one. Question number two is, how are contracts with our customers decided? Say for example, is it something like, you know, we sign a contract with them to say that we will supply you xxx tons for the next three months at a certain price, or is it like on a made to order basis? And are we able to pass on raw material price changes to customers efficiently? And question number three is, recently we are witnessing that there is a slowdown in the auto sector. So, does this also impact our sales? These are the three questions.

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Rahul Agrawal: Thanks Ranveer. So, as far as crude oil is concerned, you know crude oil of course has an impact on a lot of basic chemicals. So, crude oil has a very strong correlation with say for instance, benzene. Now benzene is one of the key raw materials for styrene monomer. However, what we have seen is while crude oil and benzene have correlated or tracked quite predictably, the correlation between benzene and styrene has not necessarily been elastic in that sense. So, I think the supply chain dynamics of our raw materials have been slightly different from that of crude oil. So, while crude oil on a very, very long-term basis would have a fairly strong correlation, many times on specific quarters or specific years, we may not see that stronger correlation depending on the demand-supply scenario of our key raw materials. And that is a case we have seen in recent past as well. However, I think this kind of flows into your next question that while this is important, this is not 100% relevant as far as our pricing and our margins are concerned, because a lot of our contracts are dependent on publication pricing of key raw materials and the contracts with many of our customers are decided vis-à-vis formulations, vis-à-vis formula pricing and these formulas are derived from commodity pricing which is published and transparently available. So, we are able to effectively pass on is what your question was, what increase or decreases that we see in our raw materials to our final customers as well. This is for bulk of the business, of course there is some business where it is open as well. In terms of auto slowdown, actually, we do supply into two-wheelers, four-wheelers, commercial vehicles, the entire segment. We, in fact, have a large presence in EVs as well. So, if I look at the entire breadth of the auto industry that we supply, our demand has still been quite good. We may have seen slowdown in certain pockets, as you rightly know. However, in other pockets, the demand has been quite good. So, for us, it is all been even and we have seen a decent growth in our numbers.

Ranveer Singh: A followup, where my question came from is like, I saw that crude oil prices slashed by 25% from say July, August, September, these three months. So, sir, going forward, can there be any pressures on our margins?

Rahul Agrawal: I think I answered that question in the previous answer, that crude oil prices may or may not have an impact first of all on our raw materials. And again our raw materials determine our pricing of our finished products. In the case of where we have contracts anyways it is fixed vis-à-vis formula. So, it really doesn't have any impact on absolute margins. Percentage margins of course will vary based on pricing movements. But in terms of absolute contributions, I think we are still well protected in spite of say movements in crude oil pricing.

Moderator: Thank you. The next question is from the line of Meet Parikh, who is an individual investor. Please go ahead.

Meet Parikh: I had a question related to the working capital changes. This year for the first half, we had almost Rs. 210 crores of increase attributed to 123 from inventories and 78 from trade receivables. So, I understand that our b

usiness is expanding, it's a new chapter. We are growing, but I would still
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if you could throw some light onto this rise in inventory, obviously revenues are increasing, but it is slightly more in proportion to that. So, if you could throw some light on that?

Bhupesh P. Porwal: I am Bhupesh here. Meet, you are very correct. So, inventories and trade receivables have increased. So, as trade payables have also increased. So, somewhere compensating on the inventory is part of that. So, receivables have increased because of particular rates which has gone higher, so the volume in comparison to the last quarter the receivables are higher. Inventory, yes some of the inventories we have kept intentionally high because of some of the other debottlenecking exercise going on so that in future we don't lose the sales like in September we had the polystyrene also debottlenecking exercise we are soon going to start the rubber debottlenecking exercise also. The second reason for inventory is that sometimes it happens at the end of the quarter or end of the month, you get some of the vessels coming together instead of coming in fragmentation. So, that's the reason inventories were higher. So, maybe it is a temporary effect. At the end of the year, we see a more normalized inventories at the end of the year.

Moderator: Thank you. The next question is from the line of Chirag Shah from Dalal & Broacha. Please go ahead.

Chirag Shah: Sir, I had two questions. One was, of course, a repeat question. The first question is, we're doing this fuel mix change across all of our plants. And I believe in one of our calls earlier, we had said that that should contribute around Rs. 2 to Rs. 3 per kilo kind of productivity gains. So, do we still believe that will happen? That is the first question. And the second question, a lot of participants have actually asked it and of course you've also answered it, but I think what most participants want to know is we have seen a significant jump in this, what does profitability per ton, is the EBITDA per ton as has moved. We were always in the range of 15,000 to 18,000 per ton kind of EBITDA which has now moved to around 25,000. So, yes, we understand there are a lot of one-offs. Maybe there are some structural changes as well. But where does it settle? Does it settle? You said that, okay, let's look at YoY basis. Don't look at it on a sequential basis. But where does this settle? Does it settle on the upper side of, say, around 18,000 odd per ton or does it settle structurally at a higher level because of the product mix change or operating leverage? So, just I think maybe some better sense will definitely help us.

Rahul Agrawal: Yes, Chirag. So, with regards to fuel, I don't believe we have given any specific guidance of Rs. 2 to Rs. 3 per kg. We might have explained how fuel cost works in terms of calorific value and the cost of producing steam which varies based on fuel type. So, I think we still believe that to be the case. Of course, all of those numbers are dependent on what is the cost of natural gas versus what is the cost of renewable fuel. We still believe there is a strong business case, you know, in terms of the delta between the two costs, and of course that measured as per unit of calorific value that we are able to generate from each of those fuel sources. So, that indeed holds true and we will see benefit. Again, it's a little difficult to quantify the exact benefit in terms of rupees per kg in the final product or for that matter in the price per steam and I think we will be
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in a better position to do that once we have an annualized saving that we are able to demonstrate. So, I think we have been able to demonstrate that for one of our plants, like I mentioned for our rubber plant, and we have got s

ignificant savings over there in the fuel, in the steam cost that we are consuming. And we will see similar if not higher savings in the case of our other plants where we are conducting the same kind of process improvement as well. The other benefit this also gives us is it moves us from using fossil fuels or non-renewable into renewable, which helps in

meeting our sustainability targets. As you know, this is becoming increasingly important, not only for us, but for all our key stakeholders, including our customers. And this is a very positive change for us in that direction. And net-net there is cost saving and sustainability which is both demonstrating a big positive for the company but in terms of exact quantification we will see that going forward. There will be some incremental changes in the quarter but next year we will see the full effect.

Chirag Shah: Sorry, but you believe that is the case for substantial savings?

Rahul Agrawal: Yes. With regards to product mix, yes, there is a product mix which has changed in this specific quarter. And quarter-on-quarter we do see changes in product mix which does affect our EBITDA per ton. It's very difficult to say exactly what that is going to be. That's why I always say it is better to look at on an annualized basis where there is less noise in terms of specific factors impacting a monthly or a quarterly EBITDA. On an annualized basis, we get a much better picture of overall product sales of different product categories that we supply. All we can do is, in terms of management strategy, is to move towards a better product mix and better operating leverage, both which will contribute to better realizations. And that is a case we have seen ever since we have taken over management control in November'22 and we are continuing to demonstrate the same.

Moderator: Thank you. The next question is from the line of Rohit Ohri from Progressive Shares PMS. Please go ahead.

Rohit Ohri: A couple of questions. The first one being, can you take us through the progress of Toyo Engineering for this expansion of 150 KTPA at the Dahej for this expansion of 150 KTPA at Dahej for the HIPS line, by when will that be ready? And what is the money that you've deployed and what sort of returns should we expect going forward? And are these margin accretive or some value-added products that you are looking at?

Rahul Agrawal: Thanks Rohit. So, we awarded the contract to Toyo only recently. I think we mentioned also in our statement that this is almost kind of a 6 to 7 month type of an engineering study which has to be carried out. The value of the engineering contract also has been mentioned. Now at the end of the engineering study we do anticipate to be able to augment our HIPS capacities. So, currently we do believe that we will be able to effectively more than double the HIPS capacity that we have. There is certain debottlenecking which is going on in our existing HIPS capacity which should ideally augment our existing HIPS capacity by around 30% to 50%. And when we Styrenix Performance Materials Limited

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look at a new HIPS line for which we have awarded the engineering contract to Toyo we do anticipate to have a new HIPS line with that augmented capacity, if not higher than that. That of course is also within the scope of the engineering study to what extent we can augment given the kind of engineering design and process philosophy we have with the existing HIPS production. We do believe that this project, based on a very initial estimation, would be value-accretive. However, this will all depend on once we have the engineering study carried out, we would know exactly what the CAPEX amount would be and when that would be completed and exactly what the capacity would be. So, these are of course very key variables to determine exactly the return on that investment. And in the absence of those key variables available, it is

hard to give a number to you in this call as of now. It is just our management kind of estimation that that would be the case and on the basis of which we have taken management approval or board approval to start the engineering study itself.

Rohit Ohri: Rahul, can you take us to the global demand, the strength, weakness, or maybe some discounting that we see in our PS, HIPS, or maybe GPPS prices because of the entire volatility that is happening in the system as of now?

Rahul Agrawal: Global demand, I am not sure in terms of how entirely relevant it is for the Indian market. There is of course a knock-on effect when there is a huge supply overhang or supply constraint globally in India. However, this does not translate to 100% impact on how we conduct our business in India. There are specific OEM, specific contracts which require local players, which require local production, which also require customized grades, which is also something we are looking to do in all the products that we are doing, whether it's ABS or Polystyrene, including HIPS for that matter. So, these all are somewhat insulated from what happens at the global level. We are very much focused on first trying to meet the requirements of our domestic customers before we venture outside. So, I think we are still on track to do that. And we do believe that whatever we have seen in the past few quarters has already considered or past few years for that matter, since you have taken over management control, we do see that whatever global impact could happen on the Indian market has already happened or is happening as we speak. So, there is not much that is going to necessarily change in that context going forward. So, we can keep that same set of parameters as relevant in terms of impact to the Indian market. And within that kind of environment, we are able to achieve what we are looking to do.

Rohit Ohri: We're not anticipating any sort of seasonality effect which generally comes in the month of December with certain bleak volumes or something of that sort?

Rahul Agrawal: I think we will see all those things. I think year-on-year, like I said, there is seasonality demand which happens for specific sectors. There are kind of peaks and troughs associated with different customers at segments that we cater to. And I think that will continue to remain. However, the height of the peak or the depth of the trough may change. So, that of course, would impact exactly what those volumes would be for that quarter.

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Rohit Ohri: I know you spoke about crude oil and formula-based pricing. My question is that how frequently or what sort of periodic research do we see or how many months it takes to pass on the prices to the customers?

Rahul Agrawal: So, many times it does happen that the change may happen, most of the times rather it will happen that change happens in the month itself. There is no real lag in terms of pricing, which we have on terms of RM and our customers. However, there could be fewer instances where there are quarterly pricing involved, where we could see a quarter lag. But by and large, in terms of the contracts we have, it's a monthly pricing.

Rohit Ohri: And can you share your views or your estimates related to the competition or maybe the import pressure which comes on SPML due to Southeast Asian countries like Taiwan, South Korea, Thailand, maybe Malaysia. Have we been able to get some market share from there? Have we increased our market share in these geographies?

Rahul Agrawal: So, I think on a steady-state basis, if I look at it during INEOS's management time, we were doing close to 46,000 tons, 47,000 tons of PS. Last year, as you know, we did about 65,000 tons and this year we are projecting to do higher. I think we are on track to meet that kind of volumes. I think you have a sense of what the over

all growth in the market is. So, we are definitely taking some market share in that form. And like I said, the competitive pressures that we have seen since we have management control is the same and is likely to remain the same. So, in the face of that, we have not seen any challenge in being able to acquire market share with increasing production output.

Rohit Ohri: Okay, that's quite encouraging. Last question, Bhupeshji. Can you take us through these contingencies which are arising from central GST and central excise, which was somewhere around 98.11 lakhs. Have we already provided for this or should we be seeing some exceptional item going forward in the second half?

Bhupesh P. Porwal: When there are contingencies, it means we have a firm legal aspect on it that these cases will be coming in our favor. It means we have not provided for it. That's the reason there are contingent liabilities. And if we see between the previous year and this year also, the contingencies have been reduced drastically because few of the cases have come in our favor and we are hopeful that others will also fall in line with what has happened in past, as and when cases comes.

Moderator: Thank you. The next question is from the line of Marut Shah, who is an individual investor. Please go ahead.

Marut Shah: I wanted to know about the overall ABS market. I am actually new to your Company, so I wanted to understand how much is the current capacity of ABS in India? And how much is the overall demand? And what percentage is we do and what percentage is currently imported?

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Rahul Agrawal: So, the ABS demand as of last year, I can give you numbers, was about 320,000 tons, out of which last year we did close to around 85,000 tons to 90,000 tons. And this year we are projected to do a little over 100,000 tons of ABS. So, this is what we are doing in terms of our whole market share. The competition, I think, publishes their numbers. So, you can check them on their website. And the balance would be, of course, imported into the country.

Marut Shah: I see some capacity addition from some of our competitors. And will that have any impact on our volumes, like our market share?

Rahul Agrawal: So, close to 50% or higher, numbers are still currently being imported into the country. So, I think given the timelines of expansions which are coming in by us and our competitors, we do believe that the market will be large enough to absorb most of the volumes which should be produced domestically. We also believe that the consumers domestically would prefer to buy from domestic suppliers. So, a lot of the market gains for all domestic production will come at the cost of or expense of imports which are currently happening into the country. So, we do believe that while there might be short- and medium-term kind of situations which may put some pressures from a longer term perspective, we do see all the incremental capacity additions being comfortably consumed by the Indian market.

Moderator: Thank you. The next question is from the line of Krunal Shah from ENAM Investments. Please go ahead.

Krunal Shah: I have two questions. One is on the debottlenecking Polystyrene that we had in Q2, can you just share your assessment of the lost sales in PS because of that in Q2? And the second question is in terms of the value-added STYROLOY and ASALAC. You said the run rate is like 200 tons. So, just a clarification, I want to know is it like a quarterly run rate or the annual run rate is 200 tons?

Rahul Agrawal: Thanks for your questions, Krunal. So, in terms of the lost sales, I think we have lost about 3,500 tons to 4,000 tons of loss production, and probably some of it also sales, as far as polystyrene is concerned, on account of the shutdown we had to take to augment the overall capacity of polystyrene. In terms of STYROLOY and ASALAC we are doing u

p to now close to 100 tons

a month. And I think this number of course is on a, because it's still a low base, we have seen a significant growth month-on-month which will kind of be a significant addition to our overall product mix in the next financial year.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Chintan Doshi for the closing comments.

Chintan Doshi: Thank you, investors community for joining the call and showing interest in company and we will look forward to answering you in the next quarter at suitable time. Thank you.

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Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 03 , 2025

To,
BSE Limited
Dept. DSC_CRD
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Dalal Street
Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
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Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor s / Analyst s held on January 31 , 2025
Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated January 28 , 202 5 informing about the earnings call organized by the Company on January 31 , 202 5, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary

Encl: As Above
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“Styrenix Performance Materials Limited Q3 FY '25 Earnings
Conference Call ”

January 31, 202 5

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR
MR. BHUPESH P. PORWAL – CHIEF FINANCIAL OFFICER
MR. CHINTAN DOSHI – MANAGER LEGAL AND COMPANY
SECRETARY

Styrenix Performance Materials Limited
January 31, 2025

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Moderator: Ladies and gentlemen, good day and welcome to Styrenix Performance Materials Limited Conference Call.

We have with us today from the Management of Styrenix Performance Materials Limited. Mr. Rahul Agrawal – Managing Director; Mr. Bhupesh P. Porwal – Chief Financial officer; and Mr. Chintan Doshi – Manager Legal and Company Secretary.

As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone.

Please note that this conference is being recorded.

Further, on behalf of the management of the company, we would like to remind the participants that this call is being conducted subject to and in line with the disclaimer mentioned in the investor presentation as is available on the Stock Exchange.

I now hand the conference over to Mr. Bhupesh P. Porwal. Thank you and over to you, Mr. Porwal.

Bhupesh P. Porwal: Thank you. Ladies and gentlemen, Namaste everyone. I am pleased to welcome you to our Q3 and the period ended December '24 Conference Call. As we reflect on our performance in the fiscal year 2025, I am delighted to announce that we have witnessed a robust demand for our products for nine months of FY '25, marking a significant growth trend.

Coming on to the Financial Performance of Q3:

Sales volume for Q3 was 47.5 KT versus 41.8 KT in Q2 FY '25, that is an increase of 14.5%, and by 34.4% compared to Q3 FY '24, which was 35.6 KT. Revenue stood at Rs. 691 crores in Q3 FY '25 versus Rs. 653 crores in Q2 FY '25, that is an increase by 6%, and increase by 42.5% compared to Q3 FY '24, which was Rs. 485 crores. PBITDA stood at Rs. 75.4 crores, that is 10.9% versus Rs. 105 crores at 15.9% in Q2 FY '25, and Rs. 60 crores, that is 12.3% in Q3 FY '24. PAT stood at Rs. 47.7 crores in Q3 that is 6.3% versus Rs. 70.1 crores at 10.6% in Q2.

For the YTD FY '25 highlights:

Sales volume for YTD December 2024 stood at 137 KT versus 120 KT in YTD December '23, that is it has increased by 14.3%. Revenue stood at Rs. 2,043 crores versus Rs. 1,623 crores, that is an increase by 26% compared to YTD December '23. PBITDA stood at Rs. 273 crores that is 13.3%, which is better by 1.1% compared to YTD December '23. PAT stood at Rs. 179 crores that is 8.8%, which is better by 1.1% compared to YTD December '23. We expect Q4 to be average based on historical industry trends.

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Styrenix entered a SPA with Ineos Styrolution Group GmbH on 9th of December, '24, for acquiring 100% shareholding of any of Ineos Styrolution (Thailand) Co., Limited, located in Thailand. The acquisition transaction has been successfully completed on 17th of January, 2025. Styrenix Performance Materials is now holding 100% control and shares of Ineos Styrolution (Thailand) Co., Limited through its affiliates and subsidiaries. The new name of the company has also been changed effective today, and now it will be called Styrenix Performance Materials Thailand Limited.

We had also announced about our debottlenecking exercise and expansion plans in October '23. We have completed debottlenecking activity at our polystyrene plant in the last quarter which we have discussed. And in this quarter we had completed at our Nand esari plant, increasing the rubber capacity up till 27 KT. We had announced about our expansion plan in October '23, we are also significantly accelerating our plant brownfield expansion in ABS and aim to add as part of Phase 1, 50 KT ABS capacity by middle of 2026 itself, which in our earlier plan was 2028. Phase 2 to add another 50 KT of ABS will

follow and is expected to be commissioned ahead of the schedule.

This is all about the highlights for the quarter and period ended December '24. And now we may

proceed to answer the questions you may have. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Rahul Agarwal with Ikigai Asset Management. Please go ahead.

Rahul Agarwal: Hi, very good afternoon. Thank you for the opportunity. Sir, one question was, firstly, congratulations on the acquisition, which seems like a good quality asset at a reasonable price. Could you help us understand the longer term thought process on this asset, please, in terms of how do you want to grow this business from here on? And what could be the return on investment we can expect overall on the entire asset, please?

Rahul Agrawal: Okay. Hi, Rahul. Thanks. This is Rahul Agrawal also. Now, in terms of the Thai asset, there are multiple synergies that we have with the current business in India. As far as the product profile is considered in Thailand, we are adding few technologies in the Thailand business which we did not have in India. For instance, we shall have access to certain extrusion grade ABS which can be used to make also refrigeration liner grade ABS, which is unique to the plant in Thailand. There is a large market for in India, which is currently served by imports. With this acquisition, we get access to that technology, which is a significant development. We also get access to certain water clear high chemical resistance SAN, which is again produced specifically in the Thailand plant and is not commonly produced elsewhere in the region. We also get certain other bimodal rubber technology which can be used for certain applications which are under the low temperature ductility kind of application.

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So, all in all, there are multiple new uses for the technologies which would be coming in from the Thailand facility which can help expand our product profile in India. There is of course a capacity also which we are getting. There is a rubber capacity about 31,000 tonnes, a total ABS capacity of around 85,000 tonnes, and a SAN capacity of 100,000 tonnes. SAN, of course, if it is utilized to make ABS, the SAN available for sale would be reduced by that extent. However, the asset is unutilized as you may have seen from the investor presentation. Ineos did about 74,000 tonnes of sales last year in the calendar year. So, overall, if you look at ABS and SAN and exclude the SAN used for ABS, the total capacity would be to tune of 125,000 tonnes. So, we have obviously some headroom to grow over there. We get access to all different new markets as well. There are already fair bit of qualifications which have been done from product in Thailand in very key markets and key sectors like automotive, industry, household appliances in China, in Vietnam, in Indonesia, in Thailand, in Japan, in Korea. And we get access to all these markets also now. There are qualifications done with OEMs over there which can also benefit us in India and vice versa.

So, I believe there are multiple synergies with this business which can be exploited and explored over a period of time. We do believe, given the capacities, we can achieve similar kind of a capacity utilization levels in Thailand that we have in India over a period of time, given our strengths which already exists in India and in Thailand. How that will finally result into a return of investment is a little early to give you exact numbers on that. But we believe, considering the cost of acquisition, this to be highly attractive and it should be a very rewarding acquisition for the company and its share holders.

Rahul Agarwal: Got it. So, to understand this is an operational plan

and, and whatever new additions on product side

we will do we will see numbers adding up on the consolidated numbers starting fourth quarter of Fiscal '25, is that understanding correct?

Rahul Agrawal: That is correct.

Rahul Agarwal: Okay, perfect. And secondly, the question was on my India business, looks like the margins could have been better I thought. So, just your assessment on the 3Q margins and the outlook for next six to 12 months? Thank you.

Rahul Agrawal: So, the margins in the second quarter, which was in September were a little bit higher on account of some extraordinary gains we had in that quarter. There were certain supply chain disruptions in that quarter on account of certain freights, which I had alluded to in the last call as well, those have normalized. So, those margins would not be the good benchmark to take. But if you consider year-on-year, our spreads so to speak are still quite healthy, and they are in line with what we have done. In fact we have done better if you look at year-on-year. Overall, on a blended basis, we have had higher sales of polystyrene in the last quarter compared to what we have had in the previous year. So, as a percentage of overall volumes, polystyrene might have contributed a higher percentage, and hence polystyrene having slightly lower margins historically, the

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overall margins might look lower. But net, net, the way we look at it, our spreads are still very

much intact and only growing.

Rahul Agarwal: Go ahead, Rahul. I have more question; I will get back in the queue. Thank you so much.

Rahul Agrawal: Thank you.

Moderator: Thank you. Next question comes from the line of Aditya Ketan with SMIFS Institutional Equities. Please go ahead.

Aditya Ketan: Yes, thank you sir for the opportunity. Sir, my first question is with respect to this Thailand acquisition. Sir, we are requesting like in terms of sales volume from 2021 to '24 there is a continuous drop, and in 2023 EBITDA also was in losses. Any particular reason? Because when we look at the global market, the spreads were healthy for the last two to three years. Any particular reason why this business was struggling?

Rahul Agrawal: So, in '21, of course, Aditya, globally all the polymer producers, including ABS producers globally had unusual windfall profits and the margins and spreads were very high. In fact, over the last two years, the years that you are alluding to, the global margins have not been very good. Of course, we have done much better in India. But the spreads across Asia or Europe or the US for that matter, have not been very healthy. And the spreads of course in Thailand also have not been very healthy. But I think the fact is that we have done some things differently in the Indian business, and we do believe that we can do similar things in Thailand as well after a period of time.

Aditya Ketan: But sir, any sort of a particular negative like, so wasn't the product fit for the market or any sort of a change like which has happened into that business, which is why it was not performing well?

Rahul Agrawal: So, I would ignore '21 essentially where the revenues were much higher on account of much, much higher prices due to the supply chain disruptions. If you look at the last three years, yes, '22 revenues were a bit higher, but they kind of normalized, if you will, for that part the business going to '23, and then '24 in fact there is a slight upside as well. So, the revenue has grown again from '23 to '24, coming back into a positive territory and in the right direction. So, '23 was of course a tough year for everyone globally and Thailand was no different over there. The product mix per se has not changed over there. I think overall sales volumes were a bit lower, as you can see. Sales volumes had reached high

level of 105 KT in '21 and then they dipped down to around

65 KT odd in '23, and then they moved up to 75 KT again. And obviously, from this point on, we do believe there is room to grow the business further in terms of volumes.

Aditya Ketan: Got it. Sir my next question is, sir when we look at your new capacities like which you have debottlenecked on polystyrene and on ABS, sir the additional volumes hasn't like flown through

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your EBITDA numbers, like the spreads have actually dropped. This is also related to higher increase in other expense. So, this operating leverage benefit hasn't played out yet and you expect this to come in the coming quarters? And what is the reason for this higher other expense?

Rahul Agrawal: So, I will speak to in terms of spreads. See, the overall spreads are still intact. If you look at in fact nine months, our spreads are much higher in the overall business which have been historically the case. And of course, some of it I have also alluded, and I have mentioned explicitly that in Q2 certain extraordinary gains we had in the second quarter.

But all in all, if you look at an average time in terms of spreads, the spreads haven't really gone down, in fact they have only increased. Again, I am repeating myself where I say that in the third quarter we have had higher polystyrene. We did debottlenecking of polystyrene in the second quarter, which is why polystyrene sales were lower in that quarter.

In the third quarter, after debottlenecking, polystyrene production and volumes came up. We are a supply constraint kind of company where we are limited by the amount of production we can make. So, once the production came online, we have been able to sell more of the product available to us in terms of polystyrene.

In terms of ABS, again debottlenecking has only been completed for our rubber plant as of end of December. And those benefits would come online perhaps in this quarter and the next quarter.

So, on an annual basis, I think the spreads are fine. And we do not see any major concern for that.

Other expenses, again, if you look at fuel or utility and those kind of costs, we do see a reduction, we do see an operating leverage over there. There could be some specific expenses which may have changed a little bit, but otherwise there is no significant variance.

Aditya Ketan: Got it, sir. Sir, just one last question, sir what would be the peak potential revenue we are expecting from the Thailand plant? And secondly, like, on to the standalone business so we are maintaining our volume growth guidance of 15% to 20%?

Rahul Agrawal: That is correct. For India business, we are maintaining the volume growth guidance. We have never given guidance, but we have always told you that we are increasing our capacities, debottlenecking our plants. And in accordance with how the volumes would be available to us,

our sales would grow. And we are maintaining that even now. So, as our debottlenecking and additional volumes become available to the company for sale, we are being able to convert that into sales for the firm. So, that is still on track very much so. As far as Thailand is concerned, I would take a cue from India business in terms of what volumes we do and what are the subsequent sales and revenue numbers associated with that. Thailand would essentially follow that as well as we are able to effectively completely utilize the capacities.

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Aditya Ketan : Got it. Thank you, sir. That's it from me.

Rahul Agrawal : Yes.

Moderator: Thank you. Next question comes from the line of Nirav Jimudia with Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir, good afternoon. Sir, I have two questions, one is on the ABS side. So, when we look at

rubber capacities here in India, which is now debottlenecked to 27,000 tonnes and which can now support our production close to around 100,000 tonnes, 105,000 tonnes of ABS. And when we compare our Thailand acquisition, there possibly the rubber capacity is 31,000 tonnes, but the ABS capacity is 85,000 tonnes. So, just wanted to ask you like does the quality of rubber plays an important role? Because generally when we see here it's like 0.25, but when we see our Thailand plant, it is slightly on a higher side. So, one, if you can share your thoughts here in terms of on the rubber side. And secondly, let's say when we will increase our capacities of ABS further by close to a round 100,000 tonnes; 50,000 tonnes, 50,000 tonnes of two phases, is it safe to assume that we would need additional 25,000 tonnes of rubber capacities to support this?

Thank you.

Rahul Agrawal: Yes, thank you, Nirav. So, you are right, the rubber that we produce in Thailand is a little bit different from the rubber that we produce in India. In the rubber that we produce in India also, after we took our management control as of November '22, we did some improvements to the quality of rubber due to which we were able to get higher rubber efficiency here. In Thailand, of course, it's not an exact comparison because it is a bimodal rubber which supports kind of high ductility applications as well. And it also supports certain other kind of applications of the final ABS. So, that rubber has its own properties and own qualities.

Again, it depends on which grade we are making. There are specific grades that we produce in Thailand which may require slightly higher rubber content. But yes, in terms of technological advances and synergies that can be used between both the sides in terms of perhaps improving rubber efficiencies in Thailand, these are projects that you will definitely undertake and see if we can increase capacities even further from the kind of nameplate capacities of 85,000 tonnes that they have over there.

As far as the expansion in India is concerned for the 50 KT additional ABS capacity, you are right, there will be augmentation required in rubber, also some augmentation in SAN and compounding. So, all of these things will be completed over the next 18 months. Some of the expansions may happen quicker in some of these cases, but the overall additional capacity of 50 KT will be available to us subsequently after 18 months, as we have stated.

Nirav Jimudia: Correct. So, sir, just wanted to clarify, like in terms of our continuous innovation on the rubber side, is it possible to further reduce those norms of rubber to ABS production, when we will take

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up those expansions? Or now we have already reached a peak innovation in terms of the rubber to ABS conversion and this could be taken as a norm ongoing forward?

Rahul Agrawal: So, there is always room for innovation, that's what I believe. However, we have covered quite a bit of a distance in terms of improving rubber efficiency or quality in India. There still may be some room to grow, but a large part of that has already been captured as of now.

Nirav Jimudia: Got it. Sir, the second question is on the polystyrene. So, when we see, like what we have seen is that we already expanded our capacities from 65,000 KT to 100,000 KT. And last time on the conference call when we interacted, you mentioned that like there are approvals pending from the customer's side, which would help us to, A, grow the volumes from the application point of view; as well as the normal growth what we can see from the consumer durable side. So, if you can share your thoughts here, like from the approval side, specifically from the application point of view where we stand at this point of time? Because once we receive that this could

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raightaway give us the incremental volumes, plus the normal growth what we can envisage in terms of the growth in the consumer durable side, so your thoughts here.

Rahul Agrawal: Yes. So, essentially, as we spoke about last time, we had a capacity of about 65,000 tonnes of

polystyrene last year. In the second quarter of last year, we augmented our capacities on polystyrene, thereby further enhancing our output of general-purpose polystyrene essentially to begin with. And we were able to expand that significantly with kind of approval investment that we did. We were able to achieve higher output as of last quarter, and hence those additional volumes which came in were easily sold in the marketplace.

And that happened because of both the reasons that you have already mentioned, because all the work that has gone in by our team in terms of validation was successful and we are able to get much larger share of OEM business that we were doing earlier. And also, as you know, normal growth is there in these sectors and applications that we cater to, so we are getting a benefit of both. Again, to reiterate, we are finally constrained by the amount of product we can produce and mostly all of the product that we are producing we are able to currently sell.

Nirav Jimudia: Correct. So, sir, two things here. One, are there still some application based approvals which needs to be received from the customers? And also, if you can break up our PS capacity between GP and HI, that would be helpful, sir.

Rahul Agrawal: Yes. So, I mean, there are some approvals which have already come through. There are approvals for certain grades which are still going on, which would still probably take maybe one or two quarters more. And what happens is, even after the approvals are received, there is of course a slow ramp up in terms of the demand of f-take by these customers, where they slowly start using these products in those applications for which they give us approvals. However, I think it suits us because, honestly, we are kind of running quite high on capacity utilization. So, as and when we are able to slowly increase the capacities to the level customers require them, I think we will

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be still, I mean, in line with demand as well as the supply situation. So, that is all going on. And in terms of GP and kind of high impact polystyrene, we were running at about 50:50, today the ratio might be close to kind of 65:35 where 65% could be a general-purpose polystyrene and 35% would be high impact polystyrene.

Nirav Jimudia: Thank you so much, sir. Just a last bit, because the application is predominantly the refrigerators and washing machines here for the polystyrene, how much of our total volumes would be spread across these two broader segments, if you can share?

Rahul Agrawal: It would be close to around, it's hard to give you for both the categories because, again, from HIPS and GPPS the off-take in both the segments are different, however, at an average broader level we can say around close to 40%.

Nirav Jimudia: 40% for each of them, right?

Rahul Agrawal: Yes. Overall, 40% would be in the durable sector.

Nirav Jimudia: Perfect. Perfect. Thank you so much, sir. And wish you all the best.

Rahul Agrawal: Thank you.

Moderator: Thank you. Next question comes from the line of Pritesh with Lucky Securities. Please go ahead.

Pritesh Chheda: Yes. Sir, I have two questions. So, first on the operating metrics side. So, between quarter one and Quarter 3, keeping Quarter 2 aside for the logistics benefit in the spreads, so between quarter one and Quarter 3, for a similar volumes the profitability is different in Quarter 3 versus quarter one, so Quarter 3 is lower versus quarter one. And we have a setup of higher volumes and lower energy costs

ing via the fuel change on one side, and the polystyrene higher contribution in the mix. So, if you could just explain these two quarters, how should we look at it in terms of the changes in profitability, because the volume is similar, we are about --

Rahul Agrawal: Yes. So, in quarter one, of course, the sales of ABS would have been much higher than in the case of Quarter 3. In Quarter 3, the sales of polystyrene are much higher. There are two reasons for that, one is, of course, we did debottlenecking for polystyrene in Q2, and that's why we had to take a shutdown also in polystyrene in Q2. Hence, we have a lower amount of product available in that quarter. Once the debottlenecking was completed, not only was the product available, it was available in higher quantities for Q3.

A similar issue was in ABS, as we already mentioned, we had kind of debottlenecking exercises done for rubber plant. So, slightly lower volumes were available for ABS in fact in Q3, which now has been corrected towards end of Q3. So, in Q4, again, the full volumes of ABS would also be available to us from our rubber plant. So, that is where we have had a kind of mix. So,

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overall, in terms of volumes, you will see higher volumes contributing in polystyrene in Q3, and in Q1, higher volumes contributing in ABS as the overall percentage.

Pritesh Chheda: So, Q1 had higher volumes of ABS, Q2 has volume of ABS because of debottlenecking of polystyrene. Q3 has a higher volume of polystyrene because of debottlenecking of ABS?

Rahul Agrawal : Correct.

Pritesh Chheda : Okay , understood. And what happens to the energy saving or the fuel change across plants ? Because you had started the year with only one plant, so where are we on that , and the 200 basis point savings on it on the margin side?

Rahul Agrawal: Yes, so 200 basis points is not something which I have ever kind of extended or specified , it has been inferred by everyone . But there is definitely a saving , we are moving in the right direction over there . We see a utility saving in Q3. We have completed , as you know, the fuel saving exercise largely also in Dahe j plant, which is a polystyrene plant , with higher throughputs which we have seen in the last quarter and consequently of course we will see even higher throughputs in Q4 in polystyrene . Those savings will be significant , which details will be available, of course, by the end of the next quarter as well to you.

As far as the other plants are concerned, we have delayed a little bit on the project on fuel saving because , frankly, we are running very full on capacity utilization . And we have had to delay that project because that would also entail some shutdown which we are not in a position to take. So, that could get delayed by a quarter or so on Katol, which is the SAN plant.

Pritesh Chheda : Understand . So, it only left on the SAN plant to bring the fuel check?

Rahul Agrawal: Right , that's right.

Pritesh Chheda : Okay . And what explains the Q-on-Q rise in the other expenses then?

Rahul Agrawal: I am sorry ?

Pritesh Chheda : What explains the Q-on-Q rise in other expenses line item between Quarter 2 and Quarter 3 ? Is it the certain debottlenecking expenses also a part of that ?

Rahul Agrawal: Yes, there are repairs and maintenance cost debottlenecking expenses which would be part of that as well. Yes, so I think that that would be the major expense which you have correctly pointed out, which would have caused some of those other expenses to increase.

Pritesh Chheda : So, for the nine months , since you have gone through two bottlenecking , both at polystyrene and ABS , we will have a larger repair and maintenance expense this year versus the last year ?

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Rahul Agrawal

: I think we are still almost the same , because last year there were other projects which had to be carried out , and this year there are different projects. So, there were debottlenecking projects which were carried out last year as well as you are aware , we did lot of process innovation as well and we did debottlenecking . So, this is different debottlenecking, it has just happened at different times of the year.

Pritesh Chheda : Okay . My last question is on Thailand asset. So, what should be the route to higher volumes or higher utilization ? And what should be the corresponding route to EBITDA improvement? And did you mention that the Thai asset should have a profitability similar to India or I misheard it?

Rahul Agrawal: Yes, so I have not made any comment with regards to comparative profitability . But in terms of asset utilization and revenue increase in Thailand, we do believe that there is a product profile there in terms of requirements across the world where we can service those requirements from that products produced in Thailand. We already have relationships , even from India for instance, which we can cater to . And at the same time, there are also relationships that we have in the other parts of the world which Thailand plant can contribute to . So, we will have kind of synergistic benefits in our sales channels.

On the product portfolio as well, there are a lot of interesting qualifications in the automotive sector. For instance, in Vietnam, in China, in Indonesia and great relationships from the plant in Thailand which are supplying relatively unique and great products . And we will be able to use that to our advantage in India as well . And consequently also , there are similar things going on in terms of product portfolio qualifications in India . So, both the things will work in our advantage. We do believe there are certain products for which we are already running short in India, so that additional capacities in Thailand can also be more effectively utilized in the short term till we get our own capacities on line in India. So, there are multiple ways to increase capacity utilization and revenues in Thailand. We will just optimize for what is best across the group.

Pritesh Chheda : Multiple ways mean a lot of that volume has to be exported. So, let's say when you look at our growth, (Inaudible) 32:03 growth and the auto growth, the larger growth country is basically India. So, the capacity utilization there will be a function of more volumes being sent to India , is that the way? So, when I said route to better volume, I need to know where incremental volumes will be sold basically .

Rahul Agrawal: So, if you look at the current business profile of the Thailand business, 50% of the sales come from China and Hong Kong, 25% comes from Thailand , and the balance 25% comes from Japan, Korea, Indonesia, Vietnam. We actually have a very good understanding of each of these markets. There is actually a lot of opportunity in these markets still which have not been tapped yet. So , while India is of course also a market where we can export from Thailand. It is not the

only market, and it is not the market we are necessarily depending on as far as the Thailand product is concerned.

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Pritesh Chheda : So, you have to sell more volumes in the existing market?

Rahul Agrawal : Correct .

Pritesh Chheda : And the profitability is what it should be there, eventually on a full asset , or what should be ROCE in your asset ?

Rahul Agrawal: ROCE on my investment ?

Pritesh Chheda : Yes, whichever way you are comfortable.

Rahul Agrawal: So, we have not given any, kind of estimation on the ROCE. And you are talking about on the Thailand asset, right, essentially ?

Pritesh Chheda: Yes, yes, Thailand .

Rahul Agrawal: Yes. So, on the Thailand asset ,

as you know, we have given \$22 million for the acquisition of the asset. If you look at certain other details we have shared in the investor presentation , actually they do not have any bank borrowings in terms of working capital either. There's a working capital of about \$13 million, I think about Rs. 109 crores which is used which was actually being given by the parent company , there's an offset over there . And there is cash in the bank of about Rs. 33 crores, about \$4 million, which is also sitting in the asset. So , you have to see in that context what we have actually paid for the asset, and what is the asset value. So, we do believe that depending on how the profitability changes over a period of time with all the measures we intend to do in Thailand , we do believe the ROCE will be quite comfortably good , on our investment at least.

Pritesh Chheda : But being a superior product, should the profitability then be higher than India , per unit profit ability ?

Rahul Agrawal: So, I would not call any product superior or inferior , these are different markets with different applications , they have different formulations. So, all these things have to be fine -tuned to really understand where the profitability is higher and lower . But, yes, there is a lot of room to do improvements and fine tuning in all these cases.

Pritesh Chheda : Okay , sir. I will come back if I have more questions. Thank you very much , sir.

Moderator: Thank you. Next question comes from the line of Ranveer Singh with Yashwi Securities . Please go ahead.

Ranveer Singh : Hi, Rahul. Congratulations on the acquisition. I had a few questions pertaining to the Thailand acquisition first. So , I see that our ABS capacity that we have acquired over there is 1,000 KT s, and last year we did a sales of about 75 KT s, which brought us a revenue of Rs. 1,100 crores. So,

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at full capacity , our revenue potential should be somewhere around Rs. 1,400 crores to Rs. 1,500 crores. And last year I see there was no EBITDA , so how do you see this going forward?

Rahul Agrawal: So, like we have already explained, the capacity can go up , whether the revenue will go to Rs. 1,500 crores or Rs. 1,700 crores , I cannot comment right now because obviously it's a function of price , and price is often a function of raw material cost which can be volatile from time to time. So , while I cannot comment on exactly what the revenue would be on full utilization levels, but keeping the assumptions of existing pricing in place, that seems to be reasonable what you are assuming. I think in terms of EBITDA, there is lot of improvements which are possible in the Thailand facility. The revenue increasing itself will make the business profitable. However, there are many other projects which we do believe are possible to further fine tune the asset. If you look at the India business also , there were a lot of things which were being done in a certain management method prior to our management takeover . And prior to the COVID eras when the company made large profits , if you see the balance sheet of Ineos Styrolution or Styrenix at that time for the period of '19 and '20, you will see a certain picture at certain capacities . With the same capacities or slightly higher capacities , obviously , we have certain EBITDAs which are much more healthy . So, I do believe there is a case to do a lot of work in Thailand along similar lines. We have to wait and watch what that yields in terms of exact EBITDAs .

Ranveer Singh : That answers my question . So, when you acquired the company in November '22, we saw that there was a margin improvement due to your experience of processes, so I get that. Yes. So, I just wanted to understand like , I was just seeing the balance sheet of the Thailand unit , so you were saying there are more long term debts

and the total equity is like Rs. 464 crores, so like how did we get the plant for Rs. 160 crores net of cash balances? Because I remember we had announced our capacities being expanded from for ABS from 105,000 tonnes to 210,000 tonnes, and for polystyrene for 105,000 tonnes to 150,000 tonnes, which was like a 150K tonnes increase, for which an estimated cost was Rs. 650 crores. I know that was not conclusive. So, like, is this like a really good deal?

Rahul Agrawal: I think you answered your question, no, Ranveer.

Ranveer Singh: Yes, yes, like I wanted an affirmation.

Rahul Agrawal: I do not see a question there, so I am not answering it, but I think you have answered it yourself.

Ranveer Singh: Okay. So, another question Rahul ji, like, we had planned 210,000 tonnes to 360,000 tonnes capacity expansion. So, is this capacity added included in that or that would be separate?

Rahul Agrawal: So, we have already mentioned in the investor presentations that whatever additional capacities we are augmenting, or we had planned in India, we are in fact accelerating it. So, essentially it

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is mutually exclusive from the Thailand acquisition. The Thailand acquisition will add capacities which are different from what we are planning in India. So, in India we were planning to add 100,000 tonnes of additional ABS, which was originally planned to come online by 2028.

However, we have in fact accelerated that where we believe part of that capacity or 50% of that capacity augmentation would happen in '26 itself, which is next year. And the balance 50,000 also would be ahead of schedule, as our CFO has already pointed out. In the case of polystyrene, again, we are conducting additional engineering studies. So, we went from 65,000 tonnes to 100,000 tonnes, we do believe getting up to 150,000 tonnes or higher numbers also would be achieved considerably fast. So, we are accelerating all our plans as you can see, and this is a mutually exclusive from the Thailand acquisition.

Ranveer Singh: Thank you, Rahul ji, that answers my question. And I just wanted to understand like SAN and rubber, like where do they fit in the value chain? And do they have a separate market of their own or they are used to producing ABS and polystyrene?

Rahul Agrawal: So, ABS and SAN have got nothing to do with polystyrene, they are different products, they are different polymers. SAN, of course, is used as an intermediate to make ABS. SAN also has its own merchant market. SAN can be sold, do sell SAN in India as well. We sell certain volumes in the merchant market here. And in Thailand, of course, also SAN is sold globally. In the case of rubber, for ABS rubber can also be sold, it can also be bought, there are certain grades. But generally, we are always running short in terms of our rubber capacity to make our own ABS, so we do not sell it in the market.

Ranveer Singh: Okay. All the best. Thank you so much.

Rahul Agrawal: Yep.

Moderator: Thank you. Next question comes from the line of Aashish Uppanla war from InvesQ PMS. Please go ahead.

Aashish Uppanlawar: Yes, thank you so much. So, this Thailand acquisition, it has been pretty well rounded up on the call, just a couple of things. I would have missed the current capacity utilization that we are running there. And secondly, the kind of turnaround that you have alluded to on the Thailand facilities, so what is the outer timeline for this to reach a reasonable level of, say, profitability? Because you would have done those low hanging kind of things that you would do there and bring it there. So, these couple of things would help us actually.

Rahul Agrawal: Yes. So, right now we are running at about 60% capacity utilization, 55% to 60% capacity utilization in Thailand. We will require some more time to real

ly detail and answer those

questions. We do have a sense of when it can happen, and we are running with a lot of projects currently in Thailand we have just initiated. It has been under two weeks that we have actually

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taken over management control. And as you can imagine, we are competitors within Ineos. So, there is a lot of information still which is coming for us.

In terms of asset, it's a great asset, there are no surprises. But in terms of the market opportunities out there, because these are different markets for us we do believe there are multiple opportunities where we can easily tackle to gain additional market share and increase revenue and increase volume capacity utilizations. But this will take a little bit of time. So, right now exactly how much time that will take is something that we will be able to better address in the next set of questions in the next call.

Aashish Uppanlawar: So, is it fair to assume that maybe in the next four quarters or 12 months we will be able to see quite a bit of this to kind of play out in terms of whatever?

Rahul Agrawal: I believe so, yes.

Aashish Uppanlawar: Okay . And lastly, I mean, we have seen the acquisitive nature of you as a promoter , and that's the way probably things have worked for you. So, is this going to be the modus operandi typically where you have done the Indian acquisition, now the Thailand acquisition, is it fair to assume that that we might have few more as these current acquisitions mature ? Are there opportunities , firstly? And would that be the strategy typically for you ?

Rahul Agrawal: So, I would not necessarily use the term acquisitive to be indicative of nature of promoters per se. I think we are looking at all and every opportunity which can help the company to become stronger, more robust , and grow essentially in a sustainable manner, in a safe manner, and I think we adhere to that strategy going forward . If there are opportunities, we will definitely look at it. But we do believe , currently with this acquisition in Thailand and of course all our planned expansions in India , there is a significant growth plan which has already been outlined between these two entities.

Aashish Uppanlawar: So, is it safe to assume that for the next 18 months probably we may not take anything more on the plate given the work at hand right now with organic and this in organic things now?

Rahul Agrawal: So, in the previous question I think someone did mention how attractive this particular acquisition was. So, if there are very attractive opportunities that come your company's way, I am sure you will not want me to ignore them.

Aashish Uppanlawar: Yes, actually. Thank you so much, sir. All the best .

Moderator: Thank you. Next question comes from the line of Ajay Sharma with May Bank. Please go ahead.

Ajay Sharma : Yes. I just wanted to ask you basically in terms of the global spreads. I see the global spreads actually for both ABS and polystyrene naturally actually have improved quite a lot in the last quarter . And despite that, I did not see that impact coming through for the company, I guess , as Styrenix Performance Materials Limited

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you explained because of higher polystyrene. But I guess should we see that benefit come through in Q4 ? Because I mean if the global spreads are improving , I guess , that improves your pricing power in India, right?

Rahul Agrawal: So, Ajay ji , overall if you look at the global spreads for ABS and polystyrene, we do not see in fact any improvement. I have the data in front of me , we can share this information offline with you. But overall , the spreads have in fact deteriorated in the last two quarters. They were very low of course in FY '24, they slightly improved in FY '25 in the first quarter, but they hav

e in

fact deteriorated in the last two quarters. If you look at the spreads in India versus the global spreads, Indian spreads are much better or at least our spreads are much better , I cannot comment on the entire market , but our spreads are definitely much higher than the global spreads. So, I think that is a position we do intend to defend. And going forward , we will work, and we will make sure that we are able to do that . And this is true by the way, both for ABS and for polystyrene , this declining spreads in the last two quarters.

Aashish Uppanlawar: Okay . And so , I am surprised actually with the data I have , it seems to suggest otherwise.

Rahul Agrawal: Like I said, we can share this offline with you , no problem .

Aashish Uppanlawar: Yes, yes, I will check that with you offline. But I mean, the spreads actually are already below the midpoint, I guess , in terms if you look at the long term averages . So, I mean, do you see room for global spreads to actually bottom out and improve or I mean what's going on , or is it the China factor which is driving them down?

Rahul Agrawal: Yes, I mean, if you look at the spreads say from kind of September '22 or October '22 until now , we have been managing this business for the last eight quarters now, I guess . In the eight quarters that you have seen, there has been a fair amount of volatility in the spreads, right, even though they are not high, they are low , but even at the low end there has been some volatility. You do not see the same volatility in our spreads, right , because of the nature of business that we do in India. So , I think globally, of course, there could be volatility going on in the future as well. We will have some knock on impact, but I think we do have certain positions which are defensible in India and we do believe that can be the case . So, like I have mentioned in the past, by capacity augmentation , by rationalizing cost and by improving product profiles we can remain ever more robust to ensure that our spreads are protected.

Aashish Uppanlawar: All right. And I mean, so Thailand profitability to that extent will depend much more on the global spread, right , I mean it's unlike India ?

Rahul Agrawal: So, one thing one has to be cognizant of , when we look at ABS spreads, global spreads, they typically talk about general purpose injection molding grade ABS, okay. In Thailand, the share of that business is extremely low , even now. We do business typically in high heat , we do in refrigeration grade liner ABS, and we do in certain specialized sectors like electricals . So, Styrenix Performance Materials Limited

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there is not a direct correlation per se. There is of course, again, like I said, a knock on effect for those spreads as well. But those spreads are generally better than what you would have in the general purpose injection molding grades of ABS, which would be the case what you would normally see in your spreads, which are generally published.

Aashish Uppanlawar: And would you say your spreads are compatible to Bhansali, because I see their spreads are quite high actually, more like 25,000, but where as your blended is more like 16,000, 17,000. So, I am just wondering is it the polystyrene bringing it down or your ABS spreads are comparable, or even your ABS spreads are lower than Bhansali?

Rahul Agrawal: So, I would not comment on the competitors. All I can say is our spreads are quite healthy and probably the best in the industry in India. And in terms of polystyrene, yes, there is certain improvements we have had as a result of validations and additional OEM business which we have got, and now of course with capacity augmentation. But there is still some room to improve in both, always.

Aashish Uppanlawar: Okay, last bit, so you are saying there is shortage in certain products. So, I mean, logically

shouldn't that mean better pricing power for you and better trend for spreads going forward?

Rahul Agrawal: So, capacities are being augmented by us and our competitors, and also there are imports coming into the country. So, there is healthy competition. While there is a shortage of locally produced product, at least in the case of ABS, not so much in polystyrene, but in the case of ABS there is kind of imports happening into the country, but we are also narrowing that gap with additional capacities coming online.

Aashish Uppanlawar: And the rupee depreciation, doesn't it help?

Rahul Agrawal: Not really, I would not say so.

Aashish Uppanlawar: Okay. Thank you so much.

Rahul Agrawal: Thank you.

Moderator: Thank you. Next question comes from the line of Anand Mundra with Soar Wealth. Please go ahead.

Anand Mundra: Hello sir. Sir, congratulations on a good acquisition. Wanted to understand, sir, how much more funds we have to invest in Thai business to turn a round it?

Rahul Agrawal: So, currently, Anand, no major CAPEX is envisaged. I think all of this will be planned after some time. And as and when there is anything significant which would be thought for Thailand, we would definitely kind of come out with some kind of information surrounding it for all our investors.

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Anand Mundra: Okay, so nothing for CAPEX, nothing for working capital? No more incremental investment required currently?

Rahul Agrawal: I think if the business grows, which we expect it to, there might be certain additional working capital required. But we will see how to tackle that. And in terms of CAPEX, currently there is no major CAPEX which is planned.

Anand Mundra: Okay. And sir, what is the gross margin of Thai business?

Rahul Agrawal: So, again, we have some information on that from Thailand. But again, its competitor information, we are not actually allowed to disclose it because this is information, which was with Ineos, we are still competing with them globally. As soon as we complete our first quarter of working in India, we will be able to give that information to the public.

Moderator: Thank you. Mr. Mundra, please rejoin the queue for more questions. Next question comes from the line of Meet Parekh with Mihir Asia & Company. Please go ahead.

Meet Parekh: Hi sir. Thank you for the opportunity. I wanted to ask about the 50 KTs that you are adding by FY '26, and beyond that the next 50 KT. So, what would CAPEX be envisaged for that? And also the polystyrene that we want to expand from 65 KT to maybe 100 KT, 105KT, so what would be the timeline for that? Will that be after the ABS? And what would the CAPEX for that be? Thank you.

Rahul Agrawal: Yes. So, Meet, as we had mentioned in the previous calls, our estimations were to the tune of about Rs. 650 crores investment for both the ABS, SAN and polystyrene businesses for their expansion. We still believe and hold on to that number with some margin of error. However, we do believe in terms of ABS and SAN, the investment outlay could be to the tune of about Rs. 500 crores. And for polystyrene, to the tune of about Rs. 150 crores. Out of the Rs. 500 crores, obviously, it will be in phases. The first phase, like I said, we are planning 50,000 tonnes of ABS and the next phase 50,000 tonnes. Some of that Rs. 500 crores, which is for overall 100,000 tonnes of ABS may be front-ended to enable quicker execution for the entire phase, Phase 1 and Phase 2 of ABS. For polystyrene, we have envisaged about Rs. 150 crores, but again, engineering studies are going on for additional polystyrene. We have done debottlenecking where we have augmented capacities from 65 KT to 100 KT. But to go from 100 KT to say 150 KT or 170 KT, we will require results of those studies to come back, and that

is likely in the next couple of quarters.

Moderator: Thank you. Mr. Parikh, please rejoin the queue for more questions. Next question comes from the line of Siddharth Purohit with Inves Q Investment Advisors Private Limited. Please go ahead.

Siddharth Purohit : Yes. Hi, sir. A lot of my questions have been answered, and you also answered partly on the Thailand operations, just one clarification if you could give. I understand the Thailand market is Styrenix Performance Materials Limited
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different and the pricing are different, but players who are already operating in that geography, what kind of spreads they might be operating as compared to India? Or maybe in absolute terms, if you can say?

Rahul Agrawal: So, again, Siddharth, it depends on what kind of business you are doing. There is publication data typically on the general-purpose injection molding grade ABS spreads which are publicly available. And the incumbents currently in the Thailand market are also selling both kinds of products. And the Thailand market, as you rightly said, is a little bit different from India. We do believe, from our perspective, we have an opportunity to grow further in the Thailand market. We only have only about a 10% to 12% share of the Thailand market as of now out of our total current sales of say 25% of our sales. But the Thailand market is also larger. There is a good opportunity there to grow, even within the sectors that we say cater to in India, say in the automotive or household, there are opportunities in Thailand which are currently not being tapped. We do believe that the spreads in Thailand for these specific markets to be the same, if not a little bit better in Thailand. So, we can take that and extrapolate that into some kind of a spread calculation that you would like to do for the Thailand business.

Moderator: Thank you. Mr. Purohit, please rejoin the queue for more questions. Next question comes from the line of Chirag Shah with Dalal & Broacha. Please go ahead.

Chirag Shah : Yes. Thank you for taking my question. Am I audible?

Rahul Agrawal: Yes.

Chirag Shah : Yes. Sir, I missed your last comment on the spreads on Thailand, which you said to the earlier participant.

Rahul Agrawal: No. So, basically what I said is, when you look at spreads for any country, the spreads vary depending on what kind of market segment you are catering to.

Chirag Shah : Correct.

Rahul Agrawal: So, if you are to look at spreads in Thailand say vis-à-vis spreads in India, for the specific market that we are catering to, say whether it's automotive or specifically say the liner grade ABS market which the Thailand business caters to, they are very different from the spreads that you would have in a general-purpose injection molding ABS business. I do believe that the spread in the Thailand business can be at par, if not slightly better than the Indian business for those specific grades. But again, this is a new business in terms of those specific grades for us. And over a period of time, we will do further refine what those spreads can be.

Chirag Shah : Okay. So, sir, generally for the company as a whole, obviously, I am including both polystyrene and ABS, we are at around \$200 of EBITDA per tonne, correct? So, you actually commented Styrenix Performance Materials Limited
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also saying that we are better than the world average. So, what would be the world average, global average for EBITDA per tonne, roughly how much discount it would be?

Rahul Agrawal: So, I do not know anybody who makes ABS and polystyrene in the same ratio that we do. So, of course, our EBITDA per tonne is a reflection of kind of what business we do at a blended level. So, it will not be fair to compare how we do it vis-à-vis anybody else in the world does it. There are spreads

available on ABS, there are spreads available on polystyrene globally. And typically, these spreads are definitely much lower than what we have in India.

Chirag Shah : Thank you.

Moderator: Thank you. Mr. Shah, please rejoin the queue for more questions. Next question comes from the line of Aditya Ketan with SMIFS Institutional Equities. Please go ahead.

Aditya Ketan : Yes. Thank you, sir, for the follow-up. Sir, on to the polystyrene business, sir like we have expanded to around 1.05 and we are planning to go to 1.5. Sir, just I wanted to know is there any economic sense like in expanding in polystyrene where in like the industry is growing only in mid-single digits? Apart from it, there is also a lingering issue globally on the single use plastic ban which can incrementally put a cap on the incremental demand for global polystyrene. So, you think sir, like expanding into the polystyrene makes sense? And is there any like, so we are planning to use more polystyrene to make the polystyrene compounds or the sheeting business which are made from polystyrene, is that the plan ahead or what is like we are planning?

Rahul Agrawal: Yes, it's a good question, Aditya. So, historically, the polystyrene business was operating at very

low volumes. Prior to our management takeover the average of that plant could be less than 45,000 tonnes per year. We do believe to achieve economies in that plant. And to keep that business profitable and more efficiently run, it was vital to enhance the capacities, and also the utilization levels.

So, first, we increase the utilization level to 65,000 tonnes, which we believe is the maximum that was possible in the plant prior to our debottlenecking. Post debottlenecking, we spent about Rs. 16 crores to debottleneck general purpose polystyrene where we are adding potentially close to 35,000 tonnes of volume. 35,000 tonnes of volume arguably adds about Rs. 350 crores at a capital investment of Rs. 16 crores would yield a very good ROCE in spite of the lower margins that you see in polystyrene. This we are able to do because of course it's a running plant where we are doing debottlenecking.

For the next phase of expansion for polystyrene, again, we are looking at HIPS, which is still growing well due to demand in refrigerators, and demand in air conditioners specifically also. We do believe there is a business case for growth. India will still be needing more HIPS. And our expansion will also be at a cost which would be akin to a brownfield expansion. And we do

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believe that the return on capital employed on that project would also be attractive, and further improve our operating efficiencies on the existing site for polystyrene as a whole.

Moderator: Thank you. Mr. Ketan, please rejoin the queue for more questions. Next question comes from the line of Rohit Ohri with Progressive Shares PMS. Please go ahead.

Rohit Ohri: Hi. So, for this strategically, geographically located property of 17 acres which is closer to the highway as well as the railways, as well as the ocean, if you say, the Gulf of Thailand. How much of free land is available? And what sort of scope is there for brownfield expansion, if any, over there?

Rahul Agrawal: So, it is hard to specify exactly what kind of a capacity augmentation can take place. There is some free land available, that is for sure, on that site. However, how that land has to be utilized and what kind of additional capacities can be augmented over there is something that we are still working out, it's still early days. Right now, the capacity of the existing plant itself is underutilized. We do believe that first you would like to address that. And there are certain other efficiencies which we do believe are possible at the plant level. So, there are multiple projects that

we are undertaking in order to get all of that in place. Once that is in place, we will definitely with a view and see what kind of further capacity augmentation is possible at that site with the free land available.

Moderator: Thank you. Mr. Ohri, please rejoin the queue for more questions. Next question comes from the line of Krunal Shah with Enam Investments. Please go ahead.

Krunal Shah: Thank you for the opportunity. My question is regarding the Thailand acquisition. So, if you could elaborate a bit about the competition in the area, or who would be the key competitor for the product that we are selling? And secondly on the mix, how is the mix between SAN and ABS in the Thai business?

Rahul Agrawal: Sure, Krunal. So, in Thailand, the market is around 150,000 tonnes to 200,000 tonnes of ABS. We actually have a very small share of that market, only about 10% to 12% market share. Around 40% to 45% of that market is with IRPC, which is the other ABS producer in Thailand. And the balance is still imported into that country. In terms of kind of split between our own ABS and SAN currently from Thailand, it's essentially half and half. So, 50% of product is SAN and 50% of product produced is ABS. So, there's a much higher percentage of SAN sold from the plant in Thailand say compared to India, for instance.

Krunal Shah: Got it. Great. Thank you, Rahul ji. Thank you so much.

Rahul Agrawal: Yes, sure.

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Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of the question-and-answer session. I would now like to hand the conference over to Mr. Chintan Doshi for closing comments.

Chintan Doshi: Thank you investors and investor communities to joining our meeting and showing interest in our company. We look forward to answer you in the next meeting which will be announced at a suitable time in the future. Thank you.

Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

May 30 , 2025
To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001
BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor s / Analyst s held on May 25 , 202 5
Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated May 21 , 202 5 informing about the earnings call organized by the Company on May 25 , 202 5, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary

Encl: As Above

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“Styrenix Performance Materials Limited Q4 FY-25
Earnings Conference Call”

May 2 5, 2025

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR ,
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. BHUPESH P. PORWAL – CHIEF FINANCIAL
OFFICER , STYRENIX PERFORMANCE MATERIALS
LIMITED
MR. CHINTAN DOSHI – MANAGER – LEGAL AND
COMPANY SECRETARY , STYRENIX PERFORMANCE
MATERIALS LIMITED

Styrenix Performance Materials Limited
May 25, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to Styrenix Performance Materials Limited Conference Call .

We have with us today from the Management of Styrenix Performance Materials Limited, Mr. Rahul Agrawal – Managing Director; Mr. Bhupesh P. Porwal – Chief Financial Officer; and Mr. Chintan Doshi – Manager – Legal and Company Secretary. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. Further, on behalf of the management of the company, we would like to remind the participants that this call is being conducted subject to, and in line with the disclaimer mentioned in the investor presentation as is available on the stock exchanges. I now hand the conference over to Mr. Bhupesh P. Porwal. Thank you, and over to you, Mr. Porwal.

Bhupesh P. Porwal: Thank you very much. Ladies and gentlemen, Namaste everyone. I am pleased to welcome you to our Q4 and the period ended March 2025 Conference Call. As we reflect on our performance in Fiscal Year 2025, I am delighted to announce that we have witnessed a robust demand for our products in FY '25, marking a significant growth trend.

As informed earlier in the last quarter, we have executed the management handover for INEOS Styrolution of the Thailand company on January 17, 2025. Some details of its assets, infrastructure and business has been mentioned by MD in his message in the investor's presentation.

Coming to the financial performance :

Q4 FY '25 highlights. Sales volume for Q4 was 48.3KT versus 47.5KT in Q3 FY '25. That is, it has increased by 1.7% , and by 9.5% compared to Q4 FY '24, which was 44.1 KT. Revenue stood at Rs. 702 crores in FY '25 Q4 versus Rs. 691 crores in Q3 FY '25, that is increased by 1.6% and increased by 17.2% compared to Q4 FY '24, which was Rs. 599 crores. PBDIT stood at Rs. 83 crores that is 11.8% versus Rs. 75.4 crores that is 10.9% in Q3 FY '25, and Rs. 74.2 crores , 12.4% in Q4 FY '24. PAT stood at Rs. 53.1 crores in Q4 , that is 7.6% versus Rs. 47.7 crores , 6.3% in Q3 FY '25.

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Coming to the yearly highlights :

Sales volume has been increased by 12.8%. It has gone from 164 KT to 186 KT. Revenue has grown by 23.5% in comparison to the previous year , growing from Rs. 2,222 crores to Rs. 2,744 crores.

PBDIT stood at Rs 356 crores , that is 12.9% , which is better by 0.7% compared to FY '2024. And PAT stood at Rs. 232 crores that is 8.5% which is better by 0.8% compared to FY '2024. The company has acquired Styrenix Performance Materials (Thailand) Limited in January 2025 only , and the consolidated results for the year ended March 31, 2025 includes financial results of subsidiaries.

But in the previous year 2023 -'24, the company did not had any subsidiaries. Therefore, only stand -alone financial statements were prepared. Accordingly, the previous years and quarter's figures , both presented in the consolidated financial statements are derived from the stand -alone financial statements of the company , and are not comparable with the current year 's consolidated figures.

Coming to the consolidated highlights for Quarter 4:

Sales volume was overall 65 KT, revenue stood at Rs. 940 crores, PBDIT stood at Rs. 90 crores that is 9.57%, PAT stood at Rs. 56.2 crores that is 6%.

Consolidated for the yearly highlights, sales volume was 203 KT, revenue was Rs. 2,982 crores, PBDIT stood at Rs. 362 crores that is 12.2% , and PAT was Rs. 235.1

crores in Q4 , that is 7.9%. This is all about financial highlights for the quarter an

d year -

ended March 2025. And now we may proceed to answer the questions you may have.

Thank you very much.

Operator: Thank you very much, sir. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Dhaval Shah from Girik Capital . Please go ahead.

Dhaval Shah: Yes, hello, sir. Great set of numbers. So, first small clarification from the presentation.

In our Chairman's comments, we mentioned about starting 50,000 ton production earlier , and it mentioned 2026 itself. So, does it mean FY '2 6 or Calendar Year '26?

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Rahul Agrawal: So, Calendar Year '26.

Dhaval Shah: Okay. Understood. Okay. So, that capacity will be reflected like in FY '2 7 then.

Rahul Agrawal: That's c orrect.

Dhaval Shah: Sorry, '27, you will be studying the capacity ?

Rahul Agrawal: Yes. It will be towards the end of financial year, you can say '26-'27. So, you will get some benefit of it potentially in the next financial year , and the full benefit would come in the following financial year.

Dhaval Shah: Understood. So, our installed capacity as of today would be 2,05,000 ton, ABS and polystyrene combined?

Rahul Agrawal: The combined capacity now that we would have for this yea r, because in the last year, we did a lot of debottlenecking activities and we did some improvements as well. The total capacity which we believe for this financial year would be to the tune of around 200,000 tons roughly. Ye s.

Dhaval Shah: 200,000 tons which will be available for the entire current year?

Rahul Agrawal: Correct.

Bhupesh p. Porwal: Yes.

Dhaval Shah: Okay. So, now we did around 1,85,000 ton. Sure. Please go on , sir.

Rahul Agrawal: We do believe that we would be carrying out some additional work , which could further augment some of that capacity in the middle of this year, but exactly how much that will enhance the overall capacity too is a little difficult to ascertain at this stage.

Dhaval Shah: Got it. So, if the demand is there , can we grow our volumes by 10% over FY '2 5 volume s, which is around 1,85,000 ton?

Rahul Agrawal: We believe so.

Dhaval Shah: We will have that much capacity to add another 10% on 1,85,000 ton.

Rahul Agrawal: Yes, we could .

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Dhaval Shah: Okay. So, 200,000 ton for the current year capacity , and then you have some debottlenecking. And then for FY '2 6, how much capacity will we have? How much growth can be supported?

Rahul Agrawal: I think if you refer back to our old investor presentation, we have out lined some numbers where we have mentioned exactly how the capacities will grow. Now, some of these are estimates , based on the activities which come in the middle of the year and are hard to predict exactly what that would happen. However, that forms a ro ugh guideline and that would be true in this instance as well.

So, essentially even this year, we do believe that our effective capacity will be actually a little bit more than 200,000 ton. Whether it will be 205 or 210 will depend on exactly when we are able to complete these activities in the middle of this year.

Again, like I mentioned, we do intend to add additional ABS capacity in the middle of the next financial year. So, that will add some capacity for us in the next financial year as well. So, I th ink we have given some guidelines on where those capacities will end up, and I think it will be in line with that.

Dhaval Shah: Got it. So, now coming to the P&L, if you look at the other expenses, now our other expenses for the quarter is around Rs. 80 crore s and we have done 48,000 tons, v is-a-vis compared to the last quarter, December quarter, it was Rs. 68 crore s of other expen ses and for a 47,500

ton volume. So, the additional increase in other expenses

around Rs. 12 crores would be attributed to what?

Rahul Agrawal: So, we have had some extraordinary expenses, one -off expenses in the quarter.

Essentially, we have had roughly Rs. 11 crores, which can be attributed to certain name change expenses in GIDCs. We have 2 GIDC plants. We have a plant in Dahej, and we have a plant in Nandesari, which is under GIDC.

And when we took over management control of the company, this required us to change the name registered with GIDC from INEOS Styrolution to Styrenix, and this process sometimes takes longer. So, this process while it has not been completed fully, it is coming to an end and we have taken a provisional expense to the tune of Rs. 11 crores for that, which obviously is not a recurring expense. So, it's a 1-time expense, which has been incurred in the last quarter.

Also, there has been an additional expense, kind of an extraordinary expense, which is related to acquisition of the Thailand company, which is to the tune of Rs. 4 crores. So, Styrenix Performance Materials Limited

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about you can say Rs. 15 odd crores is an additional expense we have had in the last quarter, which is a one-off expense and would not be a recurring cost to the company.

Dhaval Shah: Okay. So, let us say that this change of name is costing Rs. 11 crores or does it have some like ...

Rahul Agrawal: So, the industrial development corporation in Gujarat, I am assuming this would be similar for the rest of India as well, whenever there is a name change, basically the property is transferred to the new company's name. At that time, there is a fee, which has to be paid to the industrial development corporation, and essentially this is a provision towards that.

Dhaval Shah: Understood. Got it. And sir, last question.

Bhupesh P. Porwal: And also payment to the revenue authorities is there. So, both GIDC as well as Stamp Duty to revenue authorities.

Rahul Agrawal: Correct. Basically towards that line item, multiple expenses would be there.

Dhaval Shah: Would be there. Okay. And sir, how will be your outlook on spreads for the current quarter, Q1 '26? Does the current trend continue?

Rahul Agrawal: Dhaval, we do not give forward-looking statements, but all I can say is that we are in line to meet our targets for this year as well. And to the extent capacity is available for us, we should be able to have the revenue and growth which we predict.

Dhaval Shah: Noted, sir. Thank you very much. Good luck.

Moderator: Thank you, sir. The next question is from the line of Kalash Jain from AlfAccurate Advisors. Please go ahead.

Kalash Jain: Hello. Thank you for the opportunity, sir, and congratulations on good set of numbers.

So, sir, firstly, I just wanted to gain your view on the path for the Thailand acquisition and how the business will go on. So, any light you can give on the Thailand business?

Rahul Agrawal: Do you have any other questions, Kalash? Because I would like to capture all your questions before answering.

Kalash Jain: Yes, yes, sir. And my other question would be related to our sales volume in the Thailand plant. So, just 2 questions from my end.

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Rahul Agrawal: Okay. So, as far as the Thailand business is concerned, I think Mr. Porwal already mentioned, we took management control on the 17th of January. So, effectively, in the last quarter, we had a little less than 2.5 months of running the plant and the business. In that time, in terms of overall volumes, it is to the tune of around 17,000, 18,000 tons of sales, which we have done from there, which is in line with what the plant has been doing. Overall, we do have a target to increase that capacity utilization in the plant over there.

And we have taken a lot of steps, such as

expanding our sales infrastructure and

strengthening the efforts in terms of validation with newer products as well from that plant. We do believe there is a great opportunity for us to do that.

One of the positives that we have observed in the last quarter is that we have run the plant at a very high capacity utilization, just to be sure that the plant and the asset can support higher volumes when they would be required from that facility, with the demand coming in. So, that has been effectively achieved, and that's a very positive sign.

We do believe that, with all the efforts that we are putting in, we would have within a reasonable period of time, be able to achieve very high capacity utilizations with the Thailand business. So, we don't give, again, like I said, forward-looking statements.

That business, in terms of the customer profile, the profile is similar, but the markets are a little bit different. So, we will need a little bit of time before we can be exactly sure of when those capacities would be completely filled up.

Kalash Jain: Okay, got it, sir. And, sir, just on the realization at the Thailand plant. So, like what would the path look like, and in how much time can we take our realization on the upward scale? And secondly, on the cost perspective. So, for the Thailand part, how would the cost work and will it be in the higher range only or how does it work? So, just wanted your view on it.

Rahul Agrawal: So, it's a process, Kalash. Like I mentioned, it's a business we have recently taken over. For the price that has been paid for the asset, we do believe there is significant value that will be generated from that asset for the organization as a whole. There are multiple technologies which will also be of great benefit to the organization in Thailand as well as in India.

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Market access is another key aspect as well as the capacities. So, based on these 3 strengths that the Thailand entity offers, we do believe from a medium to long-term perspective, there will be significant value which will be generated in terms of product mix, in terms of markets.

And obviously, eventually all of this will affect the realizations in the business as well. Exactly what those realizations are going to be is very difficult to assess at this stage. Obviously, as you can tell from the result, we have had a positive quarter in the first quarter of the acquisition itself. I think that's a positive sign and a good sign. There is a lot of work to be done in terms of improving our cost position in Thailand, in terms of capacity utilization, which would obviously also improve our cost position, in terms of capacity product mix improvements.

So, all of these things we are working on and we do believe that after a reasonable period of time, we will be able to shed more light on that. But I think it's a positive sign for all the investors to note very clearly that there is a positive contribution from Thailand from the first quarter itself.

Kalash Jain: Okay. And sir, just last, the volumes that we did in our Thailand subsidiary, so it was totally for the domestic-only or like you had exported some of the volumes?

Rahul Agrawal: Are you talking about Thailand business for domestic as in within Thailand?

Kalash Jain: Yes, yes, within Thailand. So, all these volumes were within Thailand or you had exported some?

Rahul Agrawal: So, we do export a fair bit of product from our Thailand facility. We do have significant exports into China, into Japan, into Korea, Vietnam, Indonesia, and Thailand as well. We don't give the exact breakup right now. This is a little bit sensitive information with regards to our competition in that region right now. But I can say that more than 50% is definitely exported out of Thailand.

Kalash Jain: Okay, sir. That was really helpful. Thank you

so much.

Rahul Agrawal: Sure.

Kalash Jain: Thank you.

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(Operator Instructions). Should you have a follow-up question, please rejoin the queue. We'll take the next question from the line of Radha from B&K Securities. Please go ahead.

Radha: Hello, sir. Thank you for the opportunity. Sir, my first question was, in an AC, refrigerator or a washing machine, I wanted to understand what is the total content in terms of kg separately for PS and ABS? And also, over the years, how has this content evolved?

Rahul Agrawal: Hi, Radha. Do you have any other questions?

Radha: Yes, sir, 2 more. Okay, I will state it.

Rahul Agrawal: Ask all your questions.

Radha: Okay, sir. Second question, I wanted to understand customer preferences for conventional ABS when compared to mass ABS, especially in terms of cost and surface finish. So, could you please explain in detail why a customer might choose conventional ABS over mass ABS?

And the third question is that, what are the advantages of having SAN as a backward integration, especially in context of our ABS production? So, does our business model

with in-house SAN integration offer a competitive edge over players, focused solely on mass ABS? Those are the 3 questions I have.

Rahul Agrawal: Okay. So, with regards to refrigerators, washing machines, and ACs, the content of ABS and PS does vary quite a bit. If I look at the ABS consumption in, say, refrigerators and washing machines, it can be anywhere from 700 grams to as high as about 2.5 kilograms to 3 kilograms, depending on the size and the model, which we are talking about.

In air conditioner, it can be either HIPS or ABS, broadly speaking, which is the body. And that is, again, around 1.5 kilograms per unit on the PS side. The polystyrene in refrigerators and washing machine, again, is to the tune of, again, around between 500 grams or 600 grams to about 3 kilos, again, depending on the size and model of the machine or the appliance.

The evolution of usage of both these polymers, it has grown over the years. In fact, as more premiumization of consumer appliances has taken place, there is certain

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aesthetics which are important. And in those aesthetics, ABS plays a key role. As it's a paintable product. Also, offers electroplating and offers a very high level of gloss. And you can do pre-colors in many, many different shades, including metallic stuff. So, there are a lot of advantages of these polymers. And as the models have become bigger, the consumptions have increased. And obviously, as they have become more premium, we have seen higher volumes grow in that per unit as well.

With regards to your question on conventional versus mass ABS, in India, currently, there is no mass ABS which is being sold. We are not exactly sure what would be the preference. So, I am not sure exactly how this will play out in the marketplace.

We do understand that as far as conventional ABS is concerned, we have a lot of versatility in being able to provide several different grades and customization, which can be carried out because it's not a continuous process, obviously.

So, like you asked a question about SAN as backward integration. So, this question is also interlinked, because when we produce SAN and we produce rubber, we have a great deal of flexibility on what grade we can produce for the end customer. So, even for different applications within, say, ABS, there are different SAN grades, which can be developed, because SAN, for instance, provides the chemical resistance for the final product. It also provides high tensile. So, when these properties are required, at a higher level, then we can adjust the dosage or the percentage of SAN accordingly.

There are, of course, a lot of other nuances of how

the SAN would be used and what properties it would add. And I have just captured very few of these in explaining this advantage to you. But definitely, SAN, I would not say it's purely backward integration, SAN actually is an end-use product as well. We do sell in the market close to 18,000 tons.

In fact, we do a lot of sale of SAN from our Thailand facility as well. And we have some very special SAN also in our Thailand facility, which eventually will help us in developing more applications in India as well, not to mention other markets.

Yes, so, there is a lot of advantages of having SAN. And we will see as far as conventional and mass ABS goes, how the market develops. But currently, 100% of the market is the emulsion ABS route which we produce currently.

Radha: Sir, you mentioned that in AC, HIPS and ABS is used. So, since ABS is costlier per kg compared to HIPS, please explain a bit on how is both used in the same product?

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And second follow-up is in terms of cost of production, will in-house SAN have lower cost of production for manufacturing ABS, when compared to mass ABS?

Rahul Agrawal: So, as far as ACs are concerned, typically, it is a philosophy of the manufacturer, because both the products are used essentially for the body of the indoor unit. And for the outdoor unit, for instance, there is also some glass-filled ABS, which is used.

Polystyrene is not used in that instance. But it's only for the indoor unit where you could use HIPS or ABS.

So, some of it has to do with exactly how the positioning of the manufacturer is of the particular model that they offer, and the properties they wish to have within their unit. And that would determine.

In terms of pricing, while the pricing generally of ABS would be a little bit higher, we

have seen the reverse happening as well between HIPS and ABS at times for that specific application. But many times, companies when they are doing a specific usage, they stick to that for a longer period and do not change based on the volatility associated with it very quickly.

Radha: In terms of cost of production, sir? For the in-house and...

Rahul Agrawal: So, in mass ABS, I am not an expert on mass ABS since we don't produce. But from what I understand in mass ABS, there is no SAN which is per se produced. It's an in-situ process of producing mass ABS directly. So, there is no real comparison between SAN and mass ABS.

Radha: Understood sir. Thank you for answering all my questions. I will join back the queue.

Rahul Agrawal: Sure.

Moderator: Thank you. The next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.

Nirali Gopani: Yes, hi. Thanks for the opportunity. Rahul, just 1 clarification. So, if I take out the exceptional nature of other expense, the Thailand EBITDA margin is also quite reasonable of around 8 % to 9%. So, is that understanding correct? And if yes, how were we doing this in the first quarter?

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Rahul Agrawal: No, no. Bhupesh, can you shed more light on exactly the EBITDA margin of the Thailand? Because the exceptional items are for the Indian business, not for the Thailand business. But Bhupesh can give more idea on exactly what the EBITDA is on our Thailand business.

Bhupesh P. Porwal: Yes, sure. So, the extraordinary expenses which was explained by MD in 1 of the earlier questions are for the stand-alone basis for the India company. For the Thailand company, the EBITDA has been 4.1 % for this quarter. And I think from last, since we have taken over, this is the first quarter and it is a positive one, and earlier all quarters have been in red, in fact. So, this is a very, very big change, and welcome change in this quarter for the Thailand business.

Nirali Gopani: Okay, perfect, perfect. And

also, in our earlier presentation when we indicated the growth plan, so we have some deep bottle-necking plan for FY '26, which you also mentioned in your remarks for FY '27 also. And then we are preponing our ABS capacity. So, what gives you this confidence of utilizing this capacity as and when it comes up? Because we have now additional capacity from Thailand also. So some qualitative comments will be very helpful.

Rahul Agrawal: So the Thailand entity, essentially the product made in the Thailand entity, there is no significant sale to India from the Thailand entity. The market is a little bit different in terms of the product that we produce from Thailand.

In India, of course, whatever we have done over the last few years, we have been able to effectively produce more and sell whatever we have been able to produce. So that is a basis of confidence for us. We started at an average run rate of about 120,000 tons of all products put together.

We were doing about 60,000 tons of ABS when we took over management control from the previous management in '22. From there, we are at about 186 last year, which is growth of more than 50%. And we have been able to do that without compromising, in terms of realization.

So we do believe that the market will grow over the period of expansions, which we are planning and additional capacities which are coming in the market. And the market overall would still be able to support, essentially all the capacities which should be available from local producers.

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Nirali Gopani: Right. And I know you never comment on the EBITDA margin, but what we have done in Q4 is quite reasonable. So you feel that this number can be sustained for the full year FY '26?

Rahul Agrawal: So notwithstanding, any significant events, and there are quite a few which go on in the world, I think our strategy has held us well, which is we are augmenting capacities, we are expanding product lines, and we are reducing costs. And this is an ongoing effort in every quarter, every day.

And that has helped us ensure that regardless of whatever geopolitical shocks, are going on, we are still able to maintain or do better than what we have done previously.

So we still maintain the same line of working.

Nirali Gopani: Perfect. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Meet Parikh from Mihir Shah and Company. Please go ahead.

Mr. Parikh, I have unmuted your line. Please proceed, sir.

Meet Parikh: Thank you. So congratulations on a good set of numbers, sir. I had a basic accounting question. So if you look at our cash flow statement, so the working capital has gone up significantly, like inventory has gone up by, there has been a year-on-year change of almost Rs. 385 crores or something like that. And the debtors has also gone up quite a bit. So could you shed some light on that?

Bhupesh P. Porwal: So, Meet, you are talking about the stand-alone part?

Meet Parikh: Sir, stand-alone or consolidated? Like stand-alone 385, I am not sure of the consolidated number, but there also there has been quite a big swing. So could you shed some light on that?

Bhupesh P. Porwal: Yes, sure. So basically, you must be hearing about debottlenecking exercises and all other things going on. And for future expansion plans also, there has to be a lot of things going into the plan. So we have built up some inventories in between, so that the business does not suffer for that. So yes, the inventories have increased, which will be normalized again in a year or so once our all projects are getting completed.

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And at Thailand also, if you see the inventory has increased a bit, as MD had mentioned in a question just few minutes back, to understand the assets, and

to see how those

assets are working, we have run the full throttle there.

And so these are the 2 reasons at both the places, 2 different reasons for increasing the inventory. Thailand, it will be normalized soon maybe. Yes. So that increase will not carry forward going on. It will be as per the business norms and our practice only.

Meet Parikh: Right, sir. And, sir, my second question is related to CAPEX. So the number that we had guided for this year. So are we on track for that?

Bhupesh P. Porwal: So CAPEX is as per plan only. So as mentioned, we will be commissioning 50 KT, we will be getting ABS capacity of 50 KT in mid of the calendar year or later part of the calendar year of 2026. And the plan is as it is. So no change in the plan. In fact, this has been preponed. In fact, we had planned earlier later. But as informed you in the last quarter, it has been preponed and we are sticking to that, and we are sure we will be able to achieve those dates.

Meet Parikh: Thank you, sir. That was helpful.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Assets. Please go ahead.

Rahul Agarwal: Yes. Hi. Thank you for the opportunity. Very good evening to everybody on the call. Just a few clarifications on whatever has been discussed so far. So Fiscal '26 and '27, volume growth essentially depends on 2 things. One is, of course, the debottlenecking which will happen during the year, which is why we are carrying higher inventory in India.

And second is we could see some ramp up on Thailand as well. Just we wanted to understand, at 1,85,000 tons of sales already, which is almost like 90% utilization. Can these plants run at 100% in India? That's one question.

And second is, is it very different between ABS, PS, or both plants can run at 100% in India? And if we include debottlenecking, of course, we can try and increase some bit of sales volume this year. So about 10%, 15% is something which we should build or not, I wanted to clarify. That's the first question.

Rahul Agrawal: Rahul, if you can ask your other questions as well, I will appreciate it.

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Rahul Agarwal: Sure. Second was on CAPEX, as Mr. Bhupesh explained, it's sticking to earlier plan, just wanted to know the HIPS expansion. I think about 45,000 tons is something which we are supposed to add. Will that be preponed as well? Like, will that happen in Fiscal '26? And if yes, then just wanted to know the overall CAPEX budget for the company for Fiscal '26 overall and '27, if that is possible.

And third question was on working capital. Can we optimize from here on? I understand that at current inventory is high. I completely understand that. What I just wanted to know when I look at some of other listed peers, especially on polystyrene, I

think they operate like very, very efficiently on something like a 0 to 10 day working capital cycle.

And I look at numbers in more detail, I see a lesser receivable cycle. So maybe is the difference more so because of polystyrene versus ABS, that ABS is more of a credit market versus polystyrene. And in your view, how much can we optimize, let's say if we take a 2 year view on India business, do you foresee that our working capital cycle can actually come down to like those levels? Those are my 3 questions. Thank you.

Rahul Agrawal : Okay. Rahul, first of all, thanks for joining on, to all of you, all the participants joining on a Sunday. I appreciate everyone making sure it's convenient. I know it's not the ideal day, but the time that you are giving to the organization.

First, your question on whether the plant s can be run at 100%. So the p lant is running at 100% , Rahul . It has been running for the last at least 2 years that we have taken over management control. It's just that definition of what that 100% has k

ept on changing ,

based on what we are doing each year , right. I have explained th is in the past that as we carry out some process improvement or debottlenecking, we realize that certain additional capacity is possible. And that is the same philosophy with which we are planning to run in this financial year as well.

And we do believe there is some additional capacities which are possible. So we did complete some exercises, say towards the end of December last year, when we did debottlenecking of our Nandesari plant for rubber , which we end up to 27 KT, which allows us to make more ABS. And that will translate to a higher volume this year on PS as well.

We did some work towards the middle of last year, which again, the full capacity would be available this year. So those additional capacities would be available to us a s well. Styrenix Performance Materials Limited

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To that extent, we will have higher volumes. So this is going to happen. And we are continuously working in that direction. So we do believe that, again, going back to the earlier forecast of what volumes we had mentioned, we should be very similar to that. On H IPS, in my note, I have mentioned that we have brought an indication from our engineering firm that they would be ready with some estimation very, very soon. So once that estimation is ready, and this is obviously a certain estimate, which is within 10% to 20 % of the overall CAPEX , while we had made an estimation earlier, we would have a more accurate data , based on their engineering study. So once that is out, we will be able to tell you exactly how much that will cost and when that will come online as well. That would be the result of that engineering study.

With regards to working capital cycles if you, again, look at the last 2 years, there has been a lot of changes. And this is primarily because, as Bhupesh already detailed, that when we do debottlenecking we essentially look at certain parts of the process , which need to account for a larger inventory for us , and we do that. And that increases our inventories.

On working capital, as far as receivables and debtors are concerned, there is n ot a major difference between, again, PS and ABS. In fact, I would say it is very similar in terms of the credit term s. So there is no major gap over there. I think overall working capital is getting affected largely , based on the inventories rather than anything else.

And we do believe that till we are growing, while some of our peers already have very high capacities, we are running at very much higher capacity utilization s overall, which is why we are in the situati on we are at.

As far as ABS is concerned, I think we are a little bit better than our peers. So I think on polystyrene as well , we would be doing fine , if not for having to account for higher buildup of inventory to manage sales. So I think that is what i t is. And this is what we are trying to maintain.

Rahul Agarwal: Just few follow -ups. So firstly, would you hazard a guess for volume growth for Fiscal '26 for India business?

Rahul Agrawal : Like I said , I think , we should be able to do growth in line with what capacities would be available to us , and this would be higher than 200,000 tons. Whether it is 205 or 210, I am not exactly sure right now. But to order of that magnitude, we would have growth in volumes in India.

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Rahul Agarwal: And HIPS will definitely not be part of Fiscal '2 6, right? Even if we finalize the

destinations very soon, the production will start sometime in Fiscal '27. Is that correct?

Rahul Agrawal : Yes. Yes. Let us see what the engineering studies say. I do not want to put the horse before the cart. So let the study come in , and I am in a better position to answer that question.

Rahul Agarwal: Got it. Any overall C

APEX number for the business overall Fiscal '26? What budgets are you working with?

Rahul Agrawal : Bhupesh, do we have a number on that right now?

Bhupesh P. Porwal: So maybe we can, the things are getting finalized soon, maybe in next fortnight or so, 15 days or so. And then we can definitely let you know exact numbers which we will be spending in this year , and what numbers we will be spending in next year. Yes. Only one additional point here for working capital, maybe slightly more, one reason is more here. So what I had mentioned, we had some vessels coming together because of some problem at 1 of the vendors , and then 2 to 3 vessels that came in the last week of March. Otherwise, it would have been staggered , and then we would have not got so much of inventory and screwed up my working capital at the March end. So maybe an operational issue which all companies have. So this is also one of the things in the working capital which is there .

Rahul Agarwal: Got it. One last question on Thailand business, then I will just get back in the queue.

On the volume outlook for '26, you said we run this capacity at full throttle this quarter, which yields about 18,000 tons. If I analyze that, we are almost closer to 75% utilization. So just wanted to know in terms of volumes, what could be the peak performance of this entity? And I understand it will take a long time, but just wanted to know that as of now, Thailand can actually sell ABS, SAN , and rubber, all 3 to third parties ? That is one.

And the second question on that was, assuming that it's only ABS and some merchant sales for SAN and some sales of rubber, is this entity like a Rs. 300 crore EBITDA, full year at peak utilization whenever it happens? That's the 2 questions.

Rahul Agrawal : Where did the Rs. 300 crore number come from, Rahul? I am curious.

Rahul Agarwal: I am just multiplying Rs. 30 a kg into 100,000 tons of sales volume.

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Rahul Agrawal : No, I would not look at it like that. See, it's a different market. It's a different product profile. So it works a little bit differently in Thailand than what we are used to seeing in India. It's still going to take a little bit of time for us to come to numbers which we can assess. So, we have not given really any guidance on that. And we are not very comfortable giving any guidance today.

In terms of overall capacity, the nameplate capacity of the plant has been mentioned in our presentation earlier, which has been shared with the larger community. It's to the tune of 120,000 tons, roughly, which includes rubber, SAN, compounding, everything . And that number, I do believe, based on what we have done in the first quarter, is achievable from our productions.

In terms of sales, when and how that will happen is something which we will require a little bit of time to assess and answer.

On EBITDAs , again, will be a function of how the capacity utilization takes place in terms of specific product mixes, all the markets that we cater to. So, multiple questions need to be answered before we can answer such a question. It's only been 2.5 months, right?

Rahul Agarwal: Sure, appreciate that. But we do sell SAN and rubber outside, right, to third parties apart from ABS, is that correct?

Rahul Agrawal : That is correct.

Rahul Agarwal: All right . Okay, I will get back in the queue. Thank you so much , and all the best for coming times.

Bhupesh P. Porwal: Thank you.

Rahul Agrawal : Thank you.

Moderator : A reminder to all the participants to kindly limit their questions to 3 per participant.

Should you have a follow -up question, please rejoin the queue.

Moderator: The next question is from the line of Ranbir Singh from Yash Securities. Please go ahead.

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Ranbir Singh: Hi, Rahul ji. Rah

ul ji, you said that the volumes for Thailand were around 17,000-18,000. So, if I see the India realization, they stand at around Rs. 1,45,000 approximately. And the Thailand business which is around Rs. 1,35,000 per ton realization.

Moderator: Mr. Singh, your audio is not clear, sir, because there is a lot of background noise from your end. Please try asking your question once more.

Ranbir Singh: I am asking that the India realization stand at approximately Rs. 1,45,000 a ton, whereas the Thailand realizations are like Rs. 1,35,000 a ton. What is the reason for the delta?

Rahul Agrawal : Ranbir, the product profile in Thailand is completely different from the one in India. There is no comparison. So, one can't say, we are not essentially, lot of the products we are selling are in terms of formulation, in terms of application are also very, very different. So, there is no clear way to tell you exactly why they are different. It is just that, I guess, the market for the products in Thailand, again, is different from the market that we have in India, the type of grades that we supply, and the type of product mix that we have.

So, that would effectively make the realization what it is. So, there is no clear cut way to compare the 2. But in terms of cost position, again, there is a lot of difference between what we do in India and Thailand. So, there is no way to compare. It is not apples to apples.

Ranbir Singh: Okay. Thank you, Rahul ji, this answers my question and all the best.

Bhupesh P. Porwal: Thank you.

Rahul Agrawal : Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from CR Kothari and Sons. Please go ahead.

Vidhi Shah : Hello, sir.

Moderator: Ma'am, I am sorry to interrupt you. Please introduce yourself and proceed with your question, please.

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Vidhi Shah: Hello, sir. My name is Vidhi Shah. I am speaking from CR Kothari, broker. Sir, my first question is, I want to understand what is the realization in India and compared to Thailand, will those realizations be higher in line or same?

And my second question is, could you just correct me again? The Thailand capacity is 185 kilo ton, and the existing India capacity is 200 kilo ton. So, the new capacity will be close to 385 kilo ton in FY '26. So, is that understanding correct?

Rahul Agrawal: No, the capacity in Thailand is not 185 KT. I already just mentioned on the previous call as well and it's there in the earlier presentation. The capacity in Thailand is closer to 125,000 tons, including all products. India capacities are closer to 200,000 tons. You are correct in that sense.

So, the overall capacity comes to about 320 as of now at this moment, which is of course a changing number, based on what we are able to achieve in terms of certain improvements during the course of this year.

As far as realizations in India and Thailand are concerned, realizations in India are fairly stable or growing year-on-year. These numbers are easy to calculate, based on the results which are in front of you.

With regards to Thailand, of course, it's early days, and there is a lot of work which is going on to understanding where these realizations are coming from, what we can do in terms of improving it. And there are multiple factors at play, such as capacity utilization, product mix, in terms of cost position as well in Thailand, there is a lot of work to be done. So, realizations in Thailand is something which we do believe there is a lot of room to improve on, to what extent and where they can be is hard to determine at this stage.

Vidhi Shah: All right. And also, the 17,000 tonnes that is produced for Thailand, so that is produced for, you said 1.5 months approximately. So, based on that annualized, it can produce closer to 136 kilo tons in a year. But if

I look previously ...

Rahul Agrawal : 17 KT is for the quarter, ma'am. It's from the 1st of January until the 31st of March. And that is not a production number, that is a sales number. Okay. Production number is different from the sales number. Go ahead.

Vidhi Shah : Thank you, sir, that answers my question.

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Moderator: Thank you. The next question which is a follow-up question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Yes, sir. Sir, just 1 question. Any positive or negative surprises, post the acquisition of our Thailand unit in terms of cost of operations, in terms of receivables, in terms of contract with suppliers, anything you would like to highlight?

Rahul Agrawal: So, Dhaval, thanks for the question. So, we did a fairly extensive due diligence process when we had taken over the Thailand entity in terms of a financial tax, environmental, legal due diligence. We do believe that whatever the findings in that due diligence are in line with what we are seeing at the asset.

Generally speaking, we are quite encouraged by the quality of the asset and the team. Some of the questions which had to be answered for us was essentially ensuring that the plant can actually indeed produce at a much higher level, which it has not been previously. So, we tested that theory by doing it ourselves when we took over management, hence, also resulted in some higher inventories. So, that is something which is, I guess, it is not a surprise, but I would say it is a positive affirmation of what we wanted to see.

As far as the business is concerned and what we are doing over there, it is very much in line. Of course, there are geopolitical events which are taking place globally, and those do have an impact on our business as well. This has got nothing to do with the entity in isolation, but since there are global factors at play here, that does have an impact on how we conduct our business as well.

Dhaval Shah: Got it, sir. Okay, thank you very much.

Moderator: Thank you. The next follow-up question is from the line of Radha from B & K Securities. Please go ahead.

Radha: Hello, sir. Thank you again. Over the past 2 to 3 years, China has added significant styrene monomer capacities. So, do you believe that this would lead to a wave of downstream capacity additions in products like PS and ABS, which could potentially increase imports into India?

And subsequently, how competitive are we with the Chinese players? And in that context, what are the export opportunities for us?

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Rahul Agrawal: Yes, thanks, Radha. Very good question. So, essentially China's capacities have not only increased in styrene monomer, they have increased in the entire petrochemical chain across all polymers, across all monomers, and basic chemicals. So, already in terms of capacities of ABS, SAN and polystyrene, not to mention other polymers, China is already producing far more than it actually needs even today.

And that's not the case this year. Not just the case last year, but even before that. So, this has always exerted pressure in the subcontinent, including India as well, from manufacturers not only in China, but also in Korea, Taiwan, Thailand, and the entire region. So, this is something that we are accustomed to. We do understand how this works. The idea is for us as an organization, how we are able to differentiate in our products. And in terms of our offering to our customers, what we can do.

So, I think we have been able to demonstrate that in India effectively. I do believe in Thailand as well, we have some very differentiated technologies, which hold us in good stead today and will continue to do so going forward. So for a lot of the products we produce in Thailand, we are

one of very few producers. And in some grades, for instance, there is no producer for that in China. So, to that extent all the capacities which have come up in that region are not directly comparable to what we do currently as a company.

Radha: But sir, if there is an overcapacity in China in polystyrene, then why is there not much dumping happening from China to India in polystyrene?

Rahul Agrawal: Well, dumping does happen from time to time, opportunistically, but it is not a continuous phenomenon from China. I think, in terms of, again, preferences by customers in India, there is a preference for domestic manufacturers. There are multiple reasons for that. And we are still able to, so to speak, keep our relationships and business intact in India, in spite of competition.

Radha: Sir, in other chemical companies, we have seen that whenever there is an overcapacity, then the dumping happens at such a price that the margins of Indian players could get affected, unless there is an anti-dumping duty. So, given that there is an overcapacity, and there is still margin stability in Indian players, so I am unable to understand why isn't it happening, why isn't this phenomenon happening in polystyrene?

Rahul Agrawal: So, we believe that even within polystyrene, we have certain products which are not

very, very easy , and straightforward to replace. So in the markets, in packaging as well
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as in appliances, there is a fair amount of validation, fair amount of customization, which also takes place. Probably not as much as ABS, but still, to some degree, it is there. And the preference, again, as long as we are competitive, this does not work like a pure basic commodity where switching from one product to the other is as easy or as straightforward.

Radha: How much capacity China would have in ABS, sir?

Moderator: Ms. Radha, I am sorry to interrupt you ma'am, there are others who are waiting. I would request you to kindly rejoin the queue, ma'am.

Radha: Okay. Thank you, sir, and thank you for answering all my questions.

Moderator: Thank you ma'am. Ladies and gentlemen, we will take the last question for today, which is from the line of Rahul Agarwal from Ikigai Assets. Please go ahead, sir.

Rahul Agarwal: Thank you so much for the follow-up. Just 1 thing on the presentation for the company for the 4th quarter results, the industry outlook slide talks about a very weak start to first quarter. I just wanted to understand, should we read more into it or is it more like a quarterly volatility where it would settle down over the year? That's one.

Second was on this entire discussion of styrene monomer imports from China, just wanted to know is there a BIS risk here? Because I am not really sure if the BIS standards are applicable, the QC and all that applicable for styrene.

And the third was any comments on the pricing of ABS and polystyrene in India right now? If you could just help me understand the outlook for the full year. That's all.

Thank you.

Rahul Agrawal : Yes, so with regards to our comments on quarter volatility, you are right, Rahul. It is in line with typically what we see every year. And there is no major change in that.

And not too much to read into it, I guess.

At the beginning of the quarter, yes, there was a little bit of, you can say a more muted sentiment on account of tariffs in the U.S. But I think this has settled down. We don't see a major change, I guess, from previous years. So it's similar.

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With regards to BIS for styrene, we do believe it is to be implemented this year. It's not happened yet. So styrene monomer itself, from China, anyways, doesn't come. It's not very competitive in India historically as well.

I think in terms of downstream from styrene, yes, there is a

BIS on ABS. So to that

extent, ABS coming in from China, it becomes a little bit trickier. For polystyrene, currently there is no BIS. But that we do believe would come up in time as well. So that would limit some amount of polystyrene from China. Well, currently, while there is not, we still don't see dumping to the extent which people fear. So there is no issue there.

In terms of pricing for ABS and PS, currently we believe it is stable. There is no major change from what we have seen in previous years , since we are managing the company. And it is largely expected to remain in line with that.

Moderator: Thank you, sir. As that was the last question for today, I would now like to hand the conference over to Mr. Chintan Doshi for closing comments. Thank you and over to you, sir.

Chintan Doshi: Thank you. Thank you everyone for joining us today on our earning call. We appreciate your interest and time in the company. We look forward to answering you in the next meeting , which will be announced at suitable time in future. Thank you.

Bhupesh P. Porwal: Thank you.

Rahul Agrawal: Thank you very much.

Moderator: Thank you very much, sir. Thank you, members of the management. On behalf of Styrenix Performance Materials Limited , that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

August 22, 2025

To,

BSE Limited

Dept. DSC_CRD

Phiroze Jeejeebhoy Towers,

Dalal Street

Mumbai 400 001

BSE Scrip Code: 506222 National Stock Exchange of India Limited

Exchange Plaza,

Plot No. C/1, 'G' Block,

Bandra - Kurla Complex,

Bandra ('E')

Mumbai 400 051

NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor s / Analyst s held on August 14, 2025

Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated August 11, 2025 informing about the earnings call organized by the Company on August 14, 2025, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,

For Styrenix Performance Materials Limited

Chintan Doshi

Manager – Legal & Company Secretary

Encl: As Above

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“Styrenix Performance Materials Limited

Q1 FY '26 Earnings Conference Call ”

August 14, 2025

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR –
STYRENIX PERFORMANCE MATERIALS LIMITED
MR. BHUPESH PORWAL – CHIEF FINANCIAL OFFICER
– STYRENIX PERFORMANCE MATERIALS LIMITED
MR. CHINTAN DOSHI – MANAGER , LEGAL AND
COMPANY SECRETARY – STYRENIX PERFORMANCE
MATERIALS LIMITED

Styrenix Performance Materials Limited

August 14, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Styrenix Performance Materials Limited Q1 FY '26 Earnings Conference Call. We have with us today from the management of Styrenix Performance Materials Limited, Mr. Rahul Agrawal, Managing Director; Mr. Bhupesh Porwal, Chief Financial Officer; and Mr. Chintan Doshi, Manager, Legal and Company Secretary.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

Further, on behalf of the management of the company, we would also like to remind the participants that this call has been conducted subject to and in line with the disclaimer mentioned in the investor presentation as available on the Stock Exchange.

I now hand the conference over to Mr. Bhupesh Porwal. Thank you, and over to you, sir.

Bhupesh Porwal: Yes. Thank you very much. Ladies and gentlemen, Namaste everyone. I am pleased to welcome you to our Q1 June '25 conference call as we reflect on our performance in Q1 of FY '26. I'm delighted to announce that we had witnessed a good demand of our products in this quarter. Our expansion plan is going as per schedule mentioned in the last investor presentation. We will update if there are changes in the plan. The debottlenecking exercise announced in October '23 has also been completed as announced in the last investor call and also mentioned in the presentation.

Coming on to our financial performance. Q1 FY '26 highlights. Sales volume of Q1 was 51.8 KT versus 48.1 KT in Q4 FY '25, that is increased by 8.1%. Revenue stood by INR721 crores in Q1 FY '26 versus INR701 crores in Q4 FY '25. That is an increase by 28.85% and an increase by 3.1% compared to Q1 FY '25, which was INR700 crores.

PBDI stood at INR86.1 crores, that is 11.9% versus INR83 crores, 10.8% in Q4 FY '25 and INR92.2 crores that is 13.2% in Q1 FY '24. PAT stood at INR54.9 crores in Q1, that is 7.6% versus INR53.2 crores, 7.58% in Q4 FY '25. For the consolidated Q1 FY '26 highlights, sales volume for Q1 was 67.2 KT versus 64 KT in Q4 FY '25, that has an increased 5%.

Revenue stood at INR943.5 crores in Q1 versus INR939.7 crores, which is an increase by 0.5%.

PBDIT stood at INR99.8 crores versus INR89.9 crores, which is 10.6% and 9.6%, respectively.

PAT stood at INR51.9 crores in Q1, that is 5.5% versus INR56.2 crores, 6% in Q4 FY '25.

The company has acquired Styrenix Performance Materials Thailand Limited in January '25 only and the consolidated results for the quarter ended 30th June '25 includes financial results of subsidiaries. In the previous corresponding quarter, the company did not have subsidiaries. Therefore, only stand-alone financial statements were prepared according to the previous corresponding quarter figures presented in the consolidated financial statements are derived from the stand-alone financial statements of the company and are not comparable with the current year consolidated figures.

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As you all know, we had incorporated a special purpose vehicle in Thailand for acquisition of the target company as the purpose of that SPV is completed. So now that has been merged with our target company on 26th of June '25.

This is all about highlights of the quarter ended June '25. And now we may proceed to answer the questions you may have. Thank you very much.

Moderator: We take the first question from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, my first question is, so during the quarter, we had witnessed a notable decline in the realization

and the gross and EBITDA spreads also have declined. Is this related to lower product mix or the market spreads of both the products, PS and ABS have itself declined?

Rahul Agrawal: Hi Aditya, can you ask all your questions at once?

Aditya Khetan: Yes, sir. Sir, my second question, sir, I missed on the volumes part of Thailand. I mean I think you mentioned on the consolidated volumes. I missed on that. And sir, my third question is what is the ramp-up we are looking in Thailand for this fiscal and for the next year? And sir, like -- and the fourth question is, so when we look at the stand-alone business, it is near operating at peak utilization levels.

Although you mentioned in your presentation regarding the weak outlook in the second quarter because of the lower volumes in 2-wheeler, passenger vehicles and also into the stationary business. So how you see volumes will evolve over the next couple of quarters? And apart from the ramp-up of Thailand, which are the other -- which are the growth triggers we are looking at? Are we looking at another inorganic acquisition? And what is the outlook for the business?

Rahul Agrawal: Hi Aditya, thank you. So, in terms of realization for the quarter, it's very much in line with what we see in Q1 every year. Typically, it's a little bit higher, but this year, we had a little bit of

slowdown because of early monsoon. And therefore, the up take that you would normally expect in household appliances, consumer durables, that was a little bit lower.

However, we were able to still do higher volumes, as we have already mentioned. The volumes in India, we did close to around 51,000 tons, which is the highest sales ever done by the company. So, in terms of volumes, we have grown, which is close to 8.5% over the previous quarter and also similarly, the similar quarter next -- last year as well.

In terms of realizations, yes, there is a bit of a product mix, which also has changed. And fundamentally, as we know, we work on certain spreads. So those spreads might have also moved on account of raw materials. And while our margins remain intact, those would have impacted us as well.

Volumes in Thailand, I think I've already mentioned, was mentioned by our CFO. The consolidated volumes are about 6687. So, we did about roughly 16,000, 17,000 tons in Thailand, the balance is in India. In terms of ramp -up in Thailand, we are still operating at fairly kind of low utilization levels in Thailand. So, there is a significant scope for us to increase volumes. It has been only 5 months that we have taken over this business.

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In accordance with trying to increase the capacity utilization we have embarked on a significant sales strategy, which we have outlined in our investor presentation, what we have done in terms of opening offices across Asia.

We do believe there is a good situation where we will be able to realize additional volumes. It's a little bit early to specify what those increases will be in the next few quarters. But definitely, we do believe that over the course of next year or 2, we will see additional volumes coming in from Thailand.

So, for the current business, the Indian business, yes, I had mentioned that there is a bit of a slowdown, again, because of early monsoon in some sectors, we have witnessed that. But we do believe that this will get corrected over the course of the year. And on an annualized basis, we are still on track to meet our targets.

Aditya Khetan : Sir, on to the inorganic acquisition, anything is lined up?

Rahul Agrawal : No, we can't -- we cannot speculate on that right now. So, I would refrain from answering that question.

Aditya Khetan : Got it. Sir, just one follow -up, sir, on to Thailand, as you mentioned, so 16,000, 17,000 tons, it looks almost similar compared to last quarter. So, this ramp -up, I believe you have

mentioned

that it could be taking some time. So, is it because of some structural issues in the production, which is limiting the uptick in volumes or the demand itself has come down, which is why we are operating at this level?

Rahul Agrawal : So, in Thailand, there are multiple challenges when we have taken over the business. We have also had to go back to several customers with revalidating our brand. As you know, earlier, the earlier company was operating under a different brand. We are operating under our own brand. So all those changes are taking place with different customers across Asia. As you know, we supply into China, Japan, within Thailand as well, into Korea, Vietnam, South Korea.

So, several geographies. And there is a significant effort involved in revalidating some of the products at times and also reaching out to those customers, ensuring that they understand who we are in terms of the product profile and also in terms of the confidence which has to be built across those customers. So, it's a question of time. We are quite sure with all the efforts we have put in place that will happen. But like I mentioned already, it may take some time.

Moderator: We take the next question from the line of Aashish from InvesQ PMS.

Aashish : So sir, you mentioned in the initial remarks that we will meet our annualized targets despite Q1 being soft due to seasonal factors. So, what would be the target this year given the demand scenario? And is it too difficult in terms of -- because automobiles, we see numbers being soft. In consumer durables, we see it to be soft. So how as an entity we plan to grow this year?

Rahul Agrawal : Any other question, Aashish?

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Aashish: Yes. Second question would be on the Thailand integration -- where have we progressed? You mentioned a lot on the qualitative aspects earlier, but how will the profitability trajectory move in this business and the utilization? Any color on that will be helpful? How long or where have we reached on the curve actually? That's it from my side.

Rahul Agrawal : Yes. So, in terms of targets, I think we have mentioned in terms of what volumes we are targeting across the business. And I do believe that in spite of whatever gaps there may be, we are still on track to achieve those volumes on an annualized basis. In fact, the first quarter itself, while there

might have been some kind of low uptake in certain segments, our volumes are still very much on track.

So, we have still achieved close to 51,000, 52,000 tons of product, which is the highest sales the company has ever achieved. We do believe on an annualized basis also, in spite of low demand in certain areas, we will still be able to cover for it and still be able to achieve our target of the entire volumes.

So, I think this has been outlined earlier and I believe it is to the order of 10% to 12% additional volume growth over the previous year. So, I think we would still be able to achieve that. In terms of Thailand integration, I think some of the work which has been done by our team has been quite good. We have been able to successfully implement our own SAP system over there in a short period of time.

So, in terms of IT controls, that has been done at a good pace. In terms of the overall team's coordination, in terms of working which needs to happen in terms of technologies, in terms of process improvements, all of that work is going on. Profitability for Thailand is difficult to ascertain at this stage. Like I mentioned, a lot of the profitability would depend on the capacity utilization of the asset over there, and that will happen over a period of time.

So, I do believe that the market opportunity is quite immense. If I look at all the segments that we are supplying to, whether it is the automotive EV segments in China and the rest of Asia, whether it is even the app

liances sectors in those areas. And given our product profile that we have, which is relatively unique in the area, I do believe that for us to ramp up the capacity should not take too much time.

Aashish: Okay. Sir, anything to share on the ABS spreads in case you have any fillers as to the market overall? How is the spread on the products that we sell? Any comments on that will be helpful, actually.

Rahul Agrawal : So overall, they are in line with what have been historically there, barring certain factors which can influence, say, a month or two. But on an annualized basis, I think we are very much exactly where we have been for the last few years. So that has not changed much.

Moderator: We take the next question from the line of Kalash Jain from AlfAccurate Advisors .

Kalash Jain : So just one question. So, we have seen a good margin expansion on the Thailand -- the Thailand plant. So, what is the kind of mix there and like how do we look at the gross margins going ahead? Is it sustainable? Or what kind of scope is there in margin expansion? This is the first

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question. And second is just wanted to know that when are these capacities going to come up in which quarter of the next year? So just wanted your view on that.

Rahul Agrawal : Thanks, Kalash. So, in terms of margin expansion in Thailand, again, like I mentioned, it is a function of capacity utilization. So, we will get some operating leverage over there. There is -- there are significant fixed costs in Thailand, which have to be taken care of. Today, the total volumes that we are producing are selling -- are lower, much lower than where we can be. And we do believe in time that will happen.

We do also believe in terms of product profile, we have a very interesting product mix in Thailand. And there are, of course, efforts in order to further improve that product mix as well. Of course, that's more of a slightly longer-term strategy. But overall, I think currently, volume kind of capacity building, capacity utilization being the first and then followed by further product mix optimization will help us.

In terms of capacity in India, I think we are on track to what we had mentioned earlier. So, I think we had mentioned that for the ABS capacity expansion, which we are planning, 50% of that would come online in the next financial year, and we are very much on track to achieve that.

Kalash Jain : So sir, any specific quarter by which the capacity would be online?

Rahul Agrawal : So I think, again, it's a function of a lot of moving parts as of now. It will be difficult to give exact numbers now because we are still more than a year out, right, in terms of achieving that expansion in. So, we are still planning as of now, anywhere from 12 to 15 months to achieve that further augmentation in capacity. But exact number -- month and quarter, we can't ascertain today.

Moderator: We take the next question from the line of Duttatreya, an Individual Investor .

Duttatreya : I am Duttatreya Chaknes, individual investor . Please convey my heartiest thanks to Board for handsome dividend.

Rahul Agrawal : You are very welcome sir.

Duttatreya : I just wanted to know sir, any product mix we are encountering sort of a slowdown in your other segments. Is it you are likely to develop anything for the aerospace industry?

Rahul Agrawal : So sir, specifically for aerospace, we don't have a large product profile, but we do have certain products which can be used in aerospace, certain blends. And that we are already developing, we're already working. And we do believe that with the overall product mix that we have

between Thailand and India, there will be more opportunities in the future. So currently
Duttatreya: What I suggest as a shareholder that you should go forward composite of carbon fiber.
Rahul Agrawal : Yes, sir.
Duttatreya: That wo

uld have potential -- tremendous in the coming years. Because I read one report
conducted by University of Turkey, they found ABS is the most suitable polymer compared to
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others and it is reinforced by carbon fiber develop a product like that, it would be much better
for our company.

Rahul Agrawal : Yes, sir. We'll take note of the same.

Moderator: We take the next question from the line of Priyank from Vallum Capital.

Priyank: Sir, again, sorry on the capex side, last time you had mentioned that by calendar year -end, you
would be adding that 50,000 tons ABS capacity. Not sure if that is delayed. My second question
is on the India business cost structures, anything that is there for us to reduce the cost in th e
coming years or even in this year?

Rahul Agrawal: Reduce the cost in Thailand?

Priyank: No, no. I'm talking about India. Is there any low -hanging fruit or anything that can be worked
out in India to -- are we working on that front to reduce the cost in India operations?

Rahul Agrawal: Any other questions, Priyank?

Priyank: No, I am done.

Rahul Agrawal: Yes. So as far as our capex is concerned, as we had outlined in the last investor presentation,
where we spoke about adding the 50,000 tons additional ABS capacity, this is actually on track.
This was planned for next calendar year. So, I think we are on t rack to do that, and we should
be able to accomp lish the same.

In terms of reducing cost, there are no specific low -hanging fruit to our knowledge. But of
course, as an organization, it behooves us to continuously look at possibilities to reduce cost and
to become a little bit more efficient. So that effort is ongoing, and there is continuous effort
happening in that direction from all our departments.

Mod erator : We take the next question from the line of Tushar from Omega Portfolio Advisors.

Tushar: Sir, I could see that India imports over more than 140 KTPA of ABS and there is additional
capacity which is coming on since we have to 390 KTP A going forward by FY 28. Just wanted
to know this capacity would be s ufficient to still be existing gap and the upcoming demand.
Would you sir help me out high-grade ABS as a market share of this quantity. And what would
be the share of us in that?

Rahul Agrawal: I'm sorry, did you say high -grade ABS?

Tushar: Yes, specialty ABS.

Rahul Agrawal: Yes. Okay. So, we do believe that the capacity expansions that we are doing will obviously help
in mitigating some of the imports, which are currently taking place into the country. Again, it
depends on the entire market dynamic in terms of all the players , how fast and effectively they
are able to add capacity into the market to actually determine whether we will be able -- we will
be fully independent or not dependent rather on imports. So that time will tell.

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We are doing our bit towards -- this. So, we do believe that there will be a healthy balance of
capacity and demand over the next 2 to 3 years as all the capacities that we have outlined come
into play and as well as the other capacities which have been an nounced.

In terms of specialty ABS, again, we have close to 60% to 70% market -- our share of specialty
ABS is about 60% to 70% within our total ABS that we sell and that continues to be the case. I
think across the market, that percentage is only slightly lower in India, and we are operating at
slightly higher levels.

Tushar: Got it. Sir, just wanted to know like one of our peer in Rajasthan based any different ABS we
sell company?

Rahul Agrawal: I am sorry. I was not very clear. I didn't get it. Can you please repeat your question?

Tushar: So just comparing with your peer. So, in terms of like the grade or the specialty, any different
ABS you sell in the Indian market?

Rahul Agrawal:

So, I think like we produce specialty ABS, some of our peers also produce specialty ABS. Of
course, like I mentioned earlier, with the addition of Thailand, we have got access to certain
product grades, which we did not have earlier, and that will help us expand our capabilities in
being able to service more specialty ABS opportunities as well in India. Other t han that, I do

believe, yes, there are peers who also have specialty ABS like we do.

Tushar: Sir, just last question on the ABS alloys like the blend of PC. PC is not manufactured in India as of now, but going forward, some chemical players are interested to do that. Do you see that ABS PC blend a big market going forward for some specialty applications?

Rahul Agrawal: Yes. So PC ABS, as you know, primarily goes into automotive industry and electronics industry. I -- we do believe as an organization that both these industries will grow at a robust pace, possibly even exceeding the GDP of the country. So, keeping that in mind, the PC ABS demand will also grow. PC ABS also goes into more premium products, and there is a premiumization happening across both the sectors. So, we do believe that the growth will be robust in that segment.

Mod erator : We take the next question from the line of Radha from B&K Securities.

Radha: Sir, on the supply side, one of the competitors is adding about 70,000 metric ton capacity of ABS this month. But on the demand side, the user industry demand is muted. So, are you witnessing any pricing pressure in ABS? Or do you foresee to witness any pr essure in the near term?

Rahul Agrawal: Any other question, Radha?

Radha: Yes. The second question is related to the answer of your first sir.

Rahul Agrawal: Okay. So currently, obviously, we have not seen the product yet that you have mentioned, but I do believe it will come online very soon. As far as the pricing pressure is there, it is hard to kind of today decide what there will be. We do believe there is sufficient market opportunity.

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If you look at total imports in the country, there is still a significant portion of imports coming into the country, where -- wherein there will always be a preference for domestic locally manufactured products on account of various schemes and incentives also by the government, which have been put in place and also the value, which is added by domestic manufacturers. In terms of overall demand, if you look in the country, we do believe on an annualized basis that the demand will grow as we have forecasted earlier. So, while a specific quarter may have a muted demand -- like I mentioned in this quarter, there was some s lowdown because of early monsoons in certain segments. But this is only a question of a few months. So, this is not going to remain for too long. And we do believe that the demand overall in the whole year will make up for whatever muted demand we see in a few months.

Radha: Sir, actually, if 50% of the ABS is still being imported, then is it fair to assume that the import prices are able to match the domestic prices? And then if that is the case, then the domestic -- a little bit comment on the import versus domestic prices o f ABS then I ll go ahead.

Rahul Agrawal: I'm sorry, can you repeat that question? I didn't get it.

Radha: Sir, I just wanted your commentary on the domestic prices of ABS versus the import prices on ABS?

Rahul Agrawal: So obviously, for certain grades of products, there is a parity between imports and domestic products because of the nature of the product being sold globally. However, for many grades and specifically even for the regular products, there is obviously cert ain additional value, which domestic manufacturers offer to customers for which we are able to r ealize slightly better pricing.

And that remains to be the case and has been the case in the past. As you know,

that competitive

pressure from imports is not something new. It's something that the company has witnessed for several decades, at least in our last 3 years of taking over mana gement also, we have seen it. And we are where we are, and that doesn't seem to be changing too much.

Radha: How much ABS is being exported from India?

Rahul Agrawal: Almost no ABS, very little, if any.

Radha: Okay. In the Thailand plant, in order to bring the EBITDA margin at par with India, other than operating leverage, what are the measures that you can take to reduce costs?

Rahul Agrawal: It's a little early to comment on that, Radha. I think there is many things which have to be done in terms of process efficiency. So, I think if we are able to right now just do the operating leverage part because I think that's the part which can be done faster, then that is where we will focus on. In terms of additional areas of reducing costs, our team is looking at it. We are working on it, but it will take a little bit of time before we can accomplish it.

Radha : Okay. And sir, the product mix between SAN and ABS in the Thailand market for this quarter?

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Rahul Agrawal : So we do not disclose that information on account of certain competitive nature of business that we have in Thailand vis -a-vis our Thailand competitors. So, I'm unable to disclose that information to you.

Radha : Okay. Sir, continuing the question that the previous participant asked, in the stand-alone business, some of the costs like power and fuel employee fixed cost per ton is a bit higher compared to the competitor. So -- and you're already operating at optimum utilization. So, is there headroom to reduce these three major costs any further?

Rahul Agrawal : Hedging to reduce power and fuel?

Radha : Headroom to reduce.

Rahul Agrawal : Okay. Yes. So, in terms of power and fuel, again, we do believe that we have signed, by the way, an SPV as already is publicly known to go into hybrid power from our current power source. So that, I think, will be active by the end of the year. So that will reduce our power cost also.

Other areas, I think there is still some scope, but I'm not sure how much. So, I mean, I can't comment on competitors' performance. But I think in terms of where we started with the business and where we are at today, there is a significant improvement for sure.

Radha : Okay, sir. Thanks and all the best.

Operator: We take the next question from the line of Santosh from SKK HUF. Please proceed.

Santosh : Hello, sir. Thank you so much for giving an opportunity. Sir, I have two questions. One is that in the presentation you have reported that the sales to automotive industry is down by 30%. So, then it follows that what is the industry-wise breakup of your sales? If the sales is down by 30% to automotive industry, what made it up? Because this time -- this quarter, I saw the volume is up quarter-on-quarter as well as year-on-year. So, what is pulling in that extra demand other than the automotive?

Rahul Agrawal : So in our industry presentation, Santosh, we haven't mentioned about automotive being down by 30%. In fact, air conditioning has been down by about 30%. And that again has to do with kind of lower demand due to the early monsoon. The two-wheeler, in fact, has grown and four wheeler also has grown a little bit.

So overall, what we have seen is there has been other areas where we have been able to sell more product. So, in the small appliances, for instance, we have done better, in some other areas also, we have done better. So, across the board, the only area which has lagged really has been the air conditioning and some of the other appliances -- larger appliances.

Santosh : Santosh . Yes, yes. Sorry, yes, I got that. The presentation was just on that. So, yes, it was AC industry. So if in the presentation, just a

suggestion, if the industry-wide breakup can be given

that which all industry is picking up the demand, it will be really helpful in terms of us, analysts and investor community understand the demand and pull that is coming from. So, if it can be done, it will be really great.

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Rahul Agrawal : Yes. So generally, if you look at ABS, 40% of the business is in automotive, 40% is in appliances and the 20% is in the other area. Similarly, in polystyrene, 40% is appliances, 40% is roughly in packaging and 20% is in the other area. This is a rough breakup that I can not share with you.

Santosh : Okay. Okay great. Secondly, sir, my question is that this tariff tantrum that's happening all over the world, is it going to affect us either from the Indian production or the Thailand production?

Rahul Agrawal : So, from an Indian product, of course, we don't sell directly into the U.S. Also, most of our customers that we cater to in India, from what we understand, don't have a huge exposure to the U.S in terms of exports. So perhaps the Indian operation may not get very heavily impacted.

If we look at the Thailand operation also, yes, we are supplying to countries like China and also other areas where the final product might be being sold to the U.S and there might be some impact of it. But we believe in the context of the market opportunity which exists over there that we will still be fine in order to achieve our target for increasing our capacity utilization.

Santosh : Okay , great. And just last question. What is the capacity utilization in Thailand? I don't know if you already would have answered it. If you would have done, then I'll refer to that.

Rahul Agrawal : It's between 50% to 55%.

Santosh : Okay. So any hope of getting this to something like 70%, 80% independent environment or it would remain like this?

Rahul Agrawal : I can't comment at this stage. Like I said, it's been 5 months since we have taken over the business and a lot of work is going on in terms of -- again, repeating here in terms of convincing customers to move from the earlier branded product to our branded product or meeting all the customers across the space. Of course, we have added a lot of salespeople for that effect, but we do believe it will happen sometime soon.

Santosh : Okay, great. Thank you so much, sir. Wish you all good luck.

Rahul Agrawal : Yeah, thank you.

Moderator: Thank you. We take the next question from the line of Rahul Agarwal from IKIGAI Asset IKIGAI asset. Please proceed.

Rahul Agarwal : Hi. Very good afternoon to Rahul and Bhupesh ji. Sir, a few questions . A few questions, I'll list them down. Firstly, to start with on the industry side, one of the larger peers obviously just

started a plant. I think fiscal '26 volume is going to be much lower, not very meaningful. So, nothing much from that side.

But it looks like the second tier has actually cut down on capex. Earlier, the plan was to add much more capacity. It looks like it's going to be about another 25,000 ton. This is on ABS. So, from a pricing perspective, I think earlier analysts were asking more from a fiscal '26 perspective, but I'm much more longer term, fiscal '27, '28, your views on ABS in light of increasing domestic supply. If you could share something on that, that would be helpful.

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Second, on the inventory, I believe we ended March '25, both in India and Thailand, with higher -than-normal levels of inventory. Pricing has been a bit volatile and a bit weaker in my understanding on a Q -o-Q basis. I haven't seen any drop in gross margins for you, which I think is commendable in the Indian market -- in the India results. So any comments on inventory losses? If you could just comment on that, that will be helpful.

Third on the capex . I think more specific

ly, how much money did the budget is finalized for

fiscal '26? I'm assuming , yes. So we just share the number in terms of how much was spent in 1Q? And what's the balance capex spend for the balance 9 months in '26 and '27?

And lastly, on the balance sheet again . We had about INR50 crores, INR55 crores of net cash as of March '25 balance sheet. I think in the 1Q cash profit was about INR65 crores. I'm not sure how did the working capital behave in the quarter. So, what was the thought process for a INR50 crore, IN R55 crore dividend? Because my sense was that we have lined up a decent amount of capex for the full year to ramp up this ABS capacity. So just some thoughts on that decision will help. Those are my questions. Thank you.

Rahul Agrawal : Thanks, Rahul. So, like, I won't speculate on about the peers in terms of what they are doing. But from whatever market information that we have, and we are assuming that all of this is going to go to plan, we do believe from a longer term in terms of pricing, we will be fine because I think overall demand in the country will remain robust, barring a few months here and there in terms of specific reasons.

But the demand in the country will remain robust. And in terms of imports, there will be an opportunity for more domestic players to capture that market. So, this is, of course, something that we have believed in the past, and we continue to believe this going forward as well.

In the short -term, there could be some pricing pressures or margin pressures. But again, it's a little speculative in my mind to comment on it immediately. But there is an opportunity in the market. There is a space in the market, which can be occupied by additional volumes in the market. So, I think nobody -- none of me or I'm assuming the peers also would not want to destroy value. So, the idea would be to capture those volumes first, which are not being serviced by us or not being able to be serviced by us because we don't have the capacity. So, we'll see how that plays out.

In terms of inventories in Thailand and India, yes, there was some ramp -up of inventory, if you look at towards the March end quarter. And I think we had addressed this in the last investor call as well, but I can repeat it. Essentially, for Thailand, what we had done is we had just taken over the business in mid -January, and we wanted to ascertain the asset quality because, of course, it is an asset having quite a few years.

And while INEOS, of course, had done a lot of capex on the asset in recent years, we just wanted to ensure that the Thailand plant is able to produce at the level at which we believe it can. So, we are happy to see that it can and as a result of it, there was a ramp -up of inventory. There is another aspect by which we have an agreement with INEOS . I can't detail all of those things

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because it's confidential in nature, but we had to ramp up some volumes by specific periods, and we have done that.

We will see some of that evening out over the next few months. Inventories will be brought down. In India, again, we have, in fact, reduced those inventories in this quarter, there is a reduction between the March ending and the June ending quarter. In terms of gross margins, yes, your observations are okay. In terms of pricing, again, it is a function of product mix that we supply so, we see some changes in that as well.

Specifically with regards to dividend, I'll comment and then the rest of it for capex and balance sheet, I'll ask the CFO to comment. But on the dividend, see, we have always believed in trying to work with all our shareholders most equitably. We do believe that if the capex requirements or the cash requirements of the company come at a specific time, and we had cash on hand, then the best use of that cash is back to the shareholders.

So, we have kept that same

philosophy in mind and given it. When we do believe we need the cash for the company, for the capex and as per our plan, I think we are well on target to ensure there is no gap. So, this has been the philosophy of the company all along, and this is what we intend to do.

So, I'll give it to Bhupesh to comment on the capex and the balance sheet.

Bhupesh Porwal : So regarding capex for the Phase 1, as we had mentioned earlier, we'll be spending around INR325 crores to INR350 crores by March '27. And that plan is as per schedule going on, which has been announced earlier. Regarding balance sheet, I think you were asking about the cash positions at the March end and the June end. So as MD already mentioned, so we had some reduction of the inventory in this quarter end. So, any other questions on balance sheet?

Rahul Agarwal : Bhupesh ji, just the 1Q spend on capex and what is the budget for rest of the nine months. So full year capex for '26 and '27 and what is already done in 1Q?

Bhupesh Porwal : Yes. So maybe because there is only quarter 1 being done, maybe we would like to maybe publish these details more at the half year end. So, these are only three months up till now, we've just started it. So, by September end, we will be able to give you a more concrete picture on because there will be six months ending on at that period. And we'll be publishing the balance sheet also. So, it both will serve that purpose.

Rahul Agrawal : Rahul, it's a dynamic environment with peers closely looking into these numbers. So let's address this at the right time.

Rahul Agarwal : Got it. I understand that. Understand that. And congratulations for a better performance versus peers. When I look at the quarter, I think it was really tough. You guys have hold on to margins. It's very good and healthy to look at. Best wishes for the Independence Day and rest of the year. Thank you so much.

Moderator: Thank you. We take the next question from the line of Aditya Khetan from SMIFS Institutional Equities. Please proceed.

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Aditya Khetan : Thank you, sir, for the follow up. Sir, just a couple of questions. Sir, first, sir, when we look at the conversion cost in Thailand business, it is almost twice of the stand-alone India business. Any plans, sir, like how we can reduce this cost, and any further capital injection would be needed to bring down the cost? And when can we achieve this, so by this fiscal end or by FY '27?

Sir, second question is on to the refrigerant side ABS, which we are again making in Thailand.

Sir, what is the total market in the overall ABS of this specific grid? And sir, how it is different like in terms of applications, in terms of price and cost compared to our stand-alone, so specialty and the normal grid, so how different it is?

And sir, third question, sir, I believe in FY '25, the SAN volumes were somewhere around 15,000 tons. So with the ramp-up of ABS, like in FY '26, we are near operating at full, that SAN volumes will come down? And sir, what will be the external sales volume of SAN, if you can give for FY '26?

Rahul Agrawal : Okay. Aditya, it's a good observation. The conversion cost in Thailand is higher than India. And this is something that our team is working on. In terms of reducing it, it is not as straightforward as one would imagine. There is a lot of work that needs to happen in order to try and reduce that conversion cost. This will take some time.

We don't believe we will need a lot of capex in order to achieve that. This is going to be more to do with, again, process improvements. The other fact, which I mentioned, again, if you have a higher capacity utilization, we do see the conversion costs coming down significantly. So, this is also going to be an impact.

So again, selling more is going to be key from Thailand in order to help on multiple fronts. As far as

the refrigerant ABS market is concerned, again, globally, it's a large market. Right now, if I look at the Indian market opportunity, it is anywhere from 25,000 to 35,000 tons. There is some switch typically between HIPS and ABS from time to time.

In terms of the ABS quality itself, it has certain mechanical and chemical properties, which are different from the rest of the ABS. There are specific types of grades, which we are able to make in Thailand for this, as we have mentioned in the past. So this will be an addressable opportunity for us in India as well. The pricing is better in Thailand for this product.

Again, because of the nature of confidentiality in this information, I would not comment on how much higher or how much higher the price is, but it is a better margin for sure. When I look at SAN volumes, the overall SAN volumes for last year, and if you look at the overall SAN volumes for this year, we are targeting slightly higher SAN volumes.

When we are looking at capex and increasing capacities, the SAN capacity is also going to be

increased as a result of this. So, all of this is going hand-in-hand. And we don't believe there will be any shortfall in our ability to supply SAN to the market on account of additional ABS capacity. So, we'll be able to do the balancing and still be able to produce more SAN to service the market and also meet our targets.

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Aditya Khetan : Got it, sir. Got it. Sir, just one question. Sir, time line for that -- so 1 lakh ton expansion in ABS and 50,000 ton in polystyrene . So time line, sir, if you can share when are we planning to add?

Rahul Agrawal : So it's the same what we have mentioned earlier, I think we have spoken about FY '27 and we are looking to add 50,000 tons additional ABS in FY '28, the remaining 50,000 tons. So that remains the same. And the HIPS expansion will also happen around the same time. So there is no change in the time line. There is no additional update at this stage. Whenever we do have an update, we'll definitely share with you.

Aditya Khetan : Got it sir. Thank you, sir, that's it from my side.

Moderator: Thank you. We take the next question from the line of Pratik Singhania from Sage Investments. Please proceed.

Pratik Singhania : Sir, my first question is with respect to Thailand. Sir, we are selling HRG also externally or we are just focusing on selling ABS and SAN? Second question is with respect to if production is not a problem for us with respect to Thailand. And in SAN, if we can increase our capacity in SAN and also compounding, which will not take much time because like it can be done faster. Then do you have to wait for like 1.5 years to increase your domestic production in ABS or we can import HRG from Thailand and do the compounding with SAN and then sell more quantities of ABS in India?

Rahul Agrawal : Any other questions, Pratik?

Pratik Singhania : Only caveat was like with respect to the previous questions, which Aditya asked. So over here, like doing this, whether hindrance is with respect to the cost of manufacturing HRG in Thailand, which makes it infeasible for it to be imported in India into the ABS manufacturing? This was the 3 questions.

Rahul Agrawal : Okay. Thank you, Pratik. So Pratik, in Thailand, we make a different kind of an HRG product. It's called MAC 50. It's a bimodal rubber, which offers unique properties for multiple applications and multiple segments. And we do supply this to other -- some customers -- specific customers outside of our own consumption.

So, we do supply in China and in Thailand and also in Japan to certain customers, this product. With regards to ramping up in India from -- and getting the product from Thailand, obviously, there is a cost involved. It's not just the cost of manufacturing in Thailand, which might be slightly higher for specific product grades

And of course, using MAC 50 in India is something we do, do in terms of balancing but may not be ideal from a cost position perspective because the product is sometimes better utilized for other product grades as opposed to for the type of products we make in India. So, the value addition can be higher as well is what I mean.

In terms of SAN also, again, in ABS, typically 70%, 75% can be SAN. So, importing it from Thailand with the freight component and the additional costs associated with it would be

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difficult. It's not just the cost of producing SAN itself in Thailand is quite competitive, but the cost of, again, moving it and using it in India may not be the most viable in terms of the ideal way of running the business.

So, we do believe that these products in terms of pricing realization can have better pricing realization for the specific grades that we produce in other markets as opposed to bringing them into India and then using it for our grades here.

So again, I think from a strategy perspective as well, it serves us better to cater to different OEMs in different parts of the world as opposed to trying to bring that in to fill in specifically in India from a Thailand perspective.

Pratik Singhania : Okay. But then, sir, with respect to this capacity utilization currently being at 90% plus and then in domestic, not able to increase the volume Q-on-Q with respect to ABS sales, then how do you see that? Like are we in a wait-and-watch position that we want the competitor plant to come up, see how the entire market behaves for 5, 6 months and then we would want to like increase the capacity then?

Rahul Agrawal : So, like I mentioned in the investor presentation, one of the key increases that we saw towards the end of last year and which we have been able to successfully realize is our HRG capacity in first quarter of this year.

We have been able to produce 20% more, which is significant given the low cost that we incurred for that. So, we are already producing more ABS and selling more ABS in the market. Our volumes indicate that as well for the first quarter.

And we do believe that, yes, we can bring some rubber from Thailand and do this. We have the SAN currently available in order to do that as well. So, the SAN, we have extra -- we have always had extra SAN in India. So that's not a concern.

But we really have to see from a value proposition perspective, what makes more sense, right, for the organization. It's been only 5 months in Thailand. We do believe that there is a lot of opportunity to realize much higher value for those products elsewhere, and we should do that. Once we commit these volumes to specific areas, this is not a pure commodity where you want to plug in and plug out. If you are going to cater to, say, specific OEMs in Japan or China or wherever, then you would want to be able to supply them going forward.

So there are some strategic calls the organization needs to take in place. And of course, it's only been 5 months. So, it's been a very short time in Thailand where we can take the calls in a reasonable period of time, what makes sense for the whole group.

Pratik Singhania : And in next like few months, can we see another line of SAN getting added in our capacity?

Rahul Agrawal : No.

Moderator: We take the next question from the line of Rahil from Sapphire Capital.

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Rahil: Four quick questions. Firstly, you mentioned Thailand, you're running at a utilization of 50% to 55%, correct? Firstly, what is the total capacity there? And what is the peak utilization you can achieve there? And with that, what kind of revenue potential it has?

Secondly, how has quarter 2 been so far in the last 1.5 months or so? What's the general demand scenario on ground? And you also mentioned

in Thailand, you benefited from some sort of new product mix, which is -- I think you have some specialty ABS grades -- grade of products which you have access to via the acquisition. So how margin accretive are they? And lastly, any sort of revenue volume guidance for the year? Thank you.

Rahul Agrawal : Yes. So, in terms of capacity utilization, we are doing essentially 55% capacity utilization in Thailand. Essentially, if you look at the revenue in Thailand that we have and you assume a similar product mix, you can see that we can essentially increase revenue by close to 70% to 80% additionally, right, from where we are at.

So, this is the kind of peak revenue, which is possible given the current product mix, if it remains the same from Thailand. We are not sure that, that would be the case, but we have to see.

In terms of the second quarter, again, we typically don't give forward-looking statements or statements like this until the quarter comes to an end. So, I will excuse myself from answering that question.

In terms of the Thailand product mix, yes, there are, again, products which we are doing. I spoke about the bimodal rubber, which is unique, which has certain benefits for certain applications. There is a refrigerant ABS that we do from Thailand, which is a unique and value-added product. There are certain SAN grades that we make like a food-grade SAN, which goes into certain appliances where there is direct food contact, which has a higher margin. So, there are -- and there is, of course, a lot of high heat ABS also which we do into automotive industry.

So, all these are kind of the higher value-added products, which we do from Thailand. And we do believe there is a lot of scope to increase that going forward as well. So, in terms of volume guidance, I think for the year, we mentioned 12% to 13%, which is in line with what additional volumes will be available to us in India, and we should be able to do that. For Thailand, again, it's a little bit early to exactly give what volumes we will end up for the year -- towards the end of the year.

Moderator: We take the next question from the line of Krunal Shah from ENAM Investments.

Krunal Shah : Congratulations on the good set of numbers. So I have 3 questions. One is in Thailand, have we added any new customers during the period in which we have had control? The second question is in terms of ASALAC and PC ABS what kind of volumes are we doing there right now?

And the third question is in EU, so a lot of chemical companies are shutting operations because of high power costs. Are we seeing a similar trend in some polymer players there? And would that create an opportunity for us to export in the medium to long term? Thank you.

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Rahul Agrawal : Yes. So, thanks Krunal, for your question. So, in terms of new customers in Thailand, yes, in fact, we have added quite a few customers in Thailand. In fact, both ways, we are adding new customers in India as well as Thailand, because there are certain companies and OEMs, which

are producing in Thailand, where we have approvals in India, we are able to leverage that for Thailand.

And similarly, from Thailand, we have certain approvals, which we are able to leverage for India. So, we have been able to do that very quickly in the last 3, 4 months. Typically, approvals take a long time, as you know, in the industries that we are present in.

So, there is a lot of work going on currently to get those approvals in place and to move those products as well. And over a period of time, we do see that we will have several new customers, not only in Thailand -- I mean, not only within the domestic part of Thailand, but also in China and Japan and Vietnam, South Korea, all these places.

So, lots of activity going on there. We've opened offices, like I mentioned, in Shanghai. And also, we

have a sales team now in Vietnam and Japan, South Korea as well as Indonesia, so which will again be part of that force to increase those sales.

ASALAC and PC ABS, there is a good growth. In terms of volumes, we are still not where we want to be. We are doing close to 100 tons of product every month or 150 tons per month. I do believe these numbers can be much higher, and we will get there. So, there is a lot of validations, again, which are going on for all these blends. And we do believe that in the next 1 year or so, we will get to that point.

In terms of EU, higher power costs and export potential, yes, there is export potential. But currently, if I look at India, we are completely sold out. We don't have really much volume to spare. But there are certain opportunities that we are actively looking at for the EU, where we believe that sales can be developed.

There is a long period in terms of qualification and all of that is going on for the EU as well. But I think short term, maybe not. But medium to long term, yes, there will be opportunities for export from India as well, which we are looking at.

Moderator: We take the next question from the line of Pawan from NMV Securities.

Pawan: I have 2 written questions, one on capex. So last quarter, we have deferred on spill out the polystyrene capex. So current guidance of INR350 crores for this year include the polystyrene capex? And second question will be on what will be our cap -- full year capacity for FY '26, including the expansion of ABS?

Rahul Agrawal : Okay. With regards to capacity for FY '26, it will be in line with what we had given in the earlier investor presentation, which I think is to the tune of about 210,000, 215,000 tons for all the products that we produce in India. Thailand is separate, of course. With regards to the PS capex, I'll let our CFO comment.

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Bhupesh Porwal : Yes. So PS capex, as announced earlier, the engineering study is going on. Once it is completed, we'll let you know more details about it.

Pawan: So current guidance of INR 350 crores doesn't include polystyrene?

Bhupesh Porwal : Correct.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for the day. I would now like to hand the conference over to Mr. Chintan Doshi for closing comments. Over to you, sir.

Chintan Doshi : Thank you, everyone, for joining us today on earnings call. We appreciate your interest and time in the company. We look forward to answering you in the next meeting, which will be announced at suitable time in the future. Thank you.

Moderator: On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 19, 2025

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Mumbai 400 001
BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor s / Analyst s held on November 12 , 2025.

Ref: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated November 07 , 2025 informing about the earnings call organized by the Company on November 12 , 2025, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary

Encl: As Above
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“Styrenix Performance Materials Limited
Earnings Conference Call ”
November 12 , 2025

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR –
STYRENIX PERFORMANCE MATERIALS LIMITED

MR. BHUPESH P. PORWAL – CHIEF FINANCIAL
OFFICER – STYRENIX PERFORMANCE MATERIALS
LIMITED
MR. CHINTAN DOSHI – MANAGER LEGAL AND
COMPANY SECRETARY – STYRENIX PERFORMANCE
MATERIALS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Styrenix Performance Materials Limited Conference Call. We have with us today from the management of Styrenix Performance Materials Limited, Mr. Rahul Agrawal, Managing Director; Mr. Bhupesh P. Porwal, Chief Financial Officer, CFO; and Mr. Chintan Doshi, Manager, Legal and Company Secretary. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

Further, on behalf of management of the company, we would also like to remind the participants that this call is being conducted subject to and in line with the disclaimer mentioned in the investor presentation that is available on the stock exchanges.

I now hand the conference over to Mr. Bhupesh P. Porwal. Thank you, and over to you, Mr. Porwal.

Bhupesh P. Porwal: Ladies and gentlemen, Namaste everyone. I am pleased to welcome you to our Q2 and period ended September '25 conference call. Our expansion plan is going on as per schedule. We'll update on these more once further details are available.

Coming to our financial performance about the quarter financial year '26 highlights. Sales volume for Q2 was 45.2 KT versus 51.8 KT in quarter 1 financial year '26, that is it has decreased by 12.7% and it has increased by 8.1% compared to Q2 financial year '25, which was 41.8 KT.

Revenue stood by INR615 crores in Q2 FY '26 versus INR721 crores in quarter 1 FY '26 , that is decreased by 14.7% and decreased by 5.8% compared to Q2 FY '25, which was INR653 crores. PBDIT stood at INR81.8 crores, that is 13.3% versus INR86.1 crores, 11.9% in quarter 1 FY '26 and INR105.2 crores, 15.9% in quarter 2 FY '25.

For the half yearly highlights of the stand -alone, sales volume for H1 FY '25 stood by 97 KT versus 90.1 KT in FY '25, that is it has increased by 7.6%. Revenue stood at INR1,336 crores versus INR1,352 crores, that is a decrease by 1.18% compared to H1 FY '25. PBDI stood at INR167.9 crores, that is 12.6% versus INR197.4 crores in H1 FY '25, which is lower by 1.9% compared to H1 FY '25.

The company had incorporated a wholly-owned subsidiary, Styrenix Performance Materials FZE in Jafza Dubai, UAE on September 10, 2024. And during the quarter and half year ended September 30, 2024, no transaction had been carried out in the wholly -owned subsidiary.

The group had acquired Styrenix Performance Materials Thailand Limited in January '25 and the consolidated results of the year ended March 31, 2025, and half year ended September 30, '25 includes financial results of the subsidiaries. Therefore, the financial results for July to September '24 and half year ended September '24 are not comparable with the July to September '25 and half year ended September '25 consolidated figures.

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Consolidated numbers now for the quarter 2. Sales volume for quarter 2 was 57.5 KT versus 67.2 KT in Q1 FY '26, that is it has decreased by 14.4%. Revenue stood by INR799 crores in quarter 1 versus INR943 crores in quarter 1 FY '26, decreased by 15.32%.

PBDIT stood at INR88.4 crores that is 11.1% versus INR99 crores, that is 10.6% in quarter 1 FY '26. Consolidated H1 highlights. Sales volume of H1 is 124.7 KT. Revenue stood at INR1,742 crores in H1. PBDI T stood at INR188 crores, that is 10.8%. This is all about highlights for the quarter and H1 ended September '25.

And now we may proceed to answer the questions you may have. Thank you very much.

Moderator: The first question is from the line of Aditya Khetan from SMIFS.

Aditya Khetan: Sir, during

the quarter, we witnessed like gross spreads on quarter -on-quarter basis has improved. But sir, when we look at the raw material price performance like for styrene,

acrylonitrile, most of the prices have declined quarter -on-quarter. So ideally, sir, this quarter, there should have been a component of inventory loss plus lower product mix, but the numbers are looking quite good. If you can highlight, sir, what has been the reason like we have been able to buck this trend?

Rahul Agrawal: Aditya, this is Rahul. Can you ask all your questions at one go, so I can answer all of them?

Aditya Khetan: Yes, sir. Sir, second was what could be the numbers for Thailand? I missed the initial remarks. So what could be the volume figure for Thailand in this quarter? And consequently, what are the EBITDA for that business?

And third, sir, my question is pertaining to our outlook for the growth in the upcoming years. So most of the expansion which we have highlighted like Phase 1 of ABS, is that scheduled to come on stream by next year of ABS, so by the mid of 2026.

And any change in the capex plans, any upward revision in the capex? That is the third. And sir, fourth question is pertaining to how you see the ramp -up of Thailand? What numbers are we looking for volumes for this fiscal FY '26 and for FY '27? Yes, sir.

Rahul Agrawal: Okay. Thanks, Aditya. See, with regards to the gross spreads, essentially, if we look at the volumes in terms of a product mix, we have actually had a very flattish kind of a polystyrene business because there has been a significant impact on household appliances and air conditioning, for instance, has got more severely impacted. And the sales in polystyrene have been -- in spite of that, have been flat for us. We have not kind of had any reduction, but no growth either.

In the case of ABS, there has been some growth. So overall product mix has been more -- in the case of ABS, there is a larger percentage in this versus the last quarter. While the prices have come down of raw materials, even the finished product prices have come down as a result of that because a lot of the business, as you know, is formula driven. So the overall spreads are better because, of course, a larger kind of an ABS component that we have.

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In terms of inventories, we don't carry very large inventory. So we don't see very large kind of inventory gains or losses, at least in the case of India. So we don't have that issue here. Going forward, with regards to Thailand, our volumes are essentially kind of declined a little bit over the last quarter. So overall, for this first half, we have done about 32 KT. We had 17 in the first quarter and 15 in the next quarter.

Overall, for this year, we are estimating the growth to be flattish in Thailand. I think next year also is when we will start seeing some update in volumes. Overall, there is a positive contribution so far in Thailand. But overall, in the entire year, we are not giving any kind of forward -looking EBITDA projections right now because there are some level of uncertainties around Thailand.

We do believe Thailand to be a medium - to long -term value addition for the business as opposed to a short -term gain that we see for the organization. I had mentioned earlier, the logic for Thailand has been around technology, around market access, around several areas, which obviously will yield results only after a period of time.

Going back to your third question with regards to growth for this business, we do -- we are anticipating to be in line and finishing the year, at least for India, how we have mentioned in the past. So to the extent we have expanded some of our capacities, we do believe we'll be able to get the benefit of those capacities translated into sales for the entire year.

So there have been some sales which have been la

gging, I would say, in the case of polystyrene, especially in the first 2 quarters. But we do believe that this kind of some seasonality effect and some issues which have happened will get resolved, and we will see the next 6 months to be generally better in that case as well. So overall, volumes, we'll still be able to catch up to the levels we have indicated earlier. So we'll still have a reasonable growth over last year.

In terms of capex , I think we have mentioned some of that in terms of cash, which has been used for investing activities in our presentation as well. So capex has already started. We do believe that whatever capex we have planned for Phase 1 for ABS will be completed more or less in time, which is sometime during the next financial year. It is hard to pinpoint an exact date and month, but we do believe it will happen maybe in the mid to the end of kind of next financial year, so around that time.

With regards to, I think, Thailand volumes, you have asked, so -- and I've answered in the question again. But since you have mentioned as your fourth question, I'm again addressing it that we do anticipate the volumes to be flat in what is done in the first half with similar volumes we'll see in the second half. But as our validations come through for our products and we are able to take benefit of the entire sales teams, which have been set up in those regions.

We have mentioned in our investor presentation that in addition to Shanghai, we have also opened an office in Vietnam, and we've also got our marketing reps in Japan and Korea and other places as well as Indonesia. So all this will take a little time to yield results. But we do

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believe in the coming year or in the medium term and long term, this will yield the volume growth that we are looking for.

Aditya Khetan: Sir, just 2 follow-ups on this. Sir, you mentioned on the raw materials part that we are keeping very minimal inventory. But I believe, sir, our -- most of the raw materials like styrene and acrylonitrile are imported. So ideally, they should be having a longer time because we are importing it and there is always a transit time, plus we should have it in our inventory pipeline. So ideally that would be higher other than -- so butadiene would be lower. So still like you feel like this raw material management is quite easier in times of falling RM prices, we can easily manage the things and quickly.

Rahul Agrawal: So if I look at even styrene monomer prices, while they might have fallen, if I look from January till this month, if I look at the average of the last quarter versus this quarter, there has not been a significant decline. In acrylonitrile, of course, there has been some decline, but acrylonitrile again, is a smaller percentage of our overall volumes. And so is the case of butadiene because if you look at the entire business, I think styrene is again a little bit larger component between polystyrene and ABS.

And there, the decline quarter-on-quarter has not been as significant as it has been, say, from January to this part. So we have not seen a much bigger difference there. So -- and again, while we are importing the styrene and styrene is, of course, significant in terms of our overall inventory, it is not very significant or very large in terms of our overall sales. So we are still able to manage that quite judiciously.

Aditya Khetan: Got it, sir. Sir, just one last question. Sir, your commentary around Thailand has become a more onto the cautious side. You had also highlighted so there are some uncertainties, and we are expecting slight uptick in FY '27 in next year. If you can, sir, elaborate more -- what changes have we seen like post the acquisition, what changes on the ground? And anything surprise has been come to our notice or anything new which we have found out, which is why our guidance

has a bit changed here?

Rahul Agrawal: So we have never given any guidance around Thailand earlier. We have always stated that in the case of Thailand, as far as the operations are concerned and the exact value that we will derive from the operations in terms of EBITDA and volume will take a little bit of time to stabilize. There is no change from that commentary to now what I'm saying. It is the same. And in fact, I've always stated that as far as the -- that value which will come from Thailand is a significant long-term value.

And that is for most shareholders, I think that is of vital importance. So we're reiterating the same thing. I have always stated that in terms of short term, which is like 2 quarters or 3 quarters from -- not even 3 entire quarters from when we have acquired the business, there is going to be a little bit of time, which will be required to get that full benefit. So it is exactly the same what I've been stating in the past. There is no change in it.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

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Dhaval Shah: Good set of performance on the EBITDA margin front. Sir, my question first is regarding the incorporation of a wholly owned subsidiary in Dubai. So what is the purpose of this? So that's the first question.

Second question will be on the third quarter outlook, which you've given in the presentation. So this translates into a sort of a Q1 type of performance in terms of volume, what we have done. So is my understanding correct?

And third question will be in terms of competitive intensity as our peers' capacity has gone on stream and then further ramp-up will happen in the ABS capacity over the next 2 quarters. So do you see some pressure on -- in the market in terms of margins on the ABS side as its capacity gets ramped up? These are my 3 questions.

Rahul Agrawal: So your first question is around Dubai. Essentially, we have -- when we took the business from INEOS Styrolution in Thailand, it seemed the advice that we got was that eventually Dubai would be a good destination from a long-term business structuring perspective for Styrenix as a whole.

As you know, currently, in Styrenix, we don't have any export sales in India. Thailand, we do, of course, have some sales going to Asian regions. But if we look long term in terms of sales to the Middle East, to Europe, to U.S., we believe that Dubai would form a good base for the organization long term.

And keeping that in mind in terms of future planning, which should be efficient from functioning, operations, tax, all the above, it made sense to incorporate this. So that net-net, we see an advantage of this kind of a structure and entity, which we have formed in Dubai.

Dhaval Shah: Basically, it's like a sales office for exports, right?

Rahul Agrawal: Yes. So it's also kind of a holding company for the Dubai entity. And also, it will work as a sales function, right? So there will be a lot of sales which will happen into the Middle East, which is an area which we have now started exploring from India as well into the GCC. There is an opportunity there. And Dubai, of course, is a correct base for us to engage in those sales activities for GCC for some of our capacities, say, like you mentioned about PS, competitive intensity and that kind of ties in there.

Where we do believe there are more opportunities which will come for PS also in that region also with ABS, and that may materialize quicker once we have additional capacities to offer in ABS as well. But in the case of PS, for instance, we have already started looking at exports in that region. And again, Dubai becomes a base for that. So there are multiple benefits of being in that region, and I'm just enumerating a few of them in the interest of time here.

When we look at the third quarter outlook, per

se, we have not given any guidance per se in any of our presentation. All I have mentioned is if we look at the annualized volumes that are available to us for sale versus what we will be able to sell, right, in terms of capacities versus sales, I think we will have an opportunity to sell more.

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And we will be able to do that because we do believe that the demand will remain robust, right? So the outlook is a generalized outlook for the industry as opposed to an outlook for our company specifically because we have spoken about appliances like refrigerators, we have spoken about auto industry, we have spoken about small appliances.

And we do believe that there has been muted demand in the last few quarters, especially on PS and somewhat in ABS also, of course, the demand has been good for us. But PS specifically, we do believe that the demand will be better, right, going forward, which is generally the case year-on-year as well. So essentially, that covers up what we will do in the next 2 quarters.

It's not just Q3, but even Q4 for that matter. So overall, that is a market outlook. And as far as our outlook is concerned, for ABS, we are running relatively full, and we anticipate that will be the case. With whatever competitive intensity has been, we have not seen any significant increase in that so far.

And with whatever competitive intensity, we have not seen any significant change either in terms of our margin profile for ABS. We'll see how that pans out as that comes. As far as our own capacity augmentation is concerned in ABS, that, again, we have some time before that happens.

Like we have mentioned, it will happen in the next financial year at some point of time between the middle of the year to the end of the year. So until that time, whatever ABS capacities we have available, we don't believe there will be any challenge in being able to utilize that entire capacity.

Dhaval Shah: Noted, sir. And sir, one question. As you mentioned, your PS sales could be higher for next 2 quarters. So does it mean that the EBITDA per kilo, what you've done in second quarter could be softer given the PS sales will be higher?

Rahul Agrawal: So it can happen, but again, very difficult to predict exact numbers, Dhaval, because what all so happens in Q3 and Q4, specifically, if I look at Q4, the overall margin profile also improved slightly. Specifically, there is a lot more sale in the air conditioning and the refrigerator market, a lot more HIPS is sold as well at that time. The volumes effectively are much, much higher than what we are doing today.

And there, again, the EBITDA per kg is higher than, say, for general purpose polystyrene, for instance. So there are those things also which play into it. So to give exact numbers of how that would play out versus the first half is a little bit difficult to give. But generally, you would be correct that there would be some potential impact on the blended EBITDA per kg.

Moderator: The next question is from the line of Dhaval Shah from Alfaccurate Advisors.

Dhaval Shah: So first, my question is on the stand-alone business. Despite there are some headwinds in the domestic market in terms of the auto volumes and then the consumer business also, still we have shown the 8% volume growth that is really a great part. And going forward, once the GST has already been cut and there is also an assumption then that the second half can be good

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So you already mentioned that ABS we are already running at peak. But in terms of the overall volume perspective, is it fair to assume that we can end this year by around plus 10 -odd percent of the volume growth? Or is it largely will remain at the same level like we have done in the first half?

Rahul Agrawal:

Yes. So if you look at year -to-date last year versus this year, year -to-date, we mentioned the total sales volume on a stand -alone basis last year was around 89.8 KT, which is now around 97 KT, right, for the first half. When I mentioned also the fact that polystyrene has been largely flat, which means all of that growth has essentially come from ABS or most of it has come from ABS.

So you can derive very quickly that the growth is probably more than 10% or thereabouts as far as ABS is concerned, right, if I look at ABS stand -alone. We don't give segmented numbers, so I'm afraid I'm not able to share that with you, but one can derive that in a rather straightforward manner.

Going forward, also, we anticipate the same to be the case. Yes, like I mentioned, polystyrene will also do potentially much better in the second half. So overall, our volumes will remain to the tune of whatever 10% growth as well because we have already seen close to between 7.5% and 8% growth or 8% growth in the first half. So we do anticipate in the second half to be a little bit better than that. So thereabouts 10%, not committing to a specific number, we should be able to achieve.

GST cut, yes, we will -- we are anticipating also to see some benefit from that. But again, we are not sure exactly when, how that kicks off. The demand that we have seen for our products has been robust. We also anticipate auto growth to remain robust going forward. Especially Q4, we see auto growth is generally quite good. And even for next quarter, for both the 4 -wheeler and 2 -wheeler, again, we are expecting reasonably good growth. So all these sectors will ensure that we don't have any problem meeting our volume targets.

Dhavan Shah : And also because of the volume growth can be good compared to the H1 and the raw material price is already suppressed. So is it fair to assume that the spread would also improve because the demand market -- I mean, the market demand will improve. So eventually, I think the spread would also improve. Is it a fair assumption? I mean -- or we will pass on any decrease in the raw material to the end users or we will keep some benefit in terms of the sales price?

Rahul Agrawal: So generally, as we have mentioned in the past as well, we do a lot of formula -based pricing with a lot of our customers. And in that, it's passed through, right? So if the prices go up or down of raw materials, generally, that's agreed upon wherever there is a contract. Now even if there is no contract with a lot of the other customers as well, we have some kind of a formula. So we do believe it will remain passed through.

Wherever we have some business on the spot market, yes, there could be some opportunities. But the competitive intensity right now in the market and has been the case in the past as well, has ensured that there is no significant upside, right, over there. So we don't anticipate any major changes, frankly, going forward.

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Dhavan Shah : Understood. And in terms of this highlight, if I look at the other cost and the employee cost, if I annualize both of these things, I think employees is roughly INR65 crores, INR70-odd crores on the annual basis. And the other cost is roughly INR200 crores on the current revenue -- annualized revenue of INR800-odd crores. You already mentioned that the next year can also be soft maybe for Thailand in terms of the volume growth. So is there any room for restructuring these 2 costs, employee and other costs to improve the EBITDA per turnover there?

Rahul Agrawal: So in Thailand, we are doing something. But today, to translate that into significant numbers and trying to factor that into a calculation is not something which I would recommend strongly to do, whether the employee cost or the other expenses. Now there will be areas of productivity improvement. There will be areas

of technology improvement. But -- and of

course, there will be significant areas for improvement in sales, right?

So it will be a stepwise process. It will be a gradual process. And like I said, there is a way of

working in that region, which we need to respect. And we need to be able to ensure that the kind of the asset is able to deliver how we want in the long term as opposed to looking for short-term gains.

Dhavan Shah : Right, right. Because I was comparing the stand-alone other cost, which is all so around INR240-odd crores on an annual basis versus our revenue in stand-alone is around INR2,500 crores on an annual basis. And if I compare it with Thailand, Thailand other cost is also INR200 crores right now. So I understand that the utilization is lower there.

Rahul Agrawal: Right. So I think that is the biggest challenge, right, in Thailand is the capacity utilization. But one must understand one thing here that we have also shifted from INEOS' brand previously, towards Absolac, which in that region has not been a well-known brand. And in spite of that, we have had a relatively good success in terms of conversion to our brand, right?

Going forward, we do believe that as the sales efforts take place, the total volumes will go up. But yes, it's a process which we have to follow, and we have to respect. And making too many sharp changes can be very detrimental to the organization.

Dhavan Shah : Sure. And sir, by when do we expect the incremental sales from Dubai or the GCC country will start?

Rahul Agrawal: So again, this will take a little bit of time. We have started the process. And this is going to, of course, be more for the Indian operation only. So polystyrene, typically, what happens is you tend to run much fuller in the third and fourth quarter. So you would want to utilize that capacity when they're available again. And that potentially would happen again next year. So we have to do a little bit of balancing in terms of when we see the value in those markets versus when we have capacities. So we have started the efforts. We will start feeding the market a little bit.

But the real benefit where we can get operating leverage or capacity utilization benefits would be times when potentially those volumes are a little bit leaner in India, which will again

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probably happen more next year as opposed to trying to push it for the next few quarters where anyways, the demand in India is much more robust.

Dhavan Shah : Understood . And the EBITDA per tonne would be better in those countries versus the India?

Rahul Agrawal: It depends on grades. But overall, what I believe is that the realizations in India are better.

Dhavan Shah : Okay. But EBITDA per tonne would be better over there?

Rahul Agrawal: I think the realization, which means EBITDA per tonne is better in India. Specific grades can give better realizations. But yes, generally, this would be the case.

Moderator: The next question is from the line of Tushar Raghatate from Omega Portfolio Advisors.

Tushar Raghatate : Just wanted to know more about the industry structure, little elaborative -- there were 2 players now it become a 3 -player industry, the ABS. I just wanted to understand the profit risk for us in the industry. And secondly, in terms of the emulsion and the mass ABS manufacturing process, what's the difference in that in terms of client stickiness or any risk you are seeing from that -- from the mass grid ABS? If I'm not mistaken, one of your peer, the raw material styrene capacity is just next to the plant. So in terms of logistic benefit, how we are placed in the industry of the ABS That would be my first question, sir.

And secondly, just wanted to understand the Thailand business. And I'm asking from the midterm perspective, not the near term. For INR800 crore s plus book, we gave here about

less

than INR200 crores with the tax benefits there. I understand the turnaround takes some time.

Just wanted to know in terms of the capacity utilization and the profitability contribution to the consolidated level, then we can see the material contribution from the Thailand business.

And third would be, sir, you did some polystyrene debottleneck and are debottleneck capex historically. What was the cost for the same? And do you see that the delta with the capacity added, do you see that utilization happening to the extent which we thought earlier?

Rahul Agrawal: Okay. So with regards to your first question, when you spoke about profit sharing, I'm not sure how I can answer that question. I don't think I'm qualified to answer the profit sharing between different players in an industry. But I can share only the profits that we have, and that is readily available to you.

With regards to emulsion versus mass ABS, so currently, to my best knowledge, the ABS market in India, where we are present in Styrenix is dominated by immersion ABS. Mass ABS, we have seen product being sold in some other parts of the world. Of course, one of the players has come out with mass ABS. We are not sure exactly which customers in terms of positioning mass ABS will occupy. But so far, we haven't seen a very big risk.

One thing also for you to understand, if you look at the overall industry dynamic is that the total market for ABS is still underserved by the existing or the earlier incumbent players, right? So the third player addition, I think there is hope for -- to do some import substitution as

into the market, though we haven't really seen it so far. We will see how this pans out over the next few quarters.

When you talk about the other player having SM capacity or styrene monomer capacity next to the plant, I do not believe that is correct because there is no styrene monomer plant in India. Entire styrene monomer so far is imported into the country. There is some announcement of some capacity, which will come in, but I do believe this will take a few years at least. So there is no such comparison that we can really discuss at this point.

With regards to Thailand, you mentioned that you are more interested in the medium term. So normally, short term, I look at next few quarters or 1 year and medium term would be beyond that. So I've already addressed that question where I mentioned that in the next year, we will see some growth and then real growth we'll see beyond that.

So in terms of capacity utilization, also, right now, we are operating at much lower capacity utilization. So we did about 32,000 tonnes in the first half and similar, say, next half also. And the total capacity, I think, of Thailand that we have stated is around 120 KT. So it's only about 50%, right?

So that is where it stands. And material contribution, I've already mentioned, will not -- is going to remain where it is. If you look at the first half, it is not going to significantly contribute to the consolidated results in terms of the EBITDA or anything like that. And this is going to take a little bit of time before that there is any real contribution that we see.

With regards to ABS and PS Debottleneck I don't have the exact numbers in terms of the breakup of what we spent. But we do believe when we look at ABS debottlenecking, for instance, we have been able to increase the volumes. So when we took over the business in '22, the volumes that we were doing in ABS were close to 60,000 tonnes in a year. And last year, we closed closer to 90,000 to 100,000 tonnes. And this year, we are, of course, doing even numbers higher than that.

In PS also, we have seen similar kind of a growth pattern where earlier the volumes were to the tu

ne of 40,000, 45,000 tonnes. And last year also, we have seen an increase in that, and we are seeing further increases this year as well. So all the debottlenecking exercises have been successful for Styrenix. And going forward, whatever we have done, we will be able to utilize the operating leverage out of those capacities.

Tushar Raghatate : Sir, just to clarify, in the profit mix, basically, the industry profit mix, do you see any risk going forward? Why? Because sir, one of your competitor has reduced their capex plan substantially. So just wanted to know the incremental growth of 7% to 8%. Do you see that coming in for us?

Rahul Agrawal: So I can't comment on what the competitors are doing from a strategic perspective. I can state that for Styrenix, going forward with the expansion is going to be vital. We do believe that we are -- we want to remain in a leadership position in this market. We want to be able to cater and serve all our customers effectively. India is growing well. There is a robust demand for all our products.

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And we are just answering the customer's call essentially by doing the expansion, which is needed. We do believe that with whatever current margin profile and profitability profile we have and whatever capex plans we have planned out, we are getting a reasonably acceptable and healthy IRR on that capex investments, which has been cleared by our Board. So we do believe that we are sticking to the path that we have already announced earlier, and there is no deviation from that.

Moderator: The next question is from the line of Nirali Gopani from Unique PMS.

Nirali Gopani: So Rahul, again, my question is a little broader, and I believe you have answered in bits and pieces. But -- so when we took over the company, our belief was we will go with import substitution, import will eventually come down. But now as we see that we are increasing capacity, our global -- our domestic competitors are putting on further capacity. And we have also heard that China is also going very aggressive in adding capacities. So eventually, not in the near term, but 3 years out, do you see any pressure from -- due to imports or global and chances of overcapacity happening in the next few years?

Rahul Agrawal: Nirali, any more questions you have other than this?

Nirali Gopani: Yes. And secondly, on this Mass ABS, so just wanted to understand that our belief was that getting an approval with auto OEM is a little long gestation period, but our competitor believes that we can get this in 3 to 6 months. So any view like in your view, how long does it take to get a clearance from an auto OEM? Yes, that's it from my side.

Rahul Agrawal: Okay. So with regards to domestic capacities, I think most of the information is in public domain, wherein we are, of course, going ahead with what we have planned. With regards to competitors, I don't feel it is right of me to comment, but we know what is happening with the other 2 competitors, what is going on. So we do believe that as far as domestic capacities are concerned, in fact, there is a kind of a cutback in the earlier view where the overall capacities would have been higher, in fact. So the capacities are going to be actually lower based on whatever recent commentary is there from the 3 now players.

As far as China is concerned, so one interesting information that I can give you is that even from Thailand, we do sell to China. So in the sense that while China may have significant capacities, which you are right, and they are putting in even more capacities, there is certain markets in China for which certain kind of ABS is required where we are better equipped to produce and deliver. And we have been doing that in India as well. So a large part of the Indian market is in that segment. And we do believe that we will remain not only relevant,

but

we would have a leadership position in those segments going forward.

So while imports always pose some kind of threat to the competitive intensity ecosystem, that will remain the case as it has remained even earlier. So competitive intensity has been from the Far East. I won't name specific countries, but there have been imports coming in from everywhere. And in spite of that, we have been able to carve out our niche position, and that will remain the case. So there is already overcapacity globally, but that's not today or tomorrow. It has been there for quite some time since we have taken over, in fact, or even Styrenix Performance Materials Limited

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before that. And in the context of that, I think we have still managed to increase our business. So that's something that I think we should be able to effectively manage going forward as well. With regards to Mass ABS, again, I will refrain from commenting. I've already explained what I know about Mass ABS. So -- but as far as we are concerned, with all the auto approvals, we are already approved in almost all the auto companies. When we come up with new products as well, we are part of their qualification process. We are part of their value addition process where they're looking at new materials.

So it depends on, of course, specific grade, specific products, but there is a great deal of confidence in what the companies that we are working with have already in our ability to not only produce, deliver, but also kind of guarantee not in terms of legally guarantee, but guarantee in terms of what the performance will be of the product from a long-term perspective, given the conditions that we have, say, in the Indian context.

And our products are well proven, right? So we may enjoy a slightly shorter lead time also from that perspective. So there are many factors which play here in automotive, which are very critical in terms of equipment qualification -- I mean, in terms of part qualification and consequently, the raw material, which is used for that part. So again, validations can range anywhere from 6 months to 2 years, depending on the part, depending on the company, depending on the difficulty or depending on the challenges associated with incorporating a new material in that part.

Nirali Gopani: Right. No. And just one more clarification. So since you said that we have -- and we were aware that you have been onboarded with most of the OEMs, and you have been working with them for many years now. And they are very satisfied. So have you ever received a demand from their side to do mass ABS or any thoughts on that side?

Rahul Agrawal: No.

Moderator: The next question is from the line of Santosh Keshri from SKK Huf.

Santosh Keshri I just had one question. This is regarding borrowing level that we are seeing now in the balance sheet, like as far as I remember, it is something like more than INR300 crores now. So it is for capex. And I can also see that there's a reduction in the sundry creditors trade payables. So are we using this borrowing to pay off the creditors for a while? And then later on, we are going to use this for capex expansion? If you can just clarify this?

Rahul Agrawal: I'll let our CFO answer this question. Bhupesh?

Bhupesh P. Porwal: Yes. Sure, sure, sure. So first of all, regarding the loan positions, I think what you are mentioning is maybe INR300 crores is not our loan. So we have roughly INR120 crores of overall loans which we have, plus another loan which you are mentioning is that is of the acquisition loan, which is there, which is in the non-long-term loan, which is mentioned. So these are 2 separate loans. So one is for acquisition, one is for working capital.

Second, regarding the creditor side, yes, the creditors have reduced, but the creditors have

reduced because of some of the optimization of the buying patterns, maybe it happens, maybe some vessels come on 27th or come on 5th. So maybe on this particular 30th September, these were paid. And maybe some goods in transit were also reduced. So it has happened by chance, it is reduced by INR180 crores definitely in the stand-alone books.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: So sir, Bhupesh -ji, can you just confirm -- so we spent INR75 crores in H1? And how much will be for H2 and next year and the year after, what is the road map?

Bhupesh P. Porwal: Regarding the capex ?

Dhaval Shah: Yes, sir. Yes, sir.

Bhupesh P. Porwal: So we have not mentioned any figure up till now. What we had mentioned is that we will be spending roughly INR350 crores for the Phase 1, which will be happening until next year because it is not -- the spend is difficult to assess what we are doing because a lot of things are committed by raising some purchase orders or giving some advances. And payments are done after project is complete about because we have terms after a successful completion after 3 months, we'll pay.

So capex outflow is something different. Committed of PO is something different. And we are not mentioning those numbers because it is too complex to understand right now how much PO is given and how much this will be too complex. But as I also mentioned and MD has also mentioned, the capex plan as per schedule is going on.

Dhaval Shah: Okay. So as per the cash flow statement, INR75 crores is towards -- is shown as investing in under investing activity. So for the next 6 months, so this is to understand how the debt on the balance sheet will move in relation to the capex spend and the operating cash flow expected.

So can you help me understand that?

Bhupesh P. Porwal: Can you repeat it, please? Because you are referring stand-alone or not the consolidated one?

Dhaval Shah: Consol, consol number.

Bhupesh P. Porwal: Okay. Okay. Okay. Okay. So these are the 2 different things because when you are talking about India capex , we should talk about the cash flow of the India stand-alone, correct, which is INR40 crores right now what we have paid in this quarter. And what was your question, sir, again? Can you repeat, please?

Dhaval Shah: Yes. So on a consol basis, we have spent INR75 crores right, in H1. So in the remaining part of the year, how much we will be spending? And on a consol level, what is the -- I just missed the previous conversation with the participant regarding the debt on the book. So what is it that right now? And how will that look in the -- up to next 6 months up to March?

Bhupesh P. Porwal: So at the conso level means maybe at Thailand, we will not be having more investments anywhere now because initially, we had some investments in terms of IT infrastructure and

related things. So we'll not be having any capex . We don't have any capex plans for Thailand at present. It is not required also.

And in regards to India stand-alone, as I mentioned just now, the capex plan, which is there of INR350 crores, which we'll be spending up till next year, and that will be continuing as such.

As I mentioned, in India, it was INR20 crores was the loan position, yes, INR20 crores.

And up till now, whatever capex payments we have done, we have done from our internal accruals. So there will be borrowings definitely in near future, looking to the requirements and all that. But right now, it is not there up to 30th of September for any capex requirements separately.

Dhaval Shah: Understood. So this INR350 crores, so how much have we spent out of that?

Bhupesh P. Porwal: So as I told you, out of INR350 crores, if you really see the spending, the overall spending in this capex plan for -- up till in the 6 months is INR4

0 crores. But it more depends upon how

much purchase orders we have raised and how much we have committed to the vendors for those things. So all long lead items have already been placed with some advances and all that. So -- and the cash out flow will flow after the projects also, depending upon the terms, what we are keeping as a retention money for complete and good implementation of that project or particular equipment.

Dhaval Shah: Okay. Because I thought this INR40 crores will have some maintenance capex also for our existing capacities and -- yes.

Bhupesh P. Porwal: So you are correct, it will be there. So maybe last year also in the last quarter, we had given some long lead item advances. So as I have been telling again and again, we are not publishing separate figures every quarter how we are spending on those things, yes. And nobody can do that and does that also, correct? Yes.

Dhaval Shah: No, I just wanted a broader picture because, I mean, for us, what matters is next 2, 3 years?

Bhupesh P. Porwal: The capex spend is for 2 years, we will do within those 2 years.

Dhaval Shah: Within that. So we'll be spending INR350 crores entire capex till next Phase 1, which will be coming by H2 of FY '27, as sir just mentioned, correct?

Rahul Agrawal: I didn't mention H2. I mentioned it will be in the next financial year between the middle to the last part of the year. So we don't know exactly which month and which quarter, but it will happen next year sometime in the middle of the year.

Moderator: The next question is from the line of Krunal Shah from Enam Investment.

Krunal Shah: Congratulations on the good set of numbers. I have 3 questions. One is, if you see there's been an INR85 crore s increase in short-term debt in added entity. Just wanted some clarification as to why the debt was there.

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And the second question is on the working capital cycle. So where do you expect it to settle by FY '26 end? And the third question is on the management bandwidth. What are the key 3, 4 areas where your bandwidth is being occupied?

Bhupesh P. Porwal: Yes. So Krunal bhai, thanks for the questions. Yes. I'll answer the one first one. And so about the cash flow, yes, INR90 crores has been utilized for the working capital. The requirement comes because we had built up some inventories. There are 2 reasons for that. First of all, we were trying to see whether the assets which we have bought can run at a full pace when it is required.

Right now, capacity utilization is not there, but we wanted to be sure about what happens when it does. So for 2 to 3 months, we have run and we had built up inventory, which will definitely be utilized for the future. And this is the main reason why working capital was required, and we have utilized that working capital. So going forward, when this -- all sales will be done slowly, and this requirement may come down.

Rahul Agrawal: So in terms of management bandwidth, Krunal, of course, there is a fair amount of project work, which is going on in India. We -- it's -- there are set of challenges when we are doing brownfield expansion within India. And we want to ensure that we do a timely execution of these projects and bring up the capacities as and when required. So that obviously takes up some amount of time. I won't give you exact percentages, but you'll get a sense.

In terms of Thailand, of course, increasing sales there, ensuring that we are able to correctly leverage and position with a lot of the key customers in that region, which can also help us in India and vice versa. That is more effectively utilized in terms of the synergistic benefits is another area which has to be properly handled. And again, in terms of executing in both the sites, wherever we are lacking in terms of capabilities, those have to be augmented, right? So we have done

that in terms of the sales function. We have done that in terms of projects.

And of course, in other areas like supply chain and R&D as well. So there is a lot of development happening for new products, new grades. So there is bandwidth, which is required across these 3 or 4, I think, critical areas where we are spending most of our time.

Moderator: The next question is from the line of Aditya Khetan from SMIFS.

Aditya Khetan: Sir, my 2 questions are, first, on the Thailand acquisition. What was the headcount reduction, sir, we have done? Like we were highlighting we have done some headcount reduction.

Second, sir, what was the product mix in Thailand earlier and what it stands today? And continuing on this, sir, I believe like we have mentioned earlier that we were having a 25% market share in Thailand. If you can, sir, give this number, like what was this in 2021? And how much has been the loss in market share today?

Rahul Agrawal: So we have not really had any headcount reduction in Thailand, Aditya. In fact, Thailand is a fairly lean operation in terms of headcount. We have only about 164 people in Thailand across all functions, which is a relatively lean structure. In fact, we have added some salespeople because earlier, the sales organization was different in terms of -- there was the I NEOS global system, which was working as a sales organization, but we have added our own salespeople.

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Net-net, in terms of the total cost of the company, there is no significant impact. There is some small reduction.

In terms of product mix, there is no change because, again, we are not making polystyrene over there. We are only in ABS and SAN. So that product mix is very similar to what it was. Of course, if you ask me what it was a few years ago, I don't have that data also because that was -- that is data which has not been necessarily shared by INEOS. We only know bits and pieces again. But there is no significant change from what I understand.

In terms of market share in Thailand, what I meant is 25% of our sales actually go into Thailand. And that is also the same. Thailand itself is a larger market, and we have a smaller market share in Thailand than 25%, maybe closer to like 10% of the Thailand market, which is also similar to what it is today. So we haven't really lost much market share. There has been, you can say, maybe 5% to 10% loss in overall volumes, but that is kind of evenly spread between China, Thailand, all those places.

And that has been mostly on account of the transition that we have had from the INEOS brand to the -- our local Indian brand, which is Absolac, which is now a global brand. So that transition has taken a little bit of time again because of validation, even though if you look at the 4, between man, method, machine and I'm forgetting the full name, but anyway, between the 4, all of them are essentially the same, but the brand has changed, right?

So that has required some validation, and which is we are confident we'll get that business back as well. So overall, there has not been any significant loss. But yes, 5% to 10% market share has been lost on account of that transition, which we will recover.

Aditya Khetan: And sir, so post this acquisition, have we added any new customer? And what has been our discussions with customers? Like is it better compared to earlier? Like what is the feedback from customers we are getting in terms of -- so procurement of the volumes and providing the continuing support. Is it better compared to earlier? Or is it so more or less the same?

Rahul Agrawal: So we obviously have positive feedback from customers. We have positive engagement with customers. We have been able to retain, I said, like a large part, like 90% of the business, we have been able to retain, right, which basically means there is some level of confidence that the

customers have because they know the product is coming from the same plant.

It's coming from the same set of people, all of that with the same formulations and the same quality. So we are maintaining that. And hence, we also don't want to make any -- too many sudden changes over there. We want to maintain that with most of our customers, and that also will bring about the confidence that we need to increase the market share. So there is no difference.

But all those discussions, some of the new customers that we've also brought in will have not really translated to very large volumes today, right, which we can see in the numbers. But that will happen over a period of time. So again, like I said, this is a gradual process for which we need to give a little bit of time.

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Aditya Khetan: On to the Thailand plant, what is the outlook? When can we reach the peak utilization from the current plant, 2 years, like 5 years, 6 years down the line?

Rahul Agrawal: Yes, it will take some time. So again, we are not giving any forward-looking statements in India or in Thailand, and I will refrain from doing that. But like I mentioned, in the medium to long term, the capacity utilization will definitely be significantly higher from where we are today.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Chintan Doshi for closing comments.

Chintan Doshi: Thank you, everyone, for taking time and showing interest in the company, and we look forward to answering you in the next investor call, which will be announced at a suitable time.

Thank you.

Moderator: On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 09, 2026

To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001
BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor s / Analyst s held on February 02, 2026.
Ref: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated January 28, 2026 informing about the earnings call organized by the Company on February 02, 2026, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary

Encl: As Above
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Earnings Conference Call ”
February 02, 2026

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MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR
MR. BHUPESH PORWAL – CHIEF FINANCIAL OFFICER
MR. CHINTAN DOSHI – MANAGER , LEGAL AND
COMPANY SECRETARY

SGA TEAM

Moderator: Ladies and gentlemen, good day, and welcome to Styrenix Performance Materials Limited Conference Call. We have with us today from the management of Styrenix Performance Material Limited, Mr. Rahul Agrawal, Managing Director; Mr. Bhupesh Porwal, Chief Financial Officer; Mr. Chintan Doshi, Manager, Legal and Company Secretary and SGA team.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded.

Further, on behalf of the management of the company, we would also like to remind the participants that this call is being conducted subject to and in line with the disclaimer mentioned in the investors presentation, that is available on the stock exchanges. I now hand over the conference to Mr. Bhupesh P. Porwal. Thank you, and over to you, sir.

Bhupesh Porwal: Thank you very much. Namaste everyone, and a warm welcome to our Q3 and 9 months FY '26 Earnings Call. Before turning to the financial performance, I would like to highlight for the quarter gone by that pursuant to the implementation of new labor code and based on information currently available, the group has estimated and accounted for incremental impact on consolidated financial results amounting to INR2.24 crores of gratuity liability and INR0.86 crores of compensation towards leave encashment, arising primarily due to change in wage definition.

Coming to our standalone quarterly financial highlights,

Total income of Q3 FY '26 stood at INR648.8 crores versus INR692.2 crores in Q3 FY '25, showing a dip of 6.2% on a year-on-year basis. EBITDA for quarter 3 FY '26 stood at INR75.7 crores versus INR75.4 crores in Q3 FY '25 showing a marginal growth of 0.4% on Y-o-Y basis. EBITDA margins for quarter 3, financial year '26 improved to 11.7% versus 10.9% in Q3 FY '25 showing an increase of 800 basis points.

Profit after tax for Q3 FY '26 stood at INR44.3 crores versus INR47.7 crores in Q3 FY '25, showing a dip of 7.51% on a year-on-year basis. And profit after tax margins for Q3 FY '26 stood at 6.8% versus 6.9% in Q3 FY '25, a dip of 100 basis points. Sales volume for Q3 FY '26

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stood at 51.1 KT versus 47.5 KT in Q3 FY '25, thereby showing a growth of 7.6% on a year-on-year basis.

Coming to our consolidated quarterly financial highlights,

Total income for Q3 FY '26 stood at INR871.3 crores. EBITDA for Q3 FY '26 stood at INR943.5 crores, and EBITDA margins stood at 5%. Profit after tax stood at INR16.3 crores, and profit after tax margin stood at 1.9%. Consolidated sales volume, which includes both India and Thailand for Q3 FY '26 stood at 66 KT.

On Thailand business, we built inventory during the first half of the year in phase of transition to our Absolac and Absolan brand for ABS and SAN; respectively.

However, as prices for both final products and raw materials have been considerably lower during the last few months, we witnessed some inventory losses on account of the same.

I would like to reiterate that the group had acquired Styrenix Performance Materials Thailand Limited in January '25 and the consolidated results for the year ended March 31, '25 in the period ended December 31, '25, include financial results of the subsidiaries. Therefore, the financial results of Q3 FY '25 and 9 months FY '25 are not comparable with the corresponding consolidated figures.

Now coming to the 9 months performance highlights on a stand-alone basis,

Total income stood at INR1,988 crores versus INR2,052 crores. EBITDA in 9 months stood at INR243.6 crores with 12.3% margin versus INR272.8 crores with 13.3% margin. PAT in 9 months stood at INR150 crores with 7.5% margin versus INR179 crores with 8.7% margin. Sales volume for 9 months FY '26 stood at 147.5 KT versus 137.4 KT, therefore, showing a growth of 7.4% on a year-on-year basis.

On a consolidated basis,

Total income stood at INR2,619 crores. EBITDA for 9 months was INR231.8 crores and EBITDA 8.8%. Profit after tax for the 9 months on a consolidated basis stood at INR109.4 crores and profit after tax margins for 9 months FY '26 stood at 4.2%. Consolidated sales volume, which includes both India and Thailand for 9 months FY '26 stood at INR190.7 KT. With this, I conclude the financial highlights we may now proceed for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Just a couple of questions. Sir, in your presentation, sir, you had mentioned like in Thailand, we

had built up some inventory during the first half of the year. So considering the last year first half, so when we talk about Q1 and Q2, we were also building up inventories, and that has been recorded in Q3. Is this the correct understanding?

And second, you have also mentioned like in the face of changeover from ABS and SAN of the previous organization. So whatever grade INEOS was making, you have changed it to your Styrenix Performance Materials Limited

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Absolac and Absolan grade. So what is the difference? Have you changed the product itself only like from ABS, what INEOS was making? Now you're making the newer ABS or the name -- only the name has changed? Like earlier, whatever name was there in INEOS now you have changed it to your Absolac and Absolan?

So in view of this, how this stock buildup has happened, like if only name has changed or what has changed actually, if you can give so me more -- a bit detail on that?

Rahul Agrawal: Yes, Aditya, thank you for your question. This is Rahul. So with regards to inventory buildup, we took over management control in January of '25. We started producing in the plant for 2 reasons. One, we had the possibility to produce under the existing brand, which was the earlier company's brand name of Novodur and Lustran where they used to sell ABS and SAN under those brands in their target markets. And we had an understanding whereby we could pr

oduce

under those brands for a specific period of time. And then we had to then potentially sell that brand after that time expired.

Now most of the sales from Thailand take place in -- all over Asia. And the product, the way it works is there is a validation process specifically in the specialty ABS business, which I mentioned earlier calls as well, whereby the brand, the product, the specifications, all of it is validated and registered with the end customer.

So this is kind of what has been happening in this business for many years, and we'll continue to do so. So accordingly, the earlier brand was registered and approved and we had the possibility to produce and stock up on it very -- while knowing that we would have to shift from that brand to our own brand, which is Absolac and Absolan.

So we used that interim period to build up that stock because, as you know, in some cases, the validations or approvals take a little bit longer. We still were able to get the approvals and validations in a relatively quick period of time and all the inventory that we generated or additional inventory that we built up was recorded in the corresponding quarter itself.

So whether it was Q4 of last financial year or Q1 and Q2 of this financial year, all those production numbers and their corresponding inventory buildups would have kind of correlated with that itself. So there is no effect on a -- I mean there is no as such recording of that inventory in the following quarter. It would have been in the respective quarter where the production would have taken place.

Also, we wanted to test the productivity of the plant and to ensure that the plant is able to give the desired output, whenever we are able to ramp up the sales, which also is something which was required to be done. While there was a comprehensive study and understanding of the equipment, it was still very much important to test it. And I think that is also something that we successfully were able to do.

Essentially, there is no difference in the 2 products other than the brand, as you already correctly asked, When we go from a specific product grade for a specific application, which was running under the earlier brand name to our brand name, everything would be the same except for the Styrenix Performance Materials Limited

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brand name itself. So the product, the specification, the formulations, the machines used to produce it, the raw materials, all of it was essentially the same.

But in any qualification process, there is -- the brand itself also has to be approved. So in some cases, we were able to move very quickly. In some cases, it took a little bit of time and which we were anticipating. So that fortunately has been done. I would say 90% of the customers have been retained, which were there in Thailand, and we are now selling under our new brand name or our global brand name, if you will, which is Absolac and Absolan. So I hope that answers your question.

Aditya Khetan : My second question, like, so what -- like as you mentioned, like it was a onetime adjustment, and now most of the customers have retained. So what would be the inventory adjustment figure cost?

Second, sir, you have also mentioned there has been some inventory losses. Considering, sir,

INR75 crores standalone EBITDA, adjusting for that inventory losses, how much EBITDA would have -- we could have seen in that business?

Third, sir, when we look at the footnotes, of your financial results, in Thailand, figures are like when we look at the revenue, it is stated at INR256 crores and some INR39 crores loss in your footnotes. But when we do a simple consol minus stand-alone, that figure looks lower with INR221 crores revenue and some INR25 crores loss.

Ideally, sir, what we are basing over here, we should directly do consol minus standalone, that is the correct or like what you mentioned in y

our footnote, that is the correct one?

Bhupesh Porwal: So Aditya, answering your second part, there are some intercompany transactions also which has to be eliminated for the consolidation. So like we buy some rubber from Thailand or Thailand buys SAN from us. So those all sales and purchases has to be corrected when we do the consolidation part, and that's the reason what you are seeing the difference is.

Second, we were mentioning about inventory adjustments and inventory loss. So there are not 2 separate things. There is only one thing, which is inventory loss, which occurred because of the inventory which we're carrying from the last maybe quarter 1, which MD just explained, we built it because of the brands inventory, which we have to build in for the selling during the last 12 months.

And by chance, the prices of the basic raw material and finished goods fell down in the last 9 months, and that's the reason there was some inventory loss. So there is no adjustment as a one time. There is only -- these are all pricing matters which happened for these 9 months. So there is only one thing, not the 2 things.

Aditya Khetan: So sir, like we should take the inventory. Is the -- can you share any figure like what would be the inventory adjustment and inventory loss combined, whatever figure -- because of this quarter number, obviously there is an adjustment. As you rightly said like there has been change over.

So that is not operational EBITDA, right? Our current quarter, which we have reported. So that's what I just wanted to get a fair picture on the number side?

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Bhupesh Porwal: No, there is no adjustment, which I will say again, there is no adjustment. The inventories are always valued based on the accounting standards. And as for -- in a layman terms, I will say the cost or the realization value, whichever is less.

So it has been valued accordingly in each and every one of the quarter because the prices of the FG and corresponding raw materials have fell down in 8 - 9 months., So in the last quarter, because -- I'll just give you an example. For example, we bought some raw material at INR100 per kg. Now it is coming at INR92 per kg. So corresponding FG is also reduced by, for example, INR8 per kg. So that INR8 definitely will be lost.

Aditya Khetan: Understood. But sir, this is not explaining the compound EBITDA of INR23 crores like versus our annual like some INR30 crores, INR40 crores versus INR80 crores EBITDA last quarter. So that's what this INR40 crores difference is some inventory adjustment, so we can take that as the number?

Bhupesh Porwal: Which inventory adjustments you are talking about. We -- can you clarify your question again?

Aditya Khetan: Sir, when we look at your annual EBITDA figure of Thailand, okay, that say, someone sort of INR80 crores, INR85 crores.

Rahul Agrawal: Essentially, Aditya, I think what Bhupesh is trying to say is that there is no adjustment per se.

As the prices fell, we have obviously realized a lower revenue on those sales as opposed to what it was valued in the preceding quarter because the prices themselves have fallen. And the rationale for keeping that high level of inventory has been already explained in my previous answer, right? So obviously, this would not continue to your point of how it has occurred because we are not intending to build up any more inventory than is required from the purpose of the sale in the same quarter. So this is not something which would recur to your question.

Moderator: The next question is from the line of Nirav Jimudia from Anvil Wealth.

Nirav Jimudia: Sir, first question is on the polystyrene part. So like we recently expanded our capacity from 65,000 tons to 1 lakh tons with more of the expansion towards GPPS. So just wanted to understand like how are we in terms of the approvals from the OEs,

specifically from the

appliance side? And generally, how much time it takes for each of our OEs to approve our products? That is Part A.

Part B, since we are in the beginning of a season of higher sales possibly from the appliances side and consequently, our GP/HI sales would also be forming part of that peak season for the appliances, how we are geared up in terms of improving our volumes from the polystyrene part?

Rahul Agrawal: Yes. Thanks, Nirav. So see essentially, when we increased our polystyrene capacity from 65,000

to 100,000 tons, the expansion has come primarily from increasing the general purpose polystyrene volumes. What we have done is, in general purpose polystyrene historically, almost all of it used to be -- a lot of it rather used to be into non -OE segment. So today, of course, the OE segment is significantly higher even for that -- for GPPS and I would say more than 50% of the sales are coming from GPPS.

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I think overall sales in GPPS are not to the tune of the capacities that we have available, and that is also because of -- if I look at the 9 -month period so far, the first 2 quarters, of course, were very muted from polystyrene demand itself. And there was also a lot of kind of additional volumes coming in. So overall demand being low, we didn't get the advantage of that. And of course, that has partially recovered last quarter and is looking good now. But in terms of approvals, yes, it depends on which grade we are approving, but for GPPS, the approvals or for HIPS also the approvals depending on the grade can range anywhere from 3 months to 9 months. Some of the HI approvals we have already got now, which were earlier in place. And HIPS we are running pretty much 100% capacity utilization, and the OEM percentage also is quite high now over there. It's in excess of 50% to 60%. So we believe with the kind of season coming in, we are well geared on HIPS like I mentioned, we are completely sold out. And GPPS, yes, we have additional capacity, but I'm not sure whether we will be able to completely sell that capacity for general purpose polystyrene.

Nirav Jimudia : Got it. So just a bit to add here, sir, whatever the volume growth we have seen in third quarter over the second quarter on a stand -alone basis, is it right to presume that most of it has come from the polystyrene and not from the ABS?

Rahul Agrawal: Actually, there has been a volume growth. If you look at year -on-year, for instance, there is a growth coming in from ABS as well. But if you look at on -- yes, from the preceding quarter, yes, polystyrene would comprise a significant portion because Q2, in polystyrene, is extremely muted. And in the third quarter, polystyrene sales definitely did pick up.

Nirav Jimudia : Got it. Sir, on the polystyrene part, like you mentioned that we have been already sold for HI, but for GP, most of the grades, the approval cycle is 3 to 9 months, and we would have done close to around 50%, 60% of the customers on board from the OE part. So just wanted to understand like from the import perspective, those grades which are imported into India is more of the GP side or more around the HI side?

Why I ask this question is, just wanted to understand, like, are we able to replace those imports of GP into India through our improvement in the volumes, and that could be substantial, right? Because we have expanded whatever we have expanded, expanded on the GP side. So if you can just share your perspective there?

Rahul Agrawal: Yes. So a lot of the product, as you rightly pointed out, which comes in actually does a -- lot more comes in on the GP side than the HI side. And on GP side, again, a lot of the sales are not necessarily going to OEM. They come even into the unorganized market. Their pricing is a big driver of that market.

And sometimes, we consciously decide

not to participate in that market as well because the pricing can be extremely low. So while it is an opportunity, I think it depends, again, specifically which time in the year, it makes sense for us to participate in the opportunity. Like right now, of course, is a better opportunity or a better time to do so. But in some quarters, the prices are extremely depressed. And the imports can be too competitive for us to really participate meaningfully over there.

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Aditya Khetan : Got it. Sir, second question is on the SAN part. So, If you can share at what rate of utilization we are currently running for the SAN business, and just wanted to understand your perspective, slightly a theoretical question like whenever we will expand our capacity of ABS from 100 KT to, let's say, 150 KT, is Thailand plant be a good option for sourcing our SAN requirement which would also help in improving the capacity utilization for the Thailand plant as well, giving them an operating leverage benefit, enhance the profitability. If you can share your thoughts here first, a, for the India business, and, b, whenever we will do the expansion is SAN imports from Thailand a feasible option?

Rahul Agrawal: Yes. So with regards to SAN capacity utilization right now, as you know, we produce SAN for merchant as well as for a captive consumption. The merchant SAN market, we have majority share, more than 50% of the share for the merchant SAN is produced by Styrenix. With regards

to SAN availability, we still have some additional SAN available, though not a lot. So even if we come in with additional 50 KT ABS, I believe we'll have some SAN, but we are also expanding SAN capacity.

So I think in terms of alignment on when those additional capacities of SAN will come into India, it will be aligned with the additional capacity of rubber also coming in. SAN from Thailand, I think would work out to be a little bit more expensive for us in India. And again, SAN in Thailand is kind of a premium product for which the realizations in India would be lower than what we can potentially realize in other areas.

Operating leverage is something that we have looked at and we will look at also. But considering the freight component, import duty component and other costs involved, the realizations then in Thailand become extremely low or not very competitive at all.

Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset .

Rahul Agarwal : Just firstly, on your perspective on the demand and supply for ABS, both in India and globally. Can you share some thoughts on how do you look at planned demand building up, what's really happening across the globe, Indian imports, some outlook on pricing, will really help. That's the first question.

Rahul Agrawal: Okay. Thanks, Rahul. So as far as demand and supply in ABS in India is concerned, there is no significant change. I mean yes, we have had another company also adding in capacity into India, but I believe that is yet to stabilize. So we haven't seen any major impact in the demand supply scenario comparatively speaking in India.

Competitive intensity as far as imports is concerned remains at par with what it has been, I would say, last year. There is no significant change. Yes, as you are -- you might be aware, BIS was withdrawn a few months ago, but we haven't really seen any impact on account of that withdrawal from players say who were earlier not registered with BIS and would have had the possibility now to supply material into India.

So, we haven't seen any movement in that regard yet. So the demand supply scenario for ABS in India, I think, is still fairly status quo, what it was. India still is a net importer. There is still a

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strong preference for -- and the requirement for

or Indian capacities incumbents to increase their market share and their opportunity does exist, which we are working towards trying to gather. With regards to global scenario, again, there is no major shift or major change. We have the same overcapacity in China, which has existed now for several years, and also significantly high capacity is in Korea and in Taiwan and some of the other regions relative to the market. And there remains that pressure, competitive pressure on the pricing as well. So the demand supply globally again, if I look at in the last one year, there is no significant change in what was the scenario earlier and what is the scenario today.

Rahul Agarwal : So in terms of your own outlook on pricing and volume growth, right? I mean every 6 months, at least in India, I'm expecting new capacity on ABS, maybe our Supreme's plant restarts and then we have some capacity from there. I think other player Bhansali also talking about September, October '26 of 25,000 tons. We're going to just total this is up 25,000 of Bhansali, I mean, our capacity, I think we lined up for December. Every 6 months, we're going to see almost like 140,000 tons of new ABS, right? So how would you think about pricing here and your own volume growth?

Rahul Agrawal: Yes. So, essentially, I think I'm not 100% sure of the timelines on when Supreme's plant will start or for that matter when the other competitor's additional 25 KT will come on stream. Again, our volume additional capacity, I think, will come sometime this year, but would be, I think, a little bit closer towards post December, rather than December. We haven't given any official timeline yet and -- we are not looking to do that because there could be 1 or 2 months kind of delay or advancement either which way is possible, we'll see. But if you look at the overall market scenario, there is still -- 50% of the product is still imported into India.

And by our own estimates, ABS demand is higher than about 350,000 tons or even probably closer to 360,000, 370,000 tons this year as against which the domestic production, if I exclude Supreme so far, is still less than 50%. So I think there is sufficient market opportunity even with additional capacities coming in to sell. And I think we'll still remain a net importer even post all of that in spite of all these capacities coming in. So I think, again, depending on where one chooses to position their product, there is an opportunity.

And I don't necessarily think that there is going to be a significant pressure on pricing other than what is already there in the market today. So -- and that's what we have seen in the last 2 years as well. So whatever pressures we have seen earlier, are going to be similar to the sort of pressure we're going to see in the near future at least.

Rahul Agarwal : And my second question was on the expansion of ABS. Just the same thing in terms of status

update for the construction machine orders and start of trials both for Phase 1 and Phase 2, if you could just update what's the current thought process in terms of how do you want to go about the 2 phases of 50,000 tons, please?

Rahul Agrawal: So like we said, in this current financial -- or the coming financial year, which is FY '27, we do intend to start Phase 1 of our expansion of ABS, and we are on track. So like I said, I'm going to restrict from giving an exact date and month. But as I mentioned, it is going to be in the second Styrenix Performance Materials Limited
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half of the coming financial year. And we are very much on track to achieve that in terms of equipment ordering, in terms of whatever goes for that construction part, everything is on stream and online. So as of now, we don't have any significant update to give because there is no deviation from that. If there is any deviation, we shall definitely inform our investor community. So that

it remains to be exactly where it is.

And the second phase, again, will be post that, which potentially will be in the next financial year. So I think, again, it is tied into when the first phase gets completed. So I think in the coming few quarters, we'll be able to shed more light on exactly when that will happen.

Rahul Agarwal : Okay. And first year of operations for Phase 1, does it mean that can we do like 60%, 70% of utilization into fiscal '28, and is it possible or it takes more time?

Rahul Agrawal: I believe that would be possible. I think once the capacity comes on stream, we should be able to achieve fairly high capacity utilization numbers.

Moderator: The next question is from the line of Meet Parikh from Mihir A Shah Family Office. Please go ahead.

Meet Parikh : So with regards to the Thailand plant, when we consider the cross -cyclical spreads, so what would the breakeven sale for the Thailand plant be considering across cycles? And also, is there a possibility of you incurring cash losses over there in the near future? I mean, we understand that the inventory thing that happened was a onetime thing. So beyond that, is there still a possibility of onetime cash losses there? And what -- also, what is the quantum of the inventory loss that you have incurred in Thailand?

Rahul Agrawal: Okay. Thanks, Meet. So with regards to Thailand, again, it's a fairly complex product mix that we have over there. We produce some fairly interesting and proprietary grades like the liner ABS that we make. We also make food -grade SAN and we make high heat ABS, which goes into the automotive industry in China and elsewhere.

Now a lot of these grades are not commonly produced by other companies. However, there is a lead time involved in getting these approvals in place with additional customers for which we have sales teams already on the ground in Thailand, in China, in Vietnam, in Japan. Also by the way, we have got representation in Japan as of last few months. So we are moving aggressively to get these validations done. Now the breakeven or the EBITDA positive scenario will depend a lot on the product mix that we are able to achieve in Thailand.

So that number can range anywhere from 65% to 80%. If the product mix is not very favorable, it can be a higher capacity utilization, which is needed. And if the product mix is favorable, it can be at a lower capacity utilization. So we have to balance the set things and see what works best for the organization because with many companies, we are also a new brand trying to settle in. Once we make commitments to our customers of being able to develop products and supply to them, we have to stick to those commitments because this would impact us also in India and with other customers eventually because these are very large kind of OEMs, which have global presence and we have global aspirations, as you can tell, where we would like to be validated and working with them everywhere. So keeping that in mind, we have to be very mindful of Styrenix Performance Materials Limited
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which product mix we position, what we promised to customers and exactly what we deliver there.

So this requires a little bit of patience. And this may also mean that it takes a little bit longer time for us to achieve the breakeven numbers that we're looking at. And hence, as far as inventory related cash losses that we have had, of course, we have no strategic reason or interest to build up inventory going forward, that we can think of right now. And hence, we do believe that whatever we sell and we produce will be fairly comparable in terms of valuations for specific quarters going forward. So we do not account that to be an issue in the future.

And otherwise, I think we have to wait and watch how the situation in Thailand unfolds. We have always mentioned there is a kind of a huge advantage in terms of tec

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positioning and available capacities in Thailand, which will benefit us as a group in the medium to long term, and that remains to be true, regardless of what has happened in the last few months.

Meet Parikh : Right, right, sir. So like as we stabilize our operation and as we explore our sales mix, is that a possible of -- like you did tell me that breakeven could vary at that capacity. But like is there a possibility of cash losses still occurring in the next couple of years?

Rahul Agrawal: So again, hard to predict, but I don't think there would be necessarily very significant numbers, unless something changes, which we do not anticipate. So whatever would happen would be fairly manageable in line with the size of operation over there.

Moderator: The next question is from the line of Pritesh , from Lucky Investments.

Pritesh : Sir, with respect to this Thailand operations, so if I -- I'm just seeing the numbers and I'm unable to comprehend the commentary that you're giving. Quarter 1 is where I think you took up the larger or full utilization of the plant. And then we have the inventory figures of March '25 and September '25? Those are the 2 figures of inventory, which are available with us on consolidation.

So I'm actually unable to comprehend the fact that the whole inventory change came in quarter 3. So if you could just elaborate a bit because between quarter -- between the quarter 4 and September quarter, I don't see any major change in the inventory.

Rahul Agrawal: Yes. Thanks, Pritesh . So if we look at the inventories, which had built up in kind of March '25 versus the inventory, which is towards the end of December, right? There is a reduction in inventory, which is quite significant. And it's also, again, what we sell, right?

So if there are specific products which would have been valued very highly at the end of that quarter. And we would have sold it down at a lower price because the prices of the finished goods have fallen as the raw materials have fallen as well. For a lot of raw materials, the price reduction has been as high as 30%.

So if we take that into account, then that's what has happened essentially. So the inventories are still a little bit higher than eventually where we want it to be. But definitely, there is a significant

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reduction in the inventory levels from what it was, say, when we built it up, not even March '25, but probably June '25 through December.

So there was a gradual buildup of inventory. It started in January when we took over the business.

And like I mentioned that until end of June is -- or for 6 months, is when we had the possibility to build up the inventory because then we could only potentially liquidate that inventory to ensure that we do not lose any business with -- as far as customers are concerned from a long-term perspective. It's just that the timing coincided with significant fall in prices on raw materials as well as finished goods.

Pritesh : So the entire INR40 crores difference between the stand-alone are consolidated on a Q-on-Q basis, how much of that is associated with inventory?

Rahul Agrawal: More than 75%.

Pritesh : Okay. And the entire change in price has slowed down between quarter 2 and quarter 3 because until quarter 2, we don't see any of it?

Rahul Agrawal: Yes. So like I said, there was still inventory buildup happening, right, to some extent. Which then, of course, we stopped and -- midway in the quarter. And then in the last quarter, there is a significant inventory reduction and there will be a further reduction in this quarter as well.

Pritesh : So you are running plant at a higher utilization in September also and in somewhere between the quarter 3 also?

Rahul Agrawal: Yes, towards the beginning of it, and then we have reduced .

Pritesh : Towards the beginning of it. Yes

?

Rahul Agrawal: Correct. Correct, correct.

Pritesh : Can you -- then just can you give us the price between, let's say, from Jan to December or let's say, at the beginning of the year and towards the end of the year, what is the price changes that you have seen in your finished goods and the key raw material at the start of the year towards the end of the year? Just 2 data points.

Rahul Agrawal: Yes. So I think when the inventories were at the peak to when they came down, I think the gap could have been as high as about 20 % - 25%.

Ritesh : This is for RM or this is for finished goods?

Rahul Agrawal: Both. Normally, it moves in tandem.

Pritesh : Okay. And the other thing is on a 9-month to 9-month basis in a standalone business, is there any product mix change on a 9-month to 9-month because we are trying to assess the operating profit per ton. So is there any product mix change? Or this is just to do with the realization of the spread difference?

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Rahul Agrawal: So there are 2 things to keep in mind here, Pritesh . So if you look at the previous year on a 9 -month basis, the September quarter was unusual. Which we had pointed out, there was a gain that we had got on account of ocean freight. So the July, August, September quarter of FY '25, there was significant higher realization, which we -- which normalized also after that in the following quarters.

So if you eliminate that and consider it at a normalized basis, I think on a 9 -month to 9 -month basis, we have only grown in terms of volumes and realizations largely have remained similar. There is no change. Quarter -on-quarter, yes, there could be some changes in product mix for sure.

Pritesh : Yes, that's why I asked 9 months to 9 months?

Rahul Agrawal: So 9 month to 9 months, like I said, if you remove the July to September, unusual gain that we had, there is not any significant change in terms of realizations. Only our volumes have increased to some extent here.

Pritesh : So volumes increased , realization similar , spread reduction because of RM increase?

Rahul Agrawal: Well, spread reduction really has not happened is what I'm trying to tell you. There is a product mix change as well to some degree. But the spread -- okay, the spread reduction, you can say from July, September of last year to this year, yes. And that Jul y, September to any quarter would be a spread reduction because that spread itself was unusual because of a kind of gain we got on account of some supply chain disruption as far as ocean freights are concerned, right?

And we took that gain in that quarter, but that normalized. Yes, if you eliminate that gain and you consider all the other spreads where they have been for the last 2 years, there is no change.

Pritesh : And my last question is based on your experience and not that you can forecast , but based on experience for all these years that you're doing this business and when you see this drawdown on pricing by about 20%, usually, what have you seen after that? So what are your experiences?

Rahul Agrawal: We have seen the prices remaining low, going further down, remaining the same or going up. So I don't know how to answer your question because there can be a lot of volatility, right? And I mean you can see the current prices as well in the market. Prices can move upwards, again, because of some disruptions in some raw material supplies. So there is a spike right now, currently.

But this is not something which is representative of what happens every time. There are times when these kind of spikes happen, there are times when the prices remain where they are. So very hard to predict based on the past in which direction prices would normally go. But currently, prices are tending to move upwards.

Pritesh : And lastly, in your last call, if you recall in your FY '25 calls, you had th

is cost reduction to flow

into your EBITDA via operating utilization, via power cost reduction. And you had called out that the EBITDA per kg or per ton has a higher number to come in. So when I was asking you Styrenix Performance Materials Limited

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from a 9 -month to 9 -month perspective, and you said that quarter 1 was inflated because of the one-offs that you got on international .

So I didn't understand that because my question was actually 9 months this year to 9 months last year. This year, 9 months had to get all those benefits on your opex and your power cost, which you had done last year. So maybe you want to elaborate a bit only on 9 month to 9 months. I can understand every quarter, there is a product mix change and there is movement on margin numbers because of polystyrene to ABS. But on a 9 month to 9 month, what is the assessment?

Rahul Agrawal : So in terms of the benefits that we are expecting on power, so this is an agreement, which, again, we have publicly mentioned. We have done with a third party where we will be taking in some kind of hybrid power and that helped us in reducing our power costs . That agreement will come into effect only in this month or the next month, so February or March.

So we will see those benefits only accruing now in the coming few quarters. So since that agreement was put in place, it typically takes about a year or 14 months for all these agreements to materialize into actual power supplier or kind of feed into the grid as a supplier builds up that capacity of that hybrid power. So we'll see that advantage coming in, in the next few quarters.

Moderator: The next question is from the line of Krunal Shah from ENAM Investments.

Krunal Shah : Sir, 2 questions from my side. One is the capex number for FY '26, if you could share that? And second is on this Thailand plant. So if I see the difference between the volumes in the presentation is around 15,000 tons. But you mentioned that there are some interparty transactions. So if you could give me the exact number of -- or the volume for Thailand this

quarter?

Bhupesh Porwal: Yes, Krunal. So, in the presentation, the numbers are after eliminating the intercompany transaction. So they are net of that. So nothing to be netted off again from them.

Regarding the capex numbers, so maybe as mentioned last time, the capex, it depends upon a lot of things like purchase orders, how many are raised and all those things. So I think as MD mentioned in earlier questions, we are in line as what we have announced for those capex completion project in H2 of '27 and we'll be completing that.

I will just say the number again, which I have mentioned earlier, overall capex for Phase 1 is approximately INR350 crores and which will spill over this year and next year, most of them.

And we will finance them with internal accruals as well as maybe a capex loan, which we have yet not taken and have funded it through internal accruals only.

Krunal Shah : Okay. Okay. And just one last question on the spreads part. Rahul, you mentioned that spreads have been similar over the last 2 years, but can you just help me elaborate how much of our business is on a formula-based pricing and how much is on like a spot pricing?

Rahul Agrawal: So Krunal, most of the business, like I said, in ABS, a lot of it works on a formula basis. I would say more than 70% of the business works on a formula basis. Essentially, again, a lot of these businesses are even governed by volume contracts and price contracts for the whole year. And

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even when we don't necessarily have volume contracts, the pricing formula still holds true for even those customers. So the formulas in fact, play a part in more than 70% of the overall business.

Krunal Shah : Got it. And that would apply for PS also?

Rahul Agrawal:

For PS, that number is lesser. I think it's restricted to, again, where we have OEM business in place. So like I said, about 50% odd, balance would not be as far as a formula.

Krunal Shah : Got it. And how would the similar number be for Thailand?

Rahul Agrawal: So Thailand, again, a lot of the business, I would say, practically all of the business is on formula. Very little business is on spot.

Moderator: The next question is from the line of Manjeet from Saamy Advisors.

Manjeet : The first question is continuation of the last response, where you mentioned most of our business is annually contracted, 70%. I was just curious if the spreads on import become more favorable for customers, do they switch to them once the annual contracts expire? Or what I'm trying to understand is how easy it is for customers to switch to them, on the import side? Was question one.

And the second question was to your comment that oversupply in China has been there for quite some time now. And we have seen Chinese suppliers dump products at cost or even below -- cost in some cases in the past, right? So in that context, how do we get confidence that the spreads in India will largely hold and why won't Chinese suppliers play errant over there? These were the 2 questions.

Rahul Agrawal: Thanks, Manjeet. So see, with regards to our contracts with customers, typically, this is decided basis the value and the customization that we provide to each of the customer. Now imports have been putting pressure on us since many, many years. And typically, OEMs find value in what we offer, our customers rather -- find value in what we offer to them. And hence, those spreads are wherever they are, they have settled right.

And year-on-year, they remain similar because, again, of the value which they see. Typically, to switch, there is a -- like I mentioned in my earlier responses, there is a validation process which is required to be undertaken. And some of the customers do, do that from a risk mitigation perspective. We are not able to satisfy all the customers in India. As you know, we are import-dependent for ABS at least.

And keeping that in mind, we have most of our customers who may be relying largely on us or a significant part on us. But would be having some share of imports as well. But what we have seen is when we have increased our volumes, say, when we took our management control in '22 to now, we have almost doubled our ABS business, and that has not come at the expense of any spreads.

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In fact, the spreads have largely remained similar, which just goes to say that while there might be pressure from imports, there might be pressure from these different sources, the customer still has a strong preference for locally produced product because of the customization, because of

the delivery, because of multiple factors. So keeping all of that in mind, we have not had a challenge in essentially doubling our volumes in India in the last few years. And the oversupply in China has been around for a while now. It's not a new phenomenon. It's -- but other than China, I think the larger volumes still in India come from Korea and from Taiwan and somewhat from Thailand as well. And these countries, again, there is an oversupply situation.

So for specialty ABS or customized ABS, the production in these countries is more suited to the demand in India versus currently from China. While that may change, we'll see. So how the oversupply situation in China and their consequent ability to develop those capabilities, how that will play out, we will keep an eye out on that. But currently, that's not really a significant threat in India.

And even after like we discussed, after removal of BIS, we haven't seen any movement of product from China into India almost negligible or 0, I would say. So the spreads haven't real

ly

come under pressure. The spreads remain where they are, and they have been dealing with the import pressure for quite some time.

Moderator: The next question is from the line of Tanish Jhaveri from Boring AMC.

Tanish Jhaveri : I'd like to ask a demand scenario for Q4, like we had guided for a 12.5% volume growth. Do we think we'll be able to achieve it for the year?

Rahul Agrawal: Yes. Tanish , I don't think we will do 12.5% growth. In fact -- so we had a lot of pressure on polystyrene in the first 6 months. So while some of that has rebounded and we are seeing good volumes in polystyrene, while the growth in ABS is very robust. In terms of growth in polystyrene, it remains, on an annualized basis, a bit sluggish.

And hence, we have seen growth in the last quarter. And in this quarter also, we will see good demand as we normally do. This is the seasonal effect that we have in that business. But on an overall basis, the growth will be a little bit lower on account of that growth in polystyrene being lower essentially.

Tanish Jhaveri : Okay. And my next question is we were talking about overcapacity in the global scenario. So how does that give us confidence in the Thailand business? Like how confident are we that we'll be able to scale it up on a long -term basis, like medium to long term?

Rahul Agrawal: So Tanish , essentially, the product profile that we have in Thailand is a little bit different from the products being currently produced in China, for instance. There is, of course, supplies from other regions, which are also targeting the same markets. We do have some advantages as far as products from Thailand are concerned, and we are actively marketing those products with the help of sales force, which we have now engaged in all these geographies.

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We have been able to successfully retain a lot of the customers in spite of a new brand. Typically, the qualification process for any new product, whether even if it's a brand name change, is a long process. We've been able to do that in a relatively quick period, which only tells us that there is a strong demand preference for the product from Thailand.

And we believe that going forward as well, to the extent we need to do in terms of demand utilization in Thailand, there is a market opportunity. It's just that there is a process which we need to follow. And as long as we do that, and we keep making those efforts we do believe that we will be able to achieve higher sales volume from Thailand in those regions because of the products that we produce there, which are not commonly produced everywhere else.

Tanish Jhaveri : Okay. And my last question would be on the Middle East. Like last quarter, we had spoken about possible exports to the Middle East and we have set up a subsidiary over there. So could you give us any update on that?

Rahul Agrawal: So currently, on ABS, we don't have additional capacities. I think as we are expecting this additional capacities to come online during the course of this year, we will see how we have additional capacities to offer. We are in the process of, of course, getting validations done in other regions. And should we require to sell material to ensure our capacities , we are just doing risk mitigation from that perspective.

But I don't foresee actually being necessarily needing to do that in the near future. From a long -term future, yes, we are looking at exploiting any opportunities to develop high -value clients, whether it's in the Middle East or anywhere else. So that effort is ongoing.

Moderator: The next question is from the line of Tushar from Omega Portfolio Advisors.

Tushar : I just wanted to know, post the Thailand acquisition , you mentioned some newer grade ABS profile . Did you reap the benefit in the Indian operation in the percentage of the volume?

Bhupesh Porwal: Tu

shar, sorry to interrupt you. Your voice is not clearly audible. There's a lot of humming noise coming in.

Tushar : Actually, post the Thailand acquisition, you mentioned about some newer grades ABS back then. Any material benefit you raised from that know-how in India, considering the percentage of the volume, which we sell in India?

Rahul Agrawal: Yes. Thanks, Tushar. So obviously, like I mentioned, and I continue to believe that there is a lot of value in the technologies that we have in Thailand. We have got a good understanding now of those products. We will incorporate capabilities in order to be able to produce those grades in India in the coming time.

We have taken cognizance of those capabilities to be built into our expansions that we do in India as well. Currently, we are tapped out on capacity. But as we move forward, there will be an opportunity to tap into those markets with the aid of those technologies even in India in the future. So while we don't see today, or I would say, in the last few months, directly, any products
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from that technology perspective being a part of our revenues currently in India, in the future, definitely, that would be the case.

Tushar : Sir, my follow up question would be clarification question actually. So the polystyrene, the capacity expansion, is it planned for Phase 1? Or is it 100% in the Phase 2?

Rahul Agrawal: So polystyrene, we have already done initial debottlenecking where we increased our capacity on GPPS, like I mentioned. Earlier, the capacity was around 65,000 - 70,000 tons, which is now about 100,000 tons. But the capacity augmentation has come on GPPS. On HIPS, again, we don't have any further kind of management decision taken on any capacity augmentation as of yet.

Tushar : Fair enough, sir. Sir, as far as styrene monomer prices are improving. Do you see this -- like the prices are there to stay? Or do you see still a volatility going forward as per your experience?

Rahul Agrawal: So I think styrene monomer volatility based on this organization's knowledge and history has remained volatile for the good part of the life of this organization, which is 50 years. And in fact, the styrene monomer prices remained fairly stable, though there was a significant reduction last year, like I mentioned, from the early part of the year towards the end of the year.

The prices have moved up sharply, recently. So again, many times, people link these things to crude, but that doesn't -- that is not necessarily the case. The crude hasn't really spiked or moved anywhere near the direction where styrene has moved. So difficult to predict, basis other petrochemical feedstock, if you will, for styrene monomer, at least in our experience.

Moderator: The next question is from the line of Vidhi Shah from C R Kothari and Sons.

Vidhi Shah : I want to know what is happening in the Thailand plant. What is the reason why we are not able to increase the utilization? You said that the demand for the product is strong then why are we not able to scale up the revenues and also on the loss in the past, so you said it is -- so is it 100% attributed to inventory loss? Or is there any other reason to that as well?

Rahul Agrawal: So Vidhi, thank you for your question. Like I mentioned, in Thailand, we have launched a different brand, which is our Indian brand. And this is something which requires validation to be done in our customer -- new customer base, if we will. In India, we are a very strong recognized brand and the product is well approved with most OEMs, molders and the entire chain. From Thailand, while the product itself is approved and works very well, the brand has to be approved.

Also from Thailand, more effort needs to be put into all different these geographies where we have done by hiring more sales force. But there is a validation process

, which takes time. So for

instance, in the automotive space, the validations can take up to 18 months. And specifically, if you look at our target markets there in Asia, which would be focused on the EV segment, focused on the more premium electronics or the household appliances or the medical devices in those regions, all these industries have a long gestation period in terms of validation.

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The product is good. It works well with the customers that we already have. But there is that lead time that we have to work with. With regards to -- in India, of course, none of those issues exist. So we don't see any of those problems.

Vidhi Shah : Okay. And by -- so by when can we expect the capacity to ramp up in Thailand? And also on the loss part, is it 100% attributed to inventory loss only? Or was there any other reason that as well?

Rahul Agrawal: So the capacity utilization in Thailand is quite low, right? While we may have run the Thailand plant at high capacity utilizations in the first few quarters, where we didn't see any losses as the

capacity utilization comes down, there is a loss of operating leverage, if you will. So that continues to be the case, and that does have a negative drag. But like I mentioned, more than 75% of the losses are on account of inventory valuations, which have taken a dip in the last quarter, when we have sold the product.

So essentially, that does remain the case. But till we don't bring up the capacity utilization to a high enough number, there will be some drag. Now with regards to building up the sales, again, it's an effort we are putting in. But there is a medium - to long-term view, which we need to take as far as Thailand is concerned.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand over the conference to Mr. Chintan Doshi for closing comments. Thank you, and over to you, sir.

Chintan Doshi: Thank you, everyone, for joining us on this Earnings Call. We appreciate your time and showing interest in our company. In case of any queries, you can get in touch with us or SG A, our Investor Relations Advisors. And we look forward to meeting all of you over the next call. Thank you.

Moderator: On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

May 22, 2026

To,
BSE Limited
Dept. DSC_CRD
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai 400 001
BSE Scrip Code: 506222 National Stock Exchange of India Limited
Exchange Plaza,
Plot No. C/1, 'G' Block,
Bandra - Kurla Complex,
Bandra ('E')
Mumbai 400 051
NSE Symbol: STYRENIX

Subject: Transcript of Earnings Call with Investor s / Analyst s held on May 16, 2026.
Ref: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

In continuation to our letter dated May 12, 2026 informing about the earnings call organized by the Company on May 16, 2026, please find attached Investor Call Transcript for your record purposes.

The transcript is also being uploaded on website of the Company and the same can be downloaded from following path:

www.styrenix.com – Investors – Earnings Call – Call recordings & Transcripts

You are requested to kindly take the above information on your records.

Thanking you.

Yours faithfully,
For Styrenix Performance Materials Limited

Chintan Doshi
Manager – Legal & Company Secretary

Encl: As Above
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"Styrenix Performance Materials Limited
Q4 FY '26 Earnings Conference Call "
May 16, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th May 2026 will prevail."

MANAGEMENT : MR. RAHUL AGRAWAL – MANAGING DIRECTOR
MR. BHUPESH PORWAL – CHIEF FINANCIAL OFFICER

MR. CHINTAN DOSHI – MANAGER , LEGAL AND
COMPANY SECRETARY

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Moderator: Ladies and gentlemen, good day, and welcome to the Styrenix Performance Materials Limited Q4 FY '26 Earnings Conference Call. We have with us today from the management of Styrenix Performance Materials Limited, Mr. Rahul Agarwal, Managing Director; Mr. Bhupesh Porwal, Chief Financial Officer; Mr. Chintan Doshi, Manager of Legal and Company Secretary.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. Further, on behalf of the company, we also like to remind the participants that this call is being conducted subject to and in line with the disclaimer mentioned in the investor's presentation, as is available on the stock exchange.

I now hand the conference over to Mr. Bhupesh Porwal. Thank you, and over to you, sir.

Bhupesh Porwal: Namaste everyone and a very warm welcome for our Q4 and FY '26 earnings call. Thank you for taking the time to be here with us today. I hope you all have had a chance to go through the financial results, and the investor presentation available on our website and the stock exchanges.

Before I speak on the numbers, I would like to take a moment to acknowledge the entire team of Styrenix for their dedication and commitment. Over the years, our people have navigated multiple challenges while consistently meeting customer requirements in a timely manner. On behalf of the management team, I would like to thank them for their continuous efforts towards enhancing operational excellence.

Now on the stand -alone financial highlights, coming to our quarterly financial highlights on a year-on-year basis. Total income for Q4 FY '26 stood at INR658 crores, a dip of 6.3%. EBITDA for Q4 '26 stood at INR126 crores, a growth of 51.9%. EBITDA margin for Q4 FY '26 improved by 19.2%, an increase of 734 basis points. Profit after tax for Q4 FY '26 stood at INR84.3 crores, a growth of 58.6% and profit after tax margin for Q4 FY '26 stood at 12.8%, a growth of 524 basis points. Sales volume for this quarter stood at 46.1 KT, a dip of 4.6%. Now coming to our annual performance highlights on a stand -alone basis. Total income for the year stood at INR2,647 crores, a dip of 3.9% more on the pricing -driven things. EBITDA for the year stood at INR370 crores with 14% margin. PAT for the year stood at INR234.3 crores with 8.9% margins. Sales volume for the year stood at 195 KT, a growth of 5.2% on Y -o-Y basis.

We have maintained a healthy return ratio with strong and prudent balance sheet. ROE and ROCE stood at nearly 25% and 32%, respectively, for FY '26 on a stand -alone basis.

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Coming to consolidated financial highlights. For this quarter, total income for Q4 FY '26 stood at INR837.9 crores. EBITDA for Q4 FY '26 stood at INR128 crores and EBITDA margin stood at 15.3%. Profit after tax for Q4 FY '26 stood at INR73.5 crores and PAT margin stood at 8.8%. Consolidated sales volume, which includes both India and Thailand for Q4 FY '26 stood at 57.5 KT.

Now coming to our annual performance highlights on a consolidated basis. Total income for the year stood at INR3,454.4 crores. EBITDA for the year stood at INR359.6 crores and EBITDA margin stood at 10.4%. Profit after tax for the year stood at INR182.8 crores and PAT

margin stood at 5.3%. Consolidated sales volume for the year stood at 248.3 KT.

With this, I conclude the financial highlights, and we may now proceed for question and answer. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Sir, first on the whole of the value chain, which starts from the ethylene and benzene and then

goes to styrene monomer and then our products of ABS and PS. With all the supply chain disruptions happening around ethylene and benzene, styrene monomer prices reflected that inflection, right?

Now what -- the question is in which of the value chain you see this getting more impacted? Would it be multiple refineries in South Korea going down, which ultimately becomes a negative for us or maybe ABS and PS plants getting shut down. We have seen that a couple of news coming up in U.S., INEOS, in Europe and China smaller players going down, which becomes a positive for us. Net-net, the spreads that we maintained, what's your assessment? Where are this headed towards? And how long would this remain disrupted?

Rahul Agrawal: Thanks, Priyank. So, with regards to plant shutdowns, specifically for ABS or PS that you mentioned in Europe, so these happened prior to the current disruptions in the Middle East. So, I believe they are largely unrelated. If we speak about the supply chain disruptions along benzene, ethylene and crude and other petrochemical inputs, of course, when there is a supply crunch due to the Strait of Hormuz remaining largely closed and the flow of oil and other essential petrochemical products not being possible from that area has an impact globally, right?

Of course, there are specific regions and specific refineries, which are impacted more than others. And when those are impacted specifically regionally, the demand and supply associated with those petrochemicals as well as downstream polymers also gets consequently affected. So, from what we have seen is, Korea has been affected. Korea also depends from what we understand is, gas from Qatar as fuel for their plants, and that also has -- had an impact, both in cost and availability and also the kind of raw materials required. So, we do see an impact over there.

But of course, this impact is globally. So essentially, these are all commodities, the raw materials themselves, whether it's styrene, whether it's acrylonitrile or others. And we have Styrenix Performance Materials Limited

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seen a price increase in all these monomers globally. So, there is no one specific region where this price would increase, it would increase globally, and that has been the case that we have seen.

There may be some minor arbitrage between one region to the other, but that obviously gets normalized very quickly as we normally -- we have seen. So, net-net, raw material prices have increased on account of supply crunch and supply chain disruptions but so have the finished product prices. So that's kind of moved in tandem. And how long it's going to last? I mean, I think that's a very difficult question.

And really, I am not qualified to answer that. I think if anyone can answer when this Middle East crisis can end, that can give obviously some indication. But then again, I really don't know how and when that would happen.

Priyank Chheda: But sir, at least the availability of the raw material is not an issue for us despite all the disruption?

Rahul Agrawal: So, we have obviously not faced any significant disruption to our manufacturing. We may have had minor disruptions, but nothing that requires significant reporting or worry. So, we have covered for all the raw materials that we need. We are buying from multiple sources globally. And that has been the strategy of the company all along.

So, we are well diversified in terms of our ability to procure. We m

ay choose to procure from

one region over the other due to time and cost and other factors. But when it comes to being able to procure raw material from other sources and still meet our customer demand, we are being effectively being able to do that without any concern.

Priyank Chheda: And so would be the case also with Thailand, the availability won't be an issue? And essentially, at this revised pricing structures that are prevailing as of now and may not be known until when it will prevail, but at the current prices, earlier, we had a rough estimation of getting a breakeven point at 65%, 70% utilization. But now that levels becomes an ease and with, say, 14,000, 15,000 or 16,000 tons per quarter, should we also reach a faster breakeven point for Thailand if the availability is not an issue?

Rahul Agrawal: So currently, availability is not an issue, not a serious issue in any case. And of course, as you know, the Thailand plant itself is not a very large plant. So, in the context of being able to procure sufficient raw material -- When we talk about breakeven, I think we have to be cognizant of the fact that whatever is happening currently is a short-term phenomenon. So, from a long-term perspective, this is not something that one can rely on. You may have certain gains or certain losses in the short-term.

And for instance, there might be some gain in the short-term because of certain tightness in the market, and we may be in a better position in Thailand, we would have served that. But then

like I said, it's a certain arbitrage that you enjoy in the short-term, which may not exist in the long-term. So, to comment that your breakeven would change significantly from what we have earlier stated would be a fallacy.

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I think it's better to still work towards that target, which we are effectively doing so. And yes, in the short-term, we may get some gain, but yes, that doesn't change the fact that we still need to increase our capacity utilization to the levels we have earlier indicated.

Priyank Chheda: Got it. And one last question. In the presentation, I could find ABS expansion on track. I couldn't find a mention on polystyrene expansion, which we were supposed to do. So, in case, if you can just draw back our attention on what would be the timelines and the capacities that we are planning to add in polystyrene and ABS.

Rahul Agrawal: So, I think ABS is essentially along the same lines as has been indicated earlier. There is no change in that. As far as polystyrene is concerned, we haven't given any fresh inputs recently in terms of when this expansion would take place. As far as general-purpose polystyrene is concerned, we had already, in fact, expanded our plant and that capacity is available to us. However, the demand has been muted. And also, I think there has been a margin compression over there on account of material coming in from imports as well. So, we have been not very actively trying to fully utilize our general-purpose polystyrene volumes.

In the case of HIPS, we have carried out some studies. We are still not 100% sure or convinced which way we would like to go in terms of deploying additional capital to build that HIPS plant. But as and when we are closer to making a decision, we shall definitely convey to all our shareholders.

Priyank Chheda: And just last thing on the power savings, have we seen any benefit coming up in this quarter with respect to the agreements that we were supposed to do to source the power from the third party. Should that be visible in the coming quarters?

Rahul Agrawal: Yes, it should be. So, I mean, we have been advised that hopefully, by next month or so, we would start receiving that power. But again, it is hazarding a guess or hazarding an opinion from a third party. So, I would take that with a pinch of salt. So hopefully, that does

happen,

and we are able to start accruing gains from next month, which would reflect in this quarter.

Priyank Chheda: What would be that gain, sir, any quantification for the full year?

Rahul Agrawal: No, I think it's very early to say that because it is a function of production. It is a function of so many factors. In the current context itself, again, for the remainder of this call, it is going to be very difficult for us to give volume numbers because there has been some amount of demand contraction as well given the price increases which have happened in the area.

And until things don't normalize or somewhat normalize, it's very difficult to estimate exactly what the volumes will be and consequently, what the power would be and consequently what the savings would be. So, none of these numbers in the current context are very easy to predict or give.

Moderator: The next question is from the line of Pankaj Tibrewal from IKIGAI Asset manager.

Pankaj Tibrewal: I know some things which you have mentioned in the call to the prior questions are beyond anybody's control in terms of volatility of pricing. But if we -- one takes a 2-3 year view and

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this being an annual call, can you just help us understand what could be the shape of Styrenix one can visualize from the things which you are doing, both in India and overseas?

That will lay some ground for all of us to visualize where the company is heading in terms of overall things. Obviously, the raw material spread fluctuation is something which is in nobody's control or the product pricing. And obviously, last quarter saw that in 1 month, how much of the spreads can help on profitability. So just on a 2-3 year view, what could be the shape and size of the company, how -- what you are visualizing and how Thailand can start shaping up in a very different way, will help us over a period of time.

Rahul Agrawal: Thank you, Pankaj ji. Again, I'm always a little cautious when giving forward-looking statements.

Pankaj Tibrewal: Yes. That's okay. Just on an overall thought process.

Rahul Agrawal: But as far as our strategy is concerned, I can definitely speak to that, and that's a good question. So strategically, whatever we have planned in terms of expansion of the business in India, that remains on track. Regardless of what happens in the short-term with regards to volatility and demand fluctuations, we do believe that demand in India will grow and will

remain robust. And we will be the preferred supplier or partner to work with for most of our relationships going forward, and we are fully committed in that journey to essentially doubling our -- at least our ABS and SAN output.

And that will happen in the course of time, which we have already mentioned earlier. So, there is no deviation from that. So next 2 to 3 years, obviously, is enough time to realize that in terms of where we are headed for ABS production and sales in India.

As far as Thailand is concerned, again, there are, of course, some structural weaknesses we have seen now in competitors due to this Middle East crisis. How that plays out, we'll have to see. But again, as far as Thailand is concerned, if I look at a broader, more longer-term geopolitical view, it is very well placed. We -- in spite of all these challenges which have happened, Thailand has not been affected so severely in terms of its ability to procure and produce. So, we see that as a very big positive.

We also exhibited recently in CHINAPLAS because, as you know, we do supply a lot of material to China and the Far East. And in our interactions with customers over there, which are very large in the EV space, in the appliance space and which are going to become more and more relevant, I think, globally as well with the kind of technology advancements, with the kind of capital investments these companies are doing a

nd the kind of relationships we already have with them, I think, will hold us in very good stead.

So, we do believe that Thailand will prove to be a very critical and important asset for the organization in terms of its positioning with these customers and also supplying to these customers in all these different regions. So, I mean, I think going forward, next 2, 3 years, I do see Styrenix one step closer towards its vision of being a preferred global supplier of all these performance products to all the customers it serves.

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So -- and that obviously cannot be achieved just by being -- having the capabilities in India but having capabilities in Asia and potentially rest of the world also become critical. So, Thailand is a very, very important and critical step in that direction, which we believe in 2 to 3 years, we'll have a very clear picture of what we have been trying to achieve so far.

Pankaj Tibrewal : That's great to hear that. The only thought process from an India perspective is that today, there is a gap of domestic production versus import. And with you and the other competitors increasing their capacity, can after 3 years, that import substitution part will be off? And can the industry only grow at, say, 8% to 10% in line with the demand growth? Or you think that further, there will be opportunity to grow? Just how to visualize that picture in India?

Rahul Agrawal: So Indian demand last year was about 350,000 tons, as we know, 350,000 to 370,000 tons. And I think between the Indian players prior to the third now player, which has entered the field, the total sales were about 160,000, 170,000 tons. So close to 200,000 tons were still being imported. Even with the new player coming in, we are still talking about a shortfall of more than 100,000 tons.

Once we come in with additional capacity and both the other players also add in additional capacity, we do believe the market is still going to continue to add 30,000, 40,000, 50,000 tons of additional demand every year. So, I believe still the import substitution will remain and that opportunity will still remain for the next 5 to 7 years.

So there will be still an opportunity for us to add additional volume, to meet that additional demand because if you look at some of the Eastern economies for which we have a greater flavour of, if you look at Vietnam, it's about a 400,000 ton market, which is a much smaller country than ours. You look at -- of course, China is -- the scale is very different. They are a factory of the world. But even in the context of smaller economies surrounding us, I do believe that the growth that we are estimating and the segments that we are estimating is quite realistic. So, we will still add this 30,000 to 50,000 tons every year. And given whatever has been announced so far by us and our competitors, I think there will still be an opportunity in India for adding more volumes and meeting that import substitution demand.

Pankaj Tibrewal : Fantastic to hear that. Just the last question. Today, the ABS prices when we speak into the market is somewhere between INR190 to INR200. Pre-war, it used to be INR110, INR120. Assuming there is some normalization in supply chain raw material, which starts to happen as things start to -- on the Middle East crisis, do you think now the average pricing, which could settle will be much higher than the pre-war pricing, which we have seen?

Is that a basic thought which is prevailing, because most of the other chemical companies seem to suggest that now the new normal could be 15%, 20% higher than the pre-war kind of a situation. Is that a fair assumption to make? Or you think nobody knows?

Rahul Agrawal: So again, the right answer is nobody knows. But if one has to assess, again, from a strategic perspective, where we land, I think given whatever is happening, even if things u

nwind and

things seem to clear up, there is obviously -- there's going to be some lag between the current mess, which is there in the supply chain and what needs to be in a normalized scenario, right?
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So that lag itself will indicate that there will be some tightness, which will remain and which will keep prices up to a certain level.

Now once those things normalize, for how long those prices stay at what level and how much further they keep getting pushed down is really anyone's guess. But I would say in the short to potentially short -- medium -term, prices will tend to remain a little bit higher from what we can assess at this stage as opposed to what they have been in the past.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Congrats on a good set of numbers. Sir, just a couple of questions. Sir, first, is it possible to quantify the inventory gains during the quarter? And secondly, sir, we are seeing a volume -- a slight volume dip into the Indian business, but some 20%, 30% dip into the Thailand business. Any particular reason, sir?

Because on to the Thailand part, what I know as per our previous interaction, so we were having supply of raw materials from the local players. So ideally, that shouldn't have been disrupted and the production shouldn't have gone down ideally. Any thoughts on this, like why is the volume dip and possible to quantify the inventory gains?

Rahul Agrawal: So, we don't really have any significant inventory gain for the quarter. In terms of the volume dip, there has been a dip in our GPPS sales for the quarter. There has been a muted demand and also there has been a lot of pricing pressure on account of certain imports. So that has accounted for the volume dip. In all the other categories, whether it's ABS, HIPS, we have grown year -on-year as far as the quarter is concerned.

And overall, so we have kind of moved in the right direction given what we do in this specific quarter, right? So, in this quarter, there are 28 days in February. So, there are a lot of nuances on how this quarter works. And specifically in this quarter, there are certain couple of shutdowns, which happen every year, not only in this year. So, all these things lead to a certain volume change.

But if I look at the year -on-year, there is a growth, at least in our ABS and HIPS business. We don't give a breakout. So, I'm going to refrain from telling you or quantifying exactly what that is because, as you know, none of our competitors do that either. But -- so there is no real concern in terms of a volume dip in India other than what I mentioned.

As far as Thailand is concerned, if you compare Q4 of last year versus this year, what we have given information, essentially, what had happened is, we were again shifting from INEOS' brand to our brand, and we had started intimating to all the customers that we would be discontinuing and we were also wanting them to switch to our brand. And on account of that, there was a little bit higher booking by customers in that earlier brand, which was a little bit unusual, which could not have happened in previous years corresponding to that same quarter. So, comparing that particular quarter with this quarter would not have been a fair assessment. Having said that, I think, again, we have retained, I would say, most of our business. So, business continuity has been achieved by the work of our team over there. And going forward,

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we do believe with whatever interactions we have had with our customers recently, like I mentioned in China and elsewhere, volumes will start trending upwards only.

Aditya Khetan: Got it, sir. Sir, my next question is for this year fiscal FY '27 in terms of India, Indian business. So largely, how m

uch room we have for the volumes to further go up? And subsequently, sir, are we confident like that ABS capacity, any timeline , sir? I think we have stated earlier some around in the second half that will come on stream. Any timeline , sir, on that and if there is any change?

Rahul Agrawal: No. So, there is no change. Like I mentioned, the -- whatever earlier announcements we have given, we are still in line with that. We are on track for that. As and when the additional capacities come online, we'll be sure to inform all our shareholders accordingly.

And otherwise, as far as volume growth for the year is concerned, one has to take the present scenario into context. So, if we were not facing the present scenario, I think India would still grow at the same level, and we would grow also similarly.

So, if you assume that ABS would grow at 8%, 10% or whatever and we would have additional volumes to spare, then yes, we would also grow similarly, if not higher, given the

import substitution opportunity. So, I don't think growth is an issue in a normalized scenario.

In the present scenario, of course, like I mentioned, it is very difficult to give an estimate.

Aditya Khetan: Got it. Sir, just one question I wanted to know from you. Sir, considering from a customer's perspective who are taking ABS and polystyrene, even they are -- even -- so they would be knowing that companies like Styrenix, Supreme and Bhansali, all are dependent on styrene and acrylonitrile imports. And any disruption in raw material supply definitely so keeps these companies vulnerable. So why would any customer completely be dependent on these companies?

And import substitution story what you're saying, sir, will that actually play considering all these things like if there is any raw material stoppage from these countries. So definitely, they would be also left in the middle versus if they are continuing taking their purchases from China or from Korea. So that -- so how these things like play out?

Rahul Agrawal: So, it's interesting, right, that even in the current context of whatever may have happened, we have not had any supply problem for our raw materials, right? So, whether it's Styrene Acrylonitrile, which we are importing, we have been able to procure it. So, like I said, these are commodities. There is no real significant arbitrage between one region to the other when it comes to these monomers.

And even for a lot of our suppliers, it's interesting, one of the big competitors who is positioned in Korea and probably has the largest share in the import substitution market was actually vertically integrated into styrene and they stopped producing styrene, in fact, I think, a year or 2 ago. And they chose to now import or buy styrene from outside even into that country because, again, like I mentioned, these are -- these monomers are commodities, and there is no real value of being vertically integrated into these commodities in the current demand -supply scenario, which exists.

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So given that situation, I don't see customers giving any preference to a customer, to any company, which has local supply of raw materials or has vertical integration into these areas.

In fact, if anything, it could be a negative, I feel, at times because the spreads on a lot of the raw materials have been low. And in a normalized scenario, I believe it's quite long in any case, the outlook for a lot of the monomers.

Moderator: Sorry for interrupting Mr. Khetan. Please rejoin the queue for more questions. The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Just to the question that you replied about pricing most likely to stay higher than pre-war considering the supply chain. And you mentioned that there was no inventory gain in the quarter gone by. Is it fair to assume that even the profitability the

n should largely stay higher than the pre-war level?

And by the way, the pre-war level of the last 1 year was a continuously sliding scenario. So, one has to then go and refer to a year back actually. So, are these interpretations correct that we are doing without asking how much time will it last? But this conclusion is fair enough?

Rahul Agrawal: Pritesh, thanks for your question. So essentially, the profitability in the last quarter has probably been a little bit higher on account of 2 things. One is, of course, the product mix.

Like I mentioned that we sold less GPPS in that quarter, and that has changed. Now going forward, what happens, we'll have to see.

And the other thing was in terms of certain prices that we could get for certain segments were higher on account of certain shortages which were created at that time, right? So, there was a price expansion, which took place. But that could be also a little bit opportunistic on our part for certain segments, and that I don't think is sustainable long-term.

So, in a pre-war scenario versus post-war scenario, how profitability will move, I think, is a question which I cannot answer today. But prices itself may remain a little higher because even raw material prices are going to remain a little bit higher until the supply chain doesn't normalize. I think I was speaking more towards that rather than to profitability itself.

Pritesh Chheda: Okay. And any comments -- okay, on the volume side, any comments if you have because -- incrementally as well because there was one observation that the user industry in the last quarter, any user industry would have grown substantially in volumes and that we refer from a lot of companies' results. So, it was contrary that you had a 5% volume decline in India operations.

So, one, any granular that we need to know? And second, at these high prices, what's your assumption or what's your thought process on the volumes? And how is it behaving as of now? Whichever way you're comfortable asking this question -- answering this question?

Rahul Agrawal: Sure. So, like I mentioned already that we are engaged in 2 lines of business, ABS and polystyrene. And within polystyrene, we have GPPS and HIPS. We have actually had a good

volume growth, both in ABS and in HIPS last quarter, if I look at year -on-year numbers. But we have had a significant decline in GPPS and that was on account of certain unorganized Styrenix Performance Materials Limited
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market, a lot of dumping also from imports and then us not really wanting to participate in that market at those prices.

But rest of the business remained robust and volume growth was fine. And I think going forward also, in a normalized scenario, we anticipate the same.

Moderator: The next question is from the line of Ronak Chheda from Awriga Capital.

Ronak Chheda: My first question was just on the capex and the scale up on the capex . You partly mentioned that the demand is there out for us. Just in terms of timeline , how do you -- how should one think of the scale up once the Phase 1 goes live this year?

Rahul Agrawal: Yes, Ronak. So, I mean, again, no change in what we had to say earlier. We are still saying in the second half of this year, we will have additional volumes and capacities coming in line. So, there is no change. And the capex also is in line with those capacities, which will come in. So obviously, the commitments are there. And as the machinery comes in or as the kind of construction gets over and as the commissioning takes place, that will have an impact on the cash itself.

But the commitments are already -- have been made. And we do believe, given current timelines , we are on track to what -- we are on track with regards to whatever we have mentioned in the past with regards to our capex and volume -- incremental volume that we will get.

Ronak Chheda: So, is it fair to assume t

hat in a quarter or 2, you will be able to scale up if the demand is out there for you to grab?

Rahul Agrawal: So, like I mentioned, second half would not be the first and second quarter. It would be in the third and fourth quarter. Exact month we have not mentioned, and we are not in a position to do so right now.

Ronak Chheda: Fair. Rahul, my second question is on what percentage of sales for us would be based on a contract or a fixed formula -based pricing versus spot sales, if you could bifurcate?

Rahul Agrawal: Again, not much change in that from what we have done in the past. So, in ABS, again, 60% to 70% of it is formula contract based . Even the balance volumes, again, there is some kind of a formula that we follow, though it may not be further back to the contract necessarily with the customer or a volume commitment, but there would be a pricing mechanism for which we would have an understanding, and that's what we would employ with most of our customers, and that is what has worked. So that is the case of ABS.

In the case of polystyrene, specifically in the case of HIPS again, we have done far more in terms of our OEM connections and in terms of formula -based pricing. So that number is now much higher than 50% than what it was earlier.

In the case of GPPS, again, there has been, I guess, a degrowth, what we mentioned in volume because we are not participating aggressively in the segments which are not backed by contract Styrenix Performance Materials Limited
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or formulas. And that is where we have seen also a lot of imports coming in. So today, I think it would be fair to say the company generally is following and working with customers on some kind of a formula basis for more than 70% of that business.

Moderator: The next question is from the line of Krunal Shah from Enam Investments.

Krunal Shah: So, I have 2 questions on the Thailand business. So, if I see the cash flow, it seems that there is around INR60 crore s difference between the consol and the stand -alone cash flow. So that would mean that a INR60 crore s kind of capex has been done in Thailand. So just wan ted to get some clarity on that?

And second question is on the volume decline in the Thailand business. We saw that in the volume decline and you gave the reason that it was because prebuying happened in December quarter. But in December quarter also, the volumes were just like 15,000 tons, and that too was flat versus September quarter. So not much volume uptick was there. So, is that like a sustainable run rate is much lower than 15,000 or 14,000 tons? That's -- these 2 questions.

Rahul Agrawal: Krunal. So typically, I was comparing the Jan to March quarter compared to the Jan to March of previous year. In fact, a lot of the countries in the Far East, they follow a Jan to December quarter. So, they tend to take a lot of volumes towards December because we have rebates and we have volume commitments from customers. So, December quarters are a little bit higher

generally. Jan to March quarters are generally a little bit lower.

But it was higher in the previous year because we were shifting from one brand to the other and customers had the fear that we would not be able to supply to them the Novodur brand, and that's why they did a lot of buying. It's not for the December quarter, this is for the Jan to March previous quarter, okay? That is when the volumes were higher. Here, Jan to March quarters typically are a little bit lower in any case, every year.

So again, we don't have a lot of comparable breakups of all the years prior to that because that information has not been given to us by the earlier management in a manner which we can really present to any shareholder. But this is the understanding we have based on how the seasonality of that business works in that part of the world, which is a little bit different from how it works in India.

So,

in terms of run rate, like I mentioned always, when you look at our business, you should look at the annual business, which anyways eliminates the Jan to March of '25, we look at the FY '26 April to March numbers. And on an annualized basis, whatever numbers you're seeing, those, I think, are numbers which are now -- we believe are defensible. And of course, there is a significant room to grow from there.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: So just one question. So given the prices are so volatile right now, and you mentioned your customers are doing 60%, 70% contracts in terms of long-term, that would be more from a volume perspective. So, the pricing changes every week? Or how does it work right now?

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Also, because your procurement price also keeps fluctuating and the situation is very fluid. So how does it happen right now?

Rahul Agrawal: So yes, it's a good question, Dhaval, because a lot of our raw materials are now coming basically on the spot market as well. And for those raw materials, we have been able to convince our customers to consider the pricing that we are getting with them. So, there is typically a formula which is built in with our customers, which takes into account certain publication prices. And currently, the prices that we are getting on the spot has maybe a little bit of gap with the formula prices.

And customers are well understood and accepted that, and that has been, again, built into the formula. And typically, within a small margin of error, we are able to match what needs to be done with the customers with regards to what we are buying at and what we are selling to them. So, we still keep kind of mostly a monthly price for most of our long-term value customers. And we don't see any real massive challenge in being able to procure at that price and sell to that price. There is no real gap in terms of how things were earlier before the war and even now.

Dhaval Shah: Got it. And you also mentioned that you were a bit opportunistic in the fourth quarter. So, does it mean we sold more on the spot market or you were more opportunistic on the kind of -- on the product mix side?

Rahul Agrawal: So, I think it's mostly on the product mix that we were able to sell certain products at a higher price, which give us more margin. And obviously, there was a tightness suddenly, which was created, and we were able to take that advantage and ship more of our production in that area because that availability wasn't there. And secondly, also in the spot market, the realizations were obviously much higher because there was no availability of material.

Dhaval Shah: Yes. Okay. Okay. And how are the freight rates now? Are they still higher? Or are they kind of moderating anything? Because now a little bit the containers have started moving out of the Strait and -- because your freight rates will also determine the pricing, right, the blended prices of the chemicals in our country. So, any comment, any thought on that?

Rahul Agrawal: The freights went up quite sharply, in -coming freights. For the containerized cargo, I think it's not moved significantly, maybe corrected a little bit. On bulk, there has been some softening because, again, I think there has been some demand destruction on kind of the bulk petrochemical materials. And hence, you have seen softening over there. But again, a lot of fluctuation day-to-day basis, very difficult to keep track of what's happening.

Dhaval Shah: Got it. And sir, on the polystyrene front, a couple of months ago when we were interacting, so the imports were suggesting that there are a lot of PS imports happening and you also mentioned unorganized demand is also very active. And now in the fourth quarter, you've sold less of GPPS. So, this trend is emerging out of what? Is it some higher

capacities in the

exporting countries or unorganized market expanding or you taking a step back and focusing more on higher margin, better margin products where your competitive strength is better?

How should we look at it? And that's why you are not also talking anything on the expansion of the PS side. Please help us understand this point. So how should we -- like when we announced the expansion, we had given a road map for ABS and PS, how the capacities are going to be over the next, I think FY '29 or something when we are fully up with the entire expansion. So how should we understand your PS strategy?

Rahul Agrawal: So, for PS, I think we always back ended the expansion possibilities because we were still trying to ensure that the business case aligned with the company's vision, right? We have some very important and valuable relationships in the PS sector. And we are definitely looking to enhance those relationships and service them even more going forward.

But we also need to understand where there is less value in that sector. And wherever there is less value, we may choose to not participate or participate considerably lesser going forward. So, it's kind of a balanced strategy approach that we have taken over the years. We have moved away from the unorganized sector and more into the formula -based OEM business in PS. And that effort is still in that direction.

So, we have been consistent with what we have been wanting to do in PS, and that has not changed.

Going forward, I think in that context, as the business grows and develops and our customers' requirements become clearer as our share of OEM business grows, we will define the business case for expansion in that sector, right? So that is a developing or evolving strategy for us. And as it becomes clearer, we will take that decision. But the expansion for PS has always been a back -ended strategy as opposed to front -ended unlike ABS, where we have had far more value -added customers or relationships since much longer compared to the competitors out there.

Moderator: Sorry to interrupt. Mr. Shah, please rejoin the queue for more questions. The next question is from the line of Rahul Agarwal from IKIGAI Asset Management .

Rahul Agarwal: So quick 3 questions. Firstly, on the demand side. When I look at your customers, we talk to them on automotive, appliances and packaging, 3 sectors, we hear that even they are facing a decent amount of issue in terms of passing through their own input pricing, right, which is what we are passing it to them and Styrenix is passing because your own input price for materials has gone up globally.

The point being that incrementally, when I look at fiscal '27, and we really don't know what's happening in second half on demand. But just at the current spot trend from automotive appliances and packaging, we just talk qualitatively more about how do you see this OE demand happening at current spot price, whatever you're quoting to them? Are they okay in terms of how they are feeling with their own supplies taking from you? That's one question. Second is on the spreads and margins, I think enough questions have been asked, trying to figure out that if we look at full year fiscal '26, and if we just compare that to fiscal '27, is the spread at current spot price better or worse off, just in terms of direction, if you just qualify that?

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And third is, because you're facing -- global imports are also facing issues on ABS from Korea, which is, I think, quite a decent quality ABS comes from there. Does it make sense for us to prepone our capex on ABS and maybe capitalize and gain more market share? These are the 3 questions.

Rahul Agrawal: Yes. Thanks. So, with regards to the demand from our customers in auto appliances, packaging

g, qualitatively speaking, we obviously have not seen any significant uptick in demand, but we haven't seen a significant downtick either. It's a little bit muted, I would say, at the prices that we are offering. But most of our large OE customers have been buying consistently.

We have to see how the next few months pan out because for them, how fast they're able to clear their inventories, how fast they're able to pass on prices is something that we still have to hear back from them.

So far, they have been running their business as usual more or less. But we do believe that there could be some slowdown. That is something that we have to account for. But currently, that is the case. In fact, it's more in the, I would say, unorganized market or smaller market where a lot of customers have become much more cautious in terms of their willingness to buy

product because of the uncertainty associated with pricing in which direction it will go. So that is what we are seeing qualitatively again without speaking to exact numbers.

With regards to spreads and margins between last year and this year in the spot, I think, again, if I look at most of our customers, the margins on the -- again, on the contractor formula side might be similar, slightly better, might be similar only, I think, largely. I think there is obviously on the spot side, they are better because, again, for specific grade of products, we are able to supply where we are not seeing quality supplies from conventional competitors from Korea.

Like I mentioned, Korea and certain countries have had structurally worse problems than, say, India or Thailand or even China for that matter, have had. And we are better positioned to supply those specific grades. And in those grades, we are able to get better margins. And keeping in mind, again, with your third question on Korea or other areas, we do believe that structurally, there may be changes in Korea. We are not sure.

But again, that does not take away from the fact that we still remain committed to our customers in India and their requirements and their preference for our product, which has always been the case, and we have not been able to deliver. So that will remain. And I think keeping our investments on track and our volumes coming on -- additional volumes coming on track, will be the right strategy because whatever may happen in the very short -term, to medium - to long -term, I do believe that the demand robustness is intact in India.

Rahul Agarwal: Got it. So just a follow -up on the 30% of the volume business, which we have, which is essentially the non -OE side of it across any segment, just taking an average over here. What is the -- so you're saying, is there a pain in that kind -- in that segment? That's one clarification.

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Second is on this preponement of capex , you're saying it's still on track. We don't really do that right now based on whatever is happening. Is that correct?

Rahul Agrawal: Yes. So, we are not preponing anything. We are doing as planned. The capex is happening exactly as we spoke. When you talk about the non -OE segment, whether it's 30% or 40%, whatever it is, we don't give exact number, but 60% to 70%, let's assume is OE and rest of it isn't.

But wherever the unorganized market is, typically, they would buy more based on what they believe to be the case going forward in the next immediate future. And that's how the buying has been in that segment historically as well.

Since there is greater uncertainty over there, there is obviously muted demand over there. But to the extent there is demand and to the extent that we are better placed to supply certain grades of products, which are not coming easily from other suppliers is where we can get better margins. That's how it's working out.

Moderator: The next question is from the line of Tanish from Boring AM

C.

Tanish : So, I had 2 questions. The first question is to understand the structural difference between HPPS and your general -purpose polystyrene. Like what is the difference between the 2? And why do we get a better margin for the HPPS? And the second question is regarding the Thailand acquisition. So, we had done the acquisition to get a better margin ABS product in India. So, are we seeing that integration play out in India? And do we see any future capex for a better ABS grade in India?

Rahul Agrawal: Yes. So Tanish, if you look at GPPS and HIPS, the way the market is, a lot of the -- for HIPS, a larger market is actually driven by air conditioning, refrigerators and some packaging industries. And a lot of this is kind of organized and is growing well in India. There also a lot of specialized grade requirements by these customers, which are not easy to switch from one supplier to the other. And hence, there is a greater value that customers see in buying a specific product from a specific supplier and hence, you have a slightly better margin in that product. In the case of GPPS, a smaller percentage is in the organized segment, the larger is in the unorganized where the opportunities to switch is more and you can switch based on cost more easily. So, the margins are a little bit lower. As far as Thailand is concerned, I would not say that we -- strategically, the decision to go into Thailand is to bring more product into India. But Thailand has helped us for additional capacities for the rest of the world for certain technologies like I mentioned.

And to that question regarding technology, yes, we are planning to incorporate some of those technologies when we do add new capacities in India. That will help us target some of the additional product segments as well in India, which we have historically not done so. So, there are some advantages of that higher kind of margin ABS also being produced in India by us with that technology once that additional capacity comes online in India.

Moderator: The next question is from the line of Hrishit Jhaveri from CBA Asset Managers LLP.

Hrishit Jhaveri: Just wanted to ask on the other income level. So, we had an INR11.8 crores other income in this quarter. Can you throw some light here?

Rahul Agrawal: Bhupesh, I request you to answer that. Other income, INR11.8 crores.

Bhupesh Porwal: So, this is for the stand-alone?

Hrishit Jhaveri: No, consolidated?

Bhupesh Porwal: Okay. Consolidated. So, it has income from both India as well as our Thailand operations. So maybe some forex gains in Thailand, which comes into this. Then we have some services also in Thailand, which we give from our facilities. And maybe other than that, scrap sales and all other things overall will come into other income.

Hrishit Jhaveri: Okay. And assuming the normalized spread, when can Thailand operations be at the breakeven point?

Rahul Agrawal: I think I mentioned this in the past. So, we do believe that once we have 60%, 70% capacity utilization, the Thailand operation will start generating some returns. So, we are still below that, and we are working in that direction.

Hrishit Jhaveri: Okay. And is there any cost escalation for the upcoming capex of the ABS?

Rahul Agrawal: Not currently, no.

Moderator: In the interest of time, that was the last question for the day. I now hand the conference over to Mr. Chintan Doshi for closing comments.

Chintan Doshi: Thank you. Thank you, everyone, for joining us today on earnings call. We appreciate your interest and time in the company. We look forward to answering you in the next meeting, which will be announced at suitable time in future. Thank you.

Rahul Agrawal: Thank you.

Moderator: Thank you. On behalf of Styrenix Performance Materials Limited, that concludes this conference. Thank you for joining us, and y

ou may now disconnect your lines.